

Kec International Ltd. (KEC)

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"KEC International Limited Q1 FY -23 Earnings Conference Call"

August 04, 2022

MANAGEMENT : MR. VIMAL KEJRIWAL – MANAGING DIRECTOR & CEO, KEC INTERNATIONAL LIMITED .
MR. RAJEEV AGARWAL – KEC INTERNATIONAL LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Q1 FY 23 Earnings Conference Call of KEC International Limited . As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vimal Kejriwal – Managing Director and CEO of KEC International . Thank you and over to you, Mr. Kejriwal .

Vimal Kejriwal: Thank you Neerav . Good morning, I welcome you all to the Q1 Earnings Call of KEC . I hope that you and your family are safe and healthy. Let me start with an update on the overall performance for the quarter and then after talk about each of the respective businesses. We have achieved a revenues of Rs. 3318 crores for the quarter, with a robust consolidated growth of 31% and a standalone growth of 22% vis-à-vis Q1 last year . The growth has been delivered by good performances in most of our businesses such as T&D , civil, railways, oil and gas and cables. We have delivered EBITDA margins of 8.2% at the standalone level and 5.1% at the consolidated level for the quarter. The consolidated margins have been impacted primarily due to the elevated commodity prices and logistic cost and Brazil performance.

While we have started witnessing softening of commodity prices in the latter half of Q1 FY 23. Most of the costs during the quarters have been committed at the levels of Q4 FY 22. So, we have delivered a PBT margin of 4.8% and a PAT margin of 3.5% at a standalone level. Our consolidated PBT margin stands at 1.1 % and PAT margin at 0.9%. Our YTD order intake stands at Rs. 3472 crores including the recently released orders of Rs. 1233 crores. The largest contributor in the order intake has been our civil and T&D businesses followed by railways and cables. We have a well-diversified and strong order book of Rs. 23,720 crores as on 30th June '22. Additionally, we have large L1 positions of over Rs. 8000 crores diversified across businesses. With this our order book plus L1 stands at a record level of worth Rs.30,000 crores . Tender under evaluation and in the pipeline to be quoted in the next couple of months stands at over 1,10,000 crores. Our net debt as on 30th June 22, stands at Rs. 3418 crores. The debt level has increased during the quarter owing to loss and elevated borrowings in SA E Brazil and a few orders in standalone where the dependency component is much higher and the payments would come to us at the end of the order. Our interest cost and the standalone level stands at 2.6% for the quarter as a percentage of sales largely in line with last year. Higher debt level and increasing interest rates in SA E Brazil have increased our interest costs in the consolidated level, which stands at 3% for the quarter as a percentage of sales.

Now we talk about the specific businesses . Our T&D business has achieved revenues of Rs. 1645 crores with a strong growth of 17% vis-à-vis Q1 last year. The growth has been delivered

by robust execution across India, Americas, SARC, Africa and Middle East . In Brazil, we have physically completed four EPC projects this year. Three of them have already been energized and the fourth one is awaiting energization by the client. We have also secured a bonus for timely completion of one of the projects . With this , we now have one EPC project under execution, which is scheduled for completion by end of Q3 . We are confident of our gradual revival in the KEC International Limited
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performance of Brazil in H2. In terms of order intake , the T&D business has secured new orders of over Rs. 1200 crores for T &

and D and cabling projects across India, Middle East and Americas.

I'm pleased to share that we have secured a prestigious order for the building of India 's first 765 KV digital substation from power grid. The orders in India has strengthened our order book from PGCL and state utilities and expanded our private clientele.

With the cabling order in Middle East, we have reinforced our presence in the international cabling solutions segment. We have also significantly enhanced our order book in America to Rs.1138 crores for supply of towers , hardware and polls a growth of 18% vis-à-vis last year. With this we now have a complete loading of the SAE Mexico factory for the balance quarters of this year. The overall tender pipeline in T&D continues to be strong both in domestic and international markets. Additionally, the business has a large L1 pipeline of over Rs.2000 crores contributed equally by the domestic and international markets.

Our railway business has clocked a revenue of over 700 crores for the quarter with a stellar growth of 19% vis-à-vis Q1 last year . The business delivered a double -digit margin despite a challenging environment. The business has also secured orders of over Rs.400 comprising of orders in conventional OH E as well as orders in new areas of speed up gradation and OHE for metro . We continue to focus on opportunities in emerging areas such as tenders on TCAS Train Collision Avoidance System under the Kavach , which aims to enhance safety of Indian railways with world class technology. The railway tender pipeline continues to remain healthy across conventional, technologically enabled emerging areas, as well as international opportunities. We are witnessing a gradual pickup in the tendering activities and are confident of securing a large share of orders in the coming months. With the continued thrust on execution, strong tender pipeline and then order book plus L1 of around Rs. 6500 crores, we remain confident that railways will continue to grow.

Our civil business has delivered an exemplary performance with revenues of Rs. 600 crores for the quarter, with an impressive growth of two times vis-à-vis Q1 last year. The business continues to deliver consistently on the order intake front and secure orders of over Rs.1200 crores across industrial , residential , hydrocarbon , defense and data center segments. Additionally, the business also has a large L1 pipeline across water pipelines, industrial and residential segments. The uptake in order intake has significantly enhanced the order book plus L1 to an all-time high of over Rs.10,000 crores comprising of turnkey EPC projects across segments from marquee clients. The government spending across segments continues to lead the way for growth , with a special emphasis on urban infrastructure and water pipelines. We are also witnessing a gradual revival in the private CAPEX in the industrial and the realty sector. We are confident that this business will be the key growth driver for us going forward.

In oil and gas pipelines the business has delivered revenues of Rs. 92 crores and secured an order of Rs. 105 crores during the quarter. With concerted efforts, the team has successfully achieved completion of a targeted pipeline laying project, which will significantly enhance our PQs and pay for us to secure similar orders in the future. The business has a strong order book plus L1 of over Rs.1000 crores comprising government and private players. We are confident that this KEC International Limited
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business will become a significant part of KECs overall business portfolio in the coming years both in India as well as overseas.

Our cable business has grown by 26 % vis-à-vis Q1 last year and achieved revenues of Rs.419 crores during the quarter, we have formally inaugurated our state-of-the-art railway products manufacturing facility. Over the last couple

of years, we have developed and launched new

products such as signaling cables and jumper dropper wire through this facility and have also ramped up capacity to manufacture contact and catenary conductors. This strategy of backward integration is helping us make cables business a strategic enabler for our railways business and at the same time, address the growing demand for railway products in the external market. The businesses is also progressing well with the development of additional new products. It has

received approvals for a few products during the quarter and is on track to commercialize them this year.

Overall, we are pleased with our revenue growth and order intake despite significant challenges. We are making good progress in deploying several mechanization, automation and utilization initiatives across projects to improve productivity and the quality of execution. We have started seeing softening in the commodity prices of late and have commenced execution of projects which had been secured on a higher commodity and logistics costs. On a concluding note, I would like to convey that the traction order intake, record order book plus L1 of over Rs.30,000 crores and a strong tender pipeline, we are confident of delivering continued growth in the balance three quarters of the financial year. Thank you very much. I'm now open to take questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. First question is from the line of Ravi Swaminathan from Spark Capital. Please go ahead.

Ravi Swaminathan: Sir we would have seen healthy order inflow growth of around 7%, 8% CAGR, just wanted to check with you so, basically over the next two to three years what kind of order flow growth that we can think about, and which are the segments which will be the key drivers and if you can give the thought process on power T&D spends would be great sir.

Vimal Kejriwal: Ravi morning. Ravi on the order intake side, our targets are around 15% to 20% growth year-on-year for the next few years. That's on the overall numbers. The drivers, the way it is happening today it's going to be number one would be civil, number two would be T&D and three would also be oil and gas, but the base is small. So, the percentage increase may be significantly higher, volume wise, it may not be that much. Coming back to your question on T&D, we already announced a couple of orders from power grid, we are L1 in some more of them. So, power grid is slowly coming back into the fray as a larger client in India. And yesterday or day before we saw news where some Rs. 22,000 crores of funding for the Leh Ladakh transmission line is under process or something. Those tenders should come out quickly as per our discussions with PGCIL. Also, we expect that the decision on the GIB should also come in the near future, which would again sort of release the entire green energy corridor orders which are the TBCB bidding which is on hold that should get released in a very close future. So, on the KEC International Limited
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India side, we have pretty hopeful of a large tender pipeline and order intake in the coming quarters.

Internationally, the major orders or tenders are coming in from Middle East driven by the oil price \$100 plus, two countries stand out which is Abu Dhabi and Saudi and other country where we see our orders coming in is Bangladesh. So, these are the areas and Americas, both North America and South America, we are seeing I already mentioned that our Mexico plant is full. Brazil also we have a lot of orders now on the power supply and hardware and we are expecting some more orders.

Ravi Swaminathan: Got it sir. And my second question is with respect to the losses in SAE. so what was the absolute loss at a PAT level in SAE or at an EBITDA level this quarter?

Vimal Kejriwal: So, at PBT level it

was around 100 crores. And EBITDA was around 70.

Ravi Swaminathan: And how do you see this improving, do you see this improving and what is the key reason behind this because of this currency and the combination of execution or any other factor related to that?

Vimal Kejriwal: So, one reason when you see the difference when EBITDA and PBT is the interest cost, there has been a loss funding loans and also the interest cost there has gone up from 7%, 8% to 17%, 18%. So, one thing has been the highly elevated interest costs I'll say, and the second has been the delays which we are having in project completion and contractual issues on COVID and all that. So, our view Ravi is that by end of this quarter or max maybe a month behind that, we will finish all our EPC projects. We have got large claims which are under discussion and by Q2 or max Q3, those claims will also get settled. And so by that time, we will be completely out of our losses on our EPC projects in Brazil. So, Q2, maybe a little bit spillover in Q3, I'm not sure we'll see if the claims can be closed in Q2, then the whole piece should get closed in Q2. If not, there could be a minor spillover in Q3.

Ravi Swaminathan: Got it sir and other question is with respect to working capital, so basically from 130, 135 days this quarter has jumped up to around 150. So, you had mentioned railways in the PPT so is it like, so the mix is a little bit like that or some payment delays which will get restored over next two to three quarters?

Vimal Kejriwal: So, Ravi, there are a few reasons we mentioned railways, but one is starting with the fact that we grew by 31%. So, the fact that we are growing by 31% means our absolutely working capital will definitely go up. So, that's one reason. Second is, we have been losing money in SAE Brazil, that requires some funding to be done. So, that's the second piece and third piece is what we are talking about is, we have got a few projects, both in railways as well as in T&D, where a

significant portion is back ended, especially on price variation and some other items. So, those projects are slowly coming to a close. So, we do expect that by Q2 or Q3, that funding will get released. So, we expect that by Q3 onwards, we 'll start seeing a reasonably good improvement in the working capital. Q2 we still remain at stretch levels. Maybe these levels maybe it may

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come down a little bit , honestly difficult to predict. But Q3 onwards, we are very confident that the working capital will start showing improvement.

Moderator: Thank you. The next question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: My question is on this increase in the debt that has been increasing and it 's almost doubled from the levels of FY 21 if I see from Rs. 3200 crores to almost Rs. 6000 crores now including acceptances. So , I remember in June 21 we had analysts meet and we have highlighted that we have about Rs. 200 crores of capital employed in civil business and Rs. 1200 in railways business and total was about Rs. 1450 crores was the total capital employed in these two businesses. Can you just give a break up of this debt level how the split across businesses in civil, railways , so that will be helpful for our understanding .

Vimal Kejriwal: Parikshit, I don 't have that break up now you can talk to Abhishek later on, but broadly I can tell you that , civil we are pretty okay with our numbers in terms of debt and net working capital , the problem is still with one is railways as I mentioned, there are couple of projects on a different model , railways earlier always used to have your BOQ based projects . Off late , I'll say a year , year and a half back they shifted to in a way of what we call EPC where payments are made on achieving certain milestones , et cetera which is

a new concept both for our railway team as well

as for the railway client also. So, that has taken some time for people to understand how to implement and close it , so that is happening . Then on the T &D side we have got some very large profitable projects, where contractually all the price variations are payable at the end of the year and you know that last one year there have been large price increases. So, there are substantial amounts which are to be received from the clients which we start getting now with the projects are going towards the end. So, to me and also obviously SAE losses were there , so these were the reasons why the numbers have gone up. But , as I said earlier to Ravi, we are pretty confident that the numbers will start improving next quarter onwards .

Parikshit Kandpal: Because sir, if I see last three years cash profit if I add which is about Rs. 2,000 crores of cash profit is generated and especially the working capital the growth in the revenue , the working capital should have increased by Rs. 800 to 900 crores . You have done some CAPEX of Rs. 700, 800 crores over last three years, but your debt has gone up by Rs. 2,700 crores so I am not able to reconcile why this is such a huge debt built up because typically EPC companies we don't see that coming down once that reaches this level, we 've hardly seen this diversion happening. So, how do you see the Rs. 6000 number panning out over the year end, by this year because you said a significant part of that is also into it so, if you can quantify, what is the debt sitting at and how long will be the year end looking in terms of overall debt?

Vimal Kejriwal: So, Parikshit one is I don't agree with you that once it goes up it doesn 't come down. If you look at our history also , our debt has been coming down consistently except when the COVID hit us.

So, we are pretty confident between our teams that debt will go back to our normalized levels and we have been talking about debt minus acceptance is going back to Rs. 2500 whether it will go down at Q4 or whenever it is but the target is very clear and we are also doing a lot of things

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on that front. So, as a team we are pretty confident on it. We are worried because see, I 'll tell you what has happened is , we have got an Afghanistan issue. So, we have got a net exposure of Rs. 250 crore stuck there which we were expecting that somebody will start coming but it has not come in but lot of discussions with World Bank and ADB is going on. So, maybe the money may come in Q2, maybe the money may come in Q3 . Then, what we talked about back end is payments, those payments will start coming in Q3. So , Q3 onwards you will definitely start seeing an improvement in the numbers.

Parikshit Kandpal: And just last thing around SAE that, how much is the debt and how much is the claims which you are looking to file because you did mention about some claims then a realization of claims by Q3, if you can just quantify these two numbers ?

Vimal Kejriwal: So, the debt is around Rs. 400 crores there. And claims very difficult to give numbers but we were talking about anything between Rs. 60 to Rs. 100 crores of claims coming in, but let 's see what happens. Unfortunately Brazil has got a very peculiar contractual system and President there has not declared COVID as a force majeure and all that so all the contracts are, becoming

pure commercial discussions. So, let's see, as I said earlier, that by end of Q2 or early Q3 Brazil should be behind us.

Parikshit Kandpal: So, this Rs. 400 crore has built up only in this quarter or last quarter ?

Vimal Kejriwal: It's over a period , last three, four quarters it has built up what has exacerbated the whole issue is the rise in the interest rate from 7 %, 8% to 18 %, 20%. The interest cost of 30 crore which has gone up there is partly because of the debt

increase and partly because of the rate increase.

Moderator: Thank you. The next question is from the line of Swarnim Maheshwari from Edelweiss. Please go ahead.

Swarnim Maheshwari: Sir, the first question is now if you see the commodity prices have started receding and we also see the SAE levels, maybe a quarter or two but that is likely to be behind us. So, if you can just, give us some sense of comfort on the margins trajectory going forward not asking for any kind of a guidance over here. But some sort of semblance on the margins part really, that will be helpful .

Vimal Kejriwal: So, Swarnim what is going to happen is that , I still feel Q2 , we remain at the similar levels, I don't know whether plus or minus 10 , 20, 30 basis points here or there, although you didn 't ask for a number I 'm giving you a number. But from Q3 onwards, definitely we will start seeing improvement in margins driven by three things, one is SAE numbers, we should not see any large loss or even if there is something very nominal, but hopefully there should not be much. Second is the commodity prices are coming down so, some of our fixed orders which are right now under execution and which may spill over to Q2, Q3, the re the losses will come down. And the third one is that we have an order book of L1 of Rs. 31,000 crores, and many of the orders have now started executing. And these orders are taken at the current prices or in some cases even at the higher prices. So, with a combination of all these three, we 'll definitely see the Q3
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margins going up and so , I can see a n upward trajectory from Q3 then still better than Q4 . That's the way we are looking at the margin trajectory and also, as I was telling Parikshit earlier that , we do expect that the working capital to start improving. So, hopefully in Q3 onwards, we may start seeing some decline in the interest rates also. So, from EBITDA to PBT the differentials will start coming down. And it will also be driven by the group partner, so the top end will also grow significantly.

Swarnim Maheshwari: So, are you guys targeting double digit margins by FY 24?

Vimal Kejriwal: 100%?

Swarnim Maheshwari: So, b ack to our 10% levels?

Vimal Kejriwal: We are clearly targeting to reach that , there's no question about it.

Swarnim Maheshwari: Fair enough. S ir my second question is o n the civil business. So, we are ramping up quite nicely over there. How is the margin trajectory , are we now kind of converging with some high single digit margins or where are we in civil actually ?

Vimal Kejriwal: So, actually this quarter we were almost a double digit. So, it will take us couple of more quarters, by the end of this year we should be ending the year with around double -digit margins . The order intake is at a fairly good margin. So, maybe next couple of quarters, we will still try to consolidate and by next year onwards we should start showing a double digit from Q1 onwards, but that's our expectation.

Swarnim Maheshwari: So, railways and civil are kind of double digit margins, because railways you are also doing double digits right ?

Vimal Kejriwal: Railways right now is double digit. The issue that we are having in railways is that we are shifting to more technological on metros and other things. So, some of them there is a learning curve. We expect to continue at double digit, but I don't see a major improvement or anything happening. Railway, our problem is not as much as EBITDA as PBT. We have s een blockage of working capital, et cetera . So, we are in a way let me put it this way, in a way we are going a little bit slow till we consolidate and get all our money out of railways and get our working capital back on track. But railways is also having decent margins, but the margins will go u p in civil.

Moderator: Thank you. Next question is from the

line of Ashish Shah from Centrum Broking. Please go ahead.

Ashish Shah: Sir, first question is on the , again a little bit on the commodity side. So, we were at a position in Q4 where certain of our orde rs, the implied commodity price in the contract was far lower than the prevailing prices. So, are we done with those contracts, is that much of that pressure behind us or there is still some to come on the commodity side ?

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Vimal Kejriwal: So, Ashish there is definitely pressure to come, which is why we are talking about improving of margins from Q3 onwards or not Q2 onwards. There is still pressure to come, we are slowly executing all the orders, the good part of it is that, with the commodity prices coming down, we have hedged a lot of our open exposures, because exposures will get into revenues and hopefully in Q2 and maximum in Q3, so the open position on commodities has come down significantly, most of it whatever hedgeable, we have hedged, there is some small quantum of hedging left out, which we are slowly doing it.

Ashish Shah: Okay. Sir, secondly you did explain a few things on the working capital side, but do you see any chance that let's say, if it takes us a quarter or more for the working capital to reduce, it starts impacting our execution, we tend to slow down on the execution because the payments are taking longer, you'll see that sort of scenario probably happening?

Vimal Kejriwal: So, I will let Rajeev answer that for working capital.

Rajeev Agarwal: So, Ashish as Vimal rightly said that some of the reasons he very much explained. We are not much concerned on the working capital; we have adequately funded all the projects. So, our view is that execution will not come under any pressure, because there is an adequate amount of working capital which has been pumping and which has been provided to all the projects, which will take care of their execution and some of the things like which are projects having back end payment and price variation, which will start accruing towards a closure of the project. So, all those money will start coming to us already in fact there has been some improvement, but obviously in quarter one you should appreciate that there is a 30% growth in the business. So, that has taken some additional working capital, but definitely from Q3 onwards, Q2 also there will be some improvement, but Q3 onward I expect that things will be more visible, there is one more aspect that you should look at that last couple of years our business in civil and railways did quite well, and the rest most of the projects are getting the inverted duty structure. So, what happens is that all my inputs were carrying 18% GST whereas the output was only 12%. So, that was adding a substantial amount to my tax balances, if you look at my balance sheet, there is a substantial increase over the last two years on the tax balances that have been added, so that has also taken a lot of working capital. Fortunately, on 18th of July the government of India has corrected that anomaly and they have increased the GST rates from 12% to 18%. So, that will be a very positive trigger for our working capital for most of the EPC companies for that matter, which are doing railway projects and Metro projects, government tenders and all that. So, the rest itself, I expect the release of working capital will be roughly about 250 to Rs.300 crore per year. So, next two years probably whatever we have accumulated almost Rs.500 crore on account of the inverted duty structure on the tax balances that will get released. So, that's, a very positive thing. And last one year one and a half years because of the elevated price level, all the tenders where we have the price variation also, which are funded by multilateral banks, the rest the clause is that price variation will be settled towards the end of the project.

So, we have accumulated a large amount of price variation in those projects that will get settled. So, now with the projects, getting to a closure from Q3, Q4 onwards and probably we will start realizing those payments also. So, we know there is some bit of an elevated working capital that we are running but we
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are quite sure that amount is going to be recovered shortly. So, that's the reason we are not worried on that account.

Moderator: Thank you. Next question is from the line of Bhoomika Nair from DAM Capital Advisors. Please go ahead.

Bhoomika Nair: To understand this working capital a little more, sorry to harp about it. We've seen the debt go up in SAE. So, you said that the losses will come down as these projects get completed into Q2, Q3. But, how will the debt reduce out there and with this reduction in India from both railways and the EPC projects, which get completed and the variations come back, then how do we see the working capital days come down to what level because, we've seen over the last two to three years, the working capital days increasing from 120 to about 148 days, and intermittently, we even had something much lower than that. So, where do we see this settling by the end of the year?

Vimal Kejriwal: So, Bhoomika, as far as SAE is concerned the debt will not come down immediately. If I give that impression, it's my apologies, but I don't think we said that SAE debt will come down because SAE debt has gone up because of a loss. So, as and when they start now making money and all that slowly the debt will start coming down or I put in some more equity from India, obviously the arbitrage is very high, because we are paying 18%, 20% interest there. And the cost here are 4% to 5%, so SAE debt will only start coming down when they start making money or I remit more cash from here equity from here. Overall, as Rajeev was talking earlier, we are

very clearly you know that our targets have always been 100 days, that's the way we have always been our aspiration target is always on how do we reach 100 days we are working on it . Difficult to give a number but maybe 10 , 15 days is what we should be looking at by the end of the year. So, maybe 130, 135 is something which we should look at reaching by the end of the year and as Rajeev said, which I had missed out earlier was GST could be one thing that would be crores or something should come back from that , many of our railway projects where there is a EPC project, where the payments were milestone linked, and little bit back ended those are getting over. So, large releases will happen from the railways, and some money's will come in from our transmission. And hopefully, Afghanistan we are seeing a lot of discussions happening between ADB , World Bank in fact yesterday also I saw UN DP Afghan tweet , saying that we are working with Afghan Government on restarting of projects, et cetera . So, if that starts , then that could be an additional bonus for us in terms of reduction of the debt. Are we worried , yes we are already worried slightly. We did not want it to go ahead but I don't think it's something which is impacting the operations or anything else. I hope I have answered your question.

Bhoomika Nair: Yes sir. Sir just on SAE basically what we're saying is , while the EBITDA loss might come off, but until and unless the internal accruals help in terms of paying out debt or remit money, the PBT loss because of the interest costs might continue would that be the fair understanding?

Vimal Kejriwal: Not sure, about it. What is happening is that , the EPC revenues will come to an end by this quarter Q2, maybe a little bit may spill over to Q3, but hopefully by Q2 the projects will all get over. Then what will remain there is going to be the revenues from our, right now we have not
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taken any EPC orders and we are not taking anything in the very near future at least. For order book there is a large order book and we are expecting some more orders now in SAE in terms of power supplies and hardware. So, it would depend upon how the steel and zinc prices behave like zinc has now come down significantly . So, it would depend upon the profitability of these orders. Some of these orders are pretty decent and are at current prices , current interest cost are baked in. So, if we commodity prices remain at the current levels, maybe we may turn even PBT positive also. So, that's the way I look at it , if it's borderline best case .

Bhoomika Nair: Got it. Sir my second question is on the railways business, we've been fairly cautious because of the elongated, payment cycle and receivable cycle , et cetera . We've been quite cautious on the order inflows per se because we have come off to less than Rs. 2,000 crores kind of a number. Now, what are we seeing this kind of as we move ahead in terms of order inflows and likely growth because so far the order book has been healthy and we've been able to manage the revenues, et cetera . But as we move ahead, what are we seeing out there?

Vimal Kejriwal: So, Bhoomika railway business is changing in many aspects . One is the way we have been bidding. So, we were earlier doing only electrification, then we got into civil then we got into signaling and telecommunication. Now today if I want to divide my railway business, there are three components. One is on the metro side where we are doing signaling , telecommunication , OHE, where we announced few orders are on the metro segment in the railway business . The second piece is on the railway , on the technology side as we call it, which is on Kavach which is also on speed up -gradation , on signaling telecommunication that is becoming a large part for us. Third piece is that what we are now seeing is and we were actually apprehensive earlier that, all the tendering was moving in from the PSU into the zonal railways and we thought that zonal railways are prone to break down the tenders into Rs. 50 crore , 100 crore . What we have seen is actually the reverse of it. In fact, in August we have quoted 2 tenders which are close to Rs. 1000 crores from the zonal railways and what they have done is that they have started combining the tenders of composite with track laying and electrification and signaling and all that which is where of core strength is. If it was a pure in place civil tender then all the road players used to come and bid. Now that we have clearly seen stopping , second piece is that with the bid guarantee and all coming back , the competitiveness is sort of number of players have come down and all that. So, slowly we will start seeing the railway order book building up in various places, we are very conscious of the working capital and I will not say working capital is stuck because of slow payment of the railways. I don't think that is the right statement which I will make. It is stuck up because of the nature of the contracting and the railways have also realized it so, some of the newer contracts they have changed the payment terms . Earlier EPC payment terms are very different from the current EPC payment terms. So, we are waiting and looking at each of the tender and then quoting . So, I am very hopeful that our railway order book will increase , in fact we are L1 in number of international orders already, hopefully by the end of this month that should get converted into our first international order also.

Moderator: Thank you. Next question is from the line of Shalini from DSP Mutual Fund. Please go ahead.

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Shalini Vasanta: Sorry, the same thing stuck record. In terms of the railway, when is the project going to be completed, say elongate wo

rking capital cycle and is that in Q2, because I just missed that. And second thing is more, given the fact that your credit ratings are very important to maintain a low interest costs and keep your ratings at least AA minus. Could you tell us in terms of your conversations with rating agencies, because a lot of the triggers that they have put in seems to have been, your numbers will soften the figures. So, that's a second question that I have. Thank you.

Vimal Kejriwal: So, one thing is that, the railway project is expected to be completed in Q3. However, we do expect that some of the milestones will be met earlier. So, part of the money should start coming in Q2, and the balance should come in Q3. As far as the rating agencies are concerned, I don't know what they will do, what they have to do but we have recently had a review of our ratings, and they have been affirmed at the same level. So, I don't think ratings are at a risk today. One minute Rajeev wants to add some.

Rajeev Agarwal: So, basically, on the rating agencies, so we had a review post last financial year results. So, rating agencies have taken the case to the rating committee, but they did raise some issue on the elevated working capital, but we have explained them that what are the reasons for this increase and how we are taking the steps and correcting it. So, based on that they were seem to be satisfied and that is how they have reaffirmed the rating. Both ICRA and other agencies who have been rating us they have all reaffirmed the rating at the current level.

Moderator: Thank you. Next question is from the line of Renu Baid from IIF L Securities. Please go ahead.

Renu Baid: Sir, I just have one question pending on the railway segment of the business. If you look at the backlog today we have close to Rs. 3700 - 3800 crores of order book and we are expecting to execute almost Rs. 3500 odd crore this year. So, coming back to the question in terms of growth visibility for the railway portfolio, could you help us to quantify, as in you did mention Rs. 1000 crores kind of orders coming through but how should we look at growth in this segment in the next two years. Do we see some bit of consolidation this business because of slowing order book and increasing competitive pressures?

Vimal Kejriwal: So, Renu there is definitely some consolidation happening in this business because there has been a change in the nature of business from, as I said earlier from RV NL and R ITES and all going back to the zonal railways, there was some consolidation. Also we were seeing some change in track by the government and right now they have started focusing on speed up gradations, then they went into safety, et cetera. So, there has been some delays in the offering also. Now, all those things are behind us and we have seen large number of vendors coming up. Just to give you some sort of numbers right now we have around Rs. 5000 crores of tenders, which we have quoted in the railways. Which are a waiting and opening, so if you take let's say strike rate of 20% that could give you Rs. 1000 crore, we have another Rs. 12,000 crores of tenders to be quoted in the next couple of I'll say a month or so. Okay, so the pipeline, if you add the two, we're talking about Rs. 17,000 crores of tenders to be decided or to be quoted now or in the next couple of months. So, we are pretty okay, also as I was mentioning earlier that we

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should be getting our first international order this month, hopefully we are L1 already and we are also looking at that opportunity outside where there are large number of tenders, most of which are not considered in the figures which I told you. Okay, railways right now it's under consolidation phase, I don't see a major growth happening this year in railways in terms of last year. But next year, back of the order whi

ch we will now get, we will definitely see a growth happening.

Renu Baid: Sure. And lastly, if you look at the Metro part of the portfolio, if you can help us in terms of the update on the various metro project that you are executing, and there were certain pending cost escalations in a couple of them. So, where are we in terms of realizing those cost escalations and by when should we expect overall margins when the Metro portfolio to be realized?

Vimal Kejriwal: So, we were doing seven Metro, seven projects. Two in Chennai, two in DMRC, two in Kochi, and one for RR TS, of that the first one in Kochi has already been commissioned. It actually it's been commercially commissioned also now. RRTS it should get completed anytime maybe a month or two or something, but the viaduct is already ready handed over to the other party to overlay the lines, et cetera. Chennai are going on very fast. One of them is in very advanced stage, it will take time but it's reasonably okay. Second one just started a few months back. So, DMRC one of the projects is going on very well, second one is stuck in approvals and maybe a part of it we may surrender also because the Supreme Court, the green committee has not yet cleared the full route, et cetera. But overall, we are pretty okay with what we are seeing in terms

of margins, et cetera in the metro sector . As far as claims and all are concerned. So, there are two parts to it. One is claims which arise because of various costs and other things and all design changes. Second one is on account of scope changes and all that. So, part of that are getting accounted and closed and we are getting payment of it . Part of it which are in the nature of claim, like let 's say idling claim , you remember Supreme Court saying that you can't work in NCR in November, December because the smog and all that . Those get into claims which gets settled at the end of the project. So, those claims will now get settled one by one. But the normal claims on account of change in scope, change in design, et cetera are an ongoing process where we keep on submitting and they keep on getting settled.

Moderator: Thank you. Next question is from the line of Priyanka Biswas from Nomura. Please go ahead.

Priyanka Biswas: My first question is, so you told that railways are already at double digit EBITDA margins, and civil is quite close to that as well. So, by implication, it means that the T&D margins which earlier used to be like 10% or somewhere higher than that seems to be in very low single digits. So, there seems to be a lot of legacy contracts here. So, what is the status about those and can you give us some type of idea that when are we expected to complete these legacies and let 's say when the T&D margins can go back to somewhere around 10 , 10.5 that they used to get?

Vimal Kejriwal: So, Priyanka your calculations are pretty okay. And a large part of the issues on the T &D margins has been on the commodity side, and also on account of SAE, because if you add all the three of them what we have international portfolio we have an India portfolio and we have a SAE portfolio. So , SAE has been losing money and which you are talking about it , international

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also has not been doing very well, because most of the contracts of international were fixed price. They are now slowly getting over. So , as I mentioned earlier by Q3 we will start seeing changes. In fact, if you look at our order intake for the year, large part has come from international T&D , which are at current prices, or maybe even higher than current prices. So, now that the execution of those are starting, we 'll start seeing an uptick in the T&D margins from Q3 onwards . We still have some legacy projects from power grid and if you remember, we had an old Essel project also, which was taken over

by Adani . So, some of those projects are at

fixed price. And the impact of that you can see in the margin. So, that's why our Q1 margins are low and Q2 also we 're not , though you are predicting an increase in the margins . So, probably by Q2 and if not part fully but the n at least the balance should probably get knocked off in Q3 , that's the way I look at it.

Priyanka Biswas: So, probably, let 's say in a 4Q or maybe 1Q FY24. So, would it be fair to say that T&D at least can again go back to double digits, so I 'm speaking of T&D individually only ?

Vimal Kejriwal: So, Priyanka , I already stuck my neck out and said that next year we should start getting back to double digit margin from the company as a whole . T&D , this quarter is 45% of my revenue. So, if T&D doesn 't reach double digit I cannot reach double digit . So, the assumption is that it will start reaching double digits or already close to double digit and backed by civil and railways. We should be , that was the basic assumption when we said we should hopefully reach double digit.

Priyanka Biswas: Okay. And sir one more thing, like I see that in this quarter the other expenses as a portion of the revenues are quite high like 10% plus. So, we hadn 't seen that sort of a higher expenses for quite some several quarters. So, what has actually led to this sudden sharp rise in other expenses , so I understand the .

Vimal Kejriwal: There are two items Priyanka there mainly one is the sharp increase in freight cost , so many of our projects in Africa , Saudi, et cetera we have seen rates going up by three times or four times.

So, the freight is one of the large elements why that has basically gone up , almost Rs. 44-45 crore is the impact of the freight going up . The second is that , this quarter we did not have anything Forex was sort of neutral. Normally what happens is that you have a Forex income and all that happening which neutralizes which is set up against other cost under the head of other expenses. So, Forex income this year is virtually zero or something like that nominal. So, because of that the other expenses are low.

Moderator: Ladies and gentlemen, we have the lines for the management reconnected . We move to the next participant. The next question is from the line of Rishabh Dugar from CD Equisearch . Please go ahead.

Rishabh Dugar: So, what sort of efforts are being undertaken by you to bring down your debtor days?

Vimal Kejriwal: Rajeev explained it, Rajeev you want to once again explain what we have setup to bring debtors down .

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Rajeev Agarwal: Yes, so basically, Rishabh as I explained earlier that there are few contracts where there is a large price variation, because last few years commodities have remained at elevated levels. So, that has entitled us to get a huge price variation in few contracts. And unfortunately, those funded by the multilateral that there is a clause in the contract that those price variations will be settled towards the end of the contract. So, those things will be settled towards the end of the contract when we finish. Some of them are closing in Q3 and Q4. So, we are likely to receive that money so that will help us bringing down the DSO days. Another important factor that you are aware that Afghan exposure we have about Rs. 250 odd crore net exposure in Afghan and due to the force majeure issues, we are not able to recover that money. But our dialogue with the funding agencies, World Bank and ADB are regularly going on, and in fact they are going to start the project maybe in Q3 or maybe in Q4 we don't know, we can't really give you the timeline, but they are very clear that these projects are very important and they want to finish these projects. So, once we restart those projects, so there is a visibility to recover the Afghan exposure also. So, that will help

help us to bring down the DSO days.

The third thing which Vimal also explained quite a few times is that, certain railway project which are EPC nature, which are very different from the BOQ type of projects, where you can only bill to the client and recover the money only on completion of certain milestone and those milestones are like quite big, it takes time to complete those milestone. So, once those milestones gets completed, so you are entitled to raise the billing and then realize the payment. So, one of the large projects and railway electrification that we have been doing is likely to get completed in Q3. So, that will also release a large amount of money. So, our expectation is that, between Q3 and Q4 a lot of these DSO days will come down because as we complete those projects, we will be able to recover the money.

Rishabh Dugar: Okay. What sort of projects you're more comfortable undertaking are these the T & D projects or the railway or civil projects?

Vimal Kejriwal: Rishabh it is not the business wise project it is actually individual tender wise, what are the payment terms, what are the conditions for payment, et cetera. So, even in civil and all that sometimes we get projects which are back ended or linked to large milestones, et cetera. So, it depends upon individual tender and project rather than I'll say, classifying it under each business, but generally they are saying that civil payment terms are better and cash flows are better if you execute the project well. Generally, and they are making a general statement.

Moderator: Thank you. Next question is from the line of Swarnim Maheshwari from Edelweiss. Please go ahead.

Swarnim Maheshwari: Yes, sir some sense on the total ordering opportunity at the moment that is being targeted?

Vimal Kejriwal: So, Swarnim right now, if you look at our numbers we have quoted around Rs. 27,000 crores of tenders, which are awaiting results. So, that's one part of it and our pipeline for the next two, three months is roughly around Rs. 80,000. So, between the two of them put together it's around Rs. 1,10,000 crores quoted and to be quoted.

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Swarnim Maheshwari: Got it. Sir, this used to be about Rs. 50 to 60,000 crores about a year back or so. So, I believe the big jump is actually coming from the civil is that a correct understanding?

Vimal Kejriwal: Not exactly. Civil, I will say roughly around Rs. 30,000, but a large part is transmission. Both one domestic and also international, especially on the MENA side. MENA is almost close to Rs. 20,000 crores right now out of this number.

Swarnim Maheshwari: Okay. And domestic?

Vimal Kejriwal: Domestic T & D the numbers are very big. If you include Leh Ladakh and all that then we are talking about Rs. 35,000 crores. So, that number is included in this because they are large number of tenders, which are stuck on the GIB issue, which the expectation that will get resolved either way very quickly. If there is a problem, then my cabling business will do well, if they agree to let transmission line then the transmission will do well.

Moderator: Thank you. I now hand the conference over to Mr. Kejriwal for closing comments.

Vimal Kejriwal: Thank you, everyone. For your continued interest. I can only add that, we have got a large order book, raw material prices and all are coming under control. We will definitely start seeing changes happening from Q3 onwards. Thank you so much.

Moderator: Thank you very much. On behalf of KEC International Limited that concludes this conference. Thank you for joining us, you may now disconnect your lines. Thank you.

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"KEC International Limited
Q2 FY '23 Earnings Conference Call "
November 08, 2022

MANAGEMENT : MR. VIMAL KEJRIWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – KEC INTERNATIONAL
LIMITED
MR. RAJEEV AGGARWAL – CHIEF FINANCIAL
OFFICER – KEC INTERNATIONAL LIMITED

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Moderator: Ladies and gentlemen. Good day, and welcome to the KEC International Limited Q2 FY '23 Results Conference Call. We have with us today from the management, Mr. Vimal Kejriwal, Managing Director and CEO and Mr. Rajeev Aggarwal, CFO. As a reminder, all participant line will be in the listen-only mode and there will be an opportunity for you to ask questions, after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone and I now hand the conference over to Mr. Vimal Kejriwal. Thank you, and over to you, Mr. Kejriwal.

Vimal Kejriwal: Thank you, Rutuja. Good morning to everyone. I welcome you all to the Q2 earnings call of KEC. Let me start with an update on the overall performance for the quarter and thereafter talk about each of the respective businesses and key strategic initiatives. We have achieved revenues of INR 4,064 crores for the quarter, with a strong consolidated growth of 13% and stand-alone growth of 11% vis-a-vis Q2 last year.

The growth was delivered by good performances across most of our businesses. The growth could have been higher, but for extended monsoon in certain parts of India. We have delivered an EBITDA margin of 6.2% at the stand-alone level and 4.4% at the consol level for the quarter. The margins continue to be impacted primarily due to elevated logistics costs (which are now coming down), execution of legacy projects with adverse commodity prices, and cost for completion of the last EPC project in SA E Brazil.

We have significantly reduced our commodity exposures in legacy projects to less than 5% of our order book. In Brazil, I'm pleased to share that we have largely completed the last EPC project last month and expect it to be commissioned within this quarter. With this, our order book in SAE of almost INR 1,100 crores does not have any EPC project and comprises of orders for supply of towers, hardware and poles.

We are confident of a revival in the performance of SAE from Q4 onwards. Furthermore, with a strong order book in North America, the Mexico factory is well loaded for H2. Considering the performance of Brazil, we have adopted a prudent approach and made a provision for impairment of INR 76 crores during the quarter in the stand-alone financials. However, this has no impact on the consolidated financials.

Excluding the impact of exceptional items, we have delivered a PBT margin of 3.1% and PAT margin of 2.7% on a standalone level. Our consol PBT margins are at 0.7% and PAT margins at

1.4%. We continue to have good traction in orders. Our YTD order intake stands at INR 10,465 crores, with a strong growth of 25%. The largest contributor in the order intake has been our T&D, Civil and railway businesses followed by cables and oil and gas. Most of these orders have been secured at elevated / current commodity costs. This gives us a confidence of an improvement in the margin trajectory going ahead as these orders get into execution. The traction in order intake has expanded our order book to an all-time high of INR 27,569 crores including the orders secured in Q3 to date. Additionally, we have a large L1 position of KEC International Limited
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over INR 6,500 crores diversified across businesses. With this, our order book stands at a record level of INR 34,000 crores. Our tenders under evaluation and in pipeline stand at over INR 1,10,000 crores. Our debt level including acceptances has started improving and has reached INR 5,919 crores as on 30th September, a reduction of more than INR 150 crores against Q1 FY '23.

We expect the improvement in working capital in the second half of the financial year and are committed to reduce the debt levels going forward. Our interest cost stands at 3.1% for the

quarter as a percentage of sales. The interest cost is slightly higher owing to the steep increase in the interest rates globally, especially in SA Brazil and the elevated debt levels.

Now coming to the specific businesses. Our core T&D business has delivered a growth for the quarter despite the various headwinds. The growth has been delivered on the back of strong execution, especially in the international market. The T & D business has significantly expanded its order book with strong order inflows of INR 3,775 crores across India, Middle East, Africa and the Americas. In India, the business has secured its second prestigious order to construct our 400 kV digital substation for PGCIL in addition to the first 765 kV digital substation in India secured last quarter. Moreover, the business has bagged two more large transmission orders from PGCIL. The business has also diversified its clientele with an order to construct a large GIS substation from a reputed power-generating company in India. The business has also secured multiple orders in the international markets, especially in the Middle East. We have successfully leveraged our Dubai facilities to significantly enhance business in the Middle East. Our order book and L1 positions in the Middle East has now expanded to over INR 4,000 crores, a growth of ~2 times vis-a-vis last year.

The overall tender pipeline in T&D continues to be strong both in domestic and international markets. Additionally, the business has a large L1 pipeline of over INR 3,000 crores, contributed largely by international orders. Our railway business has achieved a revenue of over INR 850 crores for the quarter. I'm pleased to share that the business has secured YTD order inflows of ~INR 2,500 crores, a healthy growth of almost two times vis-a-vis last year. These include orders in the conventional OHE and composite projects as well as orders in the new areas of speed upgradation and technologically enabled areas of metros.

During the quarter, the business has also successfully expanded its presence with two prestigious orders in the emerging areas of TCAS (Train Collision Avoidance System) under 'Kavach', which aims to enhance safety of the Indian railways with world-class technology. We are witnessing an improved visibility of tendering activity across segments and are confident of securing a larger share of orders in the coming months. The railway tender pipeline continues to remain healthy across conventional, technologically enabled emerging areas as well as international opportunities with sustained focus on execution, strong tender pipeline and an order book plus L1 of over INR 7,500 crores, we are certain that railways will contribute significantly to our growth going forward.

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Our Civil business continues to be on a high-growth trajectory as it clocked revenues of INR 740 crores for the quarter with an impressive growth of 65% vis-a-vis Q2 last year. The honorable Prime Minister Shri. Modi has inaugurated the prestigious Phase I extension of Kochi Metro KEC's first metro rail project wherein the viaduct and stations were delivered by our Civil business and the ballast tracks were laid by our railway business. This project is set to make local travel more convenient and ease lives of thousands of commuters. We are also working on Phase 2 of the Kochi Metro, which shall be completed in the near future.

The Civil business continues to deliver consistently on the order intake front and has secured YTD orders of over INR 3,000 crores, a strong growth of 25% vis-a-vis last year. During the year, the business has strengthened its presence with significant orders in the water pipelines,

public spaces, industrial and data center segments.

The business is now executing eight prestigious projects in the water pipeline segment aggregating to over

INR 2,500 crores on the Jal Jeevan Mission of the government. The uptick in order intake has significantly enhanced the order book L1 to INR 9,500 crores comprising of turnkey EPC projects across segments of market clients. With an uptick in government spending across segments and a resurgence in the private capex in the industrial and realty sector, we are confident that this business will continue to be a key growth driver for us going forward.

We are pleased that our foray into data centers is doing well, and we recently secured our third order in the segment. In oil and gas pipelines, the business has demonstrated very good performance post acquisition of KEC per infrastructure last year in October 21. The business delivered revenue of INR 81 crores and secured new orders of INR 280 crores for composite works of an oil terminal station and laying off cross-country pipeline during the quarter. The business has a strong order book plus L1 of over INR 900 crores comprising government and private players. We are confident of significantly scaling up the business, both in India as well as overseas.

Our cable business actual revenues of INR 390 crores and grew by 9% vis-a-vis Q2 last year. I'm happy to share that the business has achieved its highest ever revenues and profitability in H1. The business is also progressing well with the development of five new products, of which three products have been successfully commercialized.

Coming on to strategic initiatives. We remain committed on delivering profitable growth through focused diversification, expanding international reach in our non-T&D business and strengthening the balance sheet through sustained cash flow generation. Additionally, we are making good progress in our twofold transformational program on world-class engineering and civil execution excellence in collaboration with the global consultants. The objective of this program is to expand our business horizons, improve engineering-led wins and enhanced profitability. The key deliverables of the program, including specializing new engineering solutions or optimizing cost and resource consumption, reimagining processes to improve productivity and implementing digital solutions to crash the project cycle time. We have already

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started witnessing benefits of this program wherein we have expanded our footprint into diverse technology-intensive and enduring-led EPC projects in railways and civil.

We continue to deploy several mechanization, automation and digitalization initiatives across projects which has significantly helped to improve productivity and quality of execution. In ESG, we continue to take several measures to transform our operations in a sustainable manner. One of the key measures is the installation of induction furnaces and usage of natural and LPG gas at our transmission power plants in India and Dubai to lower carbon emissions, resulting in a saving of 24,000 liters of fossil fuel every month.

I'm also delighted to share that KEC has been recognized as one of the India's best managed companies by Deloitte for the second time in a row. The unique distinction is a testament of our strong focus on sustainability and governance. Overall, we are pleased with our consistent growth in revenues, traction in order intake and improving working capital scenario despite a challenging environment.

We have significantly reduced our exposure to legacy projects and have commenced execution of projects which are secured based on current poverty prices and logistics costs. This augurs well for us and gives us confidence of a sequential improvement in the margins in the quarters to come. On a concluding note, I would like to convey that the outlook remains robust across most of our businesses. Based on our traction in order intake, record order book plus L1 of over INR 34,00

0 crores and a strong tender pipeline, we are now increasing our revenue growth targets from the earlier 15% to 20% for the whole year. Thank you very much. I'm now open to your questions.

Moderator: The first question is from the line of Bhoomika Nair from Dam Capital.

Bhoomika Nair: Sir, just if you can give an update on how the working capital is panning out. I think we were looking at some easing of the working capital and release of funds from Afghanistan, and also other areas of Railways. If you can just give an update on what is the status of this state?

Vimal Kejriwal: So Bhoomika, we are broadly in line with what we were talking about saying there will be improvement starting from Q3, and we should hopefully see a bump up around significant improvement happening in Q4. So I think that's in line. We have reduced around INR 150 crores.

We would have loved to reduce more, but I think that's where we are.

Afghanistan is somewhere where we have still not received cash, but we are in active dialogue

with all the three multilaterals. We do expect that before the end of the year, I'll say at least 30% to 40% of the outstandings should get realized either from the multilaterals or from against our ECGC claims. So, I think one if we will definitely see some light happening in the near future. There's also a lot of pressure on restarting some of these projects because some of them are of strategic importance to World Bank as well as some of the countries participating. So we'll keep our fingers crossed. The Embassy has recently opened and Visa s are now getti ng issued. So I think in Q4, we will definitely see a positive movement in Afghanistan.

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Bhoomika Nair: So the other aspect is on order intake, right? In the first half, we've seen a fairly strong order intake of INR 10,000 crores, you probably touch close to INR 20,000 crores in the current year.

How is the outlook across segments looking at maintaining this momentum in the next few years? If you can just talk about the bid pipeline across T&D, railway, civil, the three key segments for us?

Vimal Kejriwal: So our pipeline in Civil is obviously very strong, okay, across residential, and now we are seeing industrial and public spaces. Metro is slightly weak. We have not seen major announcements of new metro. So whatever is coming is from the existing projects of Chennai and Delhi and Mumbai. But not all new. But overall, there's a huge pipeline of tenders in Civil. As far as T&D is concerned, international pipeline is very strong, especially from the Middle East, especially from Middle East and also, I see from Far East, we are seeing some tenders coming out in Thailand, Indonesia, sorry, Malaysia, etc. So that is going on. Africa is also slightly coming up now. Last quarter, we had said that were very disappointing. But I think off -late we started seeing some t enders coming out, particularly in East Africa, I will say.

India, I think T&D tenders are coming out consistently, especially from Power Grid and also the TBCB tenders. There has been some slowdown in award because of the GI B issue is still not resolved. I think there's a hearing in the end of November. So once that gets resolved all the tenders which are stuck in Rajasthan, should start coming out. Gujarat is already out and some tenders in Maharashtra and Karnataka should be awarded now.

So I think India, I'll say we have a decent tender of pipeline, but we are lucky that we have already won four and, maybe I think five or six projects already in this year, okay. And we are L1 in couple of them more. So I think for us, in bo th India and international, will do very well. And the last part is SAE, where we have a strong order book as well as the large L1s in SAE. So I think we will also see a good traction on the SAE order intake in the next half.

Bhoomika Nair: Sir, is

it poss ible to quantify bid pipeline within T&D, what is it looking like both in India and international?

Vimal Kejriwal: I don't have the numbers right now. Maybe you can talk to Abhishek later on, but it should be around INR 25 ,000 crores - INR 30 ,000 crores, okay.

Bhoomika Nair: Sure. Sir, lastly on SAE, I know this quarter, we'll complete the last project. So what will be the level of loss that it will come off to versus the INR 60 crores, INR 70 crores that we've been making on a quarterly basis at EBITDA?

Vimal Kejriwal: Unfortunately, I don't have the numbers. If we knew what we are losing would have provided for that and closed accounts. We will commission the project this quarter, I think by November or December. So, by that time, all our various claims and all that commercial issues which are going on with the client, that should also get completed. Brazil the advantage is that normally, they also complete all the commercial pieces.

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So this quarter, Bhoomika, we will complete the entire EPC, including t he commercials and all that. So whatever is going to happen, I don't know what will happen, that those will get accounted for in this quarter. But I do presume that there will be reasonably lower than what has come in Q1 and Q2. I don't expect losses or an ything up to that order. There will be some numbers depending upon how the claims pan out, okay, but we do expect that they'll be reasonably lower than what has hit us in Q1 and Q2.

Moderator: Thank you. The next question is from the line of Parikshit Kan dpal from HDFC Securities.

Parikshit Kandpal: So my question is, if I see the business right now, so we are having the headwinds of high interest rates, which has started getting reflected on a higher debt level, value -added interest cost of almost INR 12 7 crores this quarter. And then second thing is, while we see some improvement happening from the SAE, and we expect to improve our margins, our standalone margins have actually maybe at all -time lows now. Just wanted to understand from you, what's happeni ng on

the standalone business, why has the margins come off during this quarter? And then seeing some more pressure headwinds standalone business given that we are out of the commodity factor where the price was corrected, but our margins are now compressed?

Vimal Kejriwal: Parikshit, standalone, I think there are a couple of reasons for standalone being where they are.

So one is while the prices have come off, the impact of that will start coming in now. We have committed costs on raw materials, bookings have been done and we have legacy projects. So that is still continuing. What has also happened and why I'll say this quarter, it got a little bit aggressive in terms of numbers and all that is because the prices started coming down, we also fast track the execution of some of our projects, which normally we would have kept, do it easily. What happened was that there are projects where we could have waited till Q4 and all that for execution and gradually spread over the losses. But since steel came down from INR 72,000 to INR 56,000 and INR 55,000, we did decide that it's better to cut our losses and execute those projects.

Similarly on international front also, when we were seeing that logistic costs etcetera, were not coming down, since it is not coming down or it had come down to a certain level. We did, I'll say fast track some of our legacy and loss-making projects which we had earlier thought that we will spread it over maybe H2 or maybe going over Q1. Okay. So that's one thing which has sort of, you know, put a little bit of extra pressure on the standalone.

Secondly, I think in Q2 there were excessive rainfall which sort of, I'll say, push down our revenues for the quarter in India, especially. Had that not happened, we would have probably done 11% growth.

Standalone is not enough. We could have done easily 20%. So because of that, there was some leverage which has come and hit us both on interest and also on opex cost. Third is that we have now got a large order intake at current and maybe sometimes at a better pricing also. So all those orders are now under design and execution and we will start revenues accruing from that maybe at Q3 or maybe at least in Q4.

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The fourth piece what I would like to add is that you have seen results of many of the cable and conductor companies and all that. Now with metal prices as far as coming down, all of them are under tremendous pressure to supply. So we are also running in a supply constraint in some of the places where the already prices have come down. But we are not actually able to supply the material because the factories of all the conductor manufacturers are full. So I think these are a few reasons. And I think the last reason I would like to say is you will also start seeing the numbers of standalone versus the consol being different now because we now have our Dubai factory. We also have our Dubai EPC LLC where all our UAE and other jobs are now getting executed under that LLC which will come under the consol rather than standalone. So you may going forward also see some changes in the consol versus standalone, especially on the T&D sector. I hope I've answered all your questions Parikshit.

Parikshit Kandpal: Yes. So second question is around the profitability. So between the sale and the standalone, so how do you see the margins coming back to that high single digits? Why do you expect your own sales given the current order book and the pace of commodity prices and the factors we mentioned just now, so how do we revert back to that with our high-quality technology service? So we can get some sense and color on that?

Vimal Kejriwal: So to me, Parikshit, Q4, we should start seeing at least a breakeven in SAE. Q3, I'm not sure. I don't want to commit or stick my neck out. But Q4, definitely we should start seeing a breakeven in SAE. And by Q4, I'll say largely, except maybe one order or maybe two orders where we have an issue where we are not able to commence execution. Most of our legacy projects should get completed in terms of material supply. There could be closure issue and all that. So from I think Q1 onwards we should start seeing margins heading towards the high single digit.

Parikshit Kandpal: And what about standalone, sir?

Vimal Kejriwal: I think the problem will continue to be on standalone also because as I said some of the orders which we have on TBCB and all that are in standalone. So we will have to wait and see how it pans out. But maybe you may have Q1 could be again still single high digit even for standalone. Maybe Q2 onwards we may see some changes.

Parikshit Kandpal: Just lastly sir, if you can give us the segmental breakup of debt between T&D and non-T&D. So how much should be the distribution there?

Vimal Kejriwal: The revenue was 49% or you are looking at what distribution?

Parikshit Kandpal: Debt, debt numbers between the T&D and all that.

Vimal Kejriwal: Debt, I don't think we have and I don't think we give it in that fashion but I don't even have it right now. Maybe you can talk to Abhishek later on, maybe get a better idea.

Moderator: Thank you. The next question is from the line of Ashish Shah from Centrum Broking.

Ashish Shah: So first question is on the Afghanistan execution. So you did mention that there are some

time that you had got those projects, a lot of things have happened in between. So is there any talk of renegotiating the value of the order so that your margins are pr

otected? Because then we

don't want that SAE kind of a situation again. So I'm just getting your thoughts on that.

Vimal Kejriwal: Ashish, there is a clear, I will not use the word renegotiation, but there are clear discussions happening on cost of completion and the cost of maintenance. So let me put it this way, we already have around, I don't have the number, but 30, 40 local employees who are there at site, maintaining the stores and maintaining the work which has been done. So hopefully there is no deterioration in the work which has been done. So all these costs which we are incurring, and also additional cost with the influx of time are under discussion with the client. So definitely when we restart, we will definitely have better numbers available.

And I think even if, let me go to the extreme, even if there's nothing happening there in terms of cost negotiation and all that, most of these projects are high double digit numbers and all that, 15, 20%, 25% and all that. So we don't see, in fact, as and when we start, in fact, I should have added that when I answered the previous question saying why your standalone numbers are lower as compared to last quarter, because last time we had Afghanistan in the execution, where the margins were higher. That was another reason.

The other piece is that, Ashish, most of these projects, material has been supplied, I think, probably 90%, 95%. So all the costs which are now to be incurred are on the local execution cost, which in our view, considering the local scenario prevailing with the security having significantly improved vis-a-vis the earlier era. I will not say it is very good, but it is vis-a-vis the earlier era. We do expect that the execution cost may actually turn out to be beneficial rather than adverse. But we are very clear that there will be a settlement arrived at on the cost incurred to be incurred and all that before the projects restart. And that should take care of all our concerns.

Ashish Shah: So if I may ask, what is the outstanding backlog there in Afghanistan now, at this point?

Vimal Kejriwal: I think it's around INR 600 crores or INR 500 crores. Roughly around INR 500 crores. I don't know the exact number, but it's in that ballpark. INR 500 crores to INR 600 crores.

Ashish Shah: That's fine. So second question, and I think the last one, is on the interest cost. So traditionally, we have been guiding interest as a certain percentage of the revenue. Obviously, 2% and all seems a little difficult now. But for this year, what would be your guidance for the interest cost?

Would we expect the run rate to increase even further because the rates are still increasing or this is the stable level that you will look out?

Vimal Kejriwal: To me, Ashish, I'll probably stick my neck out here and say that we expect it to come down, as a percentage of revenue, because what is also going to happen is that we just said that we'll grow at 20% to look at our numbers for Q3 and Q4. If we are growing at 20%, our revenues will grow also significantly. So as a percentage of revenues, we expect them to come down by maybe by 20 basis points or something, maybe 2.8 or 2.9 or something like that. We are targeting 2.75, but

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I don't know where we'll reach. But I think 2.8 or something should be a safe number to assume for the year as a whole.

Moderator: Thank you. The next question is from the line of Sandip Sabharwal from Asksandipsabharwal.com.

Sandip Sabharwal: So I've been tracking the company, as you know, for many, many years. So I think this is the second cycle in which we are seeing that because of interest cost, the profit pool for the shareholders actually has come down sharply and in a rising interest rate environment given the kind of debt you have, although you are guiding for a lower interest cost to revenue, that might become tough

her and tougher to achieve. So are there any levers for you to actually be generating free cash flow and reducing this debt? Because there was one cycle when debt went up and then these guys worked very hard, it came down and then again now it's going up.

Vimal Kejriwal: Sandeep, a very valid question and thank you for your continued interest. So there are a few things which are going to happen. One is Brazil, the interest rates went up significantly. We do expect that with a stable environment, which is coming in there. And we have seen the commodity other prices stabilizing in Brazil and other costs also.

We think that the interest rates will start coming down there. We are also refinancing some of our debt in Brazil at a lower cost through some of the development banks. So that's one part of it. The second part of it is that with a lot of volatility in the supply chain, our inventories have gone up by almost INR 300 crores over March okay? And we do expect that with all the suppliers, especially of steel and other metals for stabilizing, we will start getting back to our normal inventory. So maybe INR 200 crores, INR 300 crores of cash would get released from our inventories.

Third piece is that last time we had discussed about GST, where on all our railway and civil contracts, now we are able to charge 18% GST, which is also the input GST except for cement. So we have started seeing a release of our GST locked up in our refund already I think INR 40 crores, INR 50 crores has come back to us, and we expect another INR 200 crores or INR 250 crores number to get released by the end of March.

So overall, if you look at all these things, maybe INR 600 crores, INR 700 crores of numbers from the debt should come down, even if we continue to be efficient on our DSO and AR, okay? We are working on the debt, on the receivables, etcetera. So I do presume that some numbers will come out. So when I said that interest costs will come down, there were, I'll say, two or three different factors to it. One was that we expect the overall borrowings to come down. Second was that we expect our revenues to go up. And third is we do expect that we should be able to collect a lot of money, especially on the railways and some of the transmission projects which are now nearing completion and which have a higher retention value. So we should become more efficient in our debtors.

Sandip Sabharwal: Sure, that will be great. The second part was that although diversification of the revenue, like you've done it very well like you're calling railways, civil and other segments. So from a pure KEC International Limited
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transmission company, you're a very diversified in engineering company now. But has that impacted in some way the entire bidding process of projects, your ability to actually predict what kind of margins you will make out of them and that has actually hurt the near-term performance? Or do you think that you are able to manage that?

Vimal Kejriwal: I don't see any concern of that. In fact, to me, that has been actually on the other side, where it has made us much more predictable. Sandip the problem what we have been having is what has happened on the commodity prices or basically on COVID account, okay? You know the commodity has hit the roof and all that. And because of COVID during that point of time to protect revenues, we had taken a few orders in, I'll say, in the period of around August, September, August to December 2020, when our tender pipelines were very poor -- and those orders got delayed. So that is what has hit the numbers and all that. I don't see any structural change. In fact, right now, the margins on my non-T&D business are significantly higher than T&D because T&Ds been hit by fixed price contracts, which are now getting over.

Moderator: The next question is from the line of Priyankar Biswas for

om Nomura.

Priyankar Biswas: So my first question to you is, like last time, if you can give us some colour on the non-T&D margins. So if I recall, last time you had probably highlighted that in railways and civil probably you are already closer to 10% level. So what is the status now? And as far as collections are concerned, so this railway, how much is owed to us right now? And when do we see those money starting flowing in, like possibly some time lines?

Vimal Kejriwal: So Priyankar, our margins continue in the same manner, okay? We are still not exactly double digit, but we are pretty close to that in both railways and civil. As far as railways is concerned, I don't have the exact number of AR and all that. But I can tell you one thing that we have collected either equal to or more than our revenue for the half year. So the AR numbers in terms of overall has come down in railways, not to the extent we have wanted it to come down, but it has come down. And some of the money I think are stuck in are in a couple of projects, which were on EPC mode and all that. And I think those projects will get over in this quarter. So hopefully, by Q4, all the money on these two or three projects which are large projects will get released. So Q4 should see a significant improvement in the railway AR and DSO performance.

Priyankar Biswas: Since you have given increased revenue guidance. So similarly, your order inflows have been quite strong. So what is the expectation for order inflows now because it has been quite trending also in FY '23 what would you suggest would be the order inflow growth that you would expect?

Vimal Kejriwal: So Priyankar, we have been looking around Rs. 18,000 to 20,000 crores. Let's see where can we reach finally. We are already at INR 10,000 and odd. We have 6,500 of L1. Hopefully, these L1 get converted, then we should be at 17,000 in any case, plus we have bid for a lot more projects. So I'll say in the band of 18,000 to 20,000 is what we are targeting for.

Priyankar Biswas: I have one more thing that I observed here is that the rise in debt for both the consol and the standalone seems to be almost similar, almost like almost to a net debt increase of almost INR

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funding the SAE losses to avoid interest payments out there or some sort of mechanism like that being done?

Vimal Kejriwal: I think I'll ask Rajeev to touch base with you later on to understand it exactly. There will obviously be some borrowing at the standalone level into -- and funded by way of equity. We've hardly given any loans to the subsidiaries. Whatever has been given has been by way of equity. But we do expect that the loans in the subsidiary will now start going up because the balance sheets will now start improving. So then they should be able to borrow on their own and there will be no need for us to raise money in the standalone and fund them. But obviously, the standalone has got a better balance sheet. So the cost of raising funds in the standalone are obviously better. So if there is a mechanism, we will see how to best optimize the interest costs. But right now, we are not giving loans to them, no.

Priyanka Biswas: So in equity infusion. So in that sense that corresponding rise in debt in standalone could probably be due to equity intrusions into the would that be the right way to see.

Vimal Kejriwal: That is the right way of looking at it, and that is also the reason why we had taken an impairment because we had given the equity for the equity investments in the companies have gone up, okay?

Priyanka Biswas: And sir, the last question from my side, like at your absolute borrowing level, let's say, X of SAE, so what is the rate of interest that you are getting on the debt, I mean, excluding SAE

? And

how would it compare let say, similarly last year. So I just want to understand the rate of increase of interest on the core business?

Vimal Kejriwal: I think it's around 7%, okay?

Rajeev Aggarwal : From last year to 200 basis points.

Vimal Kejriwal: From last year to 200 basis points Rajiv is saying, from last year, okay?

Priyanka Biswas: Up 200 bps effectively.

Rajeev Aggarwal : Whatever is the increase in the interest cost this year, roughly about INR 100 crore interest has precisely INR 90 crores 50% on account of interest rate rise and 50% is on account of the additional volume of borrowing that has been raised during this period. So that at 200 basis point interest rates have risen and that is across the board. If you look at the way the RBI has increased their repo rate and all that, so that is exactly reflecting into the borrowing because most of our borrowings are short term in nature, they are for working capital purposes. So it translates immediately into your borrowing numbers.

Moderator: The next question is from the line of Amish Kanani from JM Financial Services.

Amish Kanani: Sir, I just wanted to understand with less than 5% of our order book, the slow moving and low margins. Can we assume that the balance order book is more like high single digit or maybe

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EBITDA margin between 8% to 10%. And is it possible to give us the average execution cycle across what is of the order book, which is outstanding at the moment?

Vimal Kejriwal: I mean I'm not very clear on your first part, but let me first answer the second part. Our average order book would range from 12 months to 18 months and some of them are 20, but civil would have longer, especially the water pipelines and the metro projects and all that. But average T&D is now slowly coming down to between 12 to 18 months.

Most of the T&D projects are actually now 15 months, okay? Civil, industrial would be probably be less than 12 months. Residential would extend because it's normally large, large townships, etcetera. So they'll start from 12 to 24 months. I say average, you can take around 18 months, on the ballpark? And what was the first part? I think voice is not clear.

Amish Kanani: Sir, barring the 5% order book which you mentioned, slow-moving and you know and you also mentioned that Brazil there is no EPC, it's all no products or tower business. Can we assume that now our outstanding order book as we execute will be more like 8% to 10% EBITDA margin, sir?

Vimal Kejriwal: 100% Yes. Absolutely.

Amish Kanani: And sir, we have recently seen the headline of Brazil changing, there was outcome of the election. The question is, so the losses that we have made, are we taking it as a part of normal business or we are going to outline them, saying that we have incurred a loss which we may go and say that there are some claims that they need to give. Given that power is very, very critical, we have seen always, power utilities are always given some special treatment. If you stop order,

the politicians also get affected. In the context, are we going back to them and saying that you need to compensate us or else you will not go again? Something like that?

Vimal Kejriwal: So Amish, what has happened is that as far as the government is concerned, we don't deal with government directly. We are contractors to the developers there. We have gone back to our client and whenever, whatever was possible, except for the last order which we are now -- right now completing, all the orders have been commercially negotiated and closed. Part of the losses have been reimbursed, part has not been reimbursed. Because unfortunately Brazil did not declare COVID as a force majeure. So because of which your legal recourse was very -very poor because your clients also did not get a legal recourse. So which is where you got caught into

what the

President said that it is a flu and a sneeze and all that. So we got caught very badly in that. I don't think we have any way of recouping that. But what we have been discussing with the local governments and the Brazilian Authorities is how do we bring the business back on track and all that. And so I think there are some talks happening and I think we expect that there will be some benefits which will be passed on in terms of sales tax, etcetera. to the businesses. But that would be for the future business. It will not be on the past. Whatever has been accounted will be, has been now accounted and will be closed. We do not see any reports from the government or anyone on the past losses.

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Moderator: The next question is from the line of Vivek Ramakrishnan from the DSP Mutual Fund.

Vivek Ramakrishnan: So I'm just trying to understand, to further nuance the working capital cycle, you said that there were certain one-offs which were due to supply chain constraints and certain one-offs which were because of the way, let's say, the Railway order was tendered and that extended the working capital cycle. Now going forward, given that we are approaching some kind of normalcy in the world, do you expect these one-offs to come out and the INR 600 crores that you are guiding towards in terms of reduction in debt. And the second question is, given the fact that you have seen this, how would you look at working capital cycle and the interest cost going forward in terms of the future contracts? Would it be more short-tail in nature or would it still have any contracts which are long-tail like we have right now? Thank you, sir.

Rajeev Aggarwal: Basically, there are many reasons for the increase in the working capital over the last one, 1.5 years. So obviously if you look at the broader reasons, one is Railways, there is a change in the structure of some of the projects. They were EPC projects which required us to complete the milestones or achieve the milestones before we could have built. As against the BOQ order that we were earlier getting.

So on the BOQ order, generally when you supply the material, you get paid immediately on that. But as against that, in the EPC project, because these are design and build projects, so you achieve a certain milestone. For example, 50 kilometers of the overhead electrification you have completed, only then you can bill. So those type of orders actually require certain additional working capital, and that is where the working capital in the Railway business increase.

A few other reasons, like GST, I mentioned in the previous call also the GST in civil and Railway business which is a large business and they have grown very well over the last two, three years. They were having an inverted duty structure wherein our entire input was coming at 18% GST whereas the output GST was 12%. So that led to a huge accumulation of close to about INR 400 crores, INR 500 crores in the GST account.

Luckily, the good sense prevailed and the GST has been reversed and increased to 18% for these Railway and civil projects. So now our accumulation has stopped and now we are able to recoup some of the GST balances. So now the GST balances have started going down. So already let's say last two, three months since the new rates have been implemented, we have reduced close to about INR 50 crores against our accumulation. And our expectation is that by year end, we should be able to reduce about INR 200 crores to INR 300 crores on the GST account.

The third piece was, as Vimal mentioned just a while ago, that because of the lot of supply chain bottlenecks which we faced during the COVID period time and the price fluctuation which was happening, so we accumulated some of the inventories at site because our working site should not get impacted with the non-availability of the material.

So that also led to some increase in

the inventory levels, which is about INR 200 crores, INR 300 crores. That should normalize in the remaining H2 level. We expect another INR 200 crores, INR 300 crores, which should go down.

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Fourth item is Afghanistan, which, again, Vimal has guided, and we are in active dialogue with the multilateral funding agencies. And we do expect that there will be some reduction. My sense is about INR 200 crores or INR 400 crores, we should be able to collect by Q4. It could be depending on whatever discussions are going on and they have accepted our position and they are in the process of settling. So we are quite confident that some reduction will happen at least INR 150 crores, INR 200 crores should happen from Afghanistan also.

So there are various actually items on which we are currently working, and on an overall basis we are quite hopeful that we should be able to reduce the overall debt level from the current level by at least INR 500 crores to INR 700 crores. So that should happen and then remaining normalization should happen in the next financial year. So my sense is that we should by next financial year, FY '23, FY '24, we should come back to 100 days or 110 days of NWC which used to be there about two years back. So that is how we are working very -very in a focused manner to reduce our borrowings on debt. And debt should be the normalized working capital is 100, 110 days of NWC.

Moderator: Thank you. The next question is from the line of Jayesh Shah from OHM Portfolio Equity Research.

Jayesh Shah: Kejriwalji, first of all big congratulations for the big transition that we have seen in KEC from a T&D company to a powerhouse of execution and projects across Rail and adding other engines of growth in the domestic business. While this is very impressive and I think this alone leads the case for re-rating, my worry is more on the international business and when you look at the big picture, how do you look at controlling the risks on the international business? For instance, we have seen the SAE example for the last two times, so based on this experience write-offs, what are the lessons that we learn? How do we control the risks here and the amount of losses and working capital?

And especially given the geopolitical situation where we don't know about country, currency risks, are we better off focusing more in India? So my question is, is there any informal cap that you would put on the order book business? And over time, isn't it possible to grow the domestic business much more than focus on international business. And lastly, I would say that if you listen to all the calls, the focus from all the analysts and investors is more on controlling working capital and debt rather than growth for growth's sake. So I think these are the large big picture questions I have concerning your strategy vision that I wanted to ask and get your view. Thank you.

Vimal Kejriwal: Jayesh bhai, first of all, thank you very much for your compliments. And secondly, it looks like you were sitting in my board meeting because these were the exact discussions which we were having in our board yesterday saying, should we control this? Should we do that? We are seriously looking at all that has happened. SAE to me is like a bit of an aberration because we really got hit by like your Parkinson's or whatever has to go wrong went wrong in that country for whatever reason. We don't have any excuses and all that. I can only say that it just deserves an apology that we were not able to control the losses.

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But let me tell you another thing, Jayesh bhai is that we are running almost 290 projects. And at any given point of time, five, six, seven, eight projects will always, or maybe more than that, can always go wrong

. Brazil, we learned our lesson saying we have analyzed what all have gone wrong and what you need to do to take care of such things going forward, not just in Brazil, overall.

Your point on international is something which keeps on cropping up again -and-again. We have an international I think order book of close to maybe INR 5,000 crores or something right now on the EPC side between basically in India. And generally if you look at our history except for the last two COVID years, international has always made more money than India, always. I repeat that. And we do expect that if we put in our proper checks and balances, we will be able to go back to that point of time.

On the other hand, if you look at India, basically Railway and civil is right now only India. T&D if you look at it, probably I think maybe 30%, 40% is India, rest of that is international. We always keep on sort of debating, weighing, looking at it saying that should we expand here, should we not expand. We have a lot of risk metrics, which we look at when we go to a new country and look at how is the credit rating of that country, what is the exchange control there, what has been the performance, what is the IMF rating for that country, what is the ECGC rating for that country, all that work is done.

So typically if you look at it, Brazil was more of an execution issue, I'll say, wrong tendering,

wrong cost taken somewhere. But otherwise we ensure that we have multilateral funding. Even in Brazil, in spite of all the losses, we got paid all the money from the clients and all that. So the major issue is political stability, currency issue, legal system. So all that is looked into account and the way execution can be done. But your points are well taken. And we are seriously debating on some of those points which you have raised.

Jayesh Shah: Yes, I think, you guys understand the business very well. We take an outsider view and a very short-term view. The only thought I would leave with you is that international business for KEC is supposed to have at least one and a half times the margins of the domestic business, given the political and the currency risk. So, I would actually look at it as a filter rather than just be happy about international business having higher margins than domestic. And of course, happy, if you can control the working capital and receivables, then that's a big, big plus from a risk management perspective. But I'm sure since you are debating, you would find appropriate solutions here.

Vimal Kejriwal: I'm happy you mentioned 1.5 times. My international head is on the call, and I hope he takes the note.

Jayesh Shah: Yes, I'm happy to pester him more if you need.

Moderator: Thank you. The next question is from the line of Bharat Sheth from Quest Investment Advisors.

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Bharat Sheth: Sir, just to get some flavor from say, two, three years perspective, So if you can bifurcate our T&D business, international and domestic as well as other business, railway and civil as well as cable. So how in all business, we see the visibility for next three, four years pipeline in T&D, you gave INR 25,000 crores of pipeline, but between, say, domestic and international. And last couple of years in domestic T&D were really going down. So now which -- where the visibility looks to be a little better. So how do we see this thing playing out and -- then the overall project cycle of all these different verticals, how many months really, like T&D, you said is a 16, 12 to 18 months, so different -- and working capital environment in all these verticals?

Vimal Kejriwal: Bharat bhai, lot of questions. So let me start with T&D. -- sorry, cable is the easier one. Cable, our share is 4% to 5%. So cables market can grow depending upon our capacity to manufacture. Right now, we are probably operating at 70%

, 60%, 70%. We are trying to improve the capacity utilization. And we also put in some money moment. So cables will definitely grow by 10%, 15%, as I said, constrained by our manufacturing capabilities. And it will go, it is doing well. We are happy with the performance. The ROCE is pretty high there. Although the EBITDA is not very great but we are doing well. As far as T&D is concerned, I'll tell you the joker in the pack in T&D is your green hydrogen.

If you look at what our honorable prime minister is talking about, 5 million tons and all that, and even if you achieve 50%, 60% of that by 2030, we are talking about some 300 gigawatts of renewable capacity to be added in the next six, seven years. That's the requirement for meeting the requirement of the target of the green hydrogen for India.

If that sort of numbers happen, or all the big daddies have jumped in to green hydrogen, if they start putting in that sort of money, there will be a huge requirement for renewables and obviously then to transmit the power generated by these renewables. So we have to keep our fingers crossed and wait and watch, seeing how does this piece develop going forward.

So one is the opportunity in doing a solar EPC or a wind EPC and all that. That is one part of it. But the major part of it is that how will the power generated by these renewables get transmitted? Because, you know, it is easier for them to transmit power than, you know, more ammonia or green hydrogen and all that. So, you know, power transmission is easier than any other transmission that way. So I do expect that the T&D piece out of green hydrogen would be very, very large if the government is really serious about achieving the targets which have been laid out by the government. So that's one big joker in the whole in the whole pack. If some part of that is happening, then T&D will really move to a next level.

And the second part here is that we have never seen shortage of power in India except for the last one year, which means the power demand is somewhere going up. So that is also leading to some incremental T&D orders which are coming in, but I still not say that's great. The major order will come in now from the green hydrogen and also, if you look at the last few years, solar and all has not done very well.

Now that we have capacities coming up in India for module manufacturing and other things, we do expect that solar generation will go up apart from the green hydrogen piece of it. And which

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once the issues in Rajasthan and other places get cleared, we do expect that there will be some more orders coming out on the green energy corridor, which is what orders will come to us.

So the T&D will depend upon how the renewables, you know, pan out, both for normal requirement of power to meet our COP 27 or whatever requirements you want to say and also for the green hydrogen. So we are actually very bullish right now in the coming years, not today, but maybe in a year or two on the India T&D piece and also probably on the solar EPC piece.

Have I answered your question, Bharat bhai?

Bharat Sheth: Yes, largely. Of course, I mean, there are so many ifs and buts, but it's fair. And international?

Vimal Kejriwal: International right now if you look at there is basically I can see three different markets which are there. One is clearly Middle East which is really growing very fast. Whether it is Abu Dhabi, whether it is Dubai, whether it is Oman or whether it is Saudi, very clearly, or even Kuwait, sorry. So you know these are the four or five countries where we are seeing a lot of demand coming up. You know, and all the oil money seems to be getting invested in some good assets being built up in these countries.

The other area where we are seeing a large demand is North America, especially United States. We never had

a Mexico factory down with so many orders. Mexico always used to operate at 50%, 60% in the last two or three years. Right now we are looking at adding capacity there because we have got so many orders coming from that, what President Biden has talked about build back better and all that. So, and also with the, I think a few cyclones and all which hit them and many of the large cities are without power.

So America, especially United States is becoming a big market for us to supply of towers. We don't do EPC there, but the supply of towers is becoming a big market. And third to a smaller extent are markets like Thailand and Malaysia and fourth will be Bangladesh. So to me these are the four regions in international where we are seeing a lot of traction happening and we are generally familiar with these markets so we don't anticipate the problems which we've had in other countries when we take projects here.

In fact, let me also add one thing, but I realize that this year our international will grow by at least 30% to 40% as compared to the last year. And we have an order book for next year also. It will grow reasonably well.

Bharat Sheth: Relatively lower than the domestic side. Margin is better?

Vimal Kejriwal: Margin will now pick up because now these orders are at newer prices. So last two years have been difficult for international, because we had many fixed price orders which were taken at lower metal prices. Now the orders which we will start executing now are at higher metal prices.

So we will start getting back to better margins in international now.

Bharat Sheth: And working kept and remaining two, three piece, I mean solar EPC also has this railway and civil?

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Vimal Kejriwal: Railway off late we are seeing a lot of tenders coming up for building up new lines, doubling, tripling, probably an election impact of 2024. I do not know, but because we earlier not seen so many orders for new lines. So that is doing very well. Plus all the civil works for Chennai Metro and Mumbai and all is getting over. So the electrical part is now coming in, laying of tracks, power supply, OHE.

So I think railways and also the speeded up upgradation, sorry. The ministry is very keen to upgrade the speed on all the trunk routes and some of the major routes. So a lot of work is coming out in railways. We are also L1 in a couple of projects in railways in the international market. So I think railways will do well this year and also coming years we do see a decent growth in the railway piece.

Civil is doing very well in any case so I don't think I need to talk much about it. We should cross 4,000 crores of revenue this year and maybe at least 30%, 40% increase next year back on the back of our 9,000 plus crore order book in Civil.

Bharat Sheth: And competitive landscape if you can briefly touch upon in...

Vimal Kejriwal: So railways is becoming a little bit more competitive than before. I'll say a few months back the competition was lower but now we are seeing a little bit improvement, increase in the competitive intensity. Transmission for the larger orders, we don't see too much of competition.

There are five six players but for sub stations the number of players are relatively lower. Civil, you can divide them. Let's say between 500 crores below and 500 crores plus. So below 500 crores you'll have maybe five or six competitors in every tender or maybe even more sometimes.

Above 500 crores you'll typically have three, four or maybe five players in competition. So competition I think is okay. I don't think it's become very intensive, very intense sorry, but it's generally okay.

Moderator: The next question is from the line of Vishal Biraia from Max Life.

Vishal Biraia: Vimalji, what is the extent of subcontracting that we do?

Vimal Kejriwal: Extent of subcontracting, See, basically, we hardly have

people on our roles. Okay, except for

the international market where visas and all are done by us. So sometimes some people work for us. But otherwise, largely, most of our projects are subcontracted, but there are various models of subcontracting, which we follow. -- sometimes it could be only a labor subcontracting, sometimes could be with material. Sometimes you could do a back-to-back subcontracting of a full unit and all that. So depending upon the type of project, the discussion with the client and the capability of subcontractors. It would follow a different model in each project. But most of our projects are typically subcontracted out in various forms.

Vishal Biraia: Sir, but if you consider with material and turnkey subcontracting, that proportion would be proposed of the total in India? -- in international?

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Vimal Kejriwal: In India, generally, it will not be with materials. In India, it is generally a labor contract I've hardly seen any contract where we have given in India with material I don't think so. Sometimes in international market, when you're giving a piling contract, you may give him the shipment and all saying, we'll pay you per cubic meter of pile, etcetera. The major subcontracting happens in regions like Thailand, Malaysia, etcetera, where you have got large subcontractors who are capable of doing it.

So we Vishal, it depends upon the capability of the subcontractor rather than our willingness. I am happy to give it back to back, then I don't get into issues of material has been delayed or some other things happen or price increases, etcetera. So depending upon the capability of the subcontractor, we will decide to subcontract it. But I don't think -- as material put together material or that will hardly be more than -- no more than 10% or something where you are giving it with material, etcetera.

Vishal Biraia: In Middle East how would it be done?

Vimal Kejriwal: So Middle East what happens is that let's say you take a piling contractor. He will come and do the drilling and everything for you. You will supply him the concrete. Erection obviously is our tower so they only do this. Stringing is generally done by our own people. That's the most critical part for us so we do it ourselves. There are countries where let's say we look at a place like Dubai, where only approved subcontractors are allowed to do civil. So there you will offload the entire work to him sometimes including the supply and all that also.

Vishal Biraia: And the other question is, if you are able to break it up as to of the INR 27,000 crores - INR 28,000 crores worth of order books that we have, what proportion is fixed price to where?

Vimal Kejriwal: I don't have a right answer but a large part of I'll say international would be fixed price so maybe around 20% or so I'll say it's a wild guess maybe Abhishek can give you later on but I think it should not be more than 20% or something okay because why I'm saying that is most of our civil and railways are always with PV which is a large part of my order book in T&D also international also we have now a lot of orders which are with PV. India some parts are with PV. So I think max would be 20% or maybe even lower than that.

Moderator: Thank you. Ladies and gentle men, this was the last question for today. I would now like to hand the conference over to Mr. Vimal Kejriwal for closing comments.

Vimal Kejriwal Thank you everyone for your interest. We are very clear with the current order book and what we have. I think we will have a significant improvement in our revenue and performances.

Margins have been under pressure, but we do expect that from next quarter onwards, the margins will start showing an upward trend and should start normalizing towards Q1 side. Thank you very much. Thank you, everyone.

Moderator: Thank you. On behalf of KEC

KEC International, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Q3 FY '23 Results Conference Call "
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MANAGEMENT : MR. VIMAL KEJRIWAL - MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – KEC INTERNATIONAL
LIMITED

MR. RAJEEV AGARWAL – CHIEF FINANCIAL OFFICER
– KEC INTERNATIONAL LIMITED

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Moderator: Ladies and gentlemen, good morning, and welcome to the KEC International Limited Q3 FY '23 Results Conference Call. We have with us today from the management, Mr. Vimal Kejriwal, Managing Director and Chief Executive Officer; and Mr. Rajeev Agarwal, Chief Financial Officer.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vimal Kejriwal, Managing Director and Chief Executive Officer. Thank you, and over to you, Mr. Kejriwal.

Vimal Kejriwal: Good morning . I welcome you all to the Q3 earnings call of KEC. Let me start with an update on the overall performance for the quarter and thereafter talk about each of the respective businesses and the key strategic initiatives. We have achieved our revenues of INR 4,375 crores for the quarter, a robust growth of 31% vis -a-vis Q3 last year.

We are witnessing strong execution momentum across most of our businesses. The growth is backed by good performance in the T&D, Civil and Oil & Gas businesses. With this, our YTD nine months revenue stand at INR 11,757 crores, a healthy growth of 24% vis -a-vis nine months last year.

We continue to deploy several mechanization, automation and digitalization initiatives across projects and engineering, which has significantly helped us to improve productivity and quality of execution. We have delivered EBITDA margins of 4.6% for the quarter, a sequential improvement of 20 basis points vis -à-vis Q2 FY '23. The margins have been impacted primarily due to the execution of legacy projects with adverse commodity prices and the performance of the EPC projects in SAE Brazil. I'm pleased to share that we have completed the last EPC project in SAE Brazil in December '22.

During the quarter, we have secured significant orders of approximately INR 1,000 crores in SAE across Brazil, Mexico and US, including one of the largest power supply orders from a reputed developer in Brazil. With this, our order book and L1 in SAE has increased significantly to over INR 2,000 crores, comprising of orders for supply of towers, hardware and poles. The robust order book reaffirms our confidence of revival in the performance of SAE .

We have delivered PBT margin of 0.3% and a PAT margin of 0.4% for the quarter. We continue to witness a strong traction in the order intake with the orders announced yesterday of INR 1,131 crores, our YTD order intake now stands at INR 15,554 crores with the growth of 10%. The order intake has been largely contributed by our T&D, Civil and Railway businesses followed

by Cables and Oil & Gas. Most of these orders have been secured at current commodity costs. This gives us the confidence on the margin trajectory going ahead as these orders get in to execution.

The traction in order intake has enhanced our order book to INR 28,981 crores, including the orders secured in Q4 till date, a robust growth of 19% vis-à-vis last year. Additionally, we have an L1 position of over INR 6,000 crores diversified across businesses. With this, our order book plus L1 position stands at an all-time high of over INR 35,000 crores, which is largely divided equally between T&D and non-T&D businesses.

In a recent development, the Union Cabinet has approved the National Green Hydrogen Mission. This mission will result in development of green hydrogen production capacity of at least 5 million metric tons per annum with an associated renewable energy capacity

addition of about

125 gigawatts in the country by 2030.

But the targets by 2030 are likely to bring INR 8 lakh crores investments and a significant increase in projects for solar, as well as the associated transmission lines and substations.

Accordingly, we have started refocusing on the solar business and have secured our largest order to build a 500-megawatt solar PV power plant in India. This prestigious project will be executed over a period of 16 months.

Focus on cash flows and working capital stands unabated. The dedicated efforts we have brought down our working capital to 139 days as on 31st December '22, a reduction of 9 days against 30th September. Our debt level including acceptances continues to show a sequential improvement and at least INR 5,617 crores as on 31st December, a reduction of more than INR 300 crores against 30th September '22.

This is despite a sequential increase in revenue of over INR 300 crores. We have reduced our debt level, including acceptances consecutively for the last 2 quarters. The total reduction is INR 450 crores against 30th June '22. We are confident of a further improvement in the working capital in Q4.

Our interest cost stands at 3.4% for the quarter as a percentage of sales. The interest costs were higher, owing to the steep increase in interest rates, both in SAE Brazil as well as in India and the elevated debt levels.

Now coming to the specific businesses. Our core T&D business has delivered stellar growth of 40% for the quarter vis-à-vis Q3 last year. The growth has been delivered on the back of a robust execution across both domestic and international markets.

The T&D business has significantly expanded its order book with strong order inflows of over INR 7,000 crores across India, Middle East, Africa and Americas. In India, the business has secured its maiden orders in the strategic segment of HVD C terminal station from a leading

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private player. KEC is the first EPC company in India to secure an order of this scale in this segment.

The business has also diversified its customer base to include non-utility clients with 2 orders for GIS substation projects from a reputed power generating company and a leading refinery PSU in India. In international T&D, we continue to expand our presence with multiple order wins in key markets. We have also consolidated our leadership position in the Middle East market by re-entering Kuwait and securing large interconnection orders in Brazil.

The overall tender pipeline in T&D continues to remain strong both in domestic and international markets, given the push for renewables and requirements for new transmission lines, substations and underground cabling. The outlook in Middle East remains positive, especially in Saudi and Abu Dhabi.

Coming to Railways, this business has achieved a revenue of INR 897 crores for the quarter. I am pleased to share that the business has secured YTD order inflows of INR 2,900 crores, a healthy growth of 1.8x vis-à-vis last year. These include orders in conventional OHE and composite projects, as well as orders in new areas of speed upgradation, technologically enabled areas of metros and emerging areas of TCAS (Train Collision Avoidance System), under Kawach which aims to enhance safety of Indian Railways with the world-class technology. We are witnessing an increase in competition, especially in the conventional segment with the entry of road EPC players and Tier 2, Tier 3 EPC contractors.

Our Civil business has delivered another quarter of strong performance with revenues of INR

845 crores, an impressive growth of 75% over Q3 last year. The growth has been delivered on the back of robust execution in water pipelines, metro, industrial and residential projects. The Civil business continues to deliver consistently on the order intake front and has

secured YTD

orders of INR 4,800 crores.

During the quarter, the business strengthened its presence with significant order wins in the water pipeline, industrial and data center segments. We are pleased that our foray in the data center is -- reaping results, and we are now executing four data center projects across India. The uptick in order intake has significantly enhanced the order book plus L1 to ~INR 11,000 crores, comprising of 20 EPC projects across segments from marquee clients. The business outlook continues to remain healthy, largely driven by the improvement in private consumption and government capex. We are confident that this business will continue to be the key growth driver for us going forward.

In Oil & Gas pipelines, the business has delivered revenues of INR 159 crores for the quarter with a growth of over 2x vis-à-vis Q3 last year. The business has a strong order book plus L1 of over INR 900 crores comprising of government and private players. We are confident of scaling up this business both in India as well as in the overseas market.

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Our Cable business achieved revenues of INR 368 crores for the quarter. The business continues to deliver well on the order booking front with good traction from domestic, as well as export markets. The business is also progressing well with the development of 10 new products this year, of which 4 products have been commercialized already. We are in the process of further enhancing the backward integration and augmenting the production capacity of LT and telecom cables by adding a few balancing equipment's.

In ESG, we continue to take several measures to transform our operations in a sustainable manner. Installation of solar energy capacity at our manufacturing plants is one of the key strategic actions to increase renewable energy usage through in-house generation and reduce greenhouse gas emissions.

During the quarter, we have installed solar roof-top at our Dubai plant in addition to the existing rooftops at our Nagpur and Jaipur plants. With this, 20% of our total power requirements will be catered through solar energy.

I'm glad to share that KEC has been recognized as one of the best construction companies of the year and the reputed Construction Times Awards 2023 for our best-in-class project management practices, new-age engineering solutions and strong focus on quality and safety. Moreover, we have also won the best metro rail project for safety and innovation for our Kochi Metro project and the best Railway project of the year award for the Hubli-Tinaikhat Railway Electrification Project.

Overall, I understand that some concerns have been expressed on our margins and interest costs for the quarter. However, I would like to highlight that we have delivered on the following fronts as mentioned earlier.

We had increased our revenue guidance for the full year from 15% to 20% last time. With the growth of 31% year-on-year in Q3, we are confident of exceeding the targets of 20% growth. In SAE, we have closed our last EPC project this quarter, and are confident of a revival in the performance from Q4 onwards. We have conveyed that our margins will start showing a sequential improvement from Q3 onwards, and we have delivered an increase of 20 basis points. We have brought down our net debt, including acceptance, by more than INR 450 crores in the last 2 quarters against our guidance of INR 500 crores for the full year. This is despite the 9-month revenue of 24% Y-o-Y, and we are very confident that we will be able to achieve our INR 500 crores target for debt reduction.

With the traction in orders, we have built our highest ever order book plus L1 of over INR 35,000 crores. The outlook remains robust across most of our businesses with a tender pipeline of over INR 1,11,000 crores. This gives us confidence in delivering a

continued good growth in the

quarters to come with an improvement in the margin trajectory going forward. Thank you very much. I'm now open to questions.

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Moderator: We have the first question from the line of Parikshit Kandpal from HDFC Securities.

Parikshit Kandpal: Congratulations on a decent quarter and the reduction in debt. So, my first question is on the margin. So, if you can highlight in this quarter how much was the EBITDA contribution from SAE? That's my first question.

Vimal Kejriwal: I think our SAE, we had a loss of around INR 50 crores on EBITDA.

Parikshit Kandpal INR 50 crores loss. If I reconfirm the console on the standalone numbers, we're INR 20 crores EBITDA positive -- EBITDA is there. So how that happened?

Vimal Kejriwal: So, I think that's one of the reasons why there are some questions on the standalone margin.

What is happening, Parikshit is that, we have got three or four other subsidiaries, which are 100% owned by us. So, we have 1 in Dubai, we have a factory in Dubai. We have a Dubai LLC.

We have -- as per local laws, for Malaysia also we need a subsidiary.

So, these subsidiaries in the last few quarters have started a lot of asset business and margins.

So, when you look at standalone versus conso I, it's not just SAE, it's also these and also, our Oil & Gas which we acquired is again 100% subsidiary. So, all these four or five results are now getting -- coming through the consol part of it, which is why there is -- you are not able to directly reconcile that numbers from what I told you.

Parikshit Kandpal: The second question is on the standalone. Now it seems to be improving and fourth quarter it will come back already breakeven. But on the standalone, we have reported almost all-time low margins of 4.7%. So, it has been like last quarter, it was 6.2%, before that 8.2%, and 7.3%. And earlier it used to be 9% to 10%. Why a sharp reduction in the standalone margins. If you can highlight any pain points of segment or any one-off during this quarter that has led to such sharp depth in the margin? And whether going ahead, how do we look at the margin in the standalone segment in the coming quarters, like fourth quarter?

Vimal Kejriwal: Parikshit, there are two basic reasons for that. One is what I mentioned earlier, where quite a few of the new T&D orders, especially in Abu Dhabi and some of our tower supply orders and also largely profitable order in Malaysia are through the subsidiary. So some part of that has gone into the subsidy. So that's one reason, okay? Going forward, I think we have to start looking at consol probably more than this because these -- especially the Middle East subsidiaries will be -- will continue to do a lot more business.

Second part is, if you remember, we have been discussing about 5% of our order book is from legacy projects. And during the quarter, we have had a fairly decent execution, I'd say in some of the legacy projects, especially because the commodity prices are going down and then there was some resolution of power grid on the TBCB projects, which were under the GI B hold. So we did do a lot more revenue to close the older projects. So that's the reason why the numbers have come down. And the numbers are primarily on the T&D side which are lower.

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Parikshit Kandpal: So how do we read the margins from the fourth quarter on the standalone business and you have to increase despite the subsidiaries in the Middle East so the embedded margins in the current order book. So if you can just give some sense whether this is the bottom of the margins? Or how do we see it for next few quarters from India business system?

Vimal Kejriwal: So Parikshit, I will respond on the consol. I don't have the standalone numbers for Q4 and all that. But as we have said

that the margins got -- I'll say, bottomed out in Q2. Q3, we would have loved to see a higher margin, but that's what we have been able to deliver because of the commodity at 4.6%. We are very clear that the margins will show an uptrend going -- continue to show up trend. I don't -- I'll not be able to give exact numbers, but I think at least 75 to 100 basis points improvement should happen in Q4. And then obviously, further improvements will happen in FY '24.

Moderator: The next question is from the line of Vivek Ramakrishnan from DSP Investment Managers.

Vivek Ramakrishnan: This is Vivek Ramakrishnan. I've got two questions. One is, sir, you had mentioned current prices of commodities. And if you see even aluminum prices have gone up recently from the bottom 2,250 to 2,600. So what is the comfort band that we can take in aluminum prices for your order book, is the first question? I mean, I'm just using aluminum as a reference commodity. The second question is the order inflow in Q3. We thought it was lower than what we have seen in previous quarters. Are there some delayed orders which will come through in Q4 and hence boosted the order book? Those are my two questions, sir.

Vimal Kejriwal: I think on the second question, we are L1 in some large orders. And unfortunately, they got delayed in the sense that we were expecting them by 31st, but they have got delayed. So maybe we should see the conversion happening very quickly. So there's no, I'd say, delay or anything that way. I think like Q4 end, we should be looking at the numbers we have been talking about INR 18,000 crores to INR 20,000 crores of order intake. I think we are on line to achieve those numbers. Okay. Sorry, what the first question?

Vivek Ramakrishnan: Sir, the first question was on aluminum prices in terms of...

Vimal Kejriwal: So Vivek, largely we are hedged on aluminum when -- on the new orders whenever we got them we have already hedged out this. I think a very small portion on the legacy orders is still open because those projects are, in a way, still not fully cleared from the client. And we can't take supplies, etcetera. So a very -- a small portion of it is open, which I think, hopefully, if we get clearances would get closed either in Q4 or maybe in Q1, but the numbers are nothing to worry about.

Vivek Ramakrishnan: That's why you're saying that the margins will improve a little more in Q4 and then a lot more in Q1. That's why you're projecting the trend.

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Vimal Kejriwal: Hopefully, by Q4, most of these things will get close if we get our clearances or we will provide for it. And then it will go into Q1 and all that, we should start with -- I'd say virtually a clean slate.

Moderator: The next question is from the line of Renu Baid from IIFL Securities.

Renu Baid: First question back on profitability. So if you look at the stand-alone business, reported EBITDA margins at 4.6% or approximately EBITDA slightly INR 180 crores. And theoretically, if we assume that the non-T&D, ex-Oil & Gas, which is mostly India-centric could have made average 8% EBITDA margin. So this is hardly INR 10 crores, INR 20 crores of EBITDA that has been contributed by the rest of the T&D business, domestic. So what kind of losses are we seeing for sort of large central sector projects with your legacy projects? If you can help to provide some insight -- give us input in terms of when do we see these losses from these domestic T&D tapering out?

And also sequentially, you did mention that the margins 20 basis point improvement, it is almost flattish. I'm not sure to what extent we should look at as a multiple improvement. So 4Q also you're guiding just a 100 basis point margin expansion. So apart from SAE, which was breakeven from next quarter, some more inputs in terms of the loss-making domestic projects, and what

kind of turnaround are we expecting? And what is the value of these projects still remaining in the backlog, which will be agreed in the next 2 quarters?

Vimal Kejriwal: So Renu, first of all, I never said notable improvement in performance. What we had said and what we have said is that from Q3 onwards, the tide will turn and we'll start seeing the change in the trajectory and which is what I alluded when I said that it's gone up by 20 basis points. So as I said earlier, I think in our view, the bottom has been touched and now you will see a n improvement. So that's putting the word right.

So the second piece is that, you are right, more or less on saying that the T&D margins have been very poor for the quarter, okay? And we are very clear that we had some orders, especially on the TBCB side, and also, if you remember, the old Essel order, which was taken over by Adani for the fixed price product. So those two orders have been, I'd say, the primary contributors.

And third, now that the logistic costs have come down, but because of the large increase, our international business is doing at least a 50% turnover higher than last year. We did incur a large logistic cost. T&D deposits have now come down to back to normal or even -- actually below normal growth of our tender estimates now. So to me, the execution of TBCB projects, especially on the steel side, now almost -- actually on the legacy side, our steel orders are actually 0. We have almost executed everything on the steel side, maybe a couple of thousand tonnes here and there, which are not clear by the client is spending to be clear. So which is why we are expecting Q4 to start picking up. There are some small legacy orders, which are there, which we want to close, which is why Q4 we have a sort of a guarded optimism.

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Renu Baid: Got it. So as and one done with Q4, T&D, which is the core business, almost 50% of revenues, do we see margins? When do we see the margins coming back to at least 9% to 10% level, which used to be the normalized or some normalized margins for the segment. Should this happen in '24, late '24 or '25?

Vimal Kejriwal: So Renu, to me, it should be around Q2 or something of FY '24, okay? Because I think the legacy order should get over in Q4, maybe there may be a little bit spillover here or there, which is why I'm a little bit guarded on Q1. But I think from Q2 onwards, we do see that the T&D margins should start getting back completed to our normal margins.

Renu Baid: And on the SAE, now that the EPC project is done, we have a fair share of new tower supply orders with us. Is that business now looking back at mid-single-digit kind of EBITDA margins.

And do we expect any compensation from customers after project closures?

Vimal Kejriwal: So those discussions are going on. I'm not very hopeful of getting too much money, okay? So I don't see that much will come in. Whatever has been almost commercially closed also. So that is why Q3 we had slightly higher than what we would have loved to have as EBITDA losses. Coming back to your question on the SAE margins, our expectation is that at Q4 we will definitely have an operating margin between SAE, Mexico and Brazil put together. Hopefully, both of them should be positive. Otherwise, at least on the totality, we definitely see that the numbers would be clearly positive.

I'm not sure whether PBT would be positive because our interest cost right now are high. We are working on the refinancing of the Brazil loans, which I think is happening. I mean a large part of it should get refinanced in this quarter, which will bring down the interest cost going forward. So I think from Q1 onwards, I will keep my fingers crossed. Should we give some PBT positive in Q1? Maybe. But Q2 onwards, I think we should start seeing PBT positive in SAE also.

Renu Baid: Sure. And

lastly, on the debt numbers, what is the year-end net debt number finally expected or some INR 3,000 crores, given that INR 500 crores reduction is targeted? And on the cash flows, what are the progress on cash flows from Afghanistan and railway projects which were stuck for last 1 year. Have those projects started to move? And how do we look at the cash flows improving for the business?

Vimal Kejriwal: I'll let Rajeev answer but just on principles, I think railway projects have started moving and cash flow has started coming in, which is why you're seeing a reduction. Afghanistan, we have not got a single rupee or dollar till now. But we do expect and we had earlier said in Q4, we should be getting maybe INR 200 crores, I don't know the exact number, but we -- I think as a benchmark, maybe you can take that INR 200 crores figure that we should get around INR 200 crores in this quarter. Maybe, Rajeev, do you want to answer on those?

Rajeev Agarwal: So basically, on the debt side, I'm expecting probably further reduction of about INR 300-odd crores at least in the Q4 also, okay? So from the current level of INR 5,600 crores, I expect the

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debt should go down to maybe INR 5,300 crores or maybe INR 5,200 crores, something in that region. And that reduction will happen -- because we are expecting further revenue growth of maybe 20%, 25% in Q4 also. So debt will -- debt reduction will take our NWC down to maybe about somewhere between 125 to 130 days. So that's a target change we are working on for debt reduction. And that will give us a substantial debt reduction because for the full year the growth of the revenue itself will be about the 20% plus. So with a 20% plus kind of a revenue growth, which will be absolute terms will be about almost INR 3,000 crores. And with that, the debt reduction of almost INR 800 crores is what we are targeting for the full year.

Vimal Kejriwal: So let me just put in a different fashion. To me, we had thought we'll go to INR 5,000 crores or something as this, but because the revenue growth is slightly more than what we had projected, that may have an impact of INR 100 crores, INR 200 crores in terms of the absolute debt. But the NWC which has come down -- will come down further. So there is clearly -- there will -- there is an efficiency effort on collecting more.

Renu Baid: Right. And what is the average cost of capital for the domestic debt?

Rajeev Agarwal: Right now, Renu, it is between, let's say, 7% to 8%. Some of the debt from the banking side is it coming at about 7%, 7.5%, and CP market is also moving in a similar fashion.

Moderator: The next question is from the line of Saket Kapoor from Kapoor & Company.

Saket Kapoor: Sir, if you could give us the breakup -- how has the forex split in terms of the finance cost for this quarter as well as for the 9 months? The forex impact?

Vimal Kejriwal: So Saket, I don't have exact. I think around INR 30 crores or so has been the overall number for 9 months. INR 30 crores positive.

Saket Kapoor: INR 30 crores positive. Okay, sir. So the 9-month finance cost is INR 377 million, this has an inbuilt profit of INR 30 crores.

Vimal Kejriwal: It doesn't go in the finance costs. It goes into other income basically. Other expenditures, sorry. So Saket, this is part of other expenditure. It is good foreign exchange, gain or loss. And this is a gain of INR 30 crores. This is actually getting clubbed in the other expenditures.

Saket Kapoor: Okay, sir. Sir, we also acquired one company for -- this was in the laying of pipes. What is the update on the same? How is the order booking and what is the performance?

Vimal Kejriwal: I think you must have joined late I said we had a revenue of around INR 159 crores. Our order book plus L1 is around INR 900 crores. If we look at its revenue, it is more than 75% -80% per year.

Saket Kapoor: Right, sir. And sir, how is the outlook of the cable business? How is the traction of EHV ?.
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Vimal Kejriwal: Marginal decline this year. What has happened is that, with the volatility in the commodity prices, copper and aluminum, and since copper went very high, we did see some of the buyers staying out. We will wait for some more time until copper stabilizes. In demand we are seeing a volatility because of the metal prices. There is no issue in the basic demand. EHV has been sold a little less in the last 2 -3 quarters. But now there is a lot of demand. So in the future, EHV will work well.

Saket Kapoor: What will be the total pie of the revenue of the EHV, sir?

Vimal Kejriwal: Normally, EHV is almost 25% to 30%, assume 30%.

Saket Kapoor : And about order booking, sir?

Vimal Kejriwal: It will remain same

Saket Kapoor: One question on SAE. How much has SAE bleed in the last nine months? How will it be funded.

Vimal Kejriwal: It will be from unsold loan. From wherever it might be, loan from here and there, equity base or , ultimately it will go in debt fund, whether it will remain in that book or parent book, right now, it will be funded from there itself. As there is the subsidiary, equity is lying out there, which goes from our end, right? Right now, it is not required. Because this time, loss has stopped.

Saket Kapoor: Please tell me the bleed number for nine months?

Vimal Kejriwal: Please come later, Abhishek will inform you later.

Moderator: The next question is from the line of Priyanka Biswas from Nomura Financial Advisory.

Priyanka Biswas: My first question -- like you have spoken about this, probably the margins, how it would go on a trajectory. So, what I'm trying to understand is, if you have to guess, what can be broadly be the 1H FY '24 margin in your view? And also, parallelly with that, what is the current non -T&D EBITDA margin?

Vimal Kejriwal: Very difficult to give you a 1H number right now, okay? But as I said that we do expect around 70 to 100 basis point increase in Q4. And Q1, it's difficult right now, maybe I don't know whether we can take a similar increase or something that that's what we should be looking at. 1H Q2 is right now difficult to see, but as I was telling Renu earlier that Q2 onwards we should start getting T&D margins back to normal.

We will wait and watch but. I do expect that quarter -on-quarter there will be an improvement till probably Q3 or so where we reach that margin. So, to me, you have March, then -- sorry, you were Q3, Q4, then you have Q1, Q2. I think each one of them, you will definitely see an improvement happening in the margin quarter -on-quarter sequentially.

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Priyanka Biswas: So if I extrapolate that, so maybe would it be fair to say that at least by 3Q FY '23 or 4Q FY '23, something around that, you should be broadly at around 9% to 10% exit rate. Would that be a fair assessment?

Vimal Kejriwal: Q4 exit, I think we should be on target, what we are saying.

Priyanka Biswas: As a just asking a broader question. Can you help us with the share of private orders in your book at the present? And what are the key corporates that we have exposure to?

Vimal Kejriwal: I don't have it directly right now, very soon. But our private orders are where our private orders would be in SAE mainly. In India, we will have in Civil, we'll have private orders, okay? In T&D, we have taken a little bit but not much. So I don't think in T&D, we have any major piece of private orders. It would mainly be in Civil, and we'll have one or two small orders in railways, not big orders, but on the port side and all that, port connectivity, etcetera, we have got one or two smaller orders. So, it will not be very high in terms of, I'll say, non -civil

. Civil maybe is

basically more on the residential and industrial.

Priyanka Biswas: Sir, just continuing just on the working capital side of things. So, I remember that there were some large retention money with railways based on the last couple of calls. So, what is the status of that? And do we see that leading to some sort of a working capital improvement, let's say, next quarter -of the -quarter after that?

Vimal Kejriwal: So Priyanka, it was not actually retention -- what has happened -- it was not actually retention money. What happens in a railways is that, with the new concept of EPC projects , they are more milestone -based payments. So, in some cases, since milestones have not been achieved as per the contract, the payments have been held back, and those payments are coming.

So, when Rajeev talked about an improvement in the numbers for working capital, a part of that was on the back of -- expecting that we will get our railway money. It is normalizing. If you want this -- this is a direct question, if you're asking, it's normalizing. So, I think by end of Q4

we should expect that the railway receivables will be normalized.

Priyanka Biswas: And just a last question, if I may squeeze in. Like last quarter, I think 5% of the order book was roughly legacies what you had highlighted. So, what would be the similar number now, like, from 5%, what is it down to probably?

Vimal Kejriwal: I don't have the exact number, but it has got lowered by 1% because we have done a lot of execution out of that, so maybe 3% to 4%.

Moderator: The next question is from the line of Amish Kanani from JM Financial PMS.

Amish Kanani: Congrats on a good execution though it's coming at a low profit. Sir, two questions. One, sir, your L1 is now a little bit higher in our order book. So if you can give us some flavor of -- is it one order which is chunky? Is it government private? And are you looking at growing its own?

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Or is it the nature of the biz that we have one L1 converts into order book and then other L1 comes into picture, some flavor there.

And overall, INR 1.1 lakh crores of pipeline. Any indication of what could be the win rate? And any early indication of what could be the order book accretion for next year or this year's base of INR 18,000 crores, INR 20,000 crores, sir?

Vimal Kejriwal: So, Amish, most of the L1s are from government, okay? There are one or two large orders in that. We do expect that they will get converted into orders in maybe a week or two weeks or three weeks. So I think within February we do expect that a large chunk of this will -- L1 will get converted into earnings to orders. So that's one part.

As far as order intake is concerned, as I said that we are expecting, they are already at INR 15,000 crores plus. And I think with these tenders getting converted into orders, we should be around INR 18,000 crores, INR 19,000 crores or so. Assuming that there will be a revenue growth of 15% next year, we do expect that our order intake target next year should be at least INR 22,000 crores or INR 23,000 crores. We have not yet frozen our numbers. I think the budget making exercise is going on, but will definitely be INR 20,000 crores plus. I don't know exactly what numbers will come out from various businesses. As per my maths, it will be INR 22,000 crores, INR 23,000 crores.

Amish Kanani: Yes. Sir, the question was, are we having the profitable orders, which we want to win or maybe we'll kind of contain ourselves and focus on maybe lower orders but very profitable orders, that was the context in which I was saying, the numbers will evolve in...

Vimal Kejriwal: I mean, Amish, you're very right, which is why I said that once we start receiving numbers from businesses we will decide, what need to do, or not to do. I think towards -- very clearly the focus is not on revenue

growth, okay? That's your question. That's my answer. It's not on revenue growth. We will look at continuing to see how do we improve the profit margins on the orders. We will definitely not take orders where the margins are lower. I think we are very clear in our thought process on that.

Amish Kanani: And sir, second, if I analyze the current quarter's interest cost of INR 150 crores and average the last quarter's debt including acceptance in this quarter, our interest cost goes to more like near 11%, 11.75%, something like that. And you did mention our domestic interest cost is 7% to 8%. So if you can give us some flavor of whether the rest of the cost is all Brazil or domestic versus non domestic interest cost? And are we looking at significant lowering of interest cost on a blended basis. So say, 11% -- and particularly in the context of rising interest costs?

Vimal Kejriwal: Amish, I think what is there in the interest cost is also interest on customer advances. There are a lot of customers which are -- as per the guidance, they are now -- all the government companies have been mandating to charge interest on advances. So that's one element which is there.

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The second is the element on acceptances, which is there, where there are interest costs. So to me, if you look at our inventory, what is going to happen is that, our interest as a percentage of revenue will definitely go down in Q4. One is because the revenue is going to be very high. I think -- let's see what happens -- there the reference -- meeting today also and then RBI, what happens on the interest cost that would we decide.

Third piece is that with the dollar strengthening, the premium rates have been going down. So a little bit mix of our borrowings -- with more forex borrowings, which has at least 200 basis points, 300 basis points advantage. So somewhere we do expect that our interest cost as a percentage of revenue will come down. And I think overall also in terms of the interest rates when we're talking about 7.5%, 8% and all that, the average interest rate may come down slightly. I

don't see it going down significantly because the market mix will go up, but we may be able to optimize it slightly.

Amish Kanani: If you permit one last question on the green corridor, sir, a lot of expectations. So if you can give us some flavor of how big is the opportunity? Maybe today's budget also will outline some more details there. But how big is the opportunity? And are we looking at growth even from the re?

Vimal Kejriwal: So there are two green corridors. I think there are a lot of tenders which are even open today as some of them are getting quoted, I think this week or next, okay? So there are quite a few tenders which are out open right now in Gujarat, a little bit in Karnataka and Rajasthan. So clearly, this year, we will see a lot of awards happening on the back of the green corridor. That's the current green corridor.

The second piece is what I had talked about green hydrogen and all that sort of projects are coming up in Gujarat and Rajasthan again. But for green hydrogen, which renewables have been set up. The renewable which we announced final 500 megawatt is coming up in Karnataka. So all those are -- and for that -- there will be further lines which will come up.

I think those lines, we have not yet seen coming up except for some lines in Gujarat, Howrah, we are seeing some tenders which have come up. Others will now come up. So I do expect that probably in H2, there will be a lot of tenders, which will come on the back of renewables for green hydrogen.

Moderator: The next question is from the line of Teena Virmani from Kotak Securities.

Teena Virmani: Part of my question is already answered. But one thing on the interest side. You mentioned that on the domestic, the average interest rate is around 7% to 8%. Can you spec

ify how much of a

debt at SAE level and what are the interest rates over there? And what kind of refinancing reduction -- benefits from the refinancing that you are expecting on the SAE side?

Vimal Kejriwal: So Teena, thanks for being there. I think our overall debt in SAE is around \$50 million, okay?

And we are looking at refinancing a large part of it, and hopefully now that the EPC is behind us and the business starts turning profitable, we will also start getting better rates apart from the KEC International Limited

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refinancing also. Refinancing, we are expecting probably a reduction of 4% to 5%. That's what's going to happen on the ordering.

Teena Virmani: And what would be the current interest rate, we are in the range of 18%, 19% or...?

Vimal Kejriwal: Between 18% to 20%.

Teena Virmani: So it will come down to around 14% to 15%.

Vimal Kejriwal: I think, that's a 12%, 13% is what we are looking at.

Teena Virmani: And my second question is related to the legacy projects. You talked about that only 3% to 4% of the order book is around legacy project on the T&D side. So why are we so conservative in terms of margins for even 1H of FY '24. I mean, technically, this 3% to 4% of the entire order book, and they are all negative projects. So why can't we just complete it and get over with it and start focusing on the newer orders which are alternatively higher margins. So I mean, my question is more related to the margin improvement trajectory that ideally should come up for KEC FY '24 even from 1Q or 2Q onwards?

Vimal Kejriwal: I think, Teena, we are trying to do exactly what you are saying. We're trying to push the execution of newer projects and close the older projects. But at least two or three of these older projects are stuck up in the GIB issue in Rajasthan and they are getting cleared one-by-one by the court and Power Grid. In fact, this quarter, we should finish at least two of those projects in Rajasthan -- green belt. So I think we are trying our level best to finish. And I think the other issue is that, all these delays and all are causing further escalations, and we are negotiating with the client and all that to get the escalations because the majority of the delay is not because of our sites. So that is going on.

So I think -- the other piece, which is there, Teena is that, today there is a lot of volatility -- even one of the earlier speakers also talked about saying aluminum has come back to USD 2600/MT. So I think somewhere we are also hedging our bets to ensure that we deliver on what we commit. Otherwise, we talk about today something and the numbers change differently, it becomes a problem. I would rather err on the side of conservatism rather than being aggressive.

Teena Virmani: So if we take off these projects which are stuck up because of GIB issue or even any further escalation also, apart from these orders from the existing order book, what could be the margin trajectory in the current scenario when commodity prices are relatively lower than actually when you would have bid for those projects?

Vimal Kejriwal: So Teena, our margins on order would vary from around 8% to 12%, 15%, or maybe upper, that will be higher also. But generally, margins would be around 8% to 10%, generally. For all of our orders which we are quoting, generally we quote on that sort of margin. So more or less, you can assume that way, okay?

Moderator: The next question is from the line of Uttam Kumar Srimal from Axis Securities Limited.
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Uttam Srimal: Sir, what kind of capex we are envisaging in FY '24 and FY '25?

Vimal Kejriwal: Our normal capex has been around INR 200 crores , okay? Next year, maybe I think we're looking at around INR 250 crores . But I don't see it growing up because for Civil, since we are relatively new, we've been

spending a lot of money on Civil. And I think for the last two, three years, whatever we have spent and what we plan to spend next year should build up an added buffer for us. So average up, so average up 200 -250 crores, you know, you can go ahead

Uttam Srimal: And sir, this quarter, our interest cost has been around INR 150 crores . So we -- can you expect same running in quarter 4? Or we are expecting some lesser amount in the quarter 4?

Vimal Kejriwal: So I think we are expecting somewhere around maybe a 10% reduction. So we should be around INR 130 crores , INR 135 crores is what we are expecting.

Moderator: The next question is from the line of Ashish Shah from Centrum Broking Limited.

Ashish Shah: Sir, firstly, on the segmental margins, would it be safe to say that civil and railways would have been somewhere around 9% to 10% for this quarter?

Vimal Kejriwal: So I said that I don't have the exact segmental breakup and all that. But I think we are closer to your numbers, not exactly. I think maybe slightly lower than that number, Ashish.

Ashish Shah: Sir, second is on the solar business. We did hear that we are thinking of some -- we have actually re-entered the business. But this historically has been a low -margin business and has had several issues in terms of government regulatory flip -flops. So where do you see the clarity now that you want to sort of build up this business again? And what kind of margins you would expect in these orders?

Vimal Kejriwal: So Ashish, most of the flip -flop being at two different levels. One is on the custom duty on modules. Sometimes you have safeguard sometimes you don't have safeguard and other things and whether you can import from China, not to import from China. That's the way the basic thing. So I think as far as what we have done is that we have very clearly said that we will not take projects where the modules is in our scope or we tie up with -- where there's a domestic module requirement, then you tie up with the domestic module manufacturer who becomes a partner in the bid. So for us, I think we have learned our lessons. We have seen what others have done. So I think we are playing it safe and looking at it as a pure EPC minus modules. That's the way we are looking at it.

Ashish Shah: So saying our scope will not include modules even the projects that we are bidding ?

Vimal Kejriwal: So current project, which you've got INR 700 -odd crores is also without modules. Going ahead also, what we have said is that, we will not take projects where modules are in our own scope or where modules on a fixed price, okay. There may be more projects where you have got local partner who manufacture it, they want to join you as a partner and they take the responsibility and we may look at it. But right now, all our bid what we are looking at are without modules.

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Ashish Shah: And would you look at somewhere in like high single -digit margins for this business?

Vimal Kejriwal: Definitely. No question -- looking at less than that.

Ashish Shah: Right. One question on the balance sheet side. So we had been expecting some unwinding of GST receivables. I mean, GST, the credits that we have in the balance sheet. So probably around INR 500 crores is what we have been expecting. Can you indicate what is the progress of that this year so far?

Rajeev Agarwal: So basically, Ashish, on the unwinding of GST has started. In one of the business in railways, the unwinding has happened to the extent of about INR 100 -odd crores in the last quarter. But overall, unwinding is visible as of now because there are some additional stocks that we have purchased because of the very volatile raw material prices, and also, there is some unbilled which has actually increased during this period, which will get billed to the customer in the quarter 4. So definitely, u

nwinding on the GST account has happened but INR 500 crores was the total amount. And what I remember is that, I guided that to the investor, this INR 500 crores unwinding in 2 years' time. So we are on track on that side. So I think in Q4, also, I'm expecting another INR 100 crores , INR 150 crores unwinding should happen on the GST front.

Ashish Shah: Right. Sir, lastly, any word on, I mean you did say that you've not got anything from Afghanistan, but any word on where we are in terms of our negotiation and where do you think the money

can come?

Vimal Kejriwal: So Ashish, what I shared was that, we expect to get around INR 200 crores this quarter.

Moderator: The next question is from the line of Peter from KSEMA Wealth Management.

Peter: Sir, I was just wondering on the railway and Middle East projects. What are the major projects executing? And what would be the margin profile for this same?

Vimal Kejriwal: We have executed lot of projects. So if you want more details, maybe we can speak to Abhishek, who can give you more details from exact type of projects and all that. But railways, we are doing on all sorts of projects whether it's laying of track, even on the metro side, the ballastless tracks, signalling. So virtually, we are doing -- we have -- our project portfolio has got almost everything. And if you look at the Middle East, what you asked, we have got transmission lines, we have got substations, we have got underground cabling. Yes.

Peter: And what is the margin profile on those, sir?

Vimal Kejriwal: It's difficult to give an answer like that because margin profiles vary from project to project. So typically, most of our margins when we quote around 8% to 10%, but individual projects will definitely vary.

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Peter: And second -- and last question, sir, wanted to know, is that little technical? with the major shift happening towards renewables. Is there any medium to mild impact on the T&D business going forward?

Vimal Kejriwal: To me, it is actually -- in a way, I look at it more positively because if you look at most of the projects which we have secured in India and elsewhere, are for the transmission of power generated by renewables, okay? So what happens is that renewables will especially solar and all will come only in specific parts of the country, but the power is all over the country. So we are actually seeing large transmission lines getting built and talked about for a long time where we're talking about a huge project. So to me, renewables has not been a way of concern. In fact, we look at it very positively.

Moderator: The next question is from the line of Amit Anwani from Prabhudas Lilladher.

Amit Anwani: Sir, my question with respect to railways business, as we have been highlighting from past few quarters about the retention and milestone and increasing working capital. So the current order and mix which you are getting into railways, so what is your outlook about the working capital? And is this milestone in return is changing in favourable with respect to unit and new orders, you are receiving?

Vimal Kejriwal: Amit, what has happened is that after the first few orders come in, then we -- everyone realized that there are problems in the way those milestones have been fixed, railways have also changed many of their payment criteria. I'll give a simple example. Earlier, let's say, you're supplying an equipment and equipment would not be paid unless a particular segment of the line was commissioned. But now they have said that, okay, once you supply an equipment, we'll pay you 80%, 90% of the equipment.

So to me, although the milestone payments remain, but there have been significant changes on the payment especially on an account of what we call on account payment. So if you do the supply, you'll get your payments and all that. So that is one

part. Second part is, is a portion of

our order book is now moving towards metro where we are doing the ballastless tracks, signaling, power supply, etcetera, which are shorter duration projects, I'll say better payment terms. So I think railways, as I like said earlier, the working capital should get normalized by the end of this year.

Amit Anwani: So sir, the shorter duration and better payments would be contributing how much to the order book in railways?

Vimal Kejriwal: I don't have the number right now, okay?

Amit Anwani: Sir, with respect to civils business, I think you mentioned about margin somewhere maybe 8% to 9%. I just wanted to understand what are the major subsegments expected to contribute in civil, I think you highlighted about data centers we are executing four projects and few other subsegments. So just wanted to have an outlook on civils...?

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Vimal Kejriwal: Amit, I'd say, four or five segments which are there. One is, obviously, the water pipeline segment, where we have got large orders where you will supply potable water to villages. So that's right now our largest segment. Second one would be metro viaducts. So we are right now doing seven projects on metro. So that's the second one. Then we have residential projects. I

think we will get probably revenue almost close to INR 1,000 crores or slightly less than that invested, then you have industrial projects. Then you have what we call public spaces. So we are building an airport, we're building a high court, we are building up some MLA and all that. So I say broadly, this is the way our segments are divided. And I think last point is even bidding for international; I don't have an order right now. But hopefully, from next year onwards, we'll also see some international revenues going into civil.

Amit Anwani: Sir, I just wanted to understand the order prospect in international T&D, domestic T&D, railways, civil.

Vimal Kejriwal: What we have said, Amit, is that, we expect our revenues to grow by around 15% next year. And so order intake should also be growing by that sort of percentage. So if we expect around INR 18,000 crores, INR 20,000 crores of overall order intake this year, maybe INR 20,000 crores plus would be the target overall for order intake. With which business what we take is something which we are still working out exactly.

Moderator: The next question is from the line of Kaushal Dedhia from Axis Bank.

Kaushal Dedhia: Just one question from my side is on the fixed orders currently. So how much of the current order book is fixed.

Vimal Kejriwal: I don't have the breakup right now of this. But typically, if you look at some of our international orders, what we most have and most of the international traders would be fixed. But I say that generally, all of them are hedged now. So I don't see any significant -- there's civil generally -- civil and railways generally have a price variation clauses. India T&D depends upon the type of client and the type of project. I honestly -- it will be difficult for me to guess the number. Maybe we'll give a number to separately, to work it out.

Moderator: The next question is from the line of Hiten Boricha from Joindre Capital.

Hiten Boricha: Most of my questions has been answered. I have only one question. So what would be the tax rate for this year and next year?

Vimal Kejriwal: Rajeev?

Rajeev Agarwal: Tax rate for the next year should be normal at about 25%.

Hiten Boricha: For FY '24. And for FY '23?

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Rajeev Agarwal: FY '23, we have already -- for nine months period on a standalone number, it is working out at about 26%. On a console, since there is a deferred tax asset debt has been created because of the losses in SAE Brazil. So overall tax rate is coming down to about

15% or so.

Hiten Boricha: 15% in FY '22. And sir, you told 25% in next year that is on console level or on standalone level? So wanted a number of console level, right? Okay. So 15% in this year and 25% next year, right?

Rajeev Agarwal: Yes.

Moderator: As that was the last question for today. I would now like to hand the conference over to Mr.

Vimal Kejriwal for closing comments. Over to you, sir.

Vimal Kejriwal: I just want to say thank you very much for your continued interest in KEC. Thank you.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of KEC International, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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MANAGEMENT : MR. VIMAL KEJRIWAL - MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – KEC INTERNATIONAL
LIMITED
MR. RAJEEV AGARWAL – CHIEF FINANCIAL OFFICER
– KEC INTERNATIONAL LIMITED

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Moderator: Ladies and gentlemen, good morning, and welcome to the KEC International Limited Q4 FY '23 Results Conference Call. We have with us today from the management, Mr. Vimal Kejriwal, Managing Director and Chief Executive Officer; and Mr. Rajeev Agarwal, Chief Financial Officer.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vimal Kejriwal, Managing Director and Chief Executive Officer. Thank you, and over to you, Mr. Kejriwal.

Vimal Kejriwal: Thank you, Neerav. Good morning to all of you. I welcome you all to the Q4 earnings call of KEC. Let me start with an update on the overall performance and thereafter talk about each of the respective businesses and key strategic initiatives. The year commenced with unprecedented volatility in commodity prices and freight rates owing to the Russia -Ukraine conflict ended with a weak global outlook, characterized by a fear of recession, high inflation and high interest rates. Fortunately, in the second half of the year, commodity prices stabilized and freight rates have come down to almost pre-COVID levels.

Notwithstanding these challenges, we have delivered a notable performance by achieving highest ever revenues, highest ever order intake, considerable improvement in working capital and successfully accomplishing quite a few strategic initiatives across businesses. Our robust order book and geographical and business portfolio diversification is paying off well in the current environment and will be reflected in our performance in the coming periods.

We have delivered a robust revenue growth of 29%, with the highest ever quarterly revenues of INR5,525 crores in Q4. Our T&D, Civil and Oil & Gas businesses have delivered strong performances during the quarter. The margins for the quarter improved by 50 basis points, vis-a-vis, Q3 FY '23 to 5.1%. We've issued a PBT margin of 1.6% and PAT margin of 1.3%.

I'm pleased to share that in SAE Brazil, the business has delivered a positive EBITDA for Q4. We have successfully refinanced a part of the local loan in that entity and on track to refinance the balance loans. We secured orders of over INR7,000 crores in Q4, a staggering growth of over 50%, vis-a-vis, Q4 last year. Orders have been largely contributed by the T&D and Civil businesses.

Coming on to the annual performance. We have delivered a robust revenue growth of 26% with the highest ever revenues of INR17,282 crores for the full year. The growth is backed by healthy execution in both T&D and non-T&D businesses. We have delivered EBITDA margins of 4.8% and PAT margin of 1% for the full year.

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As conveyed earlier, the margins for the last 2 quarters have improved sequentially from 4.4% to 5.1%. However, the overall margins for the year are lower due to adverse commodity prices, higher logistic costs and SAE Brazil EPC performance. We continue to witness significant traction in order intake. Our order intake for the year FY '23 stands at a record level of INR 22,378 crores, staggering growth of 30% over last year.

The order intake has largely been contributed by our T&D, Civil and Railway businesses, followed by Cables and Oil & Gas. The traction in order intake has enhanced our closing order book as of March 31 to an all-time high of INR 30,553 crores, a robust growth of 29%, vis-a-vis, last year. Additionally, we have an L1 position of over INR3,500 crores diversified across

businesses. With this our order book plus L1 stands at over INR34,000 crores, which has largely divided equally between T&D and non-T&D businesses. We are happy that the order intake trend is continuing in FY '24 with new orders of INR1,070 crores announced last week.

Our focus on cash flows and working capital stands unabated. With dedicated efforts, we have brought down our net debt, including acceptances by ~INR1,100 crores in the last 3 quarters against our guidance of INR500 crores reduction. Our debt level, including acceptances stands below INR5,000 crores at INR4,985 crores as on March 31, '23, largely at the same level as last year, despite an increase in revenue of over INR3,500 crores, a growth of 26% year-on-year. We have brought down our net working capital to 118 days. As of March 31, a reduction of 19 days, vis-a-vis, March 31, '22, against a peak working capital of 148 days in September '22. We are confident of a further improvement in working capital going forward. The interest cost stands at 3.1% of the sales for the year, owing to the steep increase in interest rates, both in SAE Brazil, as well as in India and the elevated debt levels.

We are confident that we will be able to reduce the same by close to 50 basis points in FY '24 based on the reduction in the debt levels achieved in Q4 and the refinancing of the Brazil loans going forward. The Board of Directors have decided to recommend at EBITDA 150%, that is INR3 per equity share on the face value of INR 2.

Now talking about specific businesses. Our core T&D business has achieved revenues of INR8,809 crores for the year, a stellar growth of 27% versus the last year. The growth has been delivered on the back of robust execution across both domestic and international markets. The business has significantly expanded its order book with strong order inflows of over INR10,000 crores across India, Middle East, Africa, East Asia and Americas.

In India T&D, the business witnessed a good traction as it secured orders of over INR4,000 crores, a robust growth of 2.8x, vis-a-vis, last year and such a growth we have seen in India T&D for a long, long time. The business forayed into emerging areas of digital GIS substations and HVDC Terminal Stations. It also expanded its customer base to include power producers and refineries in addition to the existing clientele comprising PGCIL, state utilities and private developers.

The recent traction in orders and focus on the government on green hydrogen and renewables reaffirms our confidence in the strong growth of the India T&D business. In international T&D,

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we continue to expand our presence with multiple order wins in the key markets. We have also consolidated our leadership in the Middle East by reentering Kuwait and securing large Gulf interconnection orders.

We are witnessing a significant traction in power supply orders, which stand at over INR2,000 crores across the Middle East, North and South America. During the year, we have also reinforced our presence in the international cabling solutions segment with orders in the SAARC region and Middle East. In SAE, we have secured record orders of over INR1,500 crores across Brazil, Mexico and U.S.

With this, our order book and L1 in SAE increased significantly to approximately INR1,600 crores comprising only of orders for supply of towers, hardware and ports and no EPCs. We are witnessing a very healthy pipeline for latter towers and ports from Americas. The robust supply order book, exciting business outlook and refinancing of local borrowings give us confidence of delivering profitable growth in SAE over the next few quarters.

The overall tender pipeline in T&D continues to remain strong in both domestic and international markets, given the push for renewables and requirements for new transmission lines, substation

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and underground cabling. Our Railway business has achieved revenues of INR3,701 crores for the year. We continue to maintain leadership in the conventional area of Overhead Electrification, OHE having successfully executed almost 29% of India's railway electrification in FY '23, the highest in the industry.

The order intake for the business remains subdued at INR2,900 crores, despite a growth of 15%, vis-a-vis, last year. The business continues to diversify its presence in emerging areas and a secured maiden order in the indigenous Train Collision Avoidance System, TCAS under Kavach. The business has also secured orders in conventional OHE composite projects as well as orders in the new areas of speed upgradation and technologically enabled areas of metros. During the year, the business has widened its clientele with the addition of multiple new clients such as Central Railway, South Central Railway, Western Railway, Chennai Metro, Gujarat Metro and MMRDA. With the increase in capital allocation in the finance budget, we expect the tender pipeline to improve going forward. We continue to focus on international opportunities across the geographies where we have an existing presence in T&D.

Our civil business has delivered an impressive growth of 75% year-on-year with revenues of INR3,319 crores. The growth has been delivered on the back of robust exhibition across all segments. The business continues to deliver consistently on the order intake front, and a secured record of inflows of over INR6,600 crores, including the single largest order in the history of KEC of INR2,060 crores in the water segment.

During the year, the business further strengthened its presence with significant order wins in the water, industrial, residential, public spaces and data center segments. The business has also expanded its presence in commercial buildings and logistics park segment. An uptick in order intake has significantly enhanced the order book plus L1 to over INR10,000 crores, comprising

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of turnkey EPC projects across segments or market clients. We are confident that this business will continue to grow significantly going forward.

In Oil & Gas pipeline, the business has delivered commendable growth post seamless integration of KEC Spur Infrastructure to deliver revenues of INR483 crores, a strong growth of 2.7x, vis-a-vis, last year. The business has secured order intake of ~INR500 crores with entry into new areas such as composite station works, which help to augment the pipeline laying capacity. The business continues to focus on widening its market by focusing on enhancing its pre-qualifications.

The business has a strong order book and L1 of over INR1,000 crores, comprising government and private players. We are confident of scaling up this business in the coming years. In line with the government's focus on green hydrogen and associated renewable energy capacity addition of about 125 -gigawatt in the country by 2030, we have started refocusing on the solar business. We have commenced execution of our largest solar project of 500 -megawatt in Karnataka secured last quarter. This project will utilize tracker-based technology, further enhancing our potentials in the growing renewable market. The modules for this project will be supplied by the client.

Our cable business continues to deliver a good performance as with the highest ever revenues, order intake and profitability during the year. The business achieved revenues of INR1,615 crores, a growth of 6%, vis-a-vis, last year. The business is also progressing well with our development of 10 new products this year, of which six products have been successfully commercialized.

In a significant development, I am pleased to share that as part of our backward integration, the business has commissioned the PVC compounding facility at Baroda, which will

help improving

profitability. We are confident that this business will continue to grow in terms of revenue as well as margins.

Last year, we had partnered with a global management consultant for a two-fold business transformation program on world-class engineering and civil execution excellence. During the year, we have successfully completed the program to improve our engineering led wins and enhance profitability across various businesses. As part of the Civil execution excellence initiative, we've seen focus on developing end-to-end execution and project management processes, including digital initiatives such as equipment telematics, BIM, use of AI, ML and analytics.

In ESG, we continue to take several measures to transform our operations in a sustainable manner. Some of our key initiatives during the year include installation of solar rooftop at our Dubai plant, in addition to the existing solar rooftops at Nagpur and Jaipur plant. With this 20% of our total power requirement at these plants will be catered through solar energy.

Installation of induction furnaces at all our four tower manufacturing plants to replace the fossil fuel-fired furnace with electricity or greener fuel. Various steps have been initiated across project sites for reducing energy consumption, GHG emissions and conservation of water. I'm glad to share

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that our progress on this front has been well appreciated which is reflected in the improvement of our ESG rating by S&P Global DJS I and Morningstar Sustainalytics.

Overall, we have delivered a good performance across various areas, significantly exceeded our revenue growth guidance by delivering a growth of 26% year-on-year against the guidance of 15% to 20%. Margins in the last two quarters have improved sequentially from 4.4% to 5.1%, exceeded the order intake guidance by achieving order intake of INR22,378 crores, growth of 30% against our guidance of INR18,000 crores to INR20,000 crores.

In SAE, we have closed all EPC projects and delivered positive EBITDA in Q4, brought down our net debt, including acceptances by INR1,100 in the last three quarters against our guidance of INR500 crores. This is despite our full year revenue growth of 26%. With traction in orders, we have built a robust order book plus L1 of over INR34,000 crores. The outlook remains healthy across most of our businesses with the current tender pipeline of over INR100,000 crores. With a robust order book plus L1 and a strong focus on execution, we are confident of delivering an improved performance across both revenues and margins. Thank you very much. We are now open to questions.

Moderator: Thank you very much. We'll now begin the question-and-answer session. The first question is from the line of Renu from IIFL. Please go ahead.

Renu: Yes, hi good morning sir. And thanks for the opportunity. The first question is regarding your guidance and margin outlook. While you have mentioned that FY'24 is expected to be better than '23, in hindsight, this would look '23 margins overall ending fourth quarter with 5% has been almost 50% lower than our normalized margins of 10% plus. So, going forward, what is the outlook in terms of margin by when do we expect double-digit margins to revert for the portfolio? And also aligned with this, can you throw some light in terms of the low-margin fixed-price T&D orders? By when are they expected to be broadly out and completed from a backlog?

Vimal Kejriwal: Thanks, Renu, for your continued interest. And I think you maintained your record of asking the first question always, yes? So, anyway, let me come to the margin straight away. I think as far as the margins going forward is concerned, our view is that we should be seeing a 50 basis point increase, I think, quarter-on-quarter in the first half. So H1, I think we should show 50 basis points each quarter. So

it will be around 100 basis points up by the time we reach Q3. Overall, for the year, we are expecting margins to be in the range of around 7%. So, H2, in my view, will probably be around 8% or so. I'm sticking my neck out, but I think that's the way we are looking at margins based on the current, I'll say, market scenario.

As far as the T&D orders are concerned, we had a few of them in the TBCB area, which is still impacted by GIS in some parts of it. We have completed, I think, one of them already and the other two are getting over now in this quarter. And the balance, which should get over, hopefully, in Q2 or Q3, depending upon what happens on the land availability, etcetera. There are some issues still going on. A couple of projects are still on hold where there are large claims lodged with the client. So, depending upon what happens and when the projects get completed, that would decide sort of the impact on the numbers.

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Renu: Right. So, is it fair enough to say that while the non-T&D business is now nearing 9% -plus margin between 9% to 10% kind of margins, it is the core T&D business which is pulling down OPM? And if possible, can you throw some color in terms of how has been the T&D profitability for fiscal '23 and expectations of fiscal '24?

Vimal Kejriwal: So, you're probably right on the numbers, but I don't think we're 9% plus as of now, but close to that. I'll say slightly maybe 100 basis points here or there, okay, on the non-T&D. In non-T&D around INR 1600 crores is coming from Cables, which is at a lower EBITDA, but much higher ROCE, okay? T&D has been very poor, okay? I'll say low single digit. And that's what I can say on, in the H2. And I do expect that will start improving from Q1 this quarter.

Renu: Sure. And then coming to the broad question of your order outlook, domestic T&D or overall T&D has done phenomenally well in FY'23. And your comments suggested that the momentum

should continue for '24. So, how would your guidance for order inflows and specifically in T&D and civil business be, which have been the anchors for order accretion for KEC?

Vimal Kejriwal: So overall, this year, we had an order intake of INR22,000 crores plus. So, next year, we, on FY'24 has already been, I think we are talking about INR25,000 or so crores in the order intake. And also with the growth that we are having this year, I think we want to be very, very cautious and very particular on the order intake because the INR34,000 crores of L1 order book plus L1, we may probably be a little bit less aggressive on order intake by focusing more on the quality of the order intake.

Renu: Got it. Fine, sir I have more questions. I'll come back in the queue.

Vimal Kejriwal: Please come back. Thanks Renu.

Moderator: Thank you. The next question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: Sir, hi. Hi, Vimal sir. Congratulations on improvement, sequential improvement. My question is, in the start of the call, you said that the domestic T&D has first time you are seeing INR4,000 crores after a long time, you've seen INR4,000 crores of orders. So, if you can just help us understand where is the demand coming from? And your sense on T&D ordering domestic for FY'24. You can also touch upon orders from utilities, industries, railways. So, that will be helpful, for opportunities like Vande Bharat high speed trains, if you can touch upon that also that will be helpful.

Vimal Kejriwal: So, largely, if you look at the order intake in T&D, it's coming somewhere on the back of green energy. Almost outside of INR4,000 crores, almost up INR3,000 crores of orders must be in and around the Gujarat, around the Kavaratti area, the Ahmedabad, Navsari path and all that, where the large solar and hybrid plants are coming up. So,

most of the orders are from that area, including one from the GIPCL also, which has come in that area. There are a couple of other orders which have come from other TBCB operators.

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In fact, one which we announced this year in April was also from non-PGCIL. But of course, for the TBCB project. So, we continue to see, there are a large number of TBCB schemes, which are under bidding. But even today morning, there was an advertisement for a GIS Station. So, we're clearly seeing a lot more business coming out. But again, I'll say mostly driven around green energy. That's the area where we are seeing. We are also seeing demand from private sector coming up for data centers, for refineries. And similarly, even some of them for building large residential complexes where they want large cabling opportunities are there.

So, that's, I think, another piece which we are seeing in the domestic T&D. We are not too much focused right now on the states because of whatever problems we are seeing on the payments, etcetera. So, we have sort of I'd say defocused on most of the states. We are hardly looking in a very few states. So, state utilities is not a major growth driver for me. It would primarily be power grid and other private developers.

Parikshit Kandpal: And on the Railways, if you can touch upon the current electrification opportunity and the emerging one slide. Do you think that Vande Bharat require a different electrification network and high-speed rail also, if you can touch on that?

Vimal Kejriwal: So 100%, the Vande Bharat will definitely require much better tracks. The tracks are to be straightened out, the level crossings have to be shut down, over bridges have to be built, signaling has to be changed. The OHE will have to be changed, in fact, we have got a lot of orders now on 2 x 25. I think five or six orders we already have for those. So, clearly, it's a matter of time that once the Vande Bharat trains to increase the number. The spend on these things will definitely go up. Last year's spend has been a little bit disappointing.

Also, I think what we did see was a significant increase in competition, okay, especially on the civil and composite projects, which have come more last year. The other big change, which in a way we were not able to manage well was that most of the railway PSU stopped giving orders and they became competitors. And the orders are all coming in from the Zonal Railways. Zonal Railways have got a lot of local players, etcetera. So, it did take us time for a company like us to adjust to that environment.

So, I think by now, it's now falling in place. So, hopefully, we should see and improve the order intake this year. Last year was a bit of a disappointment, but I think we are okay.

Parikshit Kandpal: So, with the strong margin expectations, so when you source your equipment, so I know towers and cable you will manufacture, then transformers of stations and other things maybe you announced. Are you seeing elongated delivery cycles, I mean, the delivery cycles, are you seeing senses where certain manufacturers are, and there is a long issue on delivery timeline?

Vimal Kejriwal: So Parikshit, what's happening is at towers and cables, we have our own manufacturing. And we

have six tower factories, two cable factories. So, I think we are okay on that part where we can manage our priorities. As far as transformers and switchgears are concerned, there is a delivery issue which in fact there are issues in conductors, specific type of conductors. But I think with our relationship and with our vendor management, generally, we are not seeing a significant delay. Off and on, there could be some delays on some particular type of equipment if you want

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the 765 GIS, maybe there could be a delay or something. But generally, we

have been able to

manage. But yes, overall, if you look at the market, there is a strain on the supply chain, very clearly.

Parikshit Kandpal: Okay. Just the last question, sir, on the standalone business. So, if I reconcile standalone and consol., so there is a profit of a different method of, EBITDA positive about INR77 crores. And so is there any reversal, in any of the entities, international entities of provisioning? And if I have to attach it to the EBITDA margin, so EBITDA margin standalone is the lowest now at 4.2% this quarter. So, this issue is largely owing to the fixed T&D projects or civil also, we are seeing some pain?

Vimal Kejriwal: No, no. I don't think it's a question of pain there. There has been some pain in T&D. Obviously, civil there is no pain at all. I think the issue, which is there is in some of the earlier calls, we had talked about our Dubai subsidiary, which is a tower factory, and also our EPC arm, which is under Dubai factory, 100% owned by KEC. So, what's happening is that many of our orders for tower supplies and also all the orders in UAE. And also some part of it because of the fiscal benefits which we have and the duty advantages.

This year, I mentioned that our Dubai turnover is close to INR900 crores. which -- and I'll say that's a very healthy PBT. So, all that would have otherwise a year back to the probably had been a part of the standalone. And that's the only reason why we see a lower standalone as compared to the earlier years, that there is no reversal or any other issue, except whatever what Renu was talking about previously about projects there's some pain there. But otherwise, all other businesses are okay. Thanks Parikshit. You'll have to come back. Thank you.

Mod erator: Thank you. Next question is from the line of Bhoomika Nair from DAM Capital Advisors. Please go ahead.

Bhoomika Nair: Yes, good morning sir.

Vimal Kejriwal: Morning Bhoomika.

Bhoomika Nair: Good morning sir. Good to see the debt reduction that we've seen over the last three, four quarters, almost INR1,000 -odd crores between 1Q and 4Q. Now, if I see the interest cost, it's actually risen quite sharply despite the decline in the debt levels. Clearly, some bit of it has, would have gotten over the increase in the interest rate. Now as we move ahead when you're talking of it to be about 2.5% to 2.6% of revenues to be the interest cost. This is talking of a very sharp decline on a quarterly basis versus the exit of 4Q FY'23, which is at about INR160 crores. What gives us the confidence that this will kind of come down? And what are the areas that will actually drive the reduction in the interest cost. Also, if you could talk about if there is further scope of debt reduction.

Vimal Kejriwal: So Bhoomika, I do not see much of debt reduction happening because we would not discuss, but we'll definitely have a 15% -plus revenue growth in FY'24 again. So, that would require some more working capital. So, honestly, I'm not very sure whether we can reduce the debt further keeping in mind the revenue growth. Maybe there is this, what will happen probably is that

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NWC should improve, you saw that we already improved by a good number. Our target as usual always remains below 100. I think we should be able to lose by at least 8 or 10 days this year from 118 to maybe 110 or maybe let's see what we can do. Our aspiration still remains below 100. So, that's one part of it.

As far as the interest is concerned, we had around INR150 crores, INR160 crores of interest this quarter. And if you look at our Brazil interest for the year, the Brazil interest is around INR90 crores or so. So, we do expect that, that interest will come down by at least INR30 crores, INR40 crores if we are able to restructure those loans the way we have been discussing either by way of restructuring the loans or ma

you get some equity in figure for India, where you actually borrow in India at a much lower rate. So, that's one part of it.

The second part of it is the entire debt reduction largely has come in Q4. So, clearly, you'll start seeing some impact happening in Q1. Because a lot of people ask me the question saying your debt has gone down, interest have not gone down. That's because most of the introduction happened actually in March. So, there will be some impact of it. And hopefully, I think the interest rate scenario notwithstanding the FED increase yesterday showed sort of settled down, where we should start seeing some improvement somewhere in the interest cost also. Also with our international business going up, we should be in a position to leverage that and probably borrow a little bit more in foreign currency because the premium rates have come down to below 2%, etc. So, it does make a lot of sense saying that can we leverage our international business and borrow a little bit more on this. And I don't know, Rajeev, if you want to add something?

Rajeev Agarwal: So, I would like to add only one more point that entire impact of the rate hike cycle which, let's say, in India was completed in first week of February by the RBI announcing 25 basis point hike. So, that got over. And so that entire impact has come in quarter four. Previous quarter, the impact was coming gradually as the intake was happening. But quarter four has taken the entire impact of 2.5% interest rate hike cycle which has happened over the last three quarters. So, that is also one of the reason that the interest cost for this quarter is looking higher. And we are very confident that with a reduction of almost INR1,000 crores in this quarter, we should see a lower interest cost in quarter 1 in the absolute number.

Bhoomika Nair: Okay, okay. Sir, my second question is on the order intake that you spoke about close to INR25,000 crores for next year. It's fair that we will be focusing a lot more on the quality of the order. Now if you could just elaborate here in terms of you mean by margins, you mean by working capital, what exactly do you mean? And simultaneously also talk about the, obviously, T&D orders are clearly picking up, and we've seen that in FY '23 and the outlook remains fairly strong. How is the competitive intensity out there across segments like T&D, railways, civil, if you could just touch upon that?

Vimal Kejriwal: So our largest markets today are India and Saudi Arabia, okay? So clearly, in Saudi Arabia, we are seeing the competitive intensity going down and the margins improving slightly. I think that's one part. India, what we are seeing is that many of these orders are becoming very specialized

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orders, like a digital substation or either 765 with specific conductors, etcetera. And where these are larger projects, the competitive intensity is also slightly down as compared to the earlier years, okay? You know, the earlier orders were not as competitive effectively, I'll say in the bigger orders. Same thing applies in civil today to have orders of, let's say, tender of INR 500 crores and above. You would have basically 3, 4, maximum 5 players. So clearly, on the larger ticket size, we are seeing less competitive intensity. But on the smaller ones, especially, which has got more civil content in the railways, we have seen a lot more competitive intensity. On the residential sector and all that, where we are becoming a little bit larger than what we had wanted to be, but where we are seeing very little competency with just two or three players in virtually across all of those bids. What was your next question, Bhoomika?

Bhoomika Nair: No, just only focus when you said the quality of orders we'll be focusing on for next year in terms of the INR25,000 crores intake. So I mean, will we mean to focus more on the margins,

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focus more on the working capital? Exactly when we speak about quality of order intake, what exactly do we mean by that? Any targets that we have in mind when you're bidding for the order?

Vimal Kejriwal: So I think there are three or four things. One of the focus is where seeing if there is a large negative carry in the working capital during the project execution or there's a very large retention element, etcetera. We are looking at it very seriously, whether we want to even bid for those projects. So that's one part, which is very clear.

Profitability, again, is something which has been -- which is now there on our, I'll say, much more focused manner. And clearly, we have slowly started in creasing the threshold profitability in many of the places where our concentration is becoming higher. Let's say, for example, I don't know from -- but let's say for Saudi, okay. When we look at it and all that, then the number where we are putting is becoming different.

The third one is that with all the issues which we had on commodity, etcetera. We are again becoming very, very choosy on what orders, what is the risk and commodities and whether can I bid for something which I can hedge immediately if there is a price variation or because I'll give a simple example. There were tenders earlier, which we were hoping on fixed price, but the prices are opened up for six months.

At that time, you were at the most after six months of our relevant, then you would have to pick

it at whatever price it was that after six months. So tenders like that, we have become very, very cautious, whether we want to bid them or not or even go to bid than how much of commodity risk we want to provide for. I think these are the three items. I think Rajeev, anything that you want to add on the quality?

Rajeev Agarwal: I think that's the working capital.

Vimal Kejriwal: I think the fourth one is on the size of the orders. I think what we are realizing is that I think the number of projects which we're executing today is very, very large. So we are looking at reducing the number of projects which we are doing. So in some of the businesses, especially in Civil and even in T&D, we have actually put a sort of a floor saying that below that, we will not

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quote. I think there are three or four things which will help us in improving our order intake quality.

Bhoomika Nair: Great, sir. I'll come back in the question queue. All the best sir.

Vimal Kejriwal: Thank you Bhoomika. Thank you.

Moderator: Thank you. The next question is from the line of Ashwani Sharma from ICICI Securities. Please go ahead.

Ashwani Sharma: Yes. good morning. Thanks for the opportunity. Sir, my first question is on the working capital. So there has been improvement, but I wanted specific updates on the railway where we had GST payment pending. So what is the status over there? And also if you could comment on the Afghanistan from where we expect around INR150 crores, INR200 crores. Have those payments come in?

Vimal Kejriwal: For Afghanistan, out of INR200 crores, which we are expecting, we got around INR50 crores. The balance, we have already signed agreements. So I think the money should come in hopefully within this month. So that INR200 crores should be there.

In the sense that we already got part of it, part of it always a hide and seek. So it's just a question of getting the money. As far as working capital is concerned, I'll let Rajeev answer, but as far as GST is concerned, I don't think we have any major issue now that the GST is in the inverted rate structure got sorted out, the GST settlements are happening, and it has been coming down month-over-month. Maybe Rajeev, you want to comment?

Rajeev Agarwal: So basically, on the GST front, I would like to say that a couple of quarters back, we had given a guidance of a reduction of about

INR150 crores to INR200 crores. So during the year, we have actually reduced the GST balances by roughly about INR120 -odd crores from last year to this year.

Obviously, from a peak level, if you look at what was there in June, from June to March, we have reduced almost INR200 crores of GST accumulated balances. And this is on the back of inverted duty correction, which happened in July, and that has helped us to reduce the GST balances especially in Railway.

So Railway is, actually, on the working capital side. Also payment from the client is still yet to improve, and especially, we were expecting some payment in the month of March and roughly about INR200 crores, INR250 crores got deferred. But GST part has definitely improved in railway rates, which is about INR100 -odd crores they have reduced the balance. So on the working capital front, I would say there are a couple of items which we are still working, especially on the railways and others, which should help us to further improve our working capital this year.

Ashwani Sharma: Yes, thanks for the detailed answer. Sir, secondly, on the standalone numbers. When you look at the margins, you did highlighted the rational. But was there any legacy -- was there any loss

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related to legacy orders during the quarter? And is there any share in the legacy orders in the current order book?

Vimal Kejriwal: There is. Ashwani, we have talked about that, that we have got a few TBCB orders, where there are losses which were there. And that's what has impacted the standalone apart from the railway parts.

Ashwani Sharma: So what was the quantum?

Vimal Kejriwal: I don't have the exact quantum. I don't think I can give you right now. Maybe you can speak to Abhishek later on, he'll give you the numbers. But there are some more legacy orders, which as

I mentioned earlier, we have completed a couple of them, a couple of them will get completed in Q1. The rest will depend upon at the client side once we get the clearances, then those will get over. I don't know whether it will be Q2 or maybe Q3.

Ashwani Sharma: Sir, just one last question. So in your opening remarks, you were talking about a few strategic initiatives. If you could just highlight those, what those be?

Vimal Kejriwal: No, I think what we have talked about was like in railways, we started getting into more technology areas. That has been done before TCAS, where L1 and some other segments, which we are not yet got the orders. We are not announcing them. We've got 3 BLT projects.

Then we finished one of our large programs with an international consulting on improving our engineering. And that you can see clearly the reflection of that is in our much larger wins in T&D. And also partly, I'll say, in Civil because we are also doing a lot of work on analytics and AI, ML on the Civil part of it. And that will clearly help us in improving either our margins or our competitiveness in the system as well as execution.

Ashwani Sharma: Yes. Thank you sir. Thank you very much.

Vimal Kejriwal: Thanks Ashwani.

Moderator: Thank you. Next question is from the line of Priyanka Biswas from Nomura. Please go ahead.

Priyanka Biswas: Good morning, sir. It was great to see that the significant level of deleveraging. So it was significantly ahead of your estimates. But my question is, so can you just give us some idea like what is the level of debt of the Brazil subsidiary SA E? And you were highlighting that interest rates have gone up there. So what is the effective interest rate there? And since you were speaking of refinancing there as well. So what is the level of interest cost we should expect here, let's say, assuming that you complete your refinancing by the end of the first half?

Vimal Kejriwal: So our debt is around INR400 crores, \$50 million actually in Brazil. Right now, we are paying

between 18% to 20%, 21% of interest cost there, okay? The base rate is 13.85% or something is the base rate. And then there's a margin over that. And since we have a loss making balance sheet there, we are almost a higher end of the margin, okay?

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What we are expecting is that by deleveraging and reworking and even with some corporate guarantees from India, etcetera, rates would almost come down to half. That's what we are, which was the number which I talked about earlier that the interest from INR90 crores would come down by INR40 crores, INR50 crores. So we expect that interest will start coming down, maybe partly in Q1, but definitely in Q2, etcetera, we'll see a significant reduction in the Brazil interest cost. Rajeev, you want to add something?

Rajeev Agarwal: Yes. So towards that, we have already done \$20 million refinancing. So to that extent, 35%, 40% portion of the debt has been converted at virtually 8% interest rate.

Priyanka Biswas: So should we see the benefits of that in the next quarter, let's say, this \$20 million refinance, I mean, 1Q?

Vimal Kejriwal: Certainly. Part of it will definitely come because we just did it at the start of the year. And definitely, the full benefits will start flowing in Q2. And hopefully, by that time, we would have done some more.

Priyanka Biswas: Okay. We are understood on that. Then the second part, like I just heard that you got something like INR50 crores of what was due from Afghanistan, right? So any color can you throw on when you expect the balance INR200 crores to come back to you? And what is the state of negotiations maybe?

Vimal Kejriwal: No, I think what we had said was that out of our overall gross exposure is around INR600 crores, net is around INR200 crores and odd INR250 crores. We have said that we will get around INR200 crores in Q4 is what we had expected to get it. Out of that, around -- roughly around INR50 crores came in, in Q4.

And the balance we were expecting, but unfortunately, the agreement got delayed, the agreement has now been closed. So around -- I think within May, we will get another INR150 crores or so. So the INR200 crores, which we had talked about earlier, that money will come in, the balance money which is there is from multilaterals funded, which is the World Bank and ADB where the intense discussions are going on. And I think we are fairly confident that by the year-end, we should get the entire money. But that's the way we are looking at it based on today's development. We'll obviously keep our fingers crossed on what happens on the geopolitical side. But whatever discussions are there today with the multilaterals, I think they are also equally keen to close and move ahead.

Priyanka Biswas: And sir, one more question from my side on the railways payment. I remember there were EPC projects, where there were milestone-linked payment issues. So what is the status for that? So is the fourth quarter improvement in working capital that we have seen such improvement. Is it

due to us achieving some milestones with railways and the receivables there coming down, if that is the case, or let's say, how should we see the working capital movement from here on? Vimal Kejriwal: So, let me put in a different fashion, Priyankar. In the last couple of months, railways has become cash neutral to us. Earlier, we had to put some money into the working capital, which we are

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now not putting. They are collecting enough to take care of their payments. Has the working capital come down? Maybe marginally, okay? I think we are still facing issues. Some of them is because of the EPC, which now the execution is just getting over, I think some of them have got over. So those monies will come in. Also, generally, we have been seeing some slowdown in the payments, okay, w

hich was more March and I think March end gross now, I think that is getting resolved. So I think we will start seeing some improvement. And Rajeev talked about saying that we will reduce net working capital, etcetera, one of the levers for that. This year is going to be the reduction in the NWC of railways. Priyankar Biswas: And so this year, the focus is reducing the balances with railway FY '24?

Vimal Kejriwal: Absolutely.

Priyankar Biswas: And sir, the last question from my side. Can you give us a ballpark idea of what is the fixed price share of contract in your order book?

Vimal Kejriwal: I don't have that number. But I'll tell you one thing is, broadly, most of the fixed price contracts, wherever we are executing the base metals, have already been hedged. So I don't see any risk arising from any of the new contracts, which we have taken on fixed price.

Because what has also happened this time is that as I talked about earlier to Bhoomika's answer on quality of order intake, etcetera. So we were very careful on that. So I think all the fixed price contracts, which we have taken now in the last financial year, all of them are fully hedged now, except for steel. Obviously, steel, we can't hedge. But still, I think we have been seeing generally a stable environment and we had also provided for some increase. So I think we are very comfortable on the metal pricing in all our new fixed price orders.

Priyankar Biswas: Okay. Well understood sir. That's all from my side. Thank you.

Management: Thank you.

Moderator: The next question is from the line of Jonas Bhutta from Aditya Birla Mutual Fund. Please go ahead.

Jonas Bhutta: Good morning, sir and congratulations on the working capital improvement that we've seen. So three quick questions. Firstly, sir, when we look at the subsidiary performance, which is basically consol minus standalone, the performance of the Dubai subsidiary seems to mask the performance of maybe Oil & Gas and SAE. So if you can talk about how SAE performed at least at an EBITDA front in this quarter and the backlog that it has of about INR1,500 crores, as and when executed, what kind of margin band at least at a bid price level have you sort of paid that and we should assume for the next 1 year, 1.5 years as this INR1,500 crores gets executed?

Vimal Kejriwal: So the last question is easy for me. I think the bid margins are up between 8% to 10% there. So I think going forward in SAE, or at least on the EBITDA front, although the interest is still a big concern for us. I think EBITDA, we are quite comfortable because they are all supply orders and most of them, quite a part of that has been already hedged already.

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So that's one part of it. The second part on the EBITDA part is I don't know the exact numbers, but it's marginally positive as far as both Brazil is concerned, and Mexico also has done well. So it will be a couple -- I think, \$1 million or \$2 million. I don't have the exact numbers. But it's not a big number. But it's okay as far as when you look at the turnaround from the losses. And as far as SAE, Spur is concerned, I think Spur has been doing very well. And I don't again, I don't know the exact numbers. But normally, Spur, we have been making a margin of around between 8% to 10%. I think that was the margin for this quarter also.

Jonas Bhutta: Understood. Because when we see the implied margins in the subsidiary, it works out to roughly 14%-odd, which is considerably higher than what you mentioned in terms of SAEs potential and that for Spur. So was there a one-off in Dubai, or this is something that we should maintain in terms of steady state, on the INR900 crores worth of revenue, what is the kind of margins we booked here?

Vimal Kejriwal: So Jonas, if you look at the Dubai revenue, I'd say half of it was from tower supplies and half of

it was fr

om EPC contracts. Tower supplies would typically be, I'll say, between 10% to 15% margins. That's the way we have been looking at tower supply.

And also, what happened was I'll not call it one -off, but I think many of the orders which we booked after that, if you remember, if you look at the steel prices and a little bit there was we had some gains in some of the prices, etcetera. And also logistics citing the major advantage, which we got in the Dubai supply was on the reduction on the logistic cost against what was considered in that tender. But typically, I think we should be at a 10% -plus as far as the Dubai is concerned. I don't think it will be 15% going forward. It depends upon what sort of EPC orders we get out of the margins there. Supply would -- overall would traditionally be around 10% plus. So you're right that Dubai has a major role to play in the numbers of the subsidiaries.

Jonas Bhutta: And what is the order backlog as of now, sir, there?

Vimal Kejriwal: In Dubai, I don't know, Rajeev?

Rajeev Agarwal: Basically, the Tower factory is full for the next year. And EPC order would be roughly about INR400 crores, INR500 crores.

Vimal Kejriwal: It's going to be around 400 Cr. I don't have the exact, but INR400 crores, INR500 crores.

Basically, there are four or five orders. A couple of them in Dubai, a couple of them in Abu Dhabi. So I think you have four or five orders. Abhishek can give the full number, we'll be around INR400 crores, INR500 crores.

Jonas Bhutta: Sure. Sir, my second question was on the working capital. So if I look at inventory days, receivable days, they are largely, we've maintained them at the average level of, say, maybe Q4 of last year, where we've seen a massive reduction is in the other current assets and non-current assets. Any line item that you can point to that has led to this reduction. I know Rajeev spoke about GST collectibles sort of coming down, I don't know whether that played a role at least going through the annual report, one of the main line items there is due from customers, which is effectively contract assets. Has that come down considerably? And the second part that helped

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us was on the payables, we manage payables pretty well. So both of these are these things that are likely to remain in our favor even in FY '24?

Rajeev Agarwal: So Jonas, it's Rajeev. I think there has been a reduction in most of the line items. If you look at the inventory reduction, if you look at the GST balance reduction, each of them have contributed about INR150 crores compared to the last year in March. Obviously, these numbers have significantly gone up during the middle of the year and especially at the end of Q1 and Q2. From there, the reduction is pretty sharp. So that's one.

Even on the debtor day sales, if you look at the DSO number. DSO days have also come down by about 10 days. So obviously, it is not enough. And we are expecting much more reduction on the DSO side. So -- but DSO days from last year March, it has reduced by about 10 days. So there has been a reduction in many of the line items. Obviously, DSO is something which we need to work more, and probably that's an area where we are working. And we expect more reduction in DSO days in the current financial year, and that will be from debt reduction, whatever working capital gets really that will be used for doing the growth in the current financial year, which is about 15% growth we are expecting.

So debt will get financed and that is -- all the loan or the borrowing will not go up from here. In fact, our target is, as Vimal pointed out, our target is to come down on the NWC days from 118 days as on March 31 to about 100 days, so less than 100 days. Let's see, we are targeting -- aspiring to reach 100 days. But definitely, there will be further reduction on that number.

Moderator: The next ques

tion is from the line of Shalini from DSP Mutual Fund.

Vivek Ramakrishnan: This is Vivek Ramakrishnan. Most of my questions have been answered, but let me pose one tricky one for Rajeev, perhaps. One way of reducing interest cost is to keep the ratings higher and ICRA has put the outlook on negative watch at AA minus. They have said that key thing they're watching all total outside liabilities upon net worth. So even if you increase payables, it gets counted there. So how do you expect the trajectory of this to go over the next 1 year? That's the only question from my side.

Rajeev Agarwal: So basically, why it is put us on the negative trajectory, you have to look at the rating rationale that was -- they wanted to see the margin trajectory to go up. And clearly in quarter four, we have improved our margins by 50 basis points. And what we are -- Vimal has just guided for another 50 basis point hike in the margin in quarter one and quarter two also.

So I think from now onwards, our margin trajectory would be positive and that we will be able to retain the rating at least at the current level. I don't think that margin -- this rating should go

down because we have achieved a large reduction in the borrowing also. So that will also work in our favor and instead of the rating agencies. So that will also help us to maintain the rating. Moderator: The next question is from the line of Aditya Mongia from Kotak Securities. Please go ahead. Aditya Mongia: Congratulations for a good set of number. My first question was more of a bookkeeping question from my side. Wanted to get a sense of whatever, 26% odd growth that you have reported in

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revenues. How much of that would be volume versus value? And maybe similar number for your inflows as well.

Vimal Kejriwal: I think most of it would be volume driven. Because there could be a little bit in Cables, maybe, I don't know. But I think Cables maybe the methods have been at the same in -- I think most of it would be volume driven.

Aditya Mongia: Understood. The second question that I had was on the water business. Now as I see today, it's almost 20 % of your backlog, if I'm not wrong, between 15% and 20% and whether it's a few years back when we were having the discussion what has appeared to be a difficult feel in terms of margins and in commercial terms. So what in your view has kind of changed for us to be becoming more aggressive in this line of work?

Vimal Kejriwal: So Aditya, when earlier we were talking about water, it was almost like a different business. Today, if it's become a very different business with the central government first on a Jal -Se-Nal-Tak water mission, etcetera. So the cash flows are guaranteed, the projects have become much more larger, the competition has become much more healthy.

In fact, the water business is one of the reasons why the NWC has come down also because the payments are, I think, one of the most strong payments I have seen in EPC business happening in water. And the numbers we can -- our order book today will be slightly, I think, yes, it's almost 15%. We have around INR3,000 crores all in all. INR4,000 crores on order book actually. On water against a total order book of 31%. So 13% would be our order backlog today in water.

Aditya Mongia: Understood. The next question that I had was on margins. I just want to get a sense from you as you had maybe 2, 3 years of double -digit margins from '15 to '18 -- 2015 to 2018. At which point of time your top line was at INR10,000 crores or thereabout. Now it's about INR17,000 crores, INR18,000 crores of top line. Have you kind of kept on scaling up, is it difficult to get back to the 10% EBITDA margin level? Just wanted to get your thoughts on that.

Vimal Kejriwal: It is difficult. Let me put it this way because once you keep on -- which is why if you were there on the call earlier

, we talked a lot about the quality order intake. Because -- and I think the way if you look at our 10, 15 -year history, it has been a step ladder sort of growth where for a few years, we have had a much larger revenue growth and a lower margin growth.

And the other way around is if you look at 2015, 2020, our revenue growth was flat, and our margin grew significantly from 6% to 10%. So there is some correlation if the numbers go up very fast. But I think what we have to look here is that our numbers are now growing because we are getting into more businesses. So if you're trying to flog the same business, which has reached maturity, then growth will definitely impact your margins.

And now that we have Civil and Oil & Gas, etcetera. I think it's not going to be a significant impact. The revenue growth will not have too much of impact on the margins. But I think as far as double digit is concerned, we are very clear that we are looking at double digit. And we had earlier also said again, we have -- I hope that by exit of FY '24, we should be at double digit or close to double digit at the time of exit.

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Aditya Mongia: Sure. Just a last question from my side. So you talked about competitive intensity in, let's say, Middle East actually going down. Is this an indication of good things to come from an ordering or an order growth perspective, are you kind of seeing, let's say, next 1 to 3 years being pretty good in the Middle East part of things?

Vimal Kejriwal: I don't know about 1 to 3 years. But at least next 6 months to 1 year, I can very clearly see a large number of tenders in the pipeline, especially in Saudi. And also, we are seeing UAE also has started coming back into action and at least every month, we have started seeing one tender, unlike Saudi, where you have at least two or three tenders every week.

So clearly, from 1 -year perspective, I think it's great. And that's the reason why the competitive intensity is coming down because everyone is now full. In fact, we have now started looking at

not putting many of the tenders because of various reasons and also because we have a large order book. So clearly, it's a sign of good things on the tender pipeline.

Moderator: The next question is from the line of Kaushal Dedhia from Axis Bank. Please go ahead.

Kaushal Dedhia: Most of my questions have already been answered. And congratulations on getting positive EBITDA on Brazil subsidiary, networking capital reduction as well as sequential improvement in the EBITDA margin. So just one question from my side is on the dues of Afghanistan. So I heard that you got some INR50 crores in Q4 and another INR150 -odd crores balance is expected in this month. So after this recovery of INR200 crores, what would be the net dues in Afghanistan?

Vimal Kejriwal: On a net basis, it will be about INR250 crores.

Kaushal Dedhia: Even after getting this INR200 -odd crores?

Vimal Kejriwal: Yes, after INR200 crores, the gross number is INR400 crores, and net basis is INR250 crores. I think we'll -- you can talk to Abhishek to get a better hang of it. There will be some large part of the result of the money, which are coming in will also go to the liability reduction. But there will be some reduction.

Kaushal Dedhia: Okay. And sir, lastly, on this Brazil SAE thing, the subsidiary, we will not see any further impairment or anything now that touched on EBITDA positive. Is that fair assumption?

Vimal Kejriwal: That's a fair assumption. I don't see any reason for any further impairment. But even the impairment calculation, a lot of things during the 10 -year yield and all that. A little bit of 5% or 6%, you have a poll. But I don't -- honestly, I don't see any more impairment happening, no.

Moderator: Next question is from the line of Hiten from Sequent Investments. Please go ahead.

Hiten: Sir, most of my

questions have been answered. I have only one question left that's on tax rate.

So what would be our tax rate in this year, sir?

Vimal Kejriwal: So the tax rate -- if you look at the standalone FY '24 -- you are talking about FY '24, it could be approximately 24%.

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Hiten: I'm talking about fiscal year FY '24, yes, sir.

Vimal Kejriwal: Yes, 24%.

Hiten: 24%. Okay. Okay. And sir, you have guided 15% top line, that's on consol level, right?

Vimal Kejriwal: Absolutely, yes.

Moderator: The next question is from the line of Yashika Panchoji from Sunidhi Securities. Please go ahead.

Yashika Panchoji: I just wanted to know -- yes. Just wanted to understand if there is cancellation in railway orders in Q4?

Vimal Kejriwal: Sorry, I did not get your question.

Yashika Panchoji: Just wanted to understand that for railway, have you had any cancellation in Q4?

Vimal Kejriwal: No.

Moderator: Next question is from the line of Ravi Malhotra from JP Investments. Please go ahead.

Ravi Malhotra: I had a question on the -- yes, I had a question on the international business on T&D. Since we are focusing on this business, what would be the addressable market size and key drivers for the T&D business in international markets?

Vimal Kejriwal: By international market, I think it's going to be difficult to define the size because we keep on adding countries, reducing countries, etcetera. But typically, we look at 15%, 20% growth every year. Last few years, they have not grown. This year, we've grown a way almost 50%, 60%. So going forward, we look at saying that 10% to 15%, 20% growth should happen.

And mainly, it normally comes the neighboring countries, SAARC, Bangladesh, Nepal, etcetera.

And then Middle East and Africa. These are three major areas where we looked at growth. This year, we have added Americas because we are seeing a lot of work happening in Americas where we do power supply. So to me, these are the areas where we look at. And typically, the market grows at that rate, 15%, 20%.

Ravi Malhotra: And sir, one last question on the green hydrogen project, which we have. So the government has an outlay of about INR197 billion. So what would be -- any calculation, what would be the T&D opportunity?

Vimal Kejriwal: We don't have specific numbers because we do not know where and what will finally come in.

The talk has been that there will be large green and hydrogen -- large renewable projects for setting up of green hydrogen. Because ultimately, green energy, depending upon whether it is wind and solar, where it comes up, etcetera. But typically, the talk has INR18,000 crores, INR20,000 crores of opportunity will come in T&D on account of green, as a renewable energy plant being set up and for the transmission of that, the power from those plants to the electrolyte, wherever else it has to go.

I think it's still, I'll say, a little bit too premature to look at numbers because we honestly do not know there's a huge government trust. We still have to see large -sized hydrogen plants coming up. Whatever coming out right now are pilot plants in refineries and other PSUs. But we are not seeing major plants coming up. But in anticipation being major announcement on the renewable side.

So we'll have to wait and watch maybe 6 months to 1 year down the line where this becomes much more clear saying what would be the impact. But I think we are very positive that there will be a good impact for us, both on the T&D side and also on the solar EPC side.

Moderator: Thank you very much. I now hand the conference over to Mr. Vimal Kejriwal for closing comments.

Vimal Kejriwal: I think I'd just like to thank everyone for their continued interest in KEC. Thank you so much. Thanks Neerav. Thank you.

Moderator: Thank you ver

y much. On behalf of KEC International, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

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August 04, 2023

MANAGEMENT : MR. VIMAL KEJRIWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – KEC INTERNATIONAL
LIMITED
MR. RAJEEV AGARWAL – CHIEF FINANCIAL OFFICER
– KEC INTERNATIONAL LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to KEC International Limited Q1 FY24 Results Conference call. We have with us today from the management, Mr. Vimal Kejriwal, Managing Director and CEO and Mr. Rajeev Agarwal, CFO. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star and zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vimal Kejriwal. Thank you and over to you, sir.

Vimal Kejriwal: Thanks, Neev. Good morning. We welcome you all to the Q1 Earnings Call of KEC. Let me start with an update on the key developments during the quarter and thereafter talk on the overall financial performance of Q1 along with highlights of the respective businesses. We continue to deliver a sequential improvement in EBITDA margin quarter over quarter. The margin has improved sequentially by 140 basis points in the last three quarters from 4.4% to 5.8% and has improved by 70 basis points from 5.1 in Q1 last year to 5.8% this quarter.

In SAE, I'm pleased to share that we have successfully revived the business by delivering a positive PBT for the quarter. We continue to refinance the high cost loans in tranches and are on track to refinance the balance loans. The business continues to witness a sustained flow of orders from Americas with YTD order intake of over INR350 crores, a healthy growth of 65% Y-on-Y. With this, the book and L1 in SAE stands at over INR1,600 crores comprising of orders from supply of towers, hardware and poles.

In Afghanistan, we have realized further collections of INR220 crores till date in FY24. With this, the total collections received in the last two quarters stand at over INR260 crores. We are in active discussions with the multilateral funding agencies for collection of the balance receivables and are confident of realizing the balance in the coming quarters. Coming on to the financial performance for Q1. We have delivered a robust revenue growth of 28% for the quarter with revenues of INR4,244 crores. This growth is backed by healthy execution in both T&D and our civil business.

We have also achieved an impressive growth in EBITDA of 45% with a consolidated EBITDA margin of 5.8% for the quarter. We are, however, witnessing a shift in the margin profile with significant improvement in revenues and margins of our UAE subsidiaries, SAE and KEC Spur. The margins for the standalone are slightly lower owing to the mix of projects and the execution during the quarter. We have also increased our bottom line significantly with PBT growth of 26% and PAT growth of 36%.

We continue to witness an uptake in order intake. Along with our Q1 results, we have also announced new order wins of INR1,065 crores yesterday. These include orders in the T&D and cable business. With this, our YTD order intake stands at INR4,500 crores, a staggering growth of 30% vis-a-vis last year. The largest contributors in our YTD order intake have been India T&D and civil businesses followed by railways and cables. We now have a well diversified and

strong order book of INR30,125 crores as on 30th June, 23, a strong growth of 27% vis-a-vis last year.

Additionally, we have an L1 position of over INR5,000 crores diversified across businesses. With this, our order book plus L1 position stands at a record level of over INR35,000 crores, which is more or less equally divided between the T&D and the non-T&D businesses. We continue to focus on working capital and have brought down our net working capital by 22 days to 126 days as on 30th June 23, vis-a-

vis 148 days as on 30th June 22.

Our net debt, including acceptances have reduced by more than INR350 crores and stand at INR5,714 crores as on 30th June 23, despite a revenue growth of 25% in the trailing 12 months. The interest cost however stands at 3.7% of revenue owing to the steep increase in the interest rates.

Now coming to the specific businesses. Our T&D business has achieved revenues of INR2,188 crores, with a significant growth of 33% vis-a-vis Q1 last year. The growth has been delivered on the back of robust execution across both domestic and international markets.

In terms of order intake, the business continues to witness traction with a stellar growth of 50% and new orders of over INR1,800 crores across India, Middle East, Africa, Europe and Americas. We are pleased to share that the business has secured prestigious repeat orders from private developers and another order from a reputed power generating client. In a significant achievement, the business has secured its made in tower supply order from Europe, which is a testament to our dedicated focus on increasing the tower sale business and diversifying it geographically. We have also secured a second tower supply order from the US market.

The overall tender pipeline in T & D continues to be strong, both in domestic and international markets. In India, the power sector is poised for promising growth with transmission infrastructure planned for major renewable energy potential zones such as Rajasthan, Gujarat, Andhra Pradesh and Tamil Nadu to support the target of achieving 500 gigawatt of non-fossil fuel power by 2030. We have already secured some of these orders in the T & D segment. We have also increased our focus on the renewable energy segment, especially solar.

In international, we continue to witness opportunities in the Middle East, SAARC, and the CIS region. With a record order book and L1 in T and D of over INR18,000 crores, and an increase in tendering activities across regions, the business is expected to gain further momentum.

Coming to railways, the railway business has clocked a revenue of INR764 crores for the quarter with a growth of 8% vis-a-vis Q1 last year. The business has also secured orders of over INR750 crores, strong growth of over 80% vis-a-vis last year. In a significant development, the business has successfully expanded into the international market with its order for a signaling and telecommunication project in Bangladesh. In line with the government's focus on increasing capacity, speed and safety of the Indian railway network, the business has forayed into the emerging segment of automatic block signaling ABS to increase line capacity for automation and thereby strengthen its presence in the promising speed up gradation segment.

With increased trust of the government on strengthening the infrastructure, we expect some large opportunities in the areas of signaling and telecommunication, speed upgradation, TCAS that is KAVACH and Automatic Block Signaling. We also continue to focus on the international market.

Our civil business continues to run a high growth trajectory as it delivered revenues of over INR950 crores, a splendid growth of 60% vis-a-vis Q1 last year. The growth has been delivered by robust execution across all segments, especially industrial, urban, infra, water, and residential. During the quarter, the business has strengthened its order book with multiple orders of INR1,370 crores in the industrial, residential, and commercial building segments from reputed clients. The business has also widened its presence by securing composite orders, including mechanical, electric, and plumbing works MEP. The data center industry in India is witnessing unprecedented development and is one of the fast-paced growth sectors. It is estimated that there will be an additional over

800 MW capacity by 2024 with an investment of US \$5.5 billion in setting up data center facilities. We are currently executing four data center projects and are

confident of growing this segment significantly. With a robust and diversified order book and L1 of over INR11,000 crores, the civil business is confident of leveraging upcoming growth opportunities through its diversified presence across sectors and strong project management and execution capabilities.

In oil and gas pipelines, the business has delivered revenues of INR104 crores, a growth of 13% vis-a-vis last quarter. The business continues to focus on building required pre-qualifications to increase the size of the addressable market. The business has a strong order book and L1 of INR1,000 crores comprising government and private players. We are confident of scaling up this business in the coming years.

In Cables, the business achieved Revenues of INR389 crores. During the quarter we have launched a large transformation program for improving profitability with a global management consultant. The business has successfully ramped up the PVC plant to produce 500 metric tons of various grades, thereby leading to a significant cost advantage and better control on the supply chain. The business is also progressing well with the development of additional new products and is on track to commercialize them this year.

In ESG, we continue to embed industry-leading practices across our operations in factories and project sites. In line with our strategy to make all our manufacturing plants water positive, we are pleased to share that our Nagpur plant recently received water positive certificate for promoting water conservation. Our efforts have led to the company generating 60% more water credits than debits.

In conclusion, we are pleased with our consistent growth in revenues, traction in order intake, and improving trajectory of profitability. The outlook remains healthy across most of our businesses with the current tender pipeline of over INR1,00,000 crores. With a robust order book plus L1 and strong focus on execution, we are confident of delivering the revenues of over INR20,000 crores with EBITDA margins of 7% for the year.

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Thank you. I am now open to questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. First question is from the line of Ashish from JM Financial.

Ashish: So my first question is on the India T&D prospects. I mean, we have seen some amount of traction picking up. So if you can specifically tell us how is the order bid pipeline at this point of time for the India T&D? What is the kind of inflow we expect in that business this year?

Vimal Kejriwal: In India T&D, we are suddenly seeing a lot of traction. I think there is some change somewhere in the government thinking saying that, notwithstanding what is happening or, let's say, some delays in solar and etcetera. We have now said that since transmission line takes for 2 years, 2.5 years to erect or construct versus a solar in 1 year. They have now started going ahead with lines even if the solar and all are slightly, I'll say slightly behind, okay?

But if you want to take some numbers probably between PGCIL, SEB and private, we are seeing somewhere around a tender pipeline today of around INR20,000 crores or so in the, let's say, in the coming quarter or quarter 2. That's the number, which are there today.

Ashish: Okay. And what's the kind of share that we'll expect this year? And basically, what kind of competitive intensity, how many players are bidding today? And what's our fair share we'll expect out of this, let's say INR20,000 crores, INR25,000 crores?

Vimal Kejriwal: So Ashish typically, We have been getting between 10%, 12% or 15%, 16%. So 1 out of 6 is what typically we see, okay? That's a typical

one.

Competition, I'll say, in transmission line is maybe for larger projects, it would be four or five players. Substations, where we are actually getting a lot of orders in substations than in transmission incidentally, it is maybe three or four people for the larger ones, especially the GIS ones. If it's AIS one, then the numbers are much, much larger and maybe seven or eight players, but GIS, it's three or four players.

Ashish: Got that, sir. One last thing. On the Dubai business, we have mentioned that it's been ramping up well. If you can give us the revenue and EBITDA that we have done in UAE business for this quarter?

Vimal Kejriwal: I don't think I have the exact number, but it would be, I think, somewhere round INR700 crores, INR800 crores of revenue between the two subsidiaries in Dubai. If you look at the annual numbers, Dubai plant should be around INR500 crores also, between INR400 crores to INR500 crores, because the capacity is around 50,000 tons, if you take an average realization of 1,00,000. I said between INR400 crores to INR500 crores would be the full revenue potential of the plant. And on the EPC, it depends upon how many orders we are able to exhibit and what do we do. But I think typically, I think this quarter was -- I don't have the exact numbers, but that's what

we will achieve.

Ashish: And what's the kind of margin the Dubai plant makes, sir?

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Vimal Kejriwal: So right now, the margins are better than other places, because of the fall in the steel prices because these orders have been booked and steel has been showing a beneficial trend. So I think it would be close to double digit or something or maybe 100 basis points here or there, but it's broadly around that side.

Moderator: The next question is from the line of Vivek from DSP Mutual Fund.

Vivek: Congratulations on an excellent performance. On the stand-alone EBITDA, you had said that there was a product mix that caused lower EBITDA. Which part of the product mix in terms of revenue has caused the lower EBITDA? And you expect it to normalize in the current year? It is question number one. I mean, in the later quarters.

And secondly, especially on working capital, there's been tremendous improvement. You had some kind of wobbles in the railway collections. Has that improved? Those are my two questions, sir.

Vimal Kejriwal: So the railway collection wobble still continues. Let me be very, very clear on that. I think that's still not normalized partly. Our issues where we have not been able to build it properly or complete the project as per the commercial terms and partly on account of delays, okay?

As far as the India as a stand-alone business is concerned, I think what we have said is that the project mix was an issue because we are all -- we've been discussing the legacy projects for a long time. So we have been able to book a large part of -- I'll say the losses in those projects during the quarter. And depending upon how they progress, probably they should get hopefully closed by Q2. So I think by Q3, we will start seeing a bump up in the stand-alone margins.

Moderator: Next question is from the line of Riya Mehta from Aequitas Investments.

Riya Mehta: My first question is in regards to international T&D. What kind of opportunities are you seeing in Middle East?

Vimal Kejriwal: So as far as Middle East is concerned, the maximum, I'll say, tenders are coming in from Saudi, a few from UAE and a few from Oman. But largely, it's a Saudi focused market. And the second piece, as I answered the first question is that we are seeing a lot of inquiries for tower supplies from our Dubai plant. So typically, I think our revenues in Middle East should be close to INR1,000 crores or maybe it's more than that for this year.

SAARC, we are seeing opportunity restricted to two countries, basically Nepal and

Bangladesh.

Of late with the current situation of Bangladesh, there is a little bit less. But I think Nepal suddenly seems to have an upgrade with orders or tenders. So get funding from all over the place from Government of India, KfW and Millennium Corporation U.S. So we have seen a large number of tenders, which have come out in Nepal.

And I think, hopefully, by Q2 or Q3, many of them would be quoted and decided. So we should hopefully see a lot more orders coming out of this country. Bangladesh, also, there are some

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tenders, but of late, it's a little bit less, but I think it is a matter of time because the requirement is large. So those tenders will also come up.

Riya Mehta: Also in Civil, you said that you're seeing investments in water pipeline. So which markets are we seeing this exactly?

Vimal Kejriwal: So this -- if you ask me the segment, it is that Jal Se Nal Tak where you are -- we're supplying water, building tanks, water purification plants, etcetera, and supplying to villages. So right now, we are in two states in Odisha and MP. And we have an order book of close to INR4,000 crores in this segment.

Riya Mehta: Got it. And in term of Oil & Gas pipeline, could you give your outlook on that?

Vimal Kejriwal: That business has been a little bit subdued in that sense, because the number of orders and what we were expecting tenders had not come in earlier, but now we are seeing some tenders coming out. We are already involved in two tenders. And I think a few more are coming out. But it's been in a way lower than what we had thought, okay? But I think the government is now again talking about the gas grid. So hopefully, some more tenders will come out.

Riya Mehta: Okay. I think ONGC and all this are coming up with a tender in December now.

Vimal Kejriwal: Yes, yes. Let's hope for the best.

Moderator: Next question is from the line of Bhoomika Nair from DAM Capital Advisors.

Bhoomika Nair: The first question, in T&D, you spoke about some INR25,000 -odd crores of ordering that could possibly happen this year. Just wanted to understand how is competition kind of behaving in this space of, given that there is a decent amount of traction? Are you seeing much more players of the same size of players, who typically win a lot of the orders more impact kind of scaling up?

Vimal Kejriwal: So typically, Bhoomika for the smaller orders and for smaller T&D, where the prequalifications are pretty relaxed and also for AIS substations. So there, we are seeing a lot of competition, I would say 6, 7, maybe 8, 9 players also coming in. But if you look at the larger orders where there is a requirement for specialized conductors and 765 lines, etcetera, and also the larger GIS.

Like last year we got two digital GIS. So, there were hardly maybe I think two or three players who were able to offer those products. So, for the larger ones with much more, I'll say complex requirements, the competition is fairly limited, maybe three to four players. But on the normal ones, it's hard to carry, you have 7, 8, 9 players coming in.

Bhoomika Nair: So, I mean are the big margins still have been on double digit kind of levels now here or have started to trend it up, trend it down, I mean, how is the trajectory out there in terms of the big margins?

Vimal Kejriwal: So, I said typically the mid margins have started to trend up, but the margins have started to trend up very clear.

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Bhoomika Nair: Okay sir. Sir, the other thing is in civil obviously we've seen a huge amount of traction in the last couple of years and we've scaled up our own offerings, etcetera. Out there. Obviously, there's a lot of capex that's happening, a lot of activities that's happening, where do you see the order and flow for this segment in the current year

and the kind of revenues that will grow that we could possibly see out there?

Vimal Kejriwal: So, Bhoomika, if you remember last time also, we talked about it saying which sectors and all that. So, I think one is clearly the real estate, the residential piece is doing very well. That's the biggest market which we are seeing. Second one is on commercial. Surprisingly, we started seeing a lot of inquiries on the commercial side, both offices, as well as the shopping malls, etcetera, okay. So that's I'll say the residential and commercial.

On the industrial, we continue to see a lot of things from metals and mining, okay whether it is steel, whether it is aluminum, zinc, so we have continuous inquiries are coming from metals and mining. Off late we got a couple of inquiries from FMCGs, which were not there at all, but now we started receiving. So, I don't know whether rural demand is picking up or what is happening, but we are seeing inquiries from FMCG.

Then also from data centers as we talked about, I think broadly those are the areas where we can see and water is continuing in any case. Not too much on the urban infra. So, there seems to be some slight slowdown at least in the sectors in which we are operating. I think probably that's the part of civil.

Bhoomika Nair: And so what kind of intake we could see in this year from this segment?

Vimal Kejriwal: So, overall for civil our target is a round INR8000 crores or so of order intake out of the 25,000, which we have for the whole company, we expect that civil should do 8000 maybe more, but that target is 8,000.

Bhoomika Nair: Okay, okay. So you're in civil just on the margin profile, we used to get around 5% odd 6% kind of margin sometime back. With this increase in terms of a very low working capital commensurately, how is this now kind of turning, I mean, with residential, etcetera, coming up more, are we seeing working capital going up and margin trending up, if you can just comment on both these aspects of the segment?

Vimal Kejriwal: So, working capital, Bhoomika, is more involved in your urban infra and all that. Okay, residential, industrial, and all that. Typically, for working capital requirements are very low. See, I think if you look at historically, what used to happen is that you had very small contractors who did not have their own cash flows, etcetera. So, somewhere the way the civil business is structured, especially the residential industrial, the payment cycles are I will say pretty good as when I look at T &D and railways and all that.

So, the working capital cycle remains fairly I'll say benevolent for us in terms of civil. Margins have been trending upwards. Obviously they are not still at double digit and all that, but they're slowly trending to, hopefully it should be higher things now, but it's trending higher single digit, sorry, but it is trending upwards. It's not at 5, 6 now.

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Bhoomika Nair: Okay, okay. Great, I'll come back in the queue.

Vimal Kejriwal: Yes. Thanks Bhoomika.

Bhoomika Nair: Thank you.

Moderator: Thank you. Next question is from land of Nikhil Kanodia from HDFC securities. Please go ahead.

Nikhil Kanodia: Good morning. Congratulations on the robust order book that you have at the record high levels.

Sir, I had two set of questions. So, one set is regarding your standalone and console margins and the other set of questions would be regarding your debt numbers? So on the quarter -on-quarter basis your debt has kind of increased by INR700 crores. Sir, any light as to what could be the reason and the guidance for the year end debt numbers like are we expecting any reduction or any addition in the debt numbers?

Vimal Kejriwal: So Nikhil, Q -o-Q first quarter over Q4 is always a phenomenon if you look at historically also.

The Q4 debt is always lower and Q1 has always been higher which is w

hy we have been because

of the seasonality of this we have always been comparing year -on-year rather than Q -o-Q at least in our business. So, I think that's why, I don't read too much in the fact that the debt number has gone up Q -o-Q, okay and also that there was a 26% increase in revenue which we have -- which we have had, so there will be an i mpact of that.

Overall for the year I don't expect too much reduction in the debt as such because we have been talking about revenue going up from the current INR17,000 to INR20,000 crores plus. So, a part of debt would be required to fund that revenue in crease. So, although I don't see the debt going up, I don't see it coming down significantly. However, what can also happen is that the net working capital, which is at today 126 days or 128 days, can probably our target is to bring it down to 110 days at the end of the year.

So, hopefully there should be a reduction. Also, I think it looks like that we have reached a peak of the interest rate cycle. So, maybe somewhere we may see some reduction happening or today my interest rate average has been 7.7 vers us 4.4 or 4.5 in the corresponding quarter. So, it's almost like a 100% sort of rate increase which has happened, but now it's peaked. So, I think interest should start coming down as a percentage of revenue. Rajeev, you want to add anything on this?

Rajee v Agarwal: No, no, I think, Vimal, you have answered it well. So, effectively, what we should look at is the NWC. NWC has been constantly coming down. It was at 148 days, now it has been brought down to 126 days. Despite 25% increase, if you look at the l ast four quarters, there has been a corresponding increase of 25% to 26% on the volume. And that's a substantial number in the absolute terms. And also, we are seeing now we are targeting 110 days. So, that is, we are going back to what we used to be. Let' s say 2019, 2020, we were at about 100 days or so. So, we are actually trying to go there to 100 days of NWC. And definitely, we are quite confident that we should achieve 110 days target by end of this fiscal. Thank you.

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Nikhil Kanodia: Okay. Sir, just t o clarify, you said the average rate of -- average rate is 7.7 versus 4.5 similar quarter of the last year, right?

Management: Yes.

Nikhil Kanodia: And so what would be your order inflow guidance for the year?

Management: So, as we said that our target has been around INR25,000 crores. So, we are now announced 4,500. So around 20,000 plus should be the balance three quarters.

Nikhil Kanodia: Okay. Okay. Understood. Fair point. And sir on the margins front, so we have seen some margin improvement on the standalone and the console level and you mentioned that from Q3 onwards, we could witness some bump -up margins at the standalone level. So, any guidance as to when can we expect a double -digit kind of a margin at both the levels?

Management: Double -digit right now, it looks difficult to predict exactly when it will happen. But our guidance for the year has been that H1 should be at 6% and H2 at 8% and overall for 7%. Let's wait for some more time to see exactly when we can reach double digit. But Yes, we a re slowly heading towards improving the margins.

Nikhil Kanodia: And so your standalone margin guidance for the year would be?

Management: I don't think we have separate margins for standalone in this. I think we will still restrict ourselves to console.

Nikhil Kanodia: Okay, okay. And sir, one thing that I could see is, this is my last question, with the PAT at the standalone level was at the lowest levels. So sir, any measures that we are taking to improve the

bottom line?

Vimal Kejriwal: So I think as I said that earlier, because of the mix of the projects and execution of legacy projects, the PAT was lower. And also, obviously, the interest cost was high. Also, I think let me

put one thing, which we have not discussed earlier is that, we are seeing some strain on the supply chain in the transmission and substation where items like conductors and transformers, etcetera, are having an impact on the top line, actually the revenue growth. So I think slowly, these things are coming into place. So once that happens, to me it is a function of margin is going to depend upon the revenues, okay?

So as soon as we are able to push more revenues, it will happen. That's why I said Q3 because Q2 clearly with -- it's a monsoon quarter in India. And also this year, I think the monsoons have been pretty bad. In fact, the July has been sort of washed out in many parts of the country. So I think from Q3 onwards, we should be able to improve on all the fronts.

Moderator: Next question is from the line of Sai from Kotak Securities.

Sai: Yes. So, my first question is the recent CEA National Committee agenda shows a pipeline of 7 trillion in transmission and distribution segment and while it doesn't comment on the expected timeline for the same of when it would commence, how can we expect these projects to be

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awarded usually as in what time and can we expect since the number is too big? And how are we expecting to plan a capital expenditure on the same head?

Vimal Kejriwal: So typically Sai INR1,00,000 crores of projects come out every year that's the way it happens. Typically these guys take a time of five years. So if you divide it by that, that could be a INR140,000 crores. But I can tell you one thing is that we are seeing a lot more traction than before, at least on the larger projects linked to green energy.

And especially between, I'll say, in Gujarat and Rajasthan. Those are the two states where we are seeing huge amount of projects being announced. And as you are aware, government, and especially on the wind and solar, has allocated large capacities to the PSUs, whether it is NTPC or NHPC or HAVN or GIPCL. And those large projects are coming up. Now, looking at what is happening on the right of way, etcetera, what government is also doing on the transmission, all that, they are actually setting up very large projects, 765, double circuit and all, which are not required today.

But I think they want to avoid the problems which they'll see in future. So it's happening more like Middle East now, where you know, you are building in a lot of capacity. I think that's a real, but again coming back to the question maybe INR1,00,000 crores to INR140,000 crores annually could be the number on the entire spend.

Sai: Okay. And the kind of capex we are expecting?

Vimal Kejriwal: I don't -- what do you mean by that?

Sai: I mean the capital expenditure that we are expecting for the same pattern for the projects that are going to come up?

Vimal Kejriwal: I don't have a specific number for that. No.

Sai: No. Alright sir. So, and also as you mentioned, these projects, particularly in Gujarat and Rajasthan, they are more of a renewable thing based. And given KEC also undertakes solar projects, what can we expect on this?

Vimal Kejriwal: So Solar we are doing one large project right now in Karnataka. It's a 600 megawatt project. We have started bidding for a few more, very selectively, especially where there are no modules. We don't like to take module risks, so, but off late, I think the developers have understood that, that they don't get good information with that, so most of the large projects now, especially from the public PSUs are coming without modules. So we have recently put in bids for one or two of them, and I think in the next month or two, we'll be bidding for another, I'll say, two or three large solar projects.

Moderator: Next question is from the line of Subhadip from Nuvama Wealth.

Subhadip: So my question is with regard to the TBCB pipeline that we are seeing

on the T & D side of

things. I think the CEA has recently approved close to INR70,000 crores worth of projects, which will probably get tendered out over the next few months, which also includes one large

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HVDC project. So with the quantum of projects that we're seeing coming up on the 765 side or on the HVDC side?

Do you see you know KEC having an edge in terms of let's say winning some of these EPC orders and also you know given again that you know the size of the projects is larger, there are limited number of bidders, can we see margins also tending upwards?

Vimal Kejriwal: Broadly, I'll say yes. Broadly, I think very clearly, if you look at the results of 765 and other projects. In fact, we are the only EPC company which is doing an HVDC project on the converter stations side. On transmission line, there are a few others also would do it, but on the substation side, we are on the only, who is doing, apart from obviously the OEMs who do it themselves. So clearly, you're right that the competition is limited, but capability is limited. So the business will definitely grow up margins. I don't know how much it will go up. But as I said earlier, also the margins are tending to improve, okay? Very clearly, we are seeing those things happening. The other thing, Subhadip is that these projects are now coming with a shorter time line. Some of them are 12 months, some of them are 15 months. Max, I have seen a couple of projects over 18 months.

So because of which your working capital will also start improving once you have a shorter cycle projects, which is if you look at the current EPC projects, which have been awarded both by private and we have one project from both Power Grid as well as at least two or three private sector TBCB developers. And some of the projects are at least the last one, which I took as our 10-month project.

So I think that is another thing which will help in hopefully improving our working capital as Rajeev was talking about in reducing the NWC and all that would also come about from these projects.

Subhadip: Understood. That is very helpful. And lastly, while you have given us a guidance with regard to, let's say, our FY '24 revenue and the margins. On FY '25, would you hazard a guess in terms of the targeted top line and hopefully nearing to those double-digit kind of margins?

Vimal Kejriwal: I think it's a bit early for that. But let me put it this way that we have a INR35,000 crores order book plus L1, okay? So I think as far as the top line is concerned, we are, I think, I'd say, reasonably well placed. Number may be a bit early to say. But I think we'll have a decent number. I can only say that. Margins, again, I am still not hazard a guess right now, okay? But very clearly, the project mix is improving significantly.

Old orders are getting over. And I think hopefully, as I said, by Q2, we should be able to get out of almost all the legacy orders. So the margins will start improving. Whether they will touch double digit or not is a matter of conjecture today.

Our aspiration is that it touches double digit next year, but whether we'll be able to do it or not is something which will depend upon how the metal prices and how the execution pans out. But I think it should be significantly improved, I can say that much.

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Moderator: Next question is from the line of Harsh from Yes Securities.

Harsh: Sir, we mentioned the collections worth INR260 crores from Afghanistan in the past two quarters. What's the balance amount and when do we expect to receive it?

Vimal Kejriwal: So I think that the net as per our balance is around 400 crores, which we expect to receive. I have said that in the next few quarters we should be able to receive and that is what we have been earlier also mentioning that by the end

end of this year we should get the money. See this money has to be received. So this money's have to come from multilateral. So it's very difficult to hazard an exact, accurate timelines, but based on our discussions with them, we do expect that by year end, we should get the balance money.

Harsh: Okay. Secondly, have we managed to completely execute the legacy projects in Brazil or there is still some portion left? Can we expect the full FY '24 to be PBT positive for SAE Brazil?

Vimal Kejriwal: So as far as the legacy projects are concerned, we had completed them, I think, in Q3 last year, okay? So since -- so last two quarters, we have had no EPC projects. All of them are what we call supply projects, okay? Brazil is EBITDA positive. As I said, SAE is PBT positive. Brazil still have a very marginal, I think, negative PBT, but now that a large part of the loan has been restructured. My view is that from maybe Q2 itself, we should be PBT positive in Brazil also, although SAE by itself will become PBT positive this quarter.

Moderator: Next question is from the line of Anupam Goswami from Star Union Dai-ichi.

Anupam Goswami: Sir you mentioned about your revenue target, which is about INR24,000 crores. Where do you see the proportion of H1 and H2, given there's a little -- you mentioned about a little subdued demand in the Q2. How do we see the H2 compared to H1?

Vimal Kejriwal: So Anupam we'd talked about INR20,000 crores, I don't know, I have not talked about INR24,000 crores.

Anupam Goswami: Okay. That's my mistake. Okay.

Vimal Kejriwal: And typically, what we have seen is H1 is 40% , H2 is 60%, typically that's the way it always happens. This year, because of range, maybe a couple of percentage points here and there, may be 37%, 38%, but typically, it's around 40% and 60%, okay? Generally if you look Anupam in different fashion. It's first 3 quarters is 20% and the last quarter, it's 40%. That's the way for the other two, I'll say, numbers way we look at it, okay?

Anupam Goswami: Okay. And sir, in your margins, are you seeing that in your, let's say, FY '18 or '19, there has been a good margin growth. And one thing was there that T&D revenue mix was also pretty high in the mix. So where are we heading in the margins? Do we see T&D mix more coming in the revenue and margin also improving? Or is it like too much of a competition and we are not gaining that margin profile, what we used to earlier?

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Vimal Kejriwal: So, to me Anupam, T&D margins got hit on account of two things. One was obviously because of COVID the business had come down. And second was because of the war, the Russia -Ukraine conflict.

So I think to me what is happening is that because of the, as I said, the Russia -Ukraine conflict, the metals went up significantly. So the major reason for the reduction in the margins had been the delay on account of COVID and also the, I'll say, a very unusual increase in the metal prices over a very long period, okay?

Now to me, the metal prices have stabilized significantly. COVID has subsided, so the execution is improving. So clearly we are seeing that the T&D margins should start getting back to their normal levels.

Anupam Goswami: When do we see the T&D margins?

Vimal Kejriwal: I think it will start becoming normal from Q3 onwards is what we have talked about.

Anupam Goswami: Can we expect about 11%, 12% in that?

Vimal Kejriwal: I don't think, we ever talked about 11%, 12% margins in this business, okay. Yes, in '18 -'19, we did have 10%, 10.5% but I think that was the maximum we have achieved till now. If we can do 11%, 12%, we will be very happy.

Moderator: Thank you. Next question is from the line of Rahil Shah from Crown Capital Partners. Please go ahead.

Rahil Shah: So just one question. In your exports business, so what is the contr

tribution, right now? The revenues?

Vimal Kejriwal: So our outside India, business is overall around 35%.

Rahil Shah: And what part of it is from non -T&D?

Vimal Kejriwal: Right now, it's 100% T&D.

Rahil Shah: 100% T&D. So do you expect like non -T&D orders to be there in this year?

Vimal Kejriwal: I just announced that railway has got a first order in Bangladesh. Civil has been quoting, oil and gas has been looking at it. So clearly, the business of the other verticals will definitely start increasing. And the other piece is that the India T&D is improving. So we honestly do not know where the ratios will be and we don't have a target for the ratios. Depends upon which business does. But clearly I think the absolute value of international business will definitely go up. SA is doing very well.

As I said, Middle East is doing very well. So the numbers in the T&D as well as railway and civil will go up internationally. But I think India is doing also very well. So whether the ratios

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will change or not, I do not know. But India T&D is doing well, civil is growing at 60% and all that. So the India revenues are going up significantly faster.

Rahil Shah: Right. Okay. And just lastly confirming you said, networking capital days like target is 110 right for the year?

Vimal Kejriwal: Yes, yes. You're right.

Moderator: Thank you. Next question is from the line of Uttam Simal from Axis Securities. Please go ahead.

Uttam Simal: Congratulations on good set of numbers. Sir, my question pertains to interest cost. So we have

incurred around INR159 crores this quarter. So this run rate will go for the remaining three quarters also, or we expect some reduction in the interest cost going ahead?

Rajeev Agarwal: See, our interest cost is by and large similar to what it was in quarter 4. And the reason, as Vimal explained in his opening remarks, is that basically the interest cost has gone up from, you know, RBI has front loaded the entire interest rates hike. And last one year, the RBI has hiked interest rate by almost 2.5%. So since our majority, or in fact, the entire amount is towards the working capital, the transmission was immediate, because all the bank borrowing in the market interest rates, it went up immediately on the hike announced by the Reserve Bank of India.

So the entire hike has been captured in this quarter 4 and quarter 1. More or less, our volume of borrowing has come down. In fact, if you look at quarter 1 versus quarter 1 of last year, borrowings have come down by almost INR350 crores. And so the entire impact is basically on account of the interest rate. We do expect that these interest rates are unlikely to go down, what it looks like with the US Fed hiking the interest rates recently, and they're talking of one more hike. We are only hoping that RBI don't need to increase the interest rate further.

So that will, we expect that by and large the interest rate will remain for the current year.

Obviously, we are making a lot of efforts in terms of controlling our borrowings and bringing down the borrowing with that revenue growth of 15% to 20% what we have guided for the year. And I think there could be some reduction in the borrowing and that will lead to some reduction on the overall interest rates or all interest costs.

Uttam Srimal: Okay. And sir, with regard to water projects, what kind of margins are there in the water project that we are currently executing?

Vimal Kejriwal: Difficult to give a specific answer because the margins depend upon the size of the project and different values. But they would be between, I would say, between 8% to 10%.

Moderator: Thank you. Next question is from the line of Ashish from JM Financial. Please go ahead.

Ashish: Sir, my question is on the Afghanistan net receivables. So that number seems to have

gone up

from the March quarter to the June quarter. So have you been doing any incremental work there or that's because of the reduction in the payables?

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Vimal Kejriwal: Actually the second part is the reduction in the payables and liabilities.

Ashish: Okay. So there's no incremental build-up on the receivables, but we have some of the liabilities.

Vimal Kejriwal: We are not doing any work there, no.

Ashish: Right. Sir, secondly, we did talk about Kavach as one opportunity. So is there any quantification of that opportunity at this point of time? I mean, what it means for KEC as a company for our scope of the work in that particular area?

Vimal Kejriwal: So, typically our scope of work is around 30%, 40% of our contract value, whatever we get. So we've got two contracts. So it's not very significant as of now, because I think as far as I remember, till now around INR1,600 crores of tenders have come in, and we have got two of them. Another, I think INR2,500 crores or so are in the pipelines. This entire Kavach, the plan which I have seen at least talks about around INR25,000 crores of orders coming over, I don't know how long it will take but it's getting a bit expedited after the unfortunate accident.

Opportunity wise, I don't see more than INR500 crores, INR600 crores for this year but if the government accelerates it then the numbers can go up. But in a best year, maybe INR1,000 crores or so, if it happens, it's not a very big opportunity, but it's an opportunity where the number of players are less, so hopefully the margins can be better also.

Moderator: Thank you. Next question is from the line of Nikhil Kanodia from HDFC Securities. Please go ahead.

Nikhil Kanodia: Just one clarification that I wanted is the yesterday's press release of INR1,065 crores of order into that is included in the year-to-date order inflow, right?

Vimal Kejriwal: The order inflow of INR4,500 crores, but not in the order book. Order book was as on 30 June - order inflow of INR4,500 crores is Y-to-date -- year-to-date.

Nikhil Kanodia: Okay. So that includes the yesterday's orders, also?

Vimal Kejriwal: Yes, yes, yes.

Moderator: Thank you. Next question is from the line of Sagar Didwania from ICICI Bank. Please go ahead.

Sagar Didwania: So my one question is regarding with the stand-alone business. So year-on-year basis, there is a decline from INR100 crores to mere INR4. And on the consolidated basis, that is a marginal improvement. So can you just bridge the gap between this, stand-alone and consolidated numbers?

Vimal Kejriwal: So, Sagar, as I said at my opening remarks, it's basically the project mix which has impacted in the last quarter. And when I say Q1 of FY '23, we had a very large profitable project, okay, where large revenues came in in that quarter. This quarter, that project, the revenues are very

less because the project is now coming to an end. Also, we had a few legacy projects where we had metal exposures, etcetera, which have all been hedged and booked. Plus, I'll say a couple of

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large legacy projects have got completed, and the claims are getting settled. So, based on that, whatever is the impact has been considered in the books.

Moderator: Thank you. Next question is from the line of Vishal Periwal from IDBI Capital. Please go ahead.

Vishal Periwal: Sir, one question on the Kavach. So in terms of opportunity side, you did mention, but how is actually the bidding happened? Is it like as a EPC player, we bid or the equipment player bid and then we get the order?

Vimal Kejriwal: So it's in a -- I don't know whether it's a JV or a consortium, but it's a joint bid, okay? Where the bids have been done together.

Vishal Periwal: Okay. So currently, can you share like how many players are there? And are

the tie-ups is with only
Karnex or anyone else?

Vimal Kejriwal: So as of now we have bid with Karnex for the two projects and as far as I know that there are three approved players under RDSO for the Kavach and there are I think two or three more which are under approval. So hopefully, if their approvals come through then you will have around five OEMs, five or six OEMs in Kavach.

Vishal Periwal: Okay and one clarification too, out of this INR25,000 crores or INR30,000 crores opportunity for EPC players the split is 40 and for equipment manufacturer it's 60, that's right?

Vimal Kejriwal: It depends upon what happens, okay. We can always do more also or less. So it's on order to order basis. Then who has got the financial capability to do more, etcetera. So difficult to say, but right now, 40%, I think you can safely assume as a system integrator role. And 50%, 60% would be the equipment supply. That's a broad thing, but I think with the number of players and the sizes increasing, these ratios can actually undergo a change.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Vimal Kejriwal for closing comments.

Vimal Kejriwal: I think, thank you, everyone, for your continued interest in KEC. Thanks a lot. Thank you.

Moderator: Thank you very much. On behalf of KEC International, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

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"KEC International Limited
Q2 Earnings Conference Call "
November 02, 2023

MANAGEMENT : MR. VIMAL KEJRIWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – KEC INTERNATIONAL
LIMITED
MR. RAJEEV AGARWAL – CHIEF FINANCIAL OFFICER
– KEC INTERNATIONAL LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to KEC International Limited Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vimal Kejriwal from KEC International. Thank you, and over to you, sir.

Vimal Kejriwal : Thank you, Neerav. Good morning. We welcome you all to the Q2 Earnings Call of KEC. Let me start with an update on the overall performance for the quarter and thereafter I talk about each of our respective businesses. We have delivered a consolidated revenue growth of 11% for the quarter with revenues of INR4,499 crores. The strong growth has been largely delivered by good performances in civil and T&D businesses. The growth would have been higher but for the heavy rainfall in some regions of India, and also some supply chain bottlenecks affecting both T&D and the civil businesses.

Despite these challenges, we achieved a consolidated revenue growth of 18% for the first half of the year, which is in line with our guidance for the year. We have also delivered a remarkable growth in EBITDA of 54% in Q2 and 50% in H1. Our EBITDA margins continue to show an improvement every quarter. The EBITDA margins for Q2 have increased by 170 basis points, surging from 4.4% in Q2 FY '23 to 6.1% in Q2 FY '24. We are largely in line with our guidance for EBITDA margins of 6% for H1.

As mentioned in our previous update, we are observing a noteworthy shift in our margin profile primarily due to the substantial growth in revenues and margins from our UAE subsidiaries, SAE and KEC Spur, resulting in standalone margins being lower owing to the mix of projects under execution during the quarter.

We expect an improvement in the standalone EBITDA margins as well in the forthcoming quarters with the improvement in the India execution, especially in T&D and civil. We have delivered a robust growth in PBT of 148% in Q2, and 77% in H1. The PAT growth is slightly lower, primarily due to a one-time reversal of a tax provision in the second quarter of the previous year.

In terms of order intake, our YTD inflow stands at around INR 9,000 crores with T&D and civil businesses being the major contributors. We have a well-diversified and strong order book of INR31,320 crores as on date, a growth of 14% vis-a-vis last year. Additionally, we have an L1 position of over INR4,000 crores primarily in international T&D business.

With this, our order book plus L1 position stands at over INR 35,000 crores with a balanced distribution between T&D and non-T&D businesses. We continue to focus on working capital improvement, resulting in our net working capital coming down by 8 days to 140 days as on 30th September '23, vis-a-vis 148 as on 30th September '22.

Our net debt, including acceptances, stands at INR 6,339 crores as on 30th September '23. The increase in the net debt at 7% Y-o-Y is significantly lower than our revenue growth of 24 months -- 24% in the trailing 12 months. The interest cost continues to remain high at 4% of our revenue for the quarter and 3.8% for H1, primarily owing to the steep increase in interest rates and by elevated debt levels.

Coming to specific businesses. Our T&D business has achieved revenues of INR 2,209 crores, a growth of 7% vis-a-vis Q2 last year. The growth has been slightly impacted owing to the challenges in the supply chain, both in transmission and substation projects as well as significant RoW issues in some of the projects in India.

During the quarter, we successfully commissioned the prestigious Warora -Kurnool Transmission line, WKTL, project of 878 kilometres, one of the most challenging projects spanning across 3 states of Telangana, Andhra, and Maharashtra. The project was commissioned despite the challenges of paddy crops, floods, and severe RoW issues. These issues have resulted in some unforeseen costs during the quarter for which we are in discussion with the clients.

The T&D business continues to witness strong traction in order intake with a robust growth of over 40%. The YTD order inflow stands at INR5,400 crores across India, Middle East, Africa, Europe, Australia, and Americas. In India, the business has secured multiple orders from PGCIL and repeat orders from private developers. On the international front, the business has secured significant orders, especially in Saudi Arabia. These include our largest transmission line order within Saudi Arabia for developing the power infrastructure required for the development of NEOM, a visionary city in Saudi Arabia. We continue to leverage our Dubai facility to consolidate business in the Middle East.

Our order book plus L1 position in Middle East has now expanded to INR5,000 crores approximately. We have also widened our presence in the tower supply business with the order from Australia. Our unexecuted order book and L1 from tower supply business now stands at over INR 2,800 crores spanning across 6 continents. The growth in our tower supply business, is a testament to our dedicated commitment to expanding and diversifying the tower sale business geographically.

In SAE, I'm happy to share that the business has delivered another quarter of turnaround performance with a stellar revenue growth of 51% and a positive PBT for the second consecutive quarter. For the last 1 year, we have taken proactive steps to optimize our financial structure by refinancing a substantial portion of our local Brazilian loans. I'm pleased to share that we have successfully brought down the average cost of borrowing to 12% per annum from 20% last year. The business continues to witness steady inflow of orders for supply of towers, hardware, and poles from the Americas.

During the quarter, we also supplied our first hardware order to the U.S. market from Brazil. The strong order intake has bolstered the order book and L1 position in SAE to almost INR1,400 crores. As we look ahead, the business outlook appears promising. In the domestic market, we are pleased to share that in a recent announcement, the cabinet has approved the Green Energy

Corridor Phase 2 for 13-gigawatt renewable energy project in Ladakh with an overall cost of more than INR 28,000 crores.

As we assess the project specifics, this presents a substantial opportunity for us. We anticipate that tenders for this project will be released in the next few quarters. Internationally, we continue to witness a significant uptick in the Middle East and are actively exploring opportunities across SAARC, Africa, CIS, and the Far East.

Overall, the tender pipeline for our T&D business remains robust both in domestic and international markets, driven by the increasing emphasis on renewable energy and the need for new transmission lines, substation and underground cabling with a record order book and L1 in T&D of over INR 18,000 crores, we are confident of delivering sustainable growth in this business.

Our Railway business has achieved a revenue of INR 776 crores for the quarter, degrowing by 12%, impacting the margins and the working capital of the business. The major reason for the slower project has been the delay in the availability of work fronts and heavily rainfall in certain parts of India. We have commenced execution of an international railway project in Bangladesh

for signalling and telecommunication.
I'm delighted

I'd like to share that our Honourable Prime Minister Shri. Narendra Modi inaugurated the priority section between Sahibabad to Duhai of India's first RRTS last month. KEC is proud to have developed the Sahibabad and Ghaziabad station, viaduct and the Duhai depot, for this first of its kind regional connectivity project.

The order intake of the business remains subdued, owing to the increase in competition from Tier 2, Tier 3 EPC contractors and the clientele changing from the railway PSUs to Zonal Railways. Consequently, we are also being very selective on the order intake front, considering the overall margin profile and the elevated working capital scenario of this business. Nevertheless, with a sustained focus on the government on strengthening the railway infrastructure, we expect the business to pick up momentum going forward. Additionally, we are also actively pursuing select international properties.

Our civil business has delivered an exceptional performance for the quarter with revenues surpassing INR1,000 crores, stellar growth of over 40% vis-a-vis Q2 last year. The growth has been delivered by robust execution across all segments.

I'm pleased to share that the Honourable Chief Minister of Madhya Pradesh, Shri Shivraj Singh Chouhan, recently flagged off the trial runs for the Bhopal metro. KEC is proud to have constructed the Bhopal Depot for the Madhya Pradesh Metro Rail Corporation Limited. The business continues to fortify its order book with YTD order inflows of over INR 2,000 crores.

During the quarter, the business strengthened its presence with significant orders in diverse sectors, including metals and mining, FMCG public spaces and data center segments. Notably, the business has secured a breakthrough order for building a multi-specialty hospital and also

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secured its first ever order for setting up a manufacturing facility for a prominent global FMCG company.

With the addition of our prestigious data center order, our portfolio now boasts of 5 data center projects across the country with a total capacity exceeding 100 megawatts. The business outlook remains healthy across segments, with a robust and diversified order book and L1 of over INR 11,000 crores. We are confident that this business will continue to be a major growth driver for KEC.

In oil and gas pipelines, the business has delivered revenues of INR 127 crores, a good growth of 57% vis-a-vis Q2 last year. The business continues to be focused on building necessary pre-qualifications that will enable us to expand our addressable market.

The order book of this business has experienced some restraint due to subdued tendering activities in the sector. Notwithstanding the same, the business has a strong order book and L1 of INR 1,000 crores comprising government and private players. We are confident of scaling up this business in the coming years.

In solar business, we are progressing with the execution of our largest 600-megawatt solar project in Karnataka. We remain actively engaged in bidding for select opportunities in this sector, capitalizing on the sustained commitment of the government to promote renewable energy. We believe this business will help contribute to our growth going forward.

Our Cables business has achieved revenue of INR 413 crores, a steady growth of 6% vis-a-vis last year. I'm happy to share that our transformation program for enhancing the profitability of this business is reaping results and our cable business has delivered its highest ever profitability for the first half of this year.

Over the last few years, we have concentrated on developing new niche and high-margin cable products. This year, the business has successfully developed 5 new products, which are slated for commercialization. It is worth noting that these new products have made a significant contribution, accounting for almost 30%

of the overall revenue generated by the business over the last few years.

Overall, we are pleased with our consistent revenue growth and improving trajectory of our profitability in line with our guidance, with a robust order book plus L1 of over INR 35,000 crores and a strong tender pipeline of over INR 125,000 crores. Notwithstanding the supply chain constraints, we are hopeful of maintaining our overall guidance on revenue of INR 20,000 crores and 7% EBITDA margins for the full year.

Thank you very much. We are now open to take questions.

Moderator: The first question is from the line of Deepak Krishnan from Kotak Institutional Equities.

Deepak Krishnan: Maybe I just wanted to check on your order inflow guidance of INR 25,000 crores, given that

you've just done INR 9,000 crores in 1H...

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Moderator: Sorry, your voice is not coming clear.

Deepak Krishnan : Yes. Is this better ?.

Moderator: Yes.

Deepak Krishnan : Sir, I just wanted to check on your order inflow guidance of INR 25,000 crores, given that we have done only INR 9,000 crores and ex of T&D, we could see some slowdown in the domestic business, especially railways and civil. So are we still confident of INR 25,000 crores? Or should we end up closer to maybe INR 20,000 crores, INR 22,000 crores for the full year?

Vimal Kejriwal : So Deepak, as of now, we are confident that we should be able to achieve that order intake. I think we have got a huge pipeline, as I said, INR125,000 crores. We have quoted a large number of tenders especially in India on the TBCB, where the auctions have just started happening. One did happen day before also, I think, and also in the Middle East. So I think as of today, if you ask me, we are pretty confident, and we don't think there's a need to revisit the targets. Maybe at the end of Q3 we may come back. But today, I think we are okay with the numbers.

Deepak Krishnan : Sure. Maybe just a question on your interest expense. I think for the full year, we were expecting about 50 bps improvement interest cost as a percentage of sales. But obviously, for 1H, we really don't see that coming through. So how -- what are the factors that are driving there? And X of say working capital expansion, what levers do we have to sort of bring it within the guided range.

Vimal Kejriwal : A couple of points. One is, I think for the H2, we are expecting the numbers to be between 2.8% to 3% or so, maybe 2.8%, 2.9% because we do expect that our revenues for H2 will be at least 30% higher than the revenues for H1. So even if we remain at the same levels, the percentage to revenue would come down. I think overall, for the year, we would expect it to be around 3.25% or so in that plus or minus 5 or 10 basis points here or there on the projections, okay?

As far as the levers are concerned, we did get some money from Afghanistan. We do expect some more monies to come in. Some of our monies from the -- I'll say, our Viaduct projects, etcetera , DMRC, CMR L and also, that has now started yielding positive inflows. And other places where we are getting more cash flow. So I think we are confident that numbers will start showing a declining trend.

And especially if you look at the absolute increase in the top line which we expect for H2, we do expect that the numbers should look much more decent than what they are. We don't like that number very clearly. And if you want to look at a breakup there, almost 65% of our increase has come about because of the rate increase and 35% increase is because of our elevated debt levels, which we are trying to bring down.

Deepak Krishnan : Sure, sir. Maybe just 1 final question. What are the SCM issues that we are facing for revenue execution, both on T&D and Civil and how confident that we are that this gets sorted out in maybe the coming months?

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Vimal Kejriwal : So I think basically, to look at and we are aware of what is happening on, let's say, conductors or transformer, GIS, etcetera . So they have become long -lead items. And in some cases, there have been delays. Effectively, I think if you ask me, probably another INR400 crores, INR500 crores of revenue in Q2 itself, okay? But for delays in supplies, in one case, a leading transformer did not pass the test in the last moment. So that revenue got deferred, so it will get come into Q3.

So it's primarily -- and it's both in India as well as in the European market because most of our Middle East supplies come from Europe. And I think the next piece where we are seeing supply chain issues is on the supply of pipes for the Jal Jeevan Mission , okay? Clearly, we are all aware what the problems which we are facing in supply of pipe. So that's I think slowly -- in the sense that it's already got delayed so much. So the supplies have started coming in from the earlier commitments, etcetera . So we expect that in Q3, a large part of it should get settled. And by Q4, we have commitments of all the vendors to ensure that supplies are done.

Moderator: Next question is from the line of Ashish Shah from JM Financial.

Ashish Shah : Sir, my question on the working capital side, while it is appreciated that on a trailing 12 -month basis, we have grown by 24% and hence that increase in net debt and working capital. But let's say, on a full year basis, do we see a net release of operating cash flows, net release of working

capital and positive operating cash flows or even on a full year basis, our debt levels are likely to be higher than the previous year, because I mean, my concern is that at some point of time, I mean, if we continue growing and still the ended absolute amount is growing, then at some point in time, the balance sheet appears very bloated. So any direction on that, sir?

Rajeev Agarwal : So clearly, Ashish, in the second half, as Vimal just mentioned, we are expecting the interest cost to go down and because of the higher revenue. See, basically, where the problem is happening is on the interest rate raise where across the economies, the interest rates have been increased by all the central banks. And the most of the hike, actually, if you look at the RBI did in the previous financial year.

So that impact is now getting reflected in the numbers. Our average cost of borrowing, which used to be about 5.5% or so has now reached to about 8%. So clearly, because all our working - all our debt is basically the working capital for the business and that is where it is immediately gets reflected in the numbers. So 2.5% increase by the RBI over the last 1 year has actually impacted us on the higher interest cost.

As far as the business is concerned, we are clearly focusing on reducing our working capital and which is quite visible in terms of our NWC days. So we should really focus on the NWC days because last year, we had a revenue growth of close to about 26%, 27 %. This year, also in the first half, we have grown by almost 18%. So revenue growth will require additional working capital. So there is no question about that, that you can do with the INR3,000 crores , INR3,500 crores of working capital, vis -a-vis INR20,000 crores revenue, it's not possible.

So we should really focus on the NWC days, which is clearly 140 days, 8 days lower than the last year, despite a 24% revenue growth. And in the second half, we are expecting another 30%

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revenue growth compared to the H1. So overall, for the year, we are somewhere between 15% to 20% revenue growth for the full year. So that will definitely have an impact on the borrowing numbers.

So borrowing will definitely be higher. But we should rather focus on the NWC days, which clearly we will bring it down in the second half and with the co

lections happening in

Afghanistan, collection happening in some of the state electricity board where the money was stuck. So all those things are happening, and we will have positive impact in the second half of the financial year.

Vimal Kejriwal : So let me add 1 more point here is if you look at the composition of our net working capital, what has happened is the debtor days have come down significantly. Unfortunately, the creditor days have come down more. Actually, had we maintained our creditors at the same level as earlier then our NWC would have come down more. And there are a couple of reasons. One of the reasons is that our Civil business is expanding, where supply is less and more of construction and where the payouts are happening a bit faster, although their NWC is much better than other businesses. So we are trying to see as to how do we sort of match the ARs and the APs to help us in improving the NWC further.

Ashish Shah : Right. So sir, at the company level, where would you expect the net working capital? Are we on track for close to 120 or 110 days that we have been targeting.

Vimal Kejriwal : So our aspirational target has always been 100 days, okay? That's the aspirational target. So at least I think the 10 -day improvement is what we are looking at by the end of this year, financial year. Are you saying 110...

Rajeev Agarwal : We are committed, Ashish, to bring the NWC days back to 110 days by the end of the year.

Ashish Shah : Got it, sir. And just a last thing on -- from my side on the margin side. So we have been close to 6% for the first half. For the full year, are we on track to be at close to 7% or thereabouts?

Vimal Kejriwal : I mean, Ashish, the endeavour is still to be there at 7%, okay? So I don't think that should be a very big challenge, but it could be still 10, 25 basis points here and there because we're clearly seeing -- see the supply chain pressure, although it's improving a lot, okay? But then there are RoW issues which we are facing both in Gujarat and Rajasthan, etcetera . So it may change the composition of the revenue. So it's just a question of whether we do 10, 20 basis points less or more, but we expect it to be around that number.

Moderator: Next question is from the line of Amit from Prabhudas Lilladher.

Amit : My first question on the order prospect which you have highlighted, in the international market for railways, civil and oil and gas. If you would like to highlight the addressable get in prospects and which countries we are actually looking? And how much can come in the next 12, 18 months?

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Vimal Kejriwal : So difficult to put a number as to how much can come in the next 12, 18 months. But if you ask me countries, countries would be, one is our neighbouring countries, which would be Bangladesh, Nepal, etcetera . Middle East is one where we are looking at more closely, especially for civil and railways.

And the third area where we are talking about is in some countries in West Africa and -- basically, I'll say, in Africa, we have already put in some test bids in Africa and Middle East for railways and civil. Hopefully, as I said, railways already started execution of 1 order which we had received. And if we are -- God is kind, maybe we'll get at least a couple of -- at least 1 or 2 more orders before the end of the financial year in either civil or railways.

Amit : Right, sir. Sir, also on this INR125,000 crores this pertains to domestic or T&D. Any color? This includes all the segments? The prospects which you have.

Vimal Kejriwal : So let me give a very broad breakup. It includes all the sectors. But if you look at only transmission, it would be around -- maybe around INR70,000 crores, INR75,000 crores is basically only transmission, okay? Something around INR20,000 crores is railways and another INR20,000 crores is civil.

Amit : AI

I right, sir. And how about GCC? The transmission of the international markets. Is that prospect also included here?

Vimal Kejriwal : Sorry, I'm not clear. What do you want to understand, Amit?

Amit : The T&D orders in GCC, where we are seeing the enhanced capex happening. And orders already included here?

Vimal Kejriwal : So we talk about order pipeline, tender pipeline. So the tender pipeline in GCC is roughly around INR30,000 crores as of today ..

Amit : So that is included here in INR125,000 crores?

Vimal Kejriwal : It is included in INR125,000 crores, yes ..

Amit : Okay, sir. Sir, on margins, for stand-alone T&D, where we are facing challenges, what are our internal targets in 12, 18 months in domestic T&D margins?

Vimal Kejriwal : For 12, 18 months, we are clearly looking at going to double digit, but it will be between 8% to 10%, which has been our standard numbers, okay? So next year, definitely, we will be at least 8%.

Moderator: Next question is from the line of Priyanka Biswas from BNP Paribas.

Priyanka Biswas : Priyanka here. My first question is, sir, as you were highlighting that your creditor days has actually gone down. So I was unable to actually completely understand the explanation. So what is actually leading to this shrinkage? And how should we be looking at it, let's say, in the next few, let's say, quarters or maybe the next year going ahead?

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Rajeev Agarwal : So basically, there are 2, 3 aspects to it. One is just seasonality impact, if you generally look at our past years also, in the first half, because Q4 is always very heavy in terms of the revenue. So there's a lot of buying which happens in Q4. So that gets paid off in quarter 1 and quarter 2, and that is one of the reasons these creditors are looking lower. Second reason is that our railway business is actually shrinking. So it has actually degrown in this quarter by almost 12%. And new orders are not coming up. So that is also leading to some actual payment of the earlier acceptances, and new buy-ins are not happening because since the new order intake for this half year, it was only INR750 crores .

So effectively, the new purchases of material, especially on the bought-out items, did not happen in the first half of the year. So that also led to some reduction in the payable days or in terms of the acceptances. So that is the main reason. But clearly, in the second half, when we are talking of a revenue of almost close to INR11,000 crores, so that will add to a lot of acceptances and that is how this buildup will happen at least. So that will lead to the better working capital and reduction in the NWC days also.

Priyanka Biswas : Okay. So that's well understood. So another question here is, so what we are seeing now is like a lot of launches in real estate and then, of course, significant capex happening in data center.

So can you just elaborate on the prospects here a bit? Because see, in 2Q of FY '23, we had fairly substantial civil orders flowing in. So we didn't see it this time. So based on the visibility, maybe the 2H and how do you see FY '25 essentially on these fronts?

Vimal Kejriwal : One is if you look at our revenue targets, and I think we do expect that civil next year would again grow by 30%, 40%, definitely, okay? So that's one part of it. This year, we'll definitely

cross the revenue of INR5,000 crores. For next year, we should end up with at least INR7,000 crores of revenue as far as civil is concerned, okay? We're already with a L1 plus order book of almost INR11,000 crores, okay? And we have around INR20,000 crores of tenders to be quoted in the civil business. And I completely agree with you, a large part of the order -- tender pipeline is coming in from real estate.

Second piece is metals and mining. Data centers, yes, their numbers are coming up, but it is not a very large

volume in terms of whether we'll be able to do INR2,000 crores on revenue, I don't know, maybe INR500 crores, INR1,000 crores today. Once we start doing MEP of data centers, maybe the values may still go. Right now, we are doing 1 project, we are doing the civil piece of it, okay?

So I think we are getting into MEP so that should go up. So I think if you look at where the orders are going to come, it's going to be public spaces. It's going to be part of industrial. We started seeing cement orders, now people talking about cement. Surprisingly, we're also seeing order inquiries about commercial buildings, which we did not discuss before, we are right now doing, I think, 2 or 3 of them, and we are having more inquiries on commercial.

So I think, to me, if you ask me next year, the order intake should at least be INR10,000 crores around civil, this year we're targeting around INR8,000 crores. So next year, with the growth of what we have, should be around INR10,000 crores.

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Priyanka Biswas : Okay. So this year, you are saying that we should broadly be around -- FY '24 should we broadly be around INR8,000 crores in civil...

Vimal Kejriwal : That's our target. Yes ..

Priyanka Biswas : Sir, just 1 further split I need. when you were speaking of the prospects of INR125,000 crores, so what would be the international within this?

Vimal Kejriwal : International within this is roughly around INR50,000 crores.

Priyanka Biswas : So mostly even the transmission is also largely India this time?

Vimal Kejriwal : The INR50,000 crores that I'm talking is only international T&D, okay? India T&D, as I said earlier, is roughly around INR30,000 crores.

Moderator: Next question is from the line of Abhijeet from Yes Securities.

Abhijeet : We have seen some moderation in T&D revenue growth in this quarter. You highlighted a few issues pertaining to supply chain and RoW. So sir, are we cautious in terms of further order bidding in the domestic T&D sector because of these issues that we are facing? And...

Moderator: Abhijeet, sorry, you're breaking your audio in between. Can you please speak through the handset?

Abhijeet: Is it better now?

Moderator: Yes.

Vimal Kejriwal : Yes, go ahead ..

Abhijeet : Sir I'm saying, are we cautious in terms of further bidding in T&D domestic business because of the issues that we are facing right now? And how should we look at the revenue growth going forward for the business? I mean, given that we have seen some moderation in this quarter.

Vimal Kejriwal : I think Abhijeet, what is also happening is that the clients are also realizing that the delivery time lines for some of the items have increased, okay? That is one part which is happening in the new tenders. Definitely, we are cautious, especially cognizant of the timelines of what we are bidding. I don't think it is still at a stage where it will impact the growth of the business. Also, keep in mind that most of the suppliers are now expanding their capacity whether it is a conductor, whether it is transformers, GIS. I was in Saudi 2 weeks back and we could see all the suppliers wanting to expand capacity.

So I think clearly, we are seeing that the way the demand scenario is getting to pan out for the next few years, the suppliers have been waiting for this. And now they are seeing that there is an opportunity. So they are looking at expanding their capacities. So I think last year, also the current year and all was an aberration because people had not expected the T&D business to pick up so much. You know in my earlier calls also; we had been sort of negative on T&D business.

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All of a sudden, the business just turned around and is galloping. So everyone, including us, the suppliers have been caught napping. And now suddenly,

we are finding people are adding capacities and all that. So I think to me, it's more of a temporary phenomenon. Maybe in a couple of quarters, the capacities will also increase, which will be enough for the growth which we are looking at. Am I worried about it? No, I don't think we are worried about it. It's just a temporary blip which has happened in quarter-to-quarter and all that.

Abhijeet : All right. Sir, also in terms of the railway business, like this quarter, practically, we have seen the order inflow dropped substantially. And you mentioned the reasons highlighted all the reasons in the PPT also. Sir, going forward, I mean, are we like -- how are we looking at the business in terms of bidding for the incremental orders given the weakness and given the competition from Tier 2, Tier 3 suppliers. So how do we look at the order inflow for the business in the next 2 quarters?

Vimal Kejriwal : So I don't think we are very positive about the order inflow on this business. That is why when the first question was asked on order intake, I said, yes, we do hope that we'll be able to get our -- maintain our order intake because some part of railways definitely is -- was baked into that, and we are seeing how we replace those order intake.

As far as railways is concerned, what is happening is that there are 3 or 4 different buckets. So one of the buckets where we have been losing orders and unfortunately that most many orders have come has been on setting up of new lines, etcetera, where there is a lot of I'll say, earthwork and civil and all involved, which is where most of the road contractors and local contractors have started coming in, especially because these orders are now not coming in from RVNL or RITES and all, but coming in from the divisional railways.

So that piece is something which is sort of virtually out of bounds for us now because we're not getting orders or the margins are so low that we don't want to take those orders also. Where the orders will come in for us is like your TCAS and all that, where I think there is some discussion now. And I think in December, January, we will see some orders coming in.

We talked about auto block signalling then also on 2 x 25kV, which is for speeding up the trains and also some of the metro orders. And we have bid for a few orders in international. So I think at least one of them should come in in railways during this financial year. Right now, we are not very -- I'll say not aggressive or not very bullish on the order intake of railways. We would love to first complete the existing orders and all that. And then we look at which segments we want to do and how we want to do.

Abhijeet : Right, sir. Sir, lastly, on the average cost of borrowing, you mentioned that it has increased to around 8%. So what is the expectation, like going forward in the next few quarters, this number would it go up or it is going to be around these levels?

Rajeev Agarwal : So as far as, Abhijeet, rate is concerned, I don't think that we are looking at a further increase in that interest cost -- interest rate per se. So interest rate will remain at around 8% or so, because the RBI has not hiked the rates post, I think, the February 2023, that was the last hike that was

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done. And this time, fortunately, yesterday also, there was a Fed meeting and Fed also not increased interest rates. So they have held after a long time.

So I don't think the rate should go up further, but at the same time, we are expecting that the rate will not go down at least for the next 6, 8 months. So probably the reduction may start happening on the rate front, probably in the second half of the next calendar year, not before that. But our cost of borrowing will remain around the current level, at least for some time.

Abhijeet : Okay. So next 4 quarters, you are saying the cost of borrowing would remain

around these levels?

Rajeev Agarwal : Yes, at least 3 quarters for sure. Yes.

Vimal Kejriwal : So I think, Abhijeet, what can probably change although, Rajeev, is not accepting it is that with our international business growing so much, we're also looking at how do we get some better rates from international financing, etcetera. So let's say, from Middle East, Saudi and other countries, etcetera. So those efforts are going on. Let's see if something can happen out of that, maybe there could be some impact on these things.

Moderator: Next question is from the line of Subhadip Mitra from -Nuvama Wealth.

Subhadip Mitra : So firstly, just a little bit of more color on the debt front. So I wanted to understand that has there been any movement or reduction in the overseas debt? And do you -- how do you see that easing panning out and its impact on -- its impact on the interest costs?

Rajeev Agarwal : So there is no reduction in the overseas debt. So in fact, it has slightly gone up and that is by design, not by default, because there are a lot of orders which are coming in from the Middle East market and from the international market. So to that extent, we have and there is a large amount of tower supply orders which have helped us to increase our foreign currency debt, and that is helping us in a way to control our cost of borrowing and reduce our rate of interest. So it

has only gone up, it has not come down.

Subhadip Mitra : Understood. And with regard to the exposure on the Brazil side of things, that has started coming on?

Rajeev Agarwal : So Brazil debt -- overall debt has been reduced. In fact, in this quarter 2 also, we have infused some additional equity to reduce the overall quantum of the debt, and the entire debt portfolio has been restructured. In such a manner that the interest cost now for Brazil has come down from 20%, which was there about a year ago, has now come down to about 12%.

And now that Brazilian Central Bank has also started cutting the interest rates. They have already cut 50 basis points in the previous quarter. So we expect that the interest rate in Brazil should go down further as the Central Banks have started cutting the interest rate. So that benefit will also come in Brazil.

Subhadip Mitra : Understood. And what would be the total amount of debt on the Brazil side right now?

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Rajeev Agarwal : So it would be approximately equivalent to \$50 million.

Moderator: Next question is from the line of Abhineet Anand from 3 P Investment Managers.

Abhineet Anand : Yes. My first question is Civil, you have done quite well. Just want to understand where would be the EBITDA and PBT margins here in this presently?

Vimal Kejriwal : The EBITDA margins would typically be around 8% or so right now, okay? PBT, I don't have the exact number, but I think civil the NWC is at around 70 days. So it would be around 5% or so, Rajeev?

Rajeev Agarwal : Yes, absolutely ..

Vimal Kejriwal : Yes.

Abhineet Anand : And our mix of international and domestic debt what we have presently?

Vimal Kejriwal : I don't know. Rajeev?

Rajeev Agarwal : So it is -- at present, it is roughly about 70 -30. So 70% is domestic and 30% is international.

Abhineet Anand : Okay. Any forex gains that we have had during 1H of this year, sir?

Rajeev Agarwal : Negligible.

Vimal Kejriwal : Hardly anything. I think it would be around INR10 crores -- INR15 crores. It is very less. .

Abhineet Anand : Okay. And lastly, this UAE and SAE margins have improved, if you can just let us know 1H, what have been the margins there broadly?

Vimal Kejriwal : I don't think we have the margin figure right now with us. Why don't you speak to Abhishek later on and get the numbers.

Abhineet Anand : Sure, sure.

Moderator: Next question is from the line of Teena Virmani from Motilal Oswal.

Teena Virmani : My question is regarding

the Middle East order book, which you mentioned that it was somewhere closer to INR50 billion. So how are margins and working capital in those projects, particularly from Saudi?

Vimal Kejriwal : So if you ask me, the margins are -- I'd say slightly better than other margins. They are improving now because the business is growing, the tender pipelines are growing. So we are all trying to put some margins up. And I can see an increasing trajectory there, number one.

Number two, if you look at per se Saudi, the payment terms are not -- they were not very great.

I think we are seeing a change happening with the client. We had a meeting with the client that

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we also discussed this last week also and that -- and they are looking at improving the payment terms.

Thirdly, what is happening is that INR50 billion which I talked about, also had a tower supply orders which are from that region, where the payment terms are much better.

So if you aggregate all of them, I don't think the payment terms are significantly adverse to what we see at other places, okay? Also, I think we are seeing that the execution pace is picking up there, which is helping us in realizing our retentions and all payments more faster than before with the client becoming a lot more flexible than earlier. So I think we are quite okay with the payment terms there in the Middle East now.

Teena Virmani : Okay. Okay. And in terms of the margins, like you mentioned that they are slightly better. So are they in the range of 8%, 9%, if I can safely assume that for the Saudi project?

Vimal Kejriwal : So to me, some of the existing orders would be at that level. I think the new orders, we are trying

to improve the margins, okay? Our aim is that we start getting double digit on these orders on the fresh ones. Looking at the order pipeline and the order book of many of the large players I do expect that, especially in Saudi and all that, the margin should start inching up.

Teena Virmani : But they are all on fixed prices basis?

Vimal Kejriwal : So okay, they are around fixed. What has changed, Teena, is that, now in most of the cases, the metals get reset on the date the tender is awarded to you, okay? So earlier, you were carrying 2 different risks. One was the risk if between bidding and award, if the prices change, then you had that risk because you're not sure whether you will get it or not. And then you had the risk of carrying it for the full execution.

Now what has changed and especially in Saudi and UAE it was there earlier is that the metals get reset on the date the contract is awarded to you. So on that date, you can go and hedge it. So although they are fixed price, but it's a hybrid concept now. So you have the opportunity of hedging your metal especially, I'll say, copper, aluminium, and zinc on the day the contract is awarded. So the risk comes down significantly.

Moderator: Next question is from the line of Riya Mehta from Aequitas Investments.

Riya Mehta : My first question is in terms with you said that there are a lot of supply chain issues, which are happening in the T&D aspect. So could you elaborate more on that? And also you said that at Jal Jeevan there is some pushback from the pipe companies to supply. So what is actually happening? And could you elaborate on that?

Vimal Kejriwal : I think on the Jal Jeevan, it is very simple that the orders which have come out are very large in number. I mean there are many states which are giving large orders, and I think some of them more also because of coming -- forthcoming elections, etcetera, people want to give orders and ensure that some work is done.

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So clearly, the supply side is not keeping pace with the speed at which execution is likely to happen, which is that pressure. But I am seeing a lot of players

have now started expanding

capacity at least. I know 1 or 2 people who I had met personally, they are expanding capacity. So we do hope that the situation will ease out. And especially, what will happen is that with the elections coming in, I don't see new orders after March, at least beyond March.

So the pressure of the supply will start easing off and also at the capacity. As far as T&D is concerned, I think there was -- there has been some pressure on specific high-capacity conductors, which is what are being used in -- especially in the TBCB projects. So it's not -- there's a general shortage of conductors and all that, but for specific varieties, which are more preferred on account of IRRs and other conception all that. So both -- all the players that are asking for. That's where there has been some concern.

Also in Saudi, with the focus on Saudization, most of the orders are now having to be supplied by the Saudi vendors, local Saudi vendors, which has put some pressure on the Saudi side. And third piece is also on the subscription OEMs where with the problems which we had on power prices and then labour in Europe, that has put some pressure on supplies from Europe.

But I think going forward, all these are getting factored into the tenders, not only buyers but the clients also, now the clients also know that we will not get a transfer within 12 months. So that's how the tenders are changing. So I think going forward, we should be okay and we should be able to maintain the margin projections or the revenue projections, which we are now factoring in.

Moderator: Next question is from the line of Mehul from Nuvama Wealth. Please go ahead.

Mehul : If I heard you correctly, for H2 revenue, you have guided for 30% growth over H1, I believe. Is that correct?

Vimal Kejriwal : Yes.

Mehul : So that means that like revenue would be flat like near about like for FY '24 as a whole?

Vimal Kejriwal : Sorry, I didn't get that part, what you're saying?

Mehul : So for FY '24, if I take this 30% growth over H1 revenue, then we should be like more or less flattish or like kind of single-digit growth over like FY '23 in terms of revenue growth?

Vimal Kejriwal : I don't think the numbers are correct. We have said it should be around INR20,000 crores of revenue. It would be around 15% to 17% growth is what we have been targeting, okay?

I think we have done around INR9,000 crores this quarter. Okay? H1 -- sorry, H1, we had done around INR9,000 crores. So INR11,000 is what we're talking, that will tick to INR20,000 crores.

Rajeev Agarwal : Maybe I got INR7,000 crores.

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Mehul : So -- and in terms of order inflows, I believe you are guiding for INR25,000 crores for this year, like we should be achieving. And last year, it was about INR22,000 crores kind of FY for '23?

Vimal Kejriwal : Absolutely. That has been our guidance for the year that we should be around that number, yes.

I think one thing, Mehul, which I would like to add is that right now, almost 20% of our revenue is coming from product sales, which is towers and cables and all that. Where it is more like book and bill supply, okay? So when you look at the order book backlog and the ratio of order book post sales, some of these parts need to be excluded in the terms of -- EPC would be 1.5, 1.6x for us, generally we have been 1.4, 1.5, unlike other people where our sales has been -- execution has been much faster than other people in terms of the ratios.

But in our case, 20% is now coming in from supplies, that order book would be more coming, let's say, for next year, most of it will come in Q1 or maybe Q4 and all that. So I think that factoring you should go in the order book versus revenue.

Mehul : Understood. Understood. And sir, is it that you know, I believe that the railway piece like wherein like in order inflow to an extent is getti

ng impacted. That is why that this INR22,000

crores guidance is for INR25,000 crores. If that would have worked like maybe like in growth would have been higher than this?

Rajeev Agarwal : No, no.

Vimal Kejriwal : That was factored in -- our normal railway order intake was factored in INR25,000 crores, okay?

So now the railway is going down. So we are trying to see how do we push our civil team or T&D team to make up for that, okay? But we think we'll be able to make it up.

Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Kejriwal for closing comments.

Vimal Kejriwal : Thanks, Nirav. Thank you, everyone, for your continued interest in KEC. Thank you so much.

Moderator: Thank you very much. On behalf of KEC International, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

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"KEC International Limited
Q3 FY2024 Results Conference Call "

January 31, 2024

MANAGEMENT : MR. VIMAL KEJRIWAL – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER – KEC
INTERNATIONAL LIMITED
MR. RAJEEV AGGARWAL – CHIEF FINANCIAL
OFFICER – KEC INTERNATIONAL LIMITED
KEC International Limited
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Page 2 of 17 Moderator : Ladies and gentlemen, good day and welcome to the KEC International Limited 's Q3 FY2024 Results Conference Call. We have with us today from the management Mr. Vimal Kejriwal , MD and CEO and Mr. Rajeev Aggarwal , CFO . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “ * ” then “ 0 ” on your touch tone phone. Please note that the conference is being recorded. I now hand the conference over to Mr. Vimal Kejriwal , MD & CEO . Thank you and over to you Mr. Kejriwal !

Vimal Kejriwal : Thank you Michelle . Good morning to all . We welcome you to the Q3 earnings call of KEC. I will begin by outlining the key performance highlights for the quarter , provide insights into each of our business segments and conclude with the outlook for the year . We have delivered a consolidated revenue growth of 14% for the quarter with revenue surpassing Rs.5000 Crores . The growth has been primarily delivered by good performances in civil and the T&D businesses both in India and international . With this , we have achieved a consolidated revenue growth of 17% for nine months which is in line with our guidance for the year. Our EBITDA margins continue to show an upward trajectory with an improvement every quarter, we have delivered an impressive growth in EBITDA of 54% in Q3 and 51% in nine months . The EBITDA margins for Q3 have increased by a good 160 basis points increasing from 4.6% in Q3 FY2023 to 6.2% in Q3 FY2024. We have also delivered a noteworthy growth in the bottomline . The PBT has grown by 11 times vis-à-vis Q3 last year and three times vis-à-vis nine months last year. PAT has also grown by six times and two times in Q3 and nine months respectively . The revenues and the margins could have been marginally better but for the challenges in the supply chain and issues around the Red Sea. These challenges have resulted in a large increase in the freight cost and also availability of vessels due to much longer turnaround time on most of the global shipping routes.

In terms of order intake our YTD order intake stands at approximately Rs.13000 Crores with significant contributions from T&D and civil businesses . Notably 25% of these orders are from supply of products such as towers, cables, hardware and poles . We are also being very selective on our order intake considering the working capital and the margin profile of various businesses . Notwithstanding the same we have well diversified and strong order book of over Rs.30000 Crores as on date . Additionally we have large L1 position of over Rs.8000 Crores primarily in the T&D business . With this our order book plus L1 position stands at a record level of over Rs.38000 Crores, which gives us visibility for the next six to eight quarters . Our focus on cash flows and working capital management has started yielding results with dedicated efforts . We have brought down our net working capital by

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Page 3 of 17 four days to 129 days as on December 31, 2023 vis-à-vis 133 days as on September 30, 2023. Our net debt including acceptances has reached Rs.6045 Crores as on December 31, 2023 a reduction of Rs.300 Crores vis-à-vis September 30, 2023. This is despite a sequential increase in revenue of over Rs.500 Crores. We expect continued improvements in working capital driven by better

collections, commercial closure of projects and a shift in the order book composition with a growing share of civil, T&D and product supply business. We remain committed to further reducing debt levels by the end of the year. The positive trajectory of improvement in borrowing is also reflected in the reduction in interest cost for the quarter. The interest cost has been brought down to 3.3% of revenue for the quarter a reduction of 70 basis points versus Q2 FY2024.

Now coming to the specific businesses, our T&D business has achieved revenues of Rs.2723 Crores a remarkable growth of 22% vis-à-vis Q3 last year. The growth has been backed by strong execution of projects across India and overseas especially Middle East. The business continues to demonstrate strong momentum in order intake with YTD order inflows of over Rs.7500 Crores across India, Middle East, Africa, Europe, Australia and Americas. In India the business has secured multiple orders from PGCIL and repeat orders from state utilities. On the international front, the business has secured significant orders especially in UAE through its Dubai subsidiary, EPC LLC. Leveraging our Dubai facility, we are strategically expanding our presence in the Middle East resulting in a substantial order book and L1 position which now stands at over Rs.6500 Crores. Considering the sustained increase in tendering activities in the Middle East we have undertaken a debottlenecking program for increasing our power manufacturing capacity in Dubai facility by 20% at a nominal cost. This will enable us to meet the growing demands in the region and further consolidate our leadership in the Middle East.

We continue to widen our presence in the tower supply business. During the quarter we have secured our largest tower supply order from the United States of America. The momentum in a tower supply order especially North America is indicative of the growing demand for our product offerings in the region. Our unexecuted order book and L1 from tower supply business now stands at over Rs.2500 Crores spanning across six continents. In SAE I am happy to share that the business has delivered a positive PBT for the third consecutive quarter. Over the past year the subsidiary has strategically focused exclusively on manufacturing operations a decision that has resulted in consistent profitability in recent quarters. The business has a steady inflow of orders and has a healthy order book and L1 position of over Rs. 1300 Crores comprising of orders for supply of towers, hardware and poles and engineering and testing of towers from the Americas. In Afghanistan the progress on collection continues as we have realized an amount of Rs.55 Crores during the quarter. This brings the total collections post regime changed to a significant Rs.320 Crores. We

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Page 4 of 17 continue to be in active discussion with the multilateral funding agencies for collection of the remaining receivables and are confident of realizing some more amounts in Q4 and the balance in the coming quarters. The global demand for aluminum conductor has witnessed a substantial increase in recent years driven by the growing emphasis on renewable energy and the need for new transmission lines worldwide. In line with the strategy of backward integration and to capitalize on the sustained demand, I am pleased to share that we have decided to expand the product portfolio at our Vadodara cable plant by setting up a fully integrated manufacturing line for aluminum conductors. The capex requirement for this expansion is estimated to be around Rs.60 Crores and the project is expected to be completed within the next few quarters. This development is anticipated to add to the competitiveness of our T&D business and also revenues of our cable business. As we look ahead the business landscape continues

to be promising. In the domestic market we are witnessing substantial opportunities of over Rs.25000 Crores for T&D projects pertaining to renewable energy including a large HVDC scheme across the States of Gujarat, Rajasthan, and Madhya Pradesh. Many of these tenders have already been floated and are expected to be awarded in the next few quarters. We expect another large HVDC project to be floated in the near future. We are also bidding for selective state utilities in India. Internationally in addition to Middle East we continue to actively explore opportunities across SAARC, Africa, CIS and East Asia Pacific. Overall our T&D business continues to experience a robust tender pipeline both domestically and internationally with a record order book and L1 in T&D of over Rs.22000 Crores. We are confident of delivering a sustainable growth in this business. Our civil business has once again delivered an outstanding quarter achieving revenues of Rs.1100 Crores substantial growth of 30% vis-à-vis Q3 last year. The stellar performance is attributed to robust execution across all segments. The business continues to bolster its order book with YTD order inflows of over Rs.2500 Crores. During the quarter the business has secured multiple orders / L1 in diverse sectors including metals and mining, residential and commercial buildings, defence and water segment. Notably our presence in the commercial building segment has expanded further with a prestigious order for a hybrid high rise structure from a reputed real estate developer. We are now developing more than 50 high rise buildings across India for Marquee real estate developers. The business outlook

remains healthy across segments with a robust and diversified order book and L1 of over Rs.11000 Crores, we firmly believe that civil will continue to be a major growth driver for us. Our railway business has achieved revenue of Rs.653 Crores for the quarter degrowing by 28% impacting the margins and working capital of the business. In a recent development our Honorable Prime Minister Shri. Narendra Modi Ji recently inaugurated the new Pandit Deen Dayal Upadhyay -Bhaupur Freight Corridor section in Uttar Pradesh. We are honored to have partnered with Siemens and DFCC IL to commission the signaling and telecommunication system for this prestigious project.

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Page 5 of 17 In terms of order intake, the challenge continues owing to the increase in competition from Tier-2 and Tier-3 EPC contractors and the shift in the clientele from Railway PSUs to zonal railways. We continue to actively pursue select opportunities in India as well as international in the railways.

In oil and gas pipelines the business has delivered revenues of Rs.182 Crores a good growth of 15% vis-à-vis Q3 last year. The business has strengthened its order book by securing its second order for composite station works. We have also started exploring international opportunities and have been approved by a leading global energy company based in the Middle East. The business has a strong order book and L1 of over Rs.900 Crores comprising government and private players. We are confident of scaling up this business in the coming years.

In our solar business, we are progressing well with the execution of our largest 600 megawatt solar project in Karnataka. We continue to bid actively for select opportunities in line with the sustained commitment of the government to promote renewable energy. We believe this business will help contribute to our growth going forward.

Our cables business has achieved revenues of Rs.383 Crores for the quarter. The business continues to deliver an improvement in margins on the back of an improved product mix. Notably it has also achieved its highest ever profitability for the nine month period of this year. In line with our strategy

to enhance our portfolio of niche products and cater to emerging market segments, we have developed two new products EV charging cables and green cables. These products are also in line with our commitment towards ESG and sustainability. Overall, we are pleased with our consistent revenue growth, improving trajectory of profitability and optimization of working capital. We generally have a positive outlook for all our business segments. We expect that tomorrow's budget will bring both strategic measures and policies to foster growth and development in the infrastructure sector. The robust order book plus L1 of over Rs.38000 and a strong tender pipeline of over Rs.130000 Crores notwithstanding the supply chain constraints, we are confident of maintaining our overall guidance on revenue of Rs.20000 Crores. Thank you everyone. Open to take questions now.

Moderator: Thank you very much Sir. We will now begin the question and answer session. Ladies and gentlemen we will wait for a moment while the question queue assembles. The first question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Good morning Sir and my first question is on the domestic transmission opportunity given the fact that large trending has happened in the last nine months or we have not seen, it is converting into the order inflow for us, you did mention that your L1 of 8,000 Crores is it

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Page 6 of 17 fair to say that most of it is from the domestic market, transmission market and how do we see it going forward for the next 12 months?

Vimal Kejriwal: L1 has got domestic as well as international but I will say a reasonably large amount is from domestic and as you are aware there has been a change in guard in our major client and that has delayed some award of some orders which are in L1. I think we do expect that all of them should get converted into orders very quickly. Number two is clearly we are seeing a large potential at least in the next few quarters at least two large HVDCs which are coming out. One has already been tendered out by Power Grid under TBCB and on the renewable front I think we have got at least 30, 35 tenders to be quoted for transmission lines so the potential in India clearly continues to be very good on this.

Mohit Kumar: My second question is on the civil opportunity given the fact that we are entering into an election mode are we seeing a slowness in decision making and finalization of tenders and we expect that weakness to continue for a couple of quarters especially domestic?

Vimal Kejriwal: So as of now we have not seen any major slowness in the orders or something but clearly we will have some impact on the announcement of tenders and even on decision of some of the tenders once the elections are announced so once the election restrictions are comes into

place the tenders will not be open or they will not be awarded . Also during the one month or so of the election period typically you find that the district administration and all others are busy with the election mode so wherever you need ground support from the government officials you may see some slowdown , but as far as private capex or private projects are concerned and even some of the government projects where you do not need ground support from the administration execution should not be impacted but yes there could be some impact on the announcement of tenders as well as decision of tenders let us say starting March or something.

Mohit Kumar: Last question is on this cable business you said that you are going to expand into aluminium conductors is it fair to say that we are talking about AL59 conductors that is where I think the CEA has allowed all the EPC companies to bid between ACSR or AL59 is that correct assumption?

Vimal Kejriwal : One is we were manufacturing aluminium co

nductors even earlier but at a very small

quantity so that was more for our own business and for railway supplies, etc. ; however , looking at what is happening on the supply chain and the huge tender pipeline which we have seen our own order book , we have decided to do this and obviously you are absolutely right this will also have the capability to manufacture both AL59 and ACSR conductor .

Mohit Kumar: Understood Sir. Thank you and all the best Sir. Thank you.

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Page 7 of 17 Moderator : Thank you. The next question is from line of Amit Anwani from PL Capital . Please go ahead .

Amit Anwani: Thanks for the opportunity . My question again on the conductor side so you highlighted that there would be Rs.60 Crores capex so just wanted to understand what is the capacity now and will this be the strategic capacity expansion happening over two to three years or this is just one of the near term trend and demand on the conductor side?

Vimal Kejriwal : I think we will have to wait and watch Amit as to what happens . The idea is obviously strategic and also with our cable business now reaching almost Rs.1700 Crores and this will more or less if I do a merchant sale of this capacity it will add around Rs.500 Crores to Rs.600 Crores of revenue also so right now it is more for internal consumption because we have a large T&D order book and requirement of AL59 and ACSR so as of now we do not intend to sell in the market but depending upon what happens and this is not a high cost also Rs.60 Crores and I said the turnover Rs.500 Crores to Rs.600 Crores so from that point of view we will see what is to be done . I think it is a little bit early on that side but today as I said it is for our internal consumption .

Amit Anwani: Right Sir the next question on the order intake so we are at roughly about Rs.13000 Crores YTD and we have been guiding Rs.23000 Crores to Rs.25000 Crores just wanted to understand are we sticking to that and second thing is despite so much robustness any sense you are getting from the domestic market though we are seeing a strong pipeline that there could be some risk to intake or spillover happening from next year onwards ?

Vimal Kejriwal : So clearly meeting the guidance of Rs.23000 Crores to Rs.24000 Crores is going to be a bit of a challenge because we are right now at Rs.13000 Crores we have Rs. 8000 Crores of L1 so unless we are able to get some more projects very quickly now and get them before March it is a slight challenge I am not seeing it as a major challenge but maybe a little bit here and there but I want to add one thing Amit is that if you look at our order intake and all that a large part of the order intake has been from transmission and especially PGC IL where the execution time is around 15 months so the order book to revenue ratio in our case would be significantly controlled unlike other infra players where the ratios are beyond two and three and all . For us the ratio has been between them and I do not expect it to be beyond more than 1.2 or 1.3 times and especially that 20% of our revenues are coming from supply order so if you take that out we should be having a revenue of Rs.18000 Crores to Rs.19000 Crores or something like that next year and so to have Rs.25000 odd Crores to Rs.27000 Crores order book also is okay so do we want to have a larger order book yes we would like to have a larger book but is it okay for our planned growth for next year I think our current order book plus L1 is also good enough for our numbers .

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Page 8 of 17 Amit Anwani: Sir my last question on the margin so we saw the sequential margin ramp up so just wanted to understand segment wise if you would like to highlight and now T&D is the larger part of the business how is the margin ramp up we are expecting in next six to 12 months a

cross

segments , we saw domestic T&D was also under pressure with respect to margin so just

wanted to understand your view segment wise where we are seeing the major margin ramp up in next 12 months ?

Vimal Kejriwal : Typically we do not give segment wise margins on this but let me add one thing that domestic T&D is right now in a very sweet spot and I think they will have pretty good margins. I can only say that maybe closer to double digit or something but the domestic T&D I think is seeing one of the best years at least I have seen in my last 22 to 23 years with this industry the domestic T&D is really doing very well and I think international is also picking up . We had issues internationally because of fixed price contracts and all that now that most I think almost all are hedged, etc., so internationally will also do well. Civil we are generally seeing a decent margin slightly lower than what we would want them to do but I think the margins and the working capital in civil are doing well. Railways continue to be some challenge on account of the delays what we are seeing because of block availability and other issues . Cable I already said that they are one of the best margins . Yes thank you Amit.

Amit Anwani: Great Sir. Thank you. All the best.

Moderator : Thank you. The next question is from line of Bhoomika Nair from DAM Capital (erstwhile IDFC Securities) . Please go ahead .

Bhoomika Nair: Thank you very much for the opportunity . Sir just continuing on the question on margins you did mention that some of these international T&D projects which have been a same factor are coming to an end so when do we start seeing this legacy orders of fixed price kind of completing and when do we start seeing the current orders kind of reflecting in terms of an improved margin profile ?

Vimal Kejriwal : So Bhoomika I think improved margin profile has started. If you look at last three quarters we have been improving bit by bit not what we or you would have loved to see but that is not the way it has happened but I think we are improving . New margins are starting to kick in, the old ones I will say more or less on the domestic side we are through with all of them . International we still have one or two orders which we are now I will say in the midst of concluding so I think by Q1 next year all the legacy orders should be completely out of our system .

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Page 9 of 17 Bhoomika Nair: You did speak about the best year that we are seeing in the domestic T&D similarly if you can also touch upon the international when we are bidding for orders and getting orders how is the bid margins kind of trending , is that also seeing like a double digit kind of thing which can possibly reflect into our actual margins into the second half of 2025 -2026 where these margins are starting to reflect ?

Vimal Kejriwal : It is difficult to generalize about international because I think each country has got its own challenges so let us say something like Saudi and interestingly what we heard L&T talking about is the Saudi predominance and all that so today if you look at the international market yes it is predominantly I think two or three countries so beyond Saudi we are doing very well in UAE also and to an extent in Oman I will say and some orders in Kuwait so those are countries where the competition is relatively less because their prequalification and the criteria which they follow is pretty tight . If you look at India hardly only two or three companies from India are there in that market . Africa has been a bit of a challenge but I will say in this quarter onwards or maybe last couple of months we have started seeing new tenders coming in and we are already L1 in a very large tender in Africa which is part of the L1 which we are seeing . Now the brighter spot seems to be United States, North America

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and a little bit of I will say LATAM also where we are seeing lot of inquiries for supplies and as I said in my earlier part that we got some very large orders and we still have very large inquiries both from US market , Chile, Colombia and also from Australia so which is why we are trying to expand our Dubai factory also , so I think overall the markets look good. Margin would actually depend on individual orders , what is the competition, what is the complexity, etc., rather than generalizing .

Bhoomika Nair: Right understood Sir and Sir similarly for civil because we have seen the nine months Y-o-Y kind of being slightly down versus last year so where are the margins kind of holding on , is there any improvement and I do understand that relatively the margins are lower but the working capital is also much better out there so if you can just comment on that aspect as well and lastly I just want to also touch upon the working capital which is kind of seen an improvement in the current quarter as also debt reduction so what are we looking as the year ends in the next quarter or so how should we look at this kind of further improvement or any comments on that aspect as well ?

Vimal Kejriwal : So let me take the first two questions and then Rajeev can answer on the working capital so as far as civil is concerned I think yes there has been a slight I will say slowdown in the order intake . We were expecting a lot more orders looking at the growth but I think

Bhoomika what happened was that somewhere with T&D doing so well we also upped our gate in civil saying I need one or two growth engines and if T&D is firing where I will say I have a better control on everything. Today T&D is virtually almost 60% of our order book
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Page 10 of 17 so we did say that on civil we became a lot more selective on what we wanted to do and also at what levels we wanted to do which is what reflection you can see on the order intake of civil as well as railways because in both the cases we really increased our threshold limits so that is why you are seeing but in any case my order book plus L1 in civil is even today at Rs.11000 Crores and I do not have any large five year or four year orders and all that so most of these orders would sort of get executed over the next 15 to 18 months. We are still expecting that we will grow by at least 25 % to 30% next year also on top of what we are growing .

Bhoomika Nair: On the margins and working capital of civil also Sir that was actually the question ?

Vimal Kejriwal : The margins I think I generally covered in my earlier part where we brief about all the books but today I think clearly .

Rajeev Aggarwal: So Bhoomika on the working capital front as you are aware we are focusing a lot on the working capital and this quarter we have been able to reduce debt by about Rs.300 Crores and that has helped us to reduce the NWC days by four days from the previous quarter so we are at 129 days and we are expecting a lot of collection to happen in Q4 and our estimate is that by end of this year we should reduce the NWC days to about 110 days or so last year we were at about 118 days so from there, there will be a reduction of further eight days on the NWC front . In terms of the debt profile I think we should be closer to about Rs.5000 Crores to Rs.5200 Crores or so including the interest getting acceptances and that is where with 15 % to 16% growth on the revenue side we will be able to generally maintain our debt levels at the same level as last year .

Bhoomika Nair: That is quite encouraging Sir. I will come back in the question queue. Wishing you all the best. Thank you .

Moderator : Thank you. The next question is from line of Parikshit Kandpal from HDFC Securities . Please go ahead .

Parikshit Kandpal: Congratulations on a decent quarter . I heard your overall commentary on

the margins so

just on the standalone margins when do we expect that to increase or improve from here on because there we have been seeing campaign that in many quarters now so in our overall trajectory of moving to high single digit margins by FY2026 so how do we see standalone margins playing out ?

Vimal Kejriwal : For me standalone should start improving from this quarter itself because now the India T&D piece is going to start kicking in so I think from this quarter onwards quarter -on-quarter you will start seeing an improvement in the standalone so there is no question about
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Page 11 of 17 it. See if you look at the last one year you are aware that we had this TBCB issues where we had the metal prices and so all that has been closed so now you will definitely see margins improving in standalone both in T&D and civil .

Parikshit Kandpal: Just on the Dubai factory so if you can just sorry I missed that number you spoke about order book there so what is the order book , what was the nine month revenue and EBITDA from that entity ?

Vimal Kejriwal : I do not think we spoke about the order book on Dubai . What we said was the order book plus L1 in Middle East is around Rs.6500 Crores. We also said that we are expanding capacity by 20% in the Dubai plant at a very nominal debottlenecking cost and all that .

Parikshit Kandpal: What will be the revenue and EBITDA from the entity in the nine months ?

Vimal Kejriwal : So Dubai we have got two different entities one is the supply entity which runs the plant and then we have an EPC entity so all our orders in UAE are now under that entity we call it Dubai EPC and LLC. I do not have the numbers for Dubai EPC and LLC but between the two of them I think around Rs.1500 Crores of revenue.

Parikshit Kandpal: EBITDA will be how much ?

Vimal Kejriwal : Maybe close to 9 % to 10%.

Parikshit Kandpal: Because when we separate the standalone and consolidated the numbers on EBITDA looks really high so I was wondering like which entity so largely the Dubai entity which is contributing this right ?

Vimal Kejriwal : No Parikshit it is the Dubai entity and I also mentioned that SAE has been doing well. It is a positive PBT with the high interest rates in Brazil so the EBITDA there is reasonably good also so it is a combination of both Dubai as well as Brazil .

Parikshit Kandpal: So what would be the nine month EBITDA for SAE now?

Vimal Kejriwal : It would be similar to 9 % to 10%.

Parikshit Kandpal: Sir just on the residential business so you did say that you have about 50 high risers you are executing across India now so of the total order book what would be the private real estate and now the cycle is doing good but in the past we have seen very, very focused residential or many EPC players exiting the private real estate and focusing more on government sites so how are we looking to mitigate the risk in case there is a downturn in the cycle in the
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Page 12 of 17 coming years so how do we do the risk assessments here while bidding so what kind of clientele we had , what clientele we are targeting here so that no major risk comes on us ?

Vimal Kejriwal : As far as private residential is concerned Parikshit we are working with I think four or five of the top developers . I do not think we have more than five clients in the private residential . The names I would not like to give here but you can take it from Abhishek so those are there . If you look at the public sector I will say residential as well as sort of commercial because office blocks and everything is there in that so we have a few projects with the defence authorities where we are doing at least I think four or five projects with defence. Then we have got a couple of more commercial projects which are with private equities and the bigger reput

d houses and then we are having I think four or five data

centers which are again with big marquee name so that is the way broadly the risk profile of the clientele I will say residential and commercial is there .

Parikshit Kandpal: What will be the total order book from the building segment and this entire piece of which you just highlighted ?

Vimal Kejriwal : I do not have the number but I think it should be close around Rs.3000 Crores. If you add residential, commercial and data centers and all together this should be Rs.3000 Crores or more. Maybe Abhishek can do the exact number but I think that is the ballpark number .

Parikshit Kandpal: On an individual basis how much is your qualification now on your books like for building segment especially the government buildings because we did see some large tenders coming in for station redevelopment and all so how you place that to build those kind of tenders and what would be your individual qualification on the government side ?

Vimal Kejriwal : So Parikshit what happens here is that the government tenders for buildings are all from different authorities . It is not like we have in T&D we have one power grid so there you can very clearly define your PQ. Here it is difficult with some people we may have Rs.500 Crores and with some people you may have Rs.1000 Crores it is very difficult to today quantify as to what you can do and obviously the private you do not need our PQs that way . I think the tallest we are doing right now is a few buildings of 40 stories and above, a round 40 stories is what we have got a few buildings so that will help us in private . Public is different . I think the biggest order we have in public on this is Rs.550 Crores or Rs.600 Crores from one of the state governments .

Parikshit Kandpal: Just the last question Sir you did mention about strong ordering in T&D and TBC B, so everything now falling in place Rs.25000 Crores I think you spoke about the total bid pipeline so just one question now on the other hand we are seeing on the supply chain side this equipment providers, the transformer, substations and all they are also talking about
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Page 13 of 17 shortage of supply coming in, so in this kind of a scenario where there could be potentially price inflation coming or price hikes coming in equipment value chain so how are you bidding now when you tender is it a composite package on the EPC side so that our margins will not suffer and there is some undue increase in prices because of shortage of supplies ?

Vimal Kejriwal : So typically what happens Parikshit is there are two types of risk in the price part what you talked about . One is on the substation side and one is on the transmission side so transmission is basically conductors where you see a short supply which is I will say slightly easing. It is not easing but it is better than before I can say that much so there the moment your L1 you go and hedge your aluminum exposure on the LME or with the vendor so there is now zero price risk on that . As far as items like let us say a GIS and all this is concerned typically we have been dealing with most of the vendors who give you a fixed price. You may have small exposure in copper which you can hedge in this way so I do not see a price risk on what we are doing. Supply risk is always there saying whether it gets delayed or not but typically what happens is with the clients today we are I think probably the largest substation contractor in the country . We do sign up on the delivery periods before we bid with the vendors so I do not think we are facing a significant delay. Yes there are delays of maybe one quarter or equipments moving from one quarter to other quarter so I do not think we are today worried about it . In fact to me it is a better opportunity for us because with our relationship with a

If the OEMs, etc., we do get

preference I will say at least in supplies if not in prices and that is actually adding to our competitiveness.

Parikshit Kandpal: Thank you Sir. I wish you all the best.

Moderator: Thank you. The next question is from line of Vaibhav Shah from JM Financial Limited. Please go ahead.

Vaibhav Shah: What was your outstanding debt in the SAE entity?

Rajeev Aggarwal: Around Rs.400 Crores.

Vaibhav Shah: What would be the interest cost?

Vimal Kejriwal: Yes roughly around 12%.

Vaibhav Shah: So we expect it to further come down or it should be stable around these levels?

Vimal Kejriwal: I do not think the interest rates are coming down obviously to the extent we make money there. The debt itself will come down gradually but interest rates I think last one year the

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Page 14 of 17 Brazilian Central Bank brought it down 25 or 50 basis points last year. After that they have been quiet so unless and until the global interest rates come down honestly the next two quarters I do not see the interest rates coming down in Brazil.

Vaibhav Shah: We have been PBT positive for all the three quarters right?

Vimal Kejriwal: Yes.

Vaibhav Shah: Sir on consolidated level we had guided for margin improvement in second half so you were targeting around 8% in second half and around 7% for the whole year so given the weaker margin is Q3 so do we reduce the guidance for the whole year?

Vimal Kejriwal: I think we will have to. We still do not have the numbers. We are looking at what is going to happen in Q4 but I think that margin guidance looks difficult to achieve today very honestly but I do not think it is going to be significantly different. From 7% whether it will be 20 basis points 25 or 30 I do not think we are saying that 7% will become 5% not that way so there will be some downward. This will also depend upon the supply chain part of it are we able to get some more supplies or more profitable orders, etc., where the margins can be higher so it is slightly difficult to put a number but yes it will be in a way a little bit lower than what we were talking.

Vaibhav Shah: But there will be a significant improvement on quarter-on-quarter basis in Q4?

Vimal Kejriwal: Definitely significant improvement quarter-on-quarter. Also the interest cost will come down so on the PBT side you will see improvement happening.

Vaibhav Shah: Thank you Sir. Those were my questions.

Moderator: Thank you. The next question is from line of Balasubramanian from Arihant Capital. Please go ahead.

Balasubramanian: Good morning Sir. Thank you so much for taking my question. Sir I just want to understand what are the challenges we are facing on order intake, we have guided around Rs.20000

Crores to Rs.25000 Crores order intake but till now we have achieved around Rs.12850

Crores just want to understand which are the sectors we are facing issue and is there any specific reason we are facing challenges because of elections these are my first question Sir?

Vimal Kejriwal: So on the order intake we are at Rs.12000 Crores or let us say close to Rs.13000 Crores plus Rs.8000 Crores L1 so in that way we should be 2021. As I said we may not be reaching 24

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Page 15 of 17 or 25 also because we very clearly have become a lot more selective on the order intake especially because we are getting a lot of orders so we deliberately slowed down especially on the railways where we are seeing a lot of uncertainty in terms of execution and civil where we realize that it is not the private capex is not happening in the way we were looking at it but still as I said I do not see a challenge on that because we have a large order book more than enough for meeting our guidance for the next year.

Balasubramanian: Got it Sir. On that we are doing debottl

lenecking in Dubai facilities like what is the facility

capacity and how much capex we are doing and what is the asset turn for those capex?

Vimal Kejriwal: So we are currently at 50000 tonnes per annum so we are expanding it to 60000. The cost is hardly less than Rs.10 Crores.

Balasubramanian: Thank you.

Moderator: Thank you. The next question is from line of Vinod from BOB Capital Markets. Please go ahead.

Vinod: Thanks for the opportunity. You just mentioned in your opening remarks that the clientele shifting in railways from rail PSUs to Zonal Railways so do you think that will impact our margins and working capital in some sense?

Vimal Kejriwal: Vinod it has already impacted and we are seeing a significant problem in the margins as

well as working capital because what is happening is that earlier you were dealing with in a way I will say professional managers whose job was to execute project and manage , etc. Now the number of clients has multiplied I think there are 17 or 18 divisions in the railways so you are sort of dealing with 17 to 18 different clients where there is a lot of movement of people from one railway to other, etc., and they are not the people they are very good at running railways. A re they very good at running projects are something which has been bit of a problem . Second part is the railways also change the numb ers to EPC all of a sudden so one is you have got people who are not conversant with running large projects and then you also change the type of the project from BOQ to EPC so that has created a major disruption for all the EPC players and you can check with any one of them . I think all the large EPC players have been facing a lot of disruption because of this so unless and until either these things get reversed or the divisional railways become much more expert in handling EPC contracts, design -related issues, etc., that there will be continued disruption for some more time at least in the railway EPC orders .

Vinod : The second question I had was on T&D you yourself mentioned that it is one of the best years for T&D in the last 20 years and given the prob ably increased mix of T&D in KEC
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Page 16 of 17 next say couple of years do you see KEC going back to that old double digit margins so if you look at KEC a decade back when we were purely T&D you used to make 11 % to 12% kind of margins ?

Vimal Kejriwal : So I think that is our hope and wish also that we go back to double digit margin but I think the way things are happening , I think at least in T&D probably in the H2 next year we should be reaching a double digit margin as I said to one of the questions earlier that our legacy orders and all that will be closed by Q1 I a m just taking some time an extra quarter there so I do think that by H2 we should be back to double digit in T&D .

Vinod : Finally Vimal a macro question are you seeing the return of the seller's market given the way the capex cycle is behaving so basically in terms of better customer advances and lesser competition are you seeing that happening in this space ?

Vimal Kejriwal : I think for a particular size of the projects we are seeing that happening and particular type. Like I will give a simple example in r ailways if you look at new lines and all that it is not happening because there are too many road players coming into railways but if you look at let us say T&D where there are very large projects . Like I remember six months back we got a project of almost Rs.900 Crores from power grid. F or projects of that size and etc., it is clearly turning. I will not say sellers market but I think the competition is significantly below what we used to see at 10 and 12 and 14 players so that has come down . Similarly is the position in I will say Middle East also especially UAE, Oman, Saudi, etc., where the compet

ition has significant ly come down because of the volume of business .

Vinod : We still probably some time away because from that stage where you probably can command much better advance customer advance ?

Vimal Kejriwal : Customer advance is something which depends upon again contract -to-contract so the most of the international projects will have an advance . Even now India also I think most of the projects now have a customer advance .

Vinod : But the quantum going up because in the previous cycle I recall customers were even willing to pay 15 % to 20% as advance ?

Vimal Kejriwal : So that is happening especially on the private capex side where you can go and negotiate with the clients . In all the public sector, etc., because it is a tender specification you are not able to change . We are also seeing this improving especially when it is multilateral funded in less in Africa and all that most of the projects have 15% to 20% advance but Middle East and India would typically be around 10% .

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Page 17 of 17 Vinod : Thanks Vimal. Those will be my questions .

Moderator : Thank you. Ladies and gentlemen that was the last question . I would now hand the conference over to Mr. Vimal Kejriwal for his closing comments . Over to you Sir!

Vimal Kejriwal : Thanks Michelle and thank you everyone for your continued interest in KEC. T hank you very much.

Moderator : Thank you members of the management . On behalf of KEC International that concludes this conference. We thank you for joining us. Y ou may now disconnect your lines .

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"KEC International Limited
Q4 FY'24 Results Conference Call "
May 08 , 2024

MANAGEMENT : MR. VIMAL KEJRIWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – KEC INTERNATIONAL
LIMITED
MR. RAJEEV AGGARWAL – CHIEF FINANCIAL
OFFICER – KEC INTERNATIONAL LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the KEC International Limited's Q4 FY '24 Results Conference Call. We have with us today from the management Mr. Vimal Kejriwal, Managing Director and CEO and Mr. Rajeev Aggarwal , CFO.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vimal Kejriwal, Managing Director and CEO, for his opening remarks. Thank you and over to you, Mr. Kejriwal.

Vimal Kejriwal: Thanks, Michelle. Thank you. Good morning, everyone, and welcome to the Q4 Earnings Call of KEC. Let me begin with an overview of our overall performance and then go into the specifics of each business segment and our key strategic initiatives. We have delivered a good performance for the year by achieving all -time-high revenues, substantial improvement in profitability, key order wins and significant improvement in working capital and debt levels. Additionally, we have successfully executed various strategic initiatives and developed niche capabilities across our businesses, positioning us for sustained growth. In Q4, we delivered the highest -ever quarterly revenues of INR6,165 crores, a strong growth of 23% sequentially and 12% year -on-year.

Our T&D business, especially India and Civil business have delivered commendable performances during the quarter. Our margins continue to show an upward trajectory with an improvement quarter -on-quarter over the last six quarters. We have achieved an impressive growth of 37% year -on-year in EBITDA, with EBITDA margins for the quarter improving by 120 basis points, vis -à-vis Q4 FY '23, to 6.3%.

The bottom line has seen a remarkable growth with both PBT and PAT more than doubling over the previous year. Our PBT margin witnessed a significant increase of 150 basis points compared to Q4 FY '23, reaching 3.1%, while the PAT margin expanded by 120 basis points, standing at 2.5%.

In terms of order intake, we have secured orders of INR6,500 crores, approximately, in Q4 across businesses largely contributed by India T&D and Civil. Through concerted efforts, we have made significant improvements in our working capital and balance sheet. Our net debt, including acceptances, has decreased to around INR5,090 crores as of March 31, 2024, largely in line with March '23 levels , despite a revenue increase of more than INR2,500 crores that's 15% Y -on-Y.

If we compare it to the peak level of September '23, the borrowings have been reduced by INR1250 crores. The debt levels could have been much below INR5,000 crores, but the spillover of collections of over INR250 crores to the first week of April, including a substantial collection of INR110 crores from Afghanistan.

We have also achieved a reduction in net working capital by 21 days, now standing at 112 days as of March 31, 2024, compared to a peak level of 133 days as on 30th September 2023. We expect continued improvements in working capital driven by better collections; commercial closure of projects; and a shift in the order book composition and quality with a growing share of India T&D, Civil and product businesses.

The positive trajectory of improvement in borrowings is also reflected in the reduction of interest cost for the quarter to 2.5% of the revenue, a reduction of 150 basis points vis -à-vis peak level of Q2 FY '24 and a reduction of 40 basis points vis -à-vis last year, Q4 FY '23. Coming to the annual performance , we have clocked a robust revenue growth of 15% with the highest -ever revenues of

INR19,914 for the full year. The growth is backed by healthy execution in T&D, both in India and international and Civil businesses. In terms of EBITDA, we have delivered a substantial growth of 46% Y -on-Y, with EBITDA margins expanding by 130 basis points to 6.1% vis -à-vis 4.8% last year.

Our PBT has increased by 2.6 times and PAT has doubled to INR347 crores against INR176 crores of FY '23. The revenues and margins could have been higher , but for the continued supply chain bottlenecks, especially in DI pipes for our water projects and high -voltage transformer/GIS and aluminum conductors for T&D projects. Additionally, the margins were impacted due to continued challenges faced in the execution of some of our railway EPC projects.

On the order intake front, we have generally been very selective, considering the working capital and margin profile of our various businesses. Notwithstanding the same, we have secured orders of INR18,102 crores. The largest contributor has been the India T&D business, followed by international T&D and Civil businesses.

Notably, 21% of these orders are for supply of products such as towers, cables, hardware and poles. We have a well -diversified and strong order book of INR30,000 crores as on -date. Additionally, we have a large L1 position of over INR7,000 crores primarily in T&D business. With this, our order book -plus-L1 position stands at INR37,000 crores which gives us a visibility for the next 6 to 8 quarters. We are happy that the order intake trend is continuing in FY '25 with new orders of INR1,036 crores announced last week.

Considering the substantial improvement in performance, strong order book and ongoing confidence in strategy, the Board of Directors have decided to recommend a dividend of 200% , that is INR 4 per equity share on the face value of INR 2 each.

Now let me talk about specific businesses. Our T&D business has delivered a stellar performance by achieving a milestone revenue of INR10,456 crores for the year, a remarkable growth of 21% vis -à-vis last year. The growth has been delivered on the back of robust execution across both domestic and international markets.

The business has significantly expanded its order book with strong order inflows of 11,000 crores across India, Middle East, Americas, SAARC, Africa and CIS. In India T&D, the

business witnessed good traction; and secured orders of approximate INR6,000 crores, a robust growth of 14% vis -à-vis last year. Additionally, we are presently L1 in a large number of tenders in India. The business has significantly bolstered its order book with multiple orders for transmission lines and substations from PGCIL, state utilities, private developers and tower producers.

In India, the power sector is poised for promising growth with transmission infrastructure planned for major renewable energy potential zones such as ; Rajasthan, Gujarat, Andhra Pradesh and Tamil Nadu to support the target of achieving 500 GW of non -fossil fuel power by 2030.

We have already secured some of these orders during the year and have a substantial order book and L1 of over INR9,000 crores as on -date in India. The consistent flow of orders and focus of the government on renewables and the related T&D infra build reaffirm our confidence in the sustained strong growth of our India T&D business.

In International T&D, we continue to expand our presence with multiple order wins across markets. The business has secured significant orders in Middle East, especially in Saudi Arabia and UAE, through its new subsidiary KEC , EPC, LLC. We are progressing well on our

debottlenecking program to increase the tower manufacturing capacity at our Dubai facility by 20%. This strategic enhancement will enable us to meet the growing demand in the region and further solidify our leadership position

in the Middle East transmission market.

We continue to witness good traction in stand-alone tower supply orders. During the year, we have secured significant orders of over INR2,000 crores across key markets such as Middle East, North America, South America, Europe and Australia. These orders include our largest tower supply order from the United States of America and the maiden tower supply order from Europe. The uptick in tower supply orders, particularly from North America, reflects the rising demand for our products in the region.

In SAE, we have delivered a turnaround performance for the year with revenues of INR1,447 crores, growth of 9%; and a positive PBT. I am pleased to share that SAE has delivered positive PBT across all the four quarters. In Brazil, we witnessed the largest-ever auction, exceeding \$3 billion, in March '24. We are in active discussions with developers who have secured these projects in the auction and are well positioned for securing orders both for supply of towers and for hardware.

During the year, the business also achieved a breakthrough in the U.S. market with the successful supply of hardware products, thus opening up new avenues for expansion and growth. The business has a steady inflow of orders and a robust order book and L1 position of approximately INR 3,000 crores comprising of orders for supply of towers, hardware and poles; and engineering and testing of towers from the Americas.

In Afghanistan, the progress on collection continues, as we have realized an amount of INR110 crores in the first week of April '24. This brings the total collections, post regime change to a significant INR 420 crores. We continue to be in active discussion with the

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multilateral funding agencies for collection of the remaining receivables and are confident of realizing the balance in the coming quarters.

The overall tender pipeline in T&D continues to remain strong in both domestic and international markets given the push for renewables and requirements for large transmission lines, substations and underground cabling. With a record order book and L1 in T&D of over INR 21,000 crores, we are confident of delivering significant growth in this business.

Our Civil business has delivered an impressive performance for the year with a robust growth of 32% year-on-year with revenues of INR4,370 crores. The growth has been delivered on the back of strong execution across all segments. In Q4, our honourable prime minister inaugurated the Kochi Metro Phase 1B, which includes a windup and a station built by KEC. Incidentally, the ballastless track works for Kochi Metro was also executed by our railway SBO.

The business has bolstered its order book with order inflows of over INR 4,200 crores. During the year, the business has secured multiple orders spanning diverse sectors, including FMCG, metals and mining, cement, residential and commercial buildings and data center segments. The business has also expanded its customer base with the addition of multiple prestigious clients. With a pan-India order book of over INR 5,000 crores in industrial and building segment, we have established ourselves as a preferred agency in the construction of essential buildings and factories. The business outlook remains healthy across segments with a robust and diversified order book and L1 of over INR 10,000 crores. We are confident that Civil will continue to be a major growth driver for us.

Our railway business has achieved a revenue of INR 3,115 for the year, de-growing by 17%. The business is progressing well on the completion of existing projects. We have successfully commissioned our maiden tunnel ventilation project in Jammu and Kashmir, our execution on track on the prestigious TCAS (Train Collision Avoidance System) projects under KAVACH. During the quarter, we have enabled KAVACH system

on 17 route kilometres and another 100 route kilometres is planned during the month.

The margins of this business continue to be impacted adversely due to the delay in execution on account of various factors such as availability of blocks, design issues etcetera. As conveyed earlier, we are being very selective in order intake of railway business considering the increased competition, customer and margin profile and working capital. Consequently, the order intake and L1 for the business remains subdued at INR1,500 crores. This will result in a further degrowth in revenues in the current year.

In a significant development, we have commenced execution of a first international order

secured during the year. We have witnessed significant infrastructure spending of the government towards increasing freight carrying capacity, rolling stocks and Vande Bharat trains. Going forward, we anticipate increased allocation towards conventional infrastructure development within the railways, encompassing the construction and upgrading of tracks, overhead electrification and advancements in signalling and telecommunication to facilitate

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the seamless integrate operation of high -speed trains like Vande Bharat. Our focus will be on fast-tracking project closures, optimizing working capital and pursuing select opportunities in India as well as in the international market.

In Oil & Gas Pipelines, the business has delivered revenues of INR626 crores, a good growth of 30% vis -à-vis last year. In a noteworthy achievement, the business has forayed into the international market by bagging its maiden order in Africa. We are also exploring opportunities in the growing storage tanks market. The business has also strengthened our composite station works portfolio by securing one more order in this segment. The business continues to focus on enhancing pre -qualifications to expand the size of addressable market. In the Solar business, we are currently executing our largest 600 -megawatt solar project in Karnataka. Additionally, we have also secured an order for setting up solar projects from a leading auto ancillary company in India. We continue to bid selectively for opportunities in line with the sustained commitment of the government to promote renewable energy. We firmly believe that the renewable EPC business will become a significant contributor to our future growth.

Our Cables business continues to deliver good performance with the highest -ever revenues, order intake and profitability during the year. The business achieved revenues of INR 1,645 crores with substantial improvement in profitability. We are progressing well on setting up the fully integrated manufacturing line for aluminum conductors announced last quarter. The business has already secured orders for supply of power transmission conductors ACSR and AL-59 from government utilities and private sector TVCB developers. This strategic move will contribute significantly to the revenues and margins of the cable business. Additionally, it will also enable a timely execution of our own T& D projects. We are confident that this business will continue to grow in terms of revenue and profitability.

Over the past couple of years, we have undertaken a transformational journey to create a world -class engineering organization to enhance our engineering prowess across business segments and gain competitive advantage in the industry. We have reengineered and automated end -to-end design processes to reduce engineering cycle time, leading to significant improvements in both efficiency and design quality. Furthermore, we have deployed leading -edge digital technologies such as AI, advanced analytics, NLP for engineering design optimization and improving the quality of our submittals to the clients. This program has helped us to improve our engineering led wins, enhance profit

ability across various businesses

and position as the preferred partner for infrastructure projects.

In ESG and sustainability, we continue to take significant strides across the organization. Some of our key initiatives and development during the year include installation of solar rooftop at our Brazil plant -- and in the course of expanding capacity of our solar rooftop at Nagpur, in addition to the existing solar rooftop plants at Jaipur and Dubai. With this, 25% of our total power requirement in the plants will be catered through solar energy. We also have long -term agreements with external service providers who provide energy from renewable sources at our Vadodara and Mysore cables manufacturing plants.

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Our people -centric agenda focuses on fostering happiness, as reflected in our brand tagline Hello Happiness, an integral part of the RPG Group's philosophy. The structure of this agenda is reflected in the increase in our happiness quotient to 83% this year vis -à-vis 81% last year, owing to our unwavering commitment to employee -centric initiatives encompassing growth, culture, recognition and work -life balance.

In the past two quarters, our Board of Directors has undergone notable changes. Three directors have joined our Board, while two members have moved on, adding to diversity, knowledge and expertise of the Board. We now have a further diversified independent Board

of 11 members comprising of bureaucrat, investment banker, finance and sustainability professionals.

I'm glad to share that our progress on this front has been well appreciated, which is reflected in the continuous improvement of our ESG ratings by S&P Global DJ SI and Morningstar Sustainalytics in the last two years. In a proud moment, we have been ranked first in our industry by both the agencies and also made ourselves as a part of the top quartile of our industry globally.

In conclusion, I would like to emphasize that the outlook remains healthy across most of our businesses with a formidable and diversified order book, plus L1 of INR37,000 crores.

Combined with a substantial tender pipeline exceeding INR1,35,000 crores, we are well positioned to deliver sustained growth in the forthcoming quarters. We will continue to focus on profitable growth, fortifying our balance sheet and investing and building capabilities across our businesses to lay a strong foundation for the future.

Thank you all. We are open for questions now.

Moderator: Thank you very much, sir. We will now begin the question-and-answer session. The first question is from the line of Renu Baid from IIFL Securities. Please go ahead. As the participant has left the queue, we will move on to the next question, which is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Hi. Good morning, sir. Congratulations on a decent set of numbers. Sir, first question is, how do you think about the opportunity in India T&D, specifically in FY'25? If I have correctly, I think you mentioned the -- we received the order of 64 billion, with a 40% growth Y-o-Y. In that context, is it right to believe that the FY'25 could have very, very large number? And also, can you just comment on the competitive intensity?

Vimal Kejriwal: Mohit, your question was not very clear too, but I think you're talking about India T&D...

Mohit Kumar: Yes. I'm talking about India T&D opportunities. And last year, I think we did a number of 64 billion. Can you see a material high number in FY'25 given that there is a lot of -- large bidding that happened in FY'24?

Vimal Kejriwal: I think clearly we are seeing a large tender pipeline happening. We have seen new renewable, I'll say, packages being announced by the government. On the Rajasthan part, I think it's

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slowly coming to an end

d, but I think it's moving on to others. We recently had one more big opportunity announced in, what was that, Jamnagar side, where all the large renewable projects are coming up.

Also HVDC has gone into tendering. So we are also seeing, I think, next week or maybe a week, two weeks after, the first HVDC tender line will get tendered out. The second one is also -- and so I think, India T&D, we grew by almost 40%, 45% last year. We are again planning another 40%, 45% growth this year.

As of today, if you ask me, we have a INR25,000 crore s tendering opportunity right now live. We clearly -- and we are having discussions with all the players, including POWERGRID, on this, and I can see them that they are very bullish. In fact, I think they are probably going to revise their capex plan. So if you ask me, I think we have never seen such good days in India T&D and the way the government continues to focus, and I do hope that they will continue after the elections, on the renewable part.

Other piece is if you look at the huge program which has been announced for setting up of coal-based plant -- thermal plants, I think -- and those plants will obviously come at pitheads etcetera. So again, the lines for this will also be required. So that will be a second part of the growth story of India. So I think very clearly we are right now very positive on the India growth story, which is completely opposite to what we were talking about a year back. It's a huge turnaround.

Mohit Kumar: My second question is, given that -- the large opportunity and I think given that there are limited players available to execute these projects, is it right to think that the margins on the Indian T&D space, especially on the standalone, will move to double digit?

Vimal Kejriwal: We expect that to happen.

Mohit Kumar: And as of -- is it likely in FY'25 or FY'26, in your opinion?

Vimal Kejriwal: FY'25.

Moderator: The next question is from the line of Renu Baid from IIFL Securities. Please go ahead.

Renu Baid: So my first question is on the core T&D business. If you see, now for the last two to three quarters, our order backlog has been in INR14,000 crore s to INR15,000 crore s range. And typically given that the order book to bill would be about 15, 18 months, what in your view could be the T&D revenue growth in fiscal '25? So you think we can continue to clock 15%,

20% revenue growth or it may take a bit of knock until new order flows come in the backlog?
Vimal Kejriwal: Renu, good to see you back in the conference call. I think we are very clearly targeting around -- I'll say slightly -- at least 20%, if not slightly more, in the T&D piece, largely driven by India because international has grown very well in the last two years. India had a very low performance in FY'23, picked up in '24, '25 again. So I think we'll grow by around 30%, 40%

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in India. So overall, if you add India, international and SAE, I think we should have around a 20%-plus growth in T&D as a whole.

Renu Baid: Sure. And simultaneously, while SAE has now turned around and if we look at the core margins, profitability for this year were definitely impacted because of low projects, old projects. So this year, for fiscal '24, the last year, what was the approximate margin profile of the T&D, say, ex of SAE? And you have indicated in the previous Q&A that you're targeting double-digit margins in T&D. Do you think that is feasible for '25? Or there could be risk -- or what could be risks or challenges to double-digit margins in T&D in fiscal '25?

Vimal Kejriwal: So Renu, as far as risk is concerned, we are largely, I'll say, almost hedged on all our base metal exposures, which would include aluminum, copper as well as zinc. Steel is something where there's no significant hedging mechanism available, so that -- to

me that's one exposure

which we will continue to have, although we are not seeing any major movement in steel happening in last two quarters and I think our supply chain team is also confident that they don't see a major movement happening in this.

The second risk is going to be slowdown in execution, which I think we have built up enough teams and all that, so I don't think -- so personally, I am not seeing any major risk on the T&D side in delivering our projected revenues and I'll even take on the margins also.

Renu Baid: Okay. And approximately what was the profitability of T&D portfolio in fiscal '24?

Vimal Kejriwal: We don't give out our numbers like that, but I can tell you that it was -- non-T&D was more slightly lower than the T&D.

Renu Baid: Okay, got it. Second question is rail order book also is now just a onetime book -to-bill. And given that order finalization pace is slightly softer in the rail electrification and EPC space, what kind of consolidation are we heading for in fiscal '25, '26 in this business? And in your view, can this be materially offset by build-up on export exposure or it may be still some time away till we build up the export order book here.

Vimal Kejriwal: So I don't think it will get set up by export immediately. Right now we just have one single order which is on execution and we have bid for a few of them. Now by the time those orders come -- and hopefully we'll get at least one or two of them. I don't see revenues coming in earlier than Q4 or something. So clearly FY '25 we will have a further decline of 15% to 20% in our railway numbers.

Now coming back to how this business will grow or what will happen on this, I think we'll have to wait and watch once the new government is formed. What is the focus area of them in the railway piece of it because pre-election we did see a huge amount of spend which was on running new trains, station development etc which were if I want to use the word more populist than on the infrastructure, but the view in everyone and whoever we talk to in railways and all that is that ultimately we will need to build infrastructure for all these new trains.

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So we are hoping that and I think we are reasonably confident that the infra -- the spending pattern of railways will change and will move towards more infra which is where we are. So I do hope that we will start seeing new tenders and orders coming in maybe in Q3 or something and then revenues FY '26. So if you ask me we should see a turnaround happening in the revenues and hopefully the margins also from FY '26.

Renu Baid: Got it. And lastly, you did elaborate briefly about the foray into conductors portfolio, so what is the kind of capex outlay that you have planned for this business to build capabilities and capacity? And what could be the targeted asset turn from this portfolio, even if it is for internal consumption initially over the next 3 years to 4 years?

Vimal Kejriwal: So Renu, the target -- and the capex right now we have target around INR60 crores or so because it will come up in our existing Vadodara factory. And -- but the turnover I think at the

-- if you look at current prices which are slightly elevated in terms of AL -59 and all that should be around 10x. So we should be -- in a full year basis we should be able to achieve a turnaround of around INR600 crores from this capex of INR60 crores.

Renu Baid: Okay. And this INR60 crores is sufficient enough to build all the AL range as well as the ACSR range that we are expecting?

Vimal Kejriwal: This is a complete line by itself.

Renu Baid: Got it, got it. And lastly, if I can just ask one more if you look at the government commentary in the last few months as a part of the 100 -day program. It's speculated that there'll be significant thrust on project -- new project ap

provals in T&D and power sector.

And that, in your view, how incremental can it add to the domestic growth outlook that you have shared with us, so far?

Vimal Kejriwal: That's a difficult question because -- I'll tell you why is that even without incremental output and all that. Right now there are so many other going on in the market. As I said, we are looking at almost 40% increase in our India turnover this year, on top of the 40, 50 we already had.

So I don't think it will impact too much because at the end of the day I think we are also seeing a significant stretch on the supply chain. So I don't see that whether we'll be able to go beyond 40%, 50% of the current revenues for India unless and until we have matching spend happening on other item.

Like we are also looking at should we expand some of our India factories also. We have not yet taken a call. Maybe if this thing happens, maybe we'll take a call on that because right now our factories, all of them, India as well as Dubai are full.

Renu Baid: That's very helpful. Thank you so much and all the best.

Moderator: Thank you. The next question is from the line of Bhoomika Nair from DAM Capital. Please go ahead.

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Bhoomika Nair: Good morning sir. Sir, just wanted to discuss the margin profile the improvement what we were looking at has been -- the recovery in margins has been much slower. And I think that's got to do with the railways segment.

Now if you can just throw upon what has been the railway margins like I mean we're looking at a decline in the revenues for FY '25. How will the margin profile for the railway business kind of pan out which will start reflecting them the healthier margins of T&D?

Vimal Kejriwal: So Bhoomika, the margins are not as per your expectation or our expectations also. We were expecting a slightly higher margin in Q4, but there are basically two reasons why the margins are I'll say, 20 basis points, 30 basis points or maybe 40 basis points below the expectation. And one reason is that we had a deferment of revenue which is unfortunate on account of some of our supply chain issues which are common to the industry. People admit it or they won't admit it, but there are issues which we are facing on -- especially on the conductor and transformers etc and a little bit on the Red Sea where some of our shipments from Europe got delayed.

So we would have lost around INR400 crores, INR500 crores of good revenue. So if you'll take a 10% margin on that roughly around INR40 crores, INR50 crores of margins which would have added around 20 basis points, 25 basis points to our profits has not happened. So that's one reason. And the second reason is that as you rightly said railways has been an issue. We have been trying to see how do we recover all the variations and prolongation etc which we had hoped that at least some part of it would come in Q4. Unfortunately, there have been some management changes in some of the PSUs etc and somehow I think those decisions got delayed.

So whatever we were expecting has not come into account and because of that we have actually booked some extra provisions in the Q4. That's the basic reason why the numbers are - I'll say, 30 basis points, 40 basis points below what we would have wanted to have for Q4 also and what we have been talking earlier.

Bhoomika Nair: Okay. So sir, I mean, while we are guiding for a 7.5% margin for the full year of FY '25, when do we start seeing margins at around 8% to 9% kind of a range which will be closer to the T&D margins per se?

Vimal Kejriwal: So Bhoomika we still maintain that we'll have 7.5% -plus. We were talking about 7.5% to 8%, but okay let's stick to 7.5% for the year. We have also said that exit at FY '25 we should be close to double digit anywhere between 9% to 10%. Quarterly, maybe Q1, Q2, we're st

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ramping up so it may be at a slightly lower level in terms of I don't have numbers for that. but Q3 and Q4, you will definitely start seeing margins of that size so that we can deliver an average margin of 7.5% for the year.

Bhoomika Nair: Sure. Sir, the second question is on the T&D aspect of ordering and competitive intensity, as you mentioned that the demand and the ordering activity is picking up quite a bit.

Simultaneously, if you can comment about the competitive intensity. A lot of new players have

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kind of come back. Jyoti structures which were not there or there is also busy now, so how is the competitive intensity in T&D for these new orders? How was it, say versus one year back and now, the number of players bidding for orders etcetera? If you can just talk about that aspect.

Vimal Kejriwal: So to me, Bhoomika, what has changed in the T&D sector is the size of the orders. Typically what we are seeing now, from powergrid especially, most of the orders are INR500 crores - plus, okay? And if you look at the competitive intensity in that segment, I'll say it has probably come down a little bit, not gone up, in that segment, okay? The other players whom we're talking about are still not there in powergrid. And they have been more with private players and smaller jobs etcetera, so if you ask me, an honest answer will be, for the larger projects, the competitive intensity has not gone up. In fact, I will say it has come down slightly.

Bhoomika Nair: Okay, okay. And in terms of tendering opportunities, sir, you said INR25,000 crores is what is the tendering opportunity which is ongoing right now. As the year ago whole, what do you think can be possibly the kind of orders that have been talked about? And what is in the pipeline which can possibly come through for the year, in terms of tendering opportunity?

Vimal Kejriwal: Typically we have seen around INR50,000 crores, INR55,000 crores of opportunities coming in, but this year, I think we'll do much more than that, that the way the things are happening, I think we will probably end up at INR60,000 crores, INR70,000 crores of numbers.

Bhoomika Nair: Okay. And that will be then bolstered by the international business as well.

Vimal Kejriwal: No. I'm talking about India. International would be around -- right now we have tendering opportunity of almost INR40,000 crores in international today.

Moderator: The next question is from the line of Parikshit Kandpal from HDFC Securities.

Parikshit Kandpal: Sir, congratulations on a decent turnaround this quarter.

Vimal Kejriwal: Thanks, Parikshit.

Parikshit Kandpal: And sir, my first question is on this INR11,000 crores of inflows which you highlighted in the T&D segment. So I just wanted to understand. Within this piece, what could be the total bought-out items, equipment, transformer or substations? So basically the third-party procurement on the equipment side. And are you seeing any inflation here? Because we have seen a 40% growth, which is substantial. And then so if you can help us understand how much could potentially be a breakup on inflation and volume in this.

Vimal Kejriwal: So Parikshit, it will vary from order to order, but typically, as -- the construction varies between 20% to 30%, okay? On the international side, the construction costs go up to probably 40% also. India would be close to 20%. Substations could be between 10% to 15%. So it will vary, but when we take a ballpark, maybe 20% will be construction. 80% will be supplies. Of the supplies in transmission side, 30% would, again, be towers which will come out from own factory, so maybe 35%, 40% will be bought out for transmission projects. For substations, it

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will be closer to 80% bought out. So that's the broad numbers. They could vary slightly

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that's a broad breakup of the revenue of transmission and substation.

As far as the inflation is concerned and price increase is concerned, clearly we are seeing that, but what happens with us is that, when we bid for a tender, we generally have a back-to-back offer with vendors, whether it's for transformer or GIS or conductor or anything. Conductors, obviously, normally is on a price variable where the metal moves in -- back and forth with what happens with the LME, but as I said earlier in the call, that we have fully hedged on all of them. So as far as the past -- what we have in our order book, I don't think we see any exposure. For the new ones, we quote based on the increased prices.

That's why one of the questions which I answered to Bhoomika was also that we -- the size of the orders is increasing. And so partly it is because of the volumes are increasing, partly

because the values are increasing. I remember we recently quoted a tender of -- with the AL -59 conductor where the conductor value was almost 40%, 45% of the entire contract value, but for us, we are very clear that we always hedge the moment we are L1.

Parikshit Kandpal: But our high -voltage supply chain. I mean the large MNC players. So typically what kind of contracts do we have with them? Is it like pass -through, or is it fixed price? So once you close the contract and award them, is it a fixed price? So how do we hedge that exposure?

Vimal Kejriwal: So typically the GIS would always be on a fixed price, okay? Transformers, it depends upon -- contract to contract. There are contracts where we could have a pass -through the client is giving. There could be contracts where there is no pass -through and where we take a call based on our supply chain, but that -- and typically those exposures are pretty small. And also, if you look at the TBCB and all the way it operates is that, before the final offer is submitted, Power Grid always calls you back for a revised offer, where you can always take corrective actions on the pricing. So if you ask me, honestly, I don't think today we are looking at a large exposure on the base metals in the open market.

Parikshit Kandpal: Okay. And sir, second question is on the improving health of the balance sheets now. I just wanted to understand. I mean typically 4Q is very good in terms of collections, so going -- in the ensuing quarters, coming quarters, how do we see the debt shaping up from INR5,000 crores level? And also if you can touch upon why didn't the credit rating agencies see this improvement coming in. And despite that, they went for a downgrade because now things are looking up. So what were the discussion and deliberation about going around like improvement on these matrices? Despite that, they took a downgrade. So if you can help us ?

Vimal Kejriwal: Maybe I'll ask Rajeev to answer. Then I can add something if required.

Rajeev Aggarwal : So basically, on the debt side, we are expecting that -- some more collections to happen, for example, Afghanistan and there are a few other debtors which are still coming up with a project closure. So we expect that, with a 15% growth in the turnover which we are expecting for the next year, we should remain by and large with the same debt level of INR5,000 crores.

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So effectively what we are saying is that our NWC base, which is -- currently stands at about 112 days, will go down below 100 days. So with that, 15% effectively debt reduction indirectly will take place, seeing that continuing. And based on that, we expect that our interest cost will go down to 2.5%, which is currently at 3.3% for the year.

As far as your question on the rating agencies' rating downgrade is concerned, I think the -- clearly the rating agency has taken a call based on a number of Q2 and Q3. And obviously a lot of debt reduction has taken place in Q4. At the end of

Q3, we had a debt of close to about

INR6,200 crores, which has significantly reduced in quarter 4. And that -- we expect the lower quantum should continue for the rest of the year because there are a lot of leeway that is available still with us in terms of more collection happening for the year.

So maybe with -- after a couple of quarters with further improvement, we will go back to the rating agencies and we will request them to look at our revised numbers and consider restoring back our rating. Currently there are other two rating agency which continues to be at AA -. So with the CARE and CRISIL. They continue to be at AA -. Incidentally, our short -term rating continues to be at the highest grade. So that is A1+ even with ICRA.

Parikshit Kandpal: But Rajeev, with the increase in volume, do you think the debt levels will go up like in Q1, Q2? I mean I know, Q4, they may again come back because of strong collections, but in next three quarters, do you think -- what could be the peak debt levels we are factoring in the next three quarters?

Rajeev Aggarwal : So normally this is like -- if you look at the seasonal phenomena where -- generally, in Q1 and Q2, the debt level goes up. And Q3 and Q4, the debt level comes down. So we had a peak debt level in Q2 and wherein the interest cost was also corresponding to that at 4%. And from 4%, we have come down to 2.5% in Q4. So this is a normal phenomenon, so probably -- my sense is that debt level will always vary between INR5,000 crores to INR6,000 crores . And INR6,000 should be the peaking level given there are a lot of collections which is lined up in the next few quarters.

Even INR110 crores , as Vimal said at the beginning of the call, that we collected from Afghanistan, which came on sort of April -- so had it been in -- on 31st March, 4 days before, probably the debt level will be -- debt have further gone down in the March itself.

Parikshit Kandpal: Okay. And Vimal, sir, you would like to add something, you said, on this.

Vimal Kejriwal: No, no. I think we did request the rating agency that we should look at the annual accounts numbers and all that, but I think they had their own time lines etcetera so they went ahead for that. So I think we are very clear that we will be able to -- once our numbers are sent to them,

and maybe Q1 etcetera, we should see some improvement, I let's keep our fingers crossed . But I think overall what is also happening, Parikshit, is that -- with our quality of order book etcetera improving, I do feel that we -- the numbers on cash flow will improve. There are quite a few large projects both in Civil and also in Railways we have looked at where we expect commercial closures. And cash flows which have been sort of in the pipeline will start coming

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in, so I think overall, the balance sheet, the debt profile, we'll definitely see a significant improvement.

Parikshit Kandpal: Okay. And sir, just a last question, on the order inflow. I mean, last year, we had less than the guidance on the order inflow, so I just wanted to understand. What were the reasons behind that? And what is the guidance for FY '25? And I mean, will it be sufficient enough to make up for the loss we had so that we can deliver a 15% growth?

Vimal Kejriwal: So FY '25, we are targeting around INR25,000 crores. That's the easier answer for me. On the miss, I think there are two -- I'll say part of it is a deliberate miss because we really went slow in some of the sectors where we were seeing a cash flow issue and also somewhere some execution issues. So I'll say part of the miss -- I can't put a number, but maybe 2,000 would have been on account of deliberately not picking up orders or not bidding for some of the tenders which we had factored in as we will win.

And second is one or two cases where we were L1. Unfortunately, we could not take the orders because

of renegotiations. And the numbers which the clients were asking us were below our threshold etcetera, so we had to leave out a couple of orders. I mean, had we accepted them, we would have met 22,000, 23,000 of our target. So I think that's what it is there.

Moderator: The next question is from the line of Vaibhav Shah from JM Financials.

Vaibhav Shah: Sir, in terms of margins, what margins are we targeting for '25 and -- on a whole? And in terms of segmental margins, can you just provide a brief range of what were they in '24 and what we are expecting the improvement in the next 2 years? A broad range would do.

Vimal Kejriwal: So FY '25, I just answered we are looking at a 7.5% margin for the full year. And we also said exit should be around 9% or 10%, so I presume that, FY '26, we still have not got our numbers because it will depend on orders and all that, but I think we should be close to double digit, at least 9% if not 10%. Very difficult to give a number for '26, but clearly it will be, I think, 9% - plus.

Vaibhav Shah: Okay. Sir, in terms of segments, can you provide some clarity, a broad range?

Vimal Kejriwal: So I think -- the way things are happening today; and with the India market, India T&D market, looking up significantly, the way things are happening, I think the T&D margins will definitely be higher than the non-T&D. I can only tell you that much.

Vaibhav Shah: Okay, sir. Sir, secondly, what will be the outstanding debt at -- in SAE? And interest costs.

Vimal Kejriwal: Interest. I think overall SAE cost around 11% -- \$50 million is our debt in SAE.

Vaibhav Shah: So are you planning to reduce the debt or replenish it from other -- from our side? Or it will continue at that level?

Vimal Kejriwal: I think we are waiting for the -- I think, performance, we are improving, so there is some natural reduction. Also we have seen last year a reduction in the Brazilian interest rates, so

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hopefully, we should be able to reap . And also I think the balance sheet has improved, so we should be able to get a better internal rating of the banks in Brazil.

So I think the rates should start coming down. Right now funding from India would obviously be at a cheaper rate, but I think we would still try to see if we can finance Brazil by itself.

Looking at it, if nothing happens in the next 3 or 1 quarter or 2 quarters, we will probably do some capitalization there if required.

Moderator: The next question is from the line of Saif Sohrab Gujar from ICICI Prudential AMC. Please go ahead.

Saif Gujar : In your starting comments you mentioned about slower execution due to something like HV transformers, aluminium conductors, all these. So when we are targeting say, 20% growth next year, how do you see availability of these and the supply chain shaping up both in the near term say two, three quarter view as well as slightly medium to longer term supply chain shaping up?

Vimal Kejriwal: So as far as the 20% growth is concerned, there are two parts of it -- actually three parts. One is India. One is international, and one is SAE. So we are not seeing there is a problem, but we are not seeing that much of a stress in international as of now. India, I think, has been more of a stress on conductors and to an extent transformers and GIS, but for our program - plan for this year we have a tie-up with all the vendors on the supplies.

So I don't think we are worried about it. Conductors was still a little bit of an issue which is why we decided to set up our own manufacturing. So I don't think the 20% is at risk because of the supply chain issues.

Saif Gujar : Sure. And second question is on this HVDC. So say for HVDC opportunity coming up if you take an index number say INR10,000 crores HVDC contract which would have multiples of opportunity for both equipment players and for

players like us. So broadly, how do you see --

or out of the INR10,000 crores say, HVDC project what will be an addressable opportunity for us, for EPC players like us?

Vimal Kejriwal: It would depend upon the structure of the bids. Like we are right now doing an HVDC where the main equipments are supplied by the manufacturer and we are doing the entire civil. We are also doing mechanical erection and many other items of that. Then obviously our share will be higher. Recently, one of the bid which has come out with Power Grid is where they have segregated civil completely and supplies and erection. So it depends. And so obviously the value goes down. So it will depend upon what shape and what format the bids come up.

As far as transmission lines are concerned, I think we are seeing opportunities of probably INR2,500 crores, INR3,000 crores out of that 10,000 as transmission lines. So that's the opportunity in each of them. Even now we have got a large number of lines to be bid both in India and Saudi where there are huge HVDC lines which have been announced.

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Saif Gujar : So just a follow-up on that. Say the Power Grid project you mentioned about. In that, within the total project cost what would have been the EPC package split out of the total project cost?

Vimal Kejriwal: I don't have the exact number, but I think the civil was around INR1,000 crores or-odd for the GIS, for the HVDC converter stations. And transmission lines would be probably around INR2,500 or INR3,000. If you ask Abhishek later on, he will give you the exact number. I think it's roughly -- between the two put together it would have been around INR3,500 or so. Plus what will also happen is once the converter station is, let's say, won by someone, maybe they will come back to us for the balance portion of the converter station also which can probably add another INR200 crores, INR300 crores or maybe INR400 crores for us, so it may end up with around INR3,500 crores, INR4,000 crores, in a way.

Saif Gujar: Okay sure. Thanks sir and all the best.

Moderator: Thank you. The next question is from the line of Amit Anwani from PL Capital. Please go ahead.

Amit Anwani: My first question is on the railway business. So railway you did highlighted that this year also there would be de-growth. We have seen railway business for you growing from almost INR300 crores, INR400 crores to INR4,000 crores between '17 to FY '22. Directionally, I wanted to understand since there's a de-growth for FY '25 and you did highlight it that there's a working capital which is an issue for almost 2 years and the margins are quite low, so what -- directionally, what is the strategy for us over the next 2 years, 3 years in railway? And second thing. I wanted to understand from you on the conventional railway versus nonconventional railway. Is there -- will there be more focus on the nonconventional railway projects going forwards within railway? So some sense on it would help yes?

Vimal Kejriwal: So Amit, last year, we decided that we will go slow till we get our act together whenever the issues are understood the contractual issues and where we are running into right-off-way blockages etc. So I think we now have a little say reasonably good understanding of it. And how do we get back and whether we will get back and all to me will depend upon how the contracts are now structured.

Already we are seeing some changes in the working capital structure, where earlier it was completely -- I'll say completely milestone-driven that you do 10 kilometers and you get paid for 10 kilometer. And now already some of the new tenders they have agreed that for supplies they'll pay separately etc.

So if the contract structure changes where it becomes a little bit, I'll say more friendly for working capital number one. Number two, how the new government

and the ministry etc look

at some of the clauses of EPC. I think all that would decide on how do we look at the

conventional railway business. So this is basically on construction of new lines doubling, tripling et c.

On the technology front, whether it is TCAS or whether it is block signalling or S&T etcetera, I think we will continue to look at it and see what is to be done. Between conventional and

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non-conventional: I presume, non -conventional, one is the technology part of it. One is the metro part of it. Metro, we are bidding. We have got a few projects on ballastless track. We have L1 right now in a project for tower supply to a metro organization.

So I think we are -- in a way, I'll say we are sort of agnostic to about what projects we get, depending upon the margins which are there on individual tenders. Internationally, we are looking at closely, but I still feel that, '25, we will continue to de -grow. And '26 onwards, we should see a turnaround happening in the railway business.

Amit Anwani: Sure. Sir, next, on the Civil business, again the similar things. So you got to almost INR6,000 crores intake FY '22, FY '23. And this year, we are at INR4,000 crores in Civil despite your commentary on Civil was pretty strong with respect to the prospects on building factories and the civil work on metro side. So just wanted to understand. Is this the area which you just highlighted that -- deliberately going slow because of the pace of execution or payments? Or anything you would like to highlight on going slow and civil as well?

Vimal Kejriwal: So Amit, the commentary was strong basically on the revenue side. We had a large growth of more than 30% on the revenue. Order intake, I think the simple reason was that we more or less stayed away from very large projects, especially on the metro side. We have four large metro projects under execution. And I don't think we are very happy with what's happening on the cash flows.

And we are facing a lot of delays on account of utilities etcetera, so we decided to be a little bit more conservative on that till we complete some of these projects, which I think we, from the next quarter or two, will start completing and handing over. And secondly, we also did not see too many water projects coming up. See we have got an order book of almost, right now, INR3,500 -- INR3,000 crores, INR3,500 crores in water; and where, for some strange reason, we did not see too many projects coming up.

So basically we sort of, I'll say, deliberately stayed away from metro water. The opportunities are not there, so some of the large projects, which is what we had secured in FY '23, were not there. So if you look at our order intake. For this year, it's primarily industrial and residential and, I think, one data center, if I'm not wrong. That's -- and obviously a hospital etcetera.

So all these orders were in the B&F sector, as you ought to call it. So I do hope that -- next year, with the new government coming in, again, I think metros and all that will start coming in, so we will see. We do hope it will work up on that, but otherwise, on residential and industry -- and especially now we are seeing private capex slowly starting to go up, okay? Residential, there are more than enough opportunities. And so once the elections and all -- or I think, once we start getting labor, etcetera, we'll probably pick up a few more jobs and add to our order intake there.

Amit Anwani: Sure. Sir, lastly, on the order inflow this year. We closed at about INR18,000 crores. And you did highlight it, that it deliberately went slow in a couple of projects. And competition -wise, we did not got couple of projects. I wanted to understand which segments was this missed in

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FY '24. And second part is the INR25,000 crores order intake

which we are factoring in. What kind of intake segment -wise you are dissecting there, yes.

Vimal Kejriwal: So I think, if you -- I'm -- I was not very clear. Sound was not very clear then, but if you're asking about competition and all that: So obviously, international, we see -- international T&D, we see some degree of competition going up, especially in Africa, and all that. India, we have not seen significant competition either in T&D or even on the larger civil projects. If we take civil projects of INR500 crores and above, hardly 3, 4 players and all that.

If you are going sub INR200 crores, then we are seeing a lot more competition. I think the biggest competition problem which we'll see is in Railways, where in many of the bids we are seeing 15 players, 17 players, 20 players, largely from the, I'll say, road industry or contractors to the road industry, subcontractors to the road -- I think those are the guys who are coming in.

So today, if you look at that way -- even Cables, we have been seeing some competition happening. There are at least 7 or 8 players in most of the cable orders. So that's the way we see. India T&D, lower; then Civil; then probably international; then cable. And then Railways is that all of increasing competition.

Amit Anwani: Yes. Actually I wanted to understand. The INR6,000 crores miss in order intake this year was in which segments?

Vimal Kejriwal: So I had explained that earlier. So we had explained it earlier, saying that we had deliberately not taken some orders, which are more in the T&D sector, where the negotiations were happening and they wanted lower prices and that was going below our threshold. And secondly, in Railways, we went very careful what of orders we will take, so I'll say -- and part of -- so it will -- mix of Civil; Railways; and part of international T&D; and even India also, some of the private developers we said .

Amit Anwani: Sure, sir. Lastly, some color on...

Vimal Kejriwal: Amit, you can come back. Amit, you'll have to come back in the queue. There's a long queue here. Please.

Moderator: Yes, sir. Please rejoin the queue for follow -up questions. The next question is from the line of Uttam Kumar Srimal from Axis Securities Limited. Please go ahead.

Uttam Kumar Srimal: Good morning sir. What is the other capex guidance for FY '25 and FY '26?

Vimal Kejriwal: For FY '26, we have not yet firmed up our capex. FY '25 will be close to probably INR350 crores or so.

Uttam Kumar Srimal: And sir, how much amount is remain to be collected from Afghanistan currently?

Vimal Kejriwal: How much Rajeev?

Rajeev Aggarwal : Remaining exposure is about INR300 crores.

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Vimal Kejriwal: Around INR300 crores.

Uttam Kumar Srimal: And sir, with regard to interest costs , so it will remain same in FY '25, what has been in FY '24, total amount?

Vimal Kejriwal: FY '24 was high er 3.3% of revenue. FY '25, we are guiding almost at the same level of Q4 of 2.5%.

Uttam Kumar Srimal : That's all from my side and all the best .

Vimal Kejriwal: Thank you.

Moderator: The next question is from the line of Riya from Aequitas. Please go ahead.

Riya: My first question is in regards to the supply chain challenges that we are seeing. So what kind of inventories do we keep for conductors? And if we are planning to set up our own manufacturing facility, what kind of capex are we seeing there?

Vimal Kejriwal: Riya, I answered it earlier. We are planning a capex of INR60 crores for the conductor. Secondly, we don't have any inventory of conductor. We bas ically is -- order from project -to-project, and it goes to the project site and then installed quickly. So we don't have any inventory.

Riya: Are we seeing any price hikes from the suppliers?

Vimal Kejriwal: There are marginal price hikes which are happening and which we'll apply to

the newer

projects, so that is factored into tender costing when we tender for a new project. Old ones, generally we have not seen anything which is significant, but let me tell you that aluminium conductor always on a price variable, so when we talk about price hike, if the metal goes up, the price will obviously go up.

Riya: Right. And in terms of AL -59 conductor which we are speaking about, what percentage of our total orders or an order inflow which we are seeing would comprise of that?

Vimal Kejriwal: So as far as Power Grid is concerned, probably 75% -80% -- or actually it is there in the rest. Yes, almost, I'll say, 75% -80% of the orders would have AL -59.

Riya: And you also mentioned that there is a supply issue in DI pipes as well. However, large water projects are drying up going forward, so what is your outlook over there?

Vimal Kejriwal: I think that is the expectation, that with the water projects drying up, in a fashion, DI pipes should improve availability , number one. Number two, we have seen that most of the players have expanded capacity, so I think, where expanded capacity is slowly coming into production, we are actually -- I know at least 2 or 3 of them who started supplying from the new capacities. So I think it's a matter of time; that maybe in a quarter or so, this will become normalized.

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Riya: And what kind of water projects decline or de-growth are we seeing yet? Like if just to give a perspective and context.

Vimal Kejriwal: For example, this year, we did not get a single water project. There were hardly any bids which were announced INR2000 crores last year.

Vimal Kejriwal: In FY '23, we had won INR2,000 crores projects in water. FY '24 was 0.

Riya: Thank you .

Vimal Kejriwal: Thanks Riya. Thank you so much.

Moderator: Thank you. The next question is from the line of Arafat Saiyed from InCred Research. Please go ahead.

Arafat Saiyed: Hi sir. Am I audible?

Vimal Kejriwal: It's all right.

Arafat Saiyed: Yes. So I just want to understand, let's say, more about the international pipeline. You said close to INR40 000 crores is still available. So kind of, just briefly, about what exactly, in which region you are looking for these kind of opportunities?

Vimal Kejriwal: Largely it is Middle East. It is between Saudi and Abu Dhabi. Then there a part of it is in Africa. And then balance is spread over East Asia and America etcetera.

Arafat Saiyed: And sir, my last and next question, again on opportunity. I just want to understand, let's say, what happened in last, let's say, 6 to 8 months that certainly the opportunity will be significantly, especially on both India and the international T&D. So I just want to understand, let's say, which segment or, let's say, from where this opportunity coming in India and also from the international market.

Vimal Kejriwal: So, Arafat, international, there has not been any major change in the outlook and all that. That's why we did not say that international will grow significant. It's going well. And the opportunities are basically in two areas, which is the Middle East, which is both UAE and Saudi, and also in the North America, especially U.S. Part of it, where we are seeing opportunities, but that's a typical growth of 10% -15% which we will have, okay? India, I think what has changed -- probably year, year and a half the quarter of time we had large power cuts, etc.

And that was the time when, I think, suddenly the government realized that they need more power. And the entire thinking on the Ministry of Power changed from not adding capacity both on the supply side and on the T&D side. That's number one. Number two, what happened was that, with -- the way our Prime Minister heading the G20 and the entire focus on green energy. Suddenly, the government went all out to ensure that renewable capacity

is added.

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Now most of the renewable capacity, you are aware, is coming up in Gujarat and some parts of -- so Gujarat, towards the Pakistan border. And also a large part is coming in Rajasthan. So obviously that needed large lines, so that was the second part. The third part was that, earlier, the transmission guys used to wait for the power plant -- for those renewable plants to be set up, start working and then start transmission lines.

And then that resulted in the solar plant getting ready and the transmission lines not being ready, so somewhere, the CEA has taken a call saying that, once approval has been given for a solar or a wind farm, let the transmission line be set up irrespective whether the power generation is happening or not.

So suddenly, they have pushed the REC and PFC etc. over the nodal agencies for TBCB to go ahead and start implementing all the notified schemes without waiting for the solar plant of this to come . So I think these are the two or three major changes which we see which have resulted in this push for more of transmission.

In fact, let me add something else today , as KEC, we are almost doing three or four lines which is bringing more power to Mumbai. So also that the power demand itself is going up significantly. We are building four data centers. Each of them is consuming huge power. So the inherent demand for power has also gone up, apart from the push for renewables. I hope I'm clear.

Arafat Saiyed: Yes, thank sir. That's all my side.

Vimal Kejriwal: Thanks, Arafat. Thank you.

Moderator: We'll take the next question from the line of Saket Kapoor from Kapoor Company. Please go ahead.

Saket Kapoor: Namaskar, Vimal ji. Sir, when you mentioned about INR60 crores capex, it is only for the

conductors. Or do we have any additional line for cables also?

Vimal Kejriwal: No, this is only for the conductor.

Saket Kapoor: And sir, will we get a top line of INR600 crores from this ?

Vimal Kejriwal: Yes.

Saket Kapoor: Okay. When will this get commissioned?

Vimal Kejriwal: So we are targeting for Q3.

Saket Kapoor: Q3 of this financial year.

Vimal Kejriwal: Yes.

Saket Kapoor: And sir, then the conductors, the margin profile is definitely higher than the cables .

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Vimal Kejriwal: It will depend. See, what is happening is that the conductor price will be decided by the demand supply, which obviously today is in favour of the suppliers. So, margin would depend upon, we have some orders for outsiders , so the margin will increase internal though. So, we'll probably have some margin getting built into our transmission business. But overall, yes, there will be an improvement in the overall numbers .

Saket Kapoor: Sir, when you look at the cable business as the other segment classified. The revenue was flat, but there is an increase in -- improvement in margin. So for the next year, what margin profile do we expect from the cable segment, which I think the back -to-back contracts are locked for our commodities. And for the cables also, sir, what is our split -up between EHV and the high - voltage cables and any other profiles.

Vimal Kejriwal: So difficult to give you exact numbers. I don't have those numbers, but I think the turnover of EHV and HV is around INR400 crores -INR450 crores turnover is out of INR1 ,600 crores.

Saket Kapoor: And the rest, sir?

Vimal Kejriwal: The rest is LT, instrumentation, telecom cables, there are many things in it. Copper cables for the railway .

Saket Kapoor: Sir, one more small point. In HP PPR and Halogen Free, can we consider this product as consumer -oriented? HPPR .

Vimal Kejriwal: No, we are not doing it for the consumer.

Saket Kapoor: Right. A small point, Rajeev -ji. What was the impact of Forex for this quarter and for the year as a whole?

ole?

Rajeev Aggarwal : So, I think the forex impact for this year has been very negligible. I think it must be INR5 crores -INR7 crores here and there. Reason being that most of the ordering which is happening is in the Middle East. Middle East, the currency is flat. And a lot of these orders are coming up in our subsidiary companies in Dubai and joint venture in Al Sharif, KEC. So, there is not significant foreign exposure that we have currently. Whatever we are doing, let's say in other jurisdictions, we are either hedging them, either selling those currencies or we are actually taking borrowing against that. So, effectively, to that extent, our borrowing interest cost gets reduced to the extent of hedging against those contracts. So, foreign exchange, I don't think there is a significant variation this year.

Saket Kapoor: Okay. And sir, Vimal sir, the last point, on the INR400 crores deferred revenue, I missed your point. This segment, it was -- and when will those get accounted for?

Vimal Kejriwal: So, largely transmission and some part of it in civil. So, part of DI pipes were not supplied and partly on account of conductors and a little bit of transformers which did not happen because of the Red Sea. In Middle East, the supplies come from Europe. So, some part of the European supplies got deferred. Those are two major reasons. Water, that's civil and transmission.

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Saket Kapoor: And this DI pipe issue is resolved now. We have delivery with -- how -- is this domestic issue? Or foreign line.

Vimal Kejriwal: It is domestic issue. DI pipes is for a water project. So, government has given a lot of water projects. Availability is improving. Plus, what has happened is all the DI pipes manufacture expanded capacity. So, I think it is only a deferment of revenue. It will come in Q1 or Q2 instead of Q4. There is nothing to worry about.

Saket Kapoor: One more point, sir. In terms of time overruns, 109 of the 249 railway projects face time overruns. So, the order booking of the railway and the outlook you are giving for the railway, how does this come into impact, in which we are seeing time overruns in the majority of the

railway projects? How do we assess this for KEC?

Vimal Kejriwal: This is a very difficult thing Saket ji, because what is happening is that, in my earlier example, we got a tender, in which it was written that we will give you a block of 18 hours daily to work. Before 18 hours, we got a block of 4 hours, because no one approved that they should stop trains and work first. So, until that issue is resolved and there is no realistic timeline that we will let you work for so many hours it is almost like a ROW issue in transmission and all that here client does not let you work fully so until that issue is resolved that how to do railway projects till then we have stopped working on the live line of the projects. Because the solution is not coming out.

Until the solution is not come out, that we will let you work on the trains for 10 -12 hours. Hopefully, if elections are held, maybe somebody may take some unpopular decisions that you should stop trains and do the modification. So, we have to wait. and then you can make the modifications based on your decisions so you have to wait the major reason for losses is that all your projects are prolonged .

Saket Kapoor: Yes, correct we have worked for compound in cable XLP E compound and all which are used in EHV is there any integration for that or we source it from the market .

Vimal Kejriwal: We do it from the market we did our own backward integration project of PVC last year which started this year You asked the question why the margin is improving One of the reasons was the PVC compounding which we are doing ourselves .

Saket Kapoor: Right . And are you thinking of any capacity addition in EH V?

Vimal Kejriwal: No, we are not doing it .

Saket Kapoor: We have sufficient capacity to mix it correctly .

Vimal Kejriwal: There is no definition of sufficient but we are not expanding it. Thank you, Mr. Sa ket ji.

Saket Kapoor: Thank you, sir .

Moderator: Thank you, sir. The next questi on is from the line of Dhruv , an individual investor. Please go ahead.

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Dhruv: Hi, sir. Good morning. Congratulations on a good set of numbers. Sir, I wanted to understand that -- if in an EPC project the project side is supposed INR2,000 crores in the transmission segment, sir, how much cost is incurred on towers in that INR2,000 crores? And if you can give the rough idea on how much percentage is spend on substation, cables, poles and other parts for this cost bifurcation, sir.

Vimal Kejriwal: So it would depend upon what where the project is coming but you know if so what sort of combination you are using you know six conductors multi -circuits there are a lot of combinations but if you ask me in a typical environment , we always call one third is construction , one third is tower supply , one third is conductor and other insulators hardware etcetra.

That's a very standard ballpark which you can take to be , If the lines are very long it may be very different some somewhere today when we are seeing AL-59 etc etra. Where the conductors are very heavy and more I will say expensive technology wise conductors itself are becoming 40 % , So 50% supply also 20 % , 25% tower rest can be construction. S ubstations is very difficult to give answer because , in substation what happens is our configuration is, what is there, what is not . But if you ask me I'm 80 % would be supplies which would be transformers and whatever else is there in that CRP SAS etc etra and 20 % would be a construction .

Dhruv: Okay, fair enough, Sir, on the Solar side, what is the order book as of now stands at? And going forward, how do you see the segment going forward for you, sir?

Vimal Kejriwal: So solar, I think our order book is up around INR300 crores odd close or something, I don't have the exact number, but it will be somewhere in that ballpark. We are waiting and looking, we have been bidding for some projects because there are many projects coming in solar but the risk profiles are different.

So whatever risk profile suits us, whether liability sector we are willing to take, those are the projects which we are bidding for. I don't think we are bidding very aggressively. So maybe we will take one or two more projects or maybe three projects, I do not know this year. and depending upon how the performance happens then we will probably go more aggressively in this business i think FY'26 is a year when we will probably have a much larger revenue arising out of this .

Dhruv: Okay, so there is no plans right now in the FY'25 to expand this segment very aggressively, sir.

Vimal Kejriwal: Dhruv, I said that we may take 2 or 3 projects and individually each project is around INR500 crores INR600 crores . So we may get an order book of maybe 1500 or maybe two depending on how lucky or unlucky we are maybe we should get an order intake of maybe INR2000

crores

Dhruv: Okay sir. Thank you so much sir and all the best for the future .

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Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now hand the conference over to Mr. Vimal Kejriwal for closing comments. Over to you, sir.

Vimal Kejriwal: Well, thank you very much for your continued interest in KEC. Thank you. And we are very -- pretty confident of delivering on the numbers what we have talked about. Thank you. And thanks, Michelle. Thank you so much.

Moderator: Thank you, sir. Thank you, members of the management. Ladies and gentlemen, on behalf of KEC International, that concludes this conference. We thank you for joining us,

and you may

now disconnect your lines. Thank you.

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"KEC International Limited
Q1 FY'25 Earnings Conference Call "
July 29, 2024

MANAGEMENT : MR. VIMAL KEJRIWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – KEC INTERNATIONAL
LIMITED
MR. RAJEEV AGGARWAL – CHIEF FINANCIAL
OFFICER – KEC INTERNATIONAL LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the KEC International Limited Q1 FY '25 Earnings Conference Call. We have with us today from the management Mr. Vimal Kejriwal, Managing Director and CEO; and Mr. Rajeev Aggarwal, CFO of KEC International Limited. As a reminder, all the participants' line will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch - tone phone.

I now hand the conference over to Mr. Vimal Kejriwal. Thank you, and over to you, sir.

Vimal Kejriwal : Good morning, and thank you, Steve. Good morning, everyone, and welcome to the Q1 Earnings Call of KEC. Let me begin with an update on the overall performance for the quarter, and thereafter, talk about each of the respective businesses and certain key strategic developments. We commenced the financial year with a robust order intake of over INR7,600 crores, a staggering growth of 70% vis -a-vis last year, despite the challenges posed by elections. Our YTD order inflows have been driven primarily by T&D, followed by civil and renewables. Additionally, we have a substantial L1 position of over INR9,500 crores, predominantly in the T&D business, which are expected to be awarded in the near future.

Both our order intake and L1 positions in T&D have a balanced mix between India and International. We have a well -diversified and strong order book of INR32,715 crores as on date. With this, our order book plus L1 position stands at a record level of over INR42,000 crores. In terms of revenue, we have achieved revenues of INR4,512 crores for the quarter, a growth of 6% vis -a-vis Q1 last year. The growth could have been higher, but for the acute shortage of manpower across the businesses, owing to the elections in India, and the continued pressure on the supply chain in some products. Our margins continue to demonstrate an upward trajectory, with an improvement quarter -on-quarter over the last seven quarters. We have achieved a strong growth of 20% year -on-year on EBITDA, with EBITDA margins for the quarter improving by 70 basis points vis -a-vis Q1 FY '24 to 6.5%.

During the quarter, we have successfully reduced our interest expenses by 30 basis points as a percentage of revenue, now standing at 3.4% for Q1 FY '25. We have significantly enhanced our bottom -line, with PBT and PAT growth of more than two times. PBT margins have increased by 140 basis points to 2.5% vis -a-vis 1.1% last year. Our PAT stands at INR88 crores.

We continue to focus on our debt levels and balance sheet. Our net debt, including acceptances, stand at INR5,596 crores, a reduction of more than INR100 crores vis -a-vis last June, despite a revenue growth of INR2,000 crores that is 11% in trailing 12 months. During the quarter, we have realized further collections of over INR160 crores in Afghanistan. We have successfully repaid INR100 crores of high cost debt in SAE to further reduce our debt levels. Over the past year, we have brought down the SAE debt by more than 40%, bringing the total outstanding debt down to INR300 crores.

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Now, coming to the specific businesses. Our T&D business has achieved revenues of INR2,499 crores with a stellar growth of 17% vis-a-vis Q1 last year. In a significant achievement, KEC received an award for executing the maximum circuit kilometer addition transmission line in India for FY '24 from PGCIL. This esteemed award recognizes our leadership in the India T&D industry.

In terms of order intake, the business continues to witness significant traction with a staggering growth of more than two times and new orders of ~INR5,000 crores across India, Middle East,

Africa, Americas, EAP and Australia. We are pleased to share that the business has secured prestigious orders from PGCIL and both existing and new private developers in India, thereby, diversifying our client base in the private developer segment. On the International front, the business has secured significant orders, especially in UAE and Africa.

We continue to widen our presence in the tower supply business. During the quarter, we have secured a large tower supply order from Australia, which reflects our dedicated efforts to expand and diversify the tower sales business globally.

In SAE, the business achieved revenues of INR346 crores, a strong growth of 12% and a positive PBT. The business continues to secure a steady inflow of orders and has a robust order book plus L1 position of over INR2,500 crores. The business is well-positioned for securing orders for supply of towers and hardware from the developers who have won projects in the -- in Brazil's largest auction held by ANEEL last quarter. The overall tender pipeline in T&D continues to be strong in both domestic and international markets.

In India, the power T&D sector is going through a very exciting time, with substantial investments being planned to enable the green energy transition agenda. In international, we continue to witness opportunities across Middle East, SAARC, Africa, CIS and the Far East, with a record order book and L1 in T&D of over INR 26,500 crores and an increase in tendering activities across regions. The business is expected to gain further momentum and contribute significantly to the Company's revenues and margins going forward.

Our civil business has delivered revenues of INR1,059 crores, a growth of 11% vis-a-vis Q1 last year. As conveyed above, the growth has been impacted by the severe labor shortage during the quarter due to elections. The business has strengthened its order book with multiple orders of INR1,000 crores in the residential building and different segments from the recruited clients.

In a significant achievement, the business has secured its largest order in the residential building segment, marking its entry in Northern India. With this, KEC is now executing over 70 high-rise towers for marquee clients and India. It has strengthened its presence in key real estate hubs like Mumbai, Pune and Bangalore, diversifying and expanding its building portfolio, while exploring new geographical territories.

We have strategically pivoted towards the adoption of new age technologies and embraced agile working methods, leading to execution excellence and enhanced client satisfaction levels. By integrating advanced digital tools, such as Building Information Modeling, BIM, document management systems, AI driven business development, asset tracking and management systems,

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concrete management systems and fuel monitoring system for mobile assets, we are at the forefront of technological advancements in the construction industry. The business outlook remains healthy across segments. With a robust and diversified order book of over INR10,000 crores, we are confident that civil will continue to be a major growth driver for us.

Our railway business has achieved a revenue of INR471 crores for the quarter, degrowing by 38%. The business is progressing well on the completion of existing projects. During the quarter, the business commissioned the Automatic Block Signaling (ABS) system for a project in Andhra Pradesh. ABS enhances railway safety, increases line capacity and improves operational efficiency. Additionally, the business is also progressing well on the implementation of Kavach system on over 750 kilometers of the railway line for North Central Railway, which will further enhance safety and speed.

The business has secured new orders of INR500 crores in the conventional and emerging areas of

metros. These include maiden orders for composite gauge conversion works and power supply systems for Bangalore Metro. With an order book of over INR3,000 crores from clients across

central public sector undertaking zonal railways, metro projects, private enterprises and international government establishments, our focus remains on fast tracking the completion of existing projects, optimizing working capital and selectively bidding for opportunities in India as well as in the international market.

In oil and gas pipeline, the business has delivered revenues of INR126 crores, a growth of 21% vis-a-vis last year. The business has commenced execution of its first international project in Africa. It has also received approval from Saudi Aramco for bidding for onshore oil and gas pipeline projects. The business continues to focus on building required pre-qualifications to expand the size of the addressable market.

In the renewables business, we are pleased to share that the business has secured its largest order for a 625 MWp solar PV project in Rajasthan. This has enhanced the order book of this business to over INR1,300 crores. Apart from this, the business is also executing a 600 MWp solar project in Karnataka and setting up solar projects for a leading auto auxiliary company in India.

Strategically, our focus is on building future growth engines in other areas of energy transition, such as wind and green hydrogen. We aim to capitalize on the global shift towards green energy and transportation, supported by government's sustained commitment to promoting renewable energy. Our progress on these initiatives reaffirms our confidence that the renewable EPC business will play a significant role in our future growth.

Our cables business has achieved revenues of INR363 crores. The business continues to maintain a sustained order book momentum across diverse segments, including T&D, railways, metro, solar and metals. We are progressing well on setting up the fully integrated manufacturing line for aluminum conductors. During the quarter, the business has secured orders for supply of power transmission conductors from government utilities and private TBCB developers.

Additionally, in line with our focus on increasing exports, the business has obtained UL approvals. For cable exports to the U.S., it is expected to drive growth in the future.

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In ESG, we continue to embed industry-leading practices across our operations in factories and project sites. As part of our strategy to make all our manufacturing plants water positive, we are pleased to announce that our Jabalpur plant recently received a water positive certificate for its efforts in promoting water conservation. With this achievement, three of our manufacturing plants, Butibori, Jabalpur and Vadodara, are now water positive.

Now, let me update you on some of our key strategic developments, which are led by the relentless thrust of the government on infrastructure development and the rising private investments to cater to the growing demand. Considering the evolving scenario, KEC needs to be prepared to seize the unfolding opportunity. Over the last few years, our cable business has achieved a significant uptick in performance, as it clocked its highest ever revenues, profitability and order intake in FY '24.

Besides, we have an incurring capex into the business, which would result in an increase in scale and size of business. Further, the cable industry is set for significant growth projected to grow at a CAGR of 10% plus till FY '28, driven by government infrastructure investments, green energy initiatives and rising demand in real estate and industrial sectors.

To capitalize on the strong performance and the market potential and to bring out sharper focus to our cable business, we intend to transfer the cable business into one or more subsidiaries

without any dilution of economic interest of the stakeholders. This will enable optimal capital allocation, enhance stakeholders' value. Additionally, the strong credit profile of the cable business will enable it to secure funding at more favorable terms. We are confident that this realignment of our business will drive continued growth for the business in both revenue and profitability.

Overall, our outlook remains robust across our businesses. The global EPC sector, particularly in India, promises exponential growth opportunities in the infrastructure sector. This has led to infrastructure projects and opportunities being more unique and complex, requiring us to invest in superior capabilities and heavy equipment to bring innovative solutions to play.

This favorable landscape enables us to explore organic and inorganic growth avenues within our current operations and adjacent new verticals. It also requires us to make serious investments in the business. Our strategy focuses on strengthening our position in the infrastructure EPC sector, while concentrating solely on EPC activities and excluding investments in development assets.

In order to capitalize on the opportunities as they arise, considering the market conditions and other pertinent factors, we intend to raise sufficient liquidity through equity. Accordingly, we propose to have enabling resolutions to raise capital as and when need arises at the ensuing AGM. The Board has also approved issuance of non-convertible debenture of INR1,500 crores,

which will be used for general business purposes without increasing our overall borrowings. In conclusion, I would like to convey that with the highest ever order book plus L1 of over INR42,000 crores, combined with a substantial tender pipeline exceeding INR1,50,000 crores, we are well -positioned to deliver sustained growth in the coming quarter s.

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Thank you. I am now open to take your questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Arafat Saiyed from InCred Research. Please go ahead.

Arafat Saiyed: Yes. Sir, my first question is of arbitration award of INR24 crores. So, can you further explain on that, on what terms you receive this amount?

Vimal Kejriwal: You're talking about the arbitration award. I was not very clear.

Arafat Saiyed: Yes. Sir, my first question is on arbitration award of INR24 crores. So, can you further more explain about this award, in what terms you receive these and from where?

Vimal Kejriwal: It's a small award which we receive, right, I think from a Delhi Transco . It's an old arbitration which has been going on for, I think, more than a decade. And that award has come in and that's why it has been accounted for this quarter.

Arafat Saiyed: Okay. And sir, coming to next question is on, let's say, Kavach . So, can you further more explain about what kind of opportunity you're looking in this space? And where KEC stand in terms of, let's say, KEC will do EPC work largely, right? So, from where we are getting this technology and what's the outlook for KEC in this space?

Vimal Kejriwal: So, Kavach has been talked about a lot. Even now, we are still waiting for some tenders to come in. Although, there was some announcement that we'll have some tenders coming in, in the next couple of months. We're just keeping our fingers crossed that those tenders come in.

I think, the basic issue which I'm seeing in this coming out is that the number of players who have the equipment are very few and their capacities are limited, which is why if you look at even the existing orders, the execution has been pretty, I'll say, slow. And even our orders, which have been going on for some time, we have been facing some issues across execution because of small size of all the manufacturers. So, we

have a tie -up with one of the three approved vendors and we will continue with them.

Arafat Saiyed: Fine, sir. That's it from my side, and I'll come back in the queue.

Vimal Kejriwal: Thank you, Arafat. Thank you.

Moderator: Thank you. The next question is from the line of Priyanka Biswas from BNP Paribas. Please go ahead.

Priyanka Biswas: Yes. Thank you for the opportunity for the question. So, sir, my first question is pertaining to your cable business. So, you are going for creating a separate subsidiary, so to bring more focus. So, just wanted to have a few questions on that. So, what is the growth target for you? What sort of capex should we expect based on that? And since you also highlighted that there may be favorable funding costs, so what can be the delta and what is the typical ROCE of this business?

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Vimal Kejriwal: So, Priyanka, the ROCE is actually more than 100 %, because it's almost operates on a negative working capital, because we generally sell 30 days, 60 days and all that, and you buy at 180 days, etc. So, typically we have seen that this business per se does not require too much of our capital for my day to day operations, okay?

We have been investing -- I think, in the last two years, we would have probably invested around INR50 crores, INR60 crores or maybe slightly more than that. And the current year, we'll probably be investing another INR100 crores in this business. So, with that investment right now, we expect that in two years -- so last year, we did around INR1,675 crores or so, okay?

This year, we are expecting to grow by another 20%. And going forward, next two or three years, I think we should be growing again by the similar number, 20%, 25%, without any significant investment right now. Once we decide to -- once it is subsidiarized and then it is able to raise its own capital, etc., then we may decide to grow in and invest in a much larger manner.

But today, with the current investment, which we have made in the aluminum conductor, and we are also making investment in some other processes and technologies which will require roughly around, I think, INR80 crores, INR90 crores of other investment during this year, we should be close to reaching a turnover of almost INR2,800 crores, INR2,900 crores within FY

'26 or so. I think that's the way the plan is.

Priyankar Biswas: So, sir, like, given the capacity, what you have, let's say after this INR100 crores that we invest in this year. So, what sort of peak revenues can be made? Because since you got the approval to export cables to U.S., so there will be additional opportunities on top of that. So, what can be the peak level based on the capacities you would be putting in?

Vimal Kejriwal: So, Priyankar, based on today's metal prices, we could do around INR3,000 crores or so, okay?

If the metal prices go up, you can do better with the Rupee depreciates. Ultimately, it's a function of the raw material cost where it is. However, we still have some LT capacity available with us.

So, we'll have to see how it ends up. But I'll say, broadly, around INR3,000 crores would be the capacity in terms of revenue after the current investment.

Priyankar Biswas: So, like, if I remember some time back in the transmission space wise, there are a lot of tenders and orders that is coming through. But you are also highlighting in the past about supply chain constraints, especially transformers and let's say equipment supply disruptions to Middle Eastern projects particularly. So where are we on that currently?

Vimal Kejriwal : So the supply chain issues are still there, but they are not as bad as they were before. It's slightly easing out. Many of the players have started expanding their capacity. So I think from Q3 onwards we do expect that a lot of additional supplies will start coming in. Q2 will still be a little bit of a c

hallenge in terms of supplies, but not as bad as last year was.

So that is as far as, I think conductors and even transformers others also we are slowly seeing expansion happening. Middle East is an issue where the supplies were from Europe. I think now they are getting it sorted out. So I think from Q3 onwards, we do expect that this situation should start improving significantly.

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Priyankar Biswas : So Q3 or Q4 maybe more or less a normalcy. Can we expect that?

Vimal Kejriwal : Priyankar you need to come back in the queue because there are so many people there .

Priyankar Biswas : Sure.

Moderator: Thank you. The next question is from the line of Bhoomika Nair from DAM Capital. Please go ahead.

Bhoomika Nair : Sir, just continuing on the cables side if you can just elaborate on where our margin profile is now. When you've seen this revenue growth to be fairly robust over the next 2 years, how are you seeing the cable margins actually moving?

Vimal Kejriwal : So Bhoomika, one of the reasons why we want to subsidize and to bring bigger, greater focus is our cable margins are at least 200 to 300 basis points lower than the market. We do expect that with focus and all that, probably in the next 2 years or so, maybe 3 . I don't know how quickly we can, but we would expect it to at least reach 9% or so. Whether the market we are seeing generally is 10% to 11%. I think we have been a little bit underinvested in this business. We have started investing. So I think in 2 years or so we should see at least a 200 to 300 basis increase in the cable margins.

Bhoomika Nair : Sure. So the other thing was this quarter the revenue growth has been relatively muted because of the elections and related issues. And 2Q being a very strong monsoon aspect, do you think there is a risk to our annual guidance of a 15% kind of a revenue growth? And if not, I mean -- and you're seeing a very sharp pickup in the second half particularly the fourth quarter. You think given the time line of executions of our order book this should be achievable?

Vimal Kejriwal : 100%. I don't think we have any doubt and especially if you look at the order intake which we have had, okay? I don't think we have a choice but to deliver and probably deliver more, but I don't think I want to commit right now. I don't think we are even worried about the 15% growth.

That's why, in the earlier question, I did answer that supply chain woes are coming down slightly.

Our own conductor manufacturing will also start. And I think slowly we are seeing some light at the end of the tunnel in terms of capacity, etc so as far as 15% growth is concerned I don't think we are worried about it, but yes you are absolutely right that H2 will definitely see a pickup. The numbers have to go up. We are trying to see if we can give an increase in Q2, but that looks difficult with the way the monsoon is behaving , but overall I don't see any risk.

Bhoomika Nair : Okay. Sir just if I may squeeze in one question more, in terms of the debt profile and the working capital which has expanded. How are you seeing that kind of panning out in terms of the working capital given that there may be a pick-up in execution in the second half? Could there be a possible increase in the debt levels which is why we have actually taken the enabling resolution for the QIP?

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Vimal Kejriwal : I don't think that is a way to look at it. When you look at the revenue increase we would have love them to be a little bit lower. We had some delays in some receivables and all that and primarily because the government passes an interim budget. They did not approve some items. And so there was some funding blockages in some of the government projects especially on the water side etc where allocation has now been made and we already

started receiving funds. And

there are some other payments which now that projects are getting over I think which should come. So I don't think we are too much worried.

The enabling resolution on QIP is a different ball game. I'll come to that. The NCD part was also to that purpose so that we can smoothen out our borrowing, etc. but not to increase borrowing. As far as QIP is concerned, I think we are very clear that there are two purposes for which we would like to do as and when we do it. Right now it's only an enabling resolution. I don't think we have anything on the card immediately today or tomorrow, but we have basically said that we want to strengthen our balance sheet.

There has been lot of discussions going on and saying that with the margins profile which we had in the last couple of quarters -- last couple of years, we have been hoping that the margins will increase further and the balance sheet will get strengthened immediately. If that doesn't happen for some reason then obviously we would like to strengthen our balance sheet.

The second piece, which I talked about, is you are seeing what is happening on the infra side. A huge amount of growth is happening. There are a lot of opportunities which keep on coming up. And today, we don't have the luxury of waiting for 3 months, 4 months, so -- and since we did not ever have an enabling resolution we wanted to have an enabling resolution available with us which can cut short the time of an acquisition by maybe 60 days, 75 days or so.

So that was the whole purpose. Maybe a part of it we may use for debt, but -- debt replacement etc, but I think it's a little bit too early to talk about it. Right now, it's just -- we just wanted to arm ourselves with the resolution. So if there are opportunities we go ahead with it.

Bhoomika Nair: Sure. I'll come back in the queue for more questions. Thank you. All the best.

Vimal Kejriwal: Thanks, Bhoomika. Thank you.

Moderator: Thank you. The next question is from the line of Parikshit Kandpal from HDFC Securities.

Please go ahead.

Parikshit Kandpal: Yes. Hi, Vimal, sir. Congratulations on a decent quarter. Sir, my first question is on your stand-alone margin. So, again, straight 10th quarter, wherein we have seen the margins coming off, adjusted for arbitration about 4.5%. So, what is still plaguing this stand-alone financials? I mean, why we are not seeing improvement here? So, which are the segments where you continue to see the pain and when do you think the worst will be behind us?

Vimal Kejriwal: So, Parikshit, I think there is some improvement in the stand-alone vis-a-vis earlier. But to me, I think, probably the last Q2 would be the last quarter that we will see some pain. Because what

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has happened is that most of our legacy projects are in the stand-alone, which is why they are getting over now.

And the railway business, we have been having some issues with the margins. So, since railway is in India, in the India book, stand-alone books, that is why we are seeing some more problems going on, but I think worst case to us will be Q2. From Q3 onwards I think you will start seeing stand-alone improving, because then the entire T&D portfolio which you are now seeing, the execution and the supply for the newer projects will start happening.

So, I think we'll probably wait for one more quarter. Q2, it will -- obviously, there may be some improvement, but I don't see a significant improvement in the stand-alone, okay? And as I was talking earlier we have seen a lot of orders coming in from Middle East, a lot of tower supply. So, they are part of our subsidiaries. Then you have SAE which is doing better. That is again -- so that's why you see a large part of the I'll say improvement getting reflected right now in the consolidated. But I think from Q3 onwards the scenario will change

where stand-alone will also start contributing.

Parikshit Kandpal: Okay. The second question is on fundraise. So, INR4,500 crores looks to be very big fundraise. So my question is in a way like so we have been guiding about 15% growth. So do you think what this quantum of fundraise can do on growth? And we have largely been doing EPC projects. Do you think that now there's a scope wherein we can start taking some equity exposure, maybe

a financial investor, someone, wherein we need to put in some money, so that can add incrementally to the growth? So, what will this fund do to your growth prospects, we setting it above 15%?

Secondly, on -- I think you touched upon deleveraging. So, partly I understand will go towards the deleveraging, but -- and thirdly, on the equity side. So, if you can give some sense, like whether we only be an EPC company or we start looking at some of these opportunities coming up in the power side, on renewables side, on the equity capex?

Vimal Kejriwal: So, Parikshit, I am very clear on the third question, that we will continue to be an EPC company. We have no intention of becoming a development company because we have got enough opportunities. When the opportunity will close down then we will think what we will do, but as of today, I don't think we even have a risk of it saying that we want to become developer. So, that's clearly ruled out.

Secondly, Parikshit, if you look at our growth, we grew from INR500 crores 20 years back to INR20,000 crores today. And we've not raised capital at all. At some point of time, we felt that maybe there's a need to raise some capital. So, we are still debating it internally with the Board and with everyone else saying that should we raise some capital to strengthen our equity or debt profile, although we are very confident of our margins coming in H2, etc. But we are still debating it.

The third piece, which you asked is on the growth profile. So, clearly, right now, we are on a trajectory of 15% or so. Because you are right that the amount is large. If you have to put that

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money, obviously, the acquisitions and all will have to be large. So, that to me could take your growth profile to maybe 25%, 30% from the 15% immediately.

Parikshit Kandpal: Okay. And just the last questions around the two businesses cable and the conductor. So, just wanted to understand, you highlighted clearly on cables' growth path, but on conductor the capex which you are incurring, what kind of top-line it can give in say two years, three years time? And between the two businesses what will be the captive consumption and what will be the third-party kind of sales?

Vimal Kejriwal: So, the number, Parikshit, is that around INR600 crores should be the turnover at full capacity. And that should come in next year. So, we expect to commission it in Q3. So, Q3 and Q4 will probably get INR100 crores, INR200 crores of revenue out of this business. But next year, FY '26, we'll have a full INR600 crores of revenue coming in.

Obviously, our choice, our first preference would be to supply to our own projects. But we don't want to be fully captive. So, at least a part of it will definitely go to third-party. We already taken couple of orders, both from utilities directly and from developers to supply, because we want to keep the product in the market also.

But I don't have a number, but probably 60%, 70% would come to our own projects right now, okay? Going forward, we'll see. And if this works out well, expansion of this capacity is not a very difficult thing. Six months, eight months, nine months, you can always add more capacity, if it is required.

Parikshit Kandpal: Okay. And on the cables business what will be the captive and out of the INR2,000 crores which you are targeting this year how much is captive, how much will be third-party?

Vimal Kejriwal: So,

I don't know out of INR3,000 crores what will happen. But typically, we have been having around a 20% captive. So, out of this INR1,600 crores roughly around INR300 crores, INR350 crores would have been captive. And the balance captive would depend upon how much of this conductor is sold outside and all that. So, to me, I don't think captive will go beyond 25%, maybe 30% at the most.

Parikshit Kandpal: Sir, in future will you have a list that's coming because now you're putting it out in a subsidiary and with improvement has been targeted improvement in margins to 9% and this business may get better valuation. So, do you think that at some point in time, you would think of separately listing it out?

Vimal Kejriwal: Difficult to say today. We'll have to see how the business pans out in a few years. I would not like to say yes or no, but I think we'll have to see how it shapes up and then depending upon the numbers that it generates and the interest that it may have, I will not either rule it or say yes or no to it, but it's something which can always be looked at after maybe two years or so. Once you reach a INR3,000 crore revenue and it's the sizeable revenue then we will take our call as to what is to be done.

Parikshit Kandpal: Sure, sir. Thank you for the answers.

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Vimal Kejriwal: Thank you.

Moderator: Thank you. The next question is from the line of Shrinidhi Karlekar from HSBC. Please go ahead.

Shrinidhi Karlekar: Yes hi. Thank you for the opportunity. So, very strong order prospects pipeline that you have with INR1,50,000 crore s. It's a jump from INR1,30,000 crore s you have had a quarter back. So, would it be possible to share how is it split across domestic and international and within the domestic sir, how is it across the various segments you operate in?

Vimal Kejriwal: You needed what? Sorry, I could not hear you clearly.

Shrinidhi Karlekar: Sir, the break-up of order prospects pipeline of INR1,50,000 crore s?

Vimal Kejriwal: I think roughly around 40% or 45% is in transmission, okay? And the balance is spread across civil and renewable and also part of it in railways. But around 40%, 45% is in T&D. And in that, I think roughly half of it is India and half of it is international in the T&D piece.

Shrinidhi Karlekar : And the non-T&D will be India, right?

Vimal Kejriwal : Non-T&D is I think almost India except yes, I think except a little bit of renewables could be outside, but it's largely India.

Shrinidhi Karlekar: Right. And sir second question is in the order book, you have a very strong order book, almost INR40,000 crores plus. So within that how are contractual terms, both in terms of price variation clause as well as payment terms versus the last cycle you have had?

Vimal Kejriwal: Difficult to give you a straight answer because we are running 300 projects each of them have got a different list. So, broadly what happens is in civil you will have a pass through on cement and steel. That's the major cost item there. In transmission, it will again depend upon contract to contract. So, some of them have got a pass through, some of them are fixed price. In some of the Middle east countries, it's pass through till they sign the contract. The day you sign the contract, it becomes fixed.

So, I'll not be able to generalize it. But just to add that wherever we have a fixed price, the day we get a contract, we go ahead and hedge it. So, if you want to -- if I were to make a statement, I think, the metal risk today on our order book is virtually zero as of today, okay? We are more or less hedged fully on our metal exposure, except for steel, obviously, because steel cannot be hedged. But I think steel prices have been generally benevolent, so I am not too much worried about it today.

As far as the payment terms are concerned, the standard payment terms are

always 10%, 80%,

10%; 10% on advance, 80% would be progress, milestone and all that, and 10% would be retention. Most of the clients give you the retention against a bank guarantee, but many don't do it, okay? So, those are the standard payment terms, 10%, 80%, 10%.

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Shrinidhi Karlekar: Right. Sir, just a similar question. Sir, on the electrical equipment that you need to procure from capital goods companies, where you are hedged in terms of, like, back to back orders you place after you get order?

Vimal Kejriwal: Sorry, what is the second part?

Shrinidhi Karlekar: The electrical equipment, like transformer and switch gear that you would be procuring, how are you hedge against inflation in that product category?

Vimal Kejriwal: So, typically most of them would be on back to back. Typically, most of them would be on back to back. In some places, where they are not in back to back, there with the help of our supply chain and we do provide firming up of the metal, okay? But largely, they would be on back to back, I'll say, largely.

Shrinidhi Karlekar: Right, sir. Okay, sir. Thank you for answering my questions and all the very best.

Vimal Kejriwal: Thank you.

Moderator: The next question is from the line of Riya Mehta from Aequis Investment. Please go ahead.

Riya Mehta: Thank you for giving me the opportunity. In terms of cables I wanted to ask that which particular SKU or which particular sector or the end user are we seeing greater demand coming from?

Vimal Kejriwal: Solar.

Riya Mehta: So, that would be power cables and that would be...

Vimal Kejriwal: Yes, it's almost -- I would say 100% domestic as far as the solar is concerned yes. And a little bit is also now coming in from T&D also. But it's largely solar driven demand.

Riya Mehta: Got it. And in terms of conductors, the -- what would be the captive use? I think for cables you mentioned 25% around, but for conductors how much is the captive?

Vimal Kejriwal: Conductors would be probably 60%, 70%, as I said earlier, but that's a choice which we have. We have enough demand to consume 100%, but instead of just making a 100% captive product we would still like to keep it as a market product. So, we already taken a few orders from utilities and other developers. So it will honestly depend upon how much we can get from outside for our own supplies, for our own requirement. I'll say 60%, 70% would be captive in aluminum conductors at least now. We have enough demand for it internally.

Riya Mehta: Got it. And in terms of shortage of labor, as you mentioned earlier, so in which category are you seeing it? Are we seeing at the very base level or the engineer level or where are we seeing manpower or lack of supply, are we seeing improved?

Vimal Kejriwal: So yes, we are. So, it starts with base. Base is not that bad. It's there, but it's basically people like carpenters, fitters, electricians, masons. So what you can call semi-skilled or skilled. Those are

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the people where we are seeing problems in the civil. If you come to T&D, it is people who do election. The election gangs are there. So I think those are the levels.

Engineers, I don't think we are seeing any issue at all. And even above -- recently we just hired -- we have added 300 fresh engineers, post-graduates and graduates to KEC. So, at that level we are not seeing a problem. The problem is that the semi-skilled and skilled worker level, painters, for example, those people.

Riya Mehta: Got it. And the cable facility will come by what time?

Vimal Kejriwal: The aluminum conductors should start production in Q3.

Riya Mehta: Cables?

Vimal Kejriwal: Cables, we're only in aluminum conductors, nothing else in cables we are adding.

Riya Mehta: Okay. Got it. Thank you. That's it from my side.

Vim

al Kejriwal: Thanks.

Moderator: Thank you. The next question is from the line of Amit Anwani from PL Capital. Please go ahead.

Amit Anwani: Hi, sir. Thanks for taking my question.

Vimal Kejriwal: Hi, Amit.

Amit Anwani: Hi, sir. So, wanted to understand more on...

Moderator: I'm sorry to interrupt, Mr. Amit, your voice is very low. Could you speak a bit louder.

Amit Anwani: So, just wanted to understand more on SAE towers. You did highlight it about the repayment, and I think INR300 crore s-odd debt still there. So, just wanted to understand what are our -- are we targeting further reduction? What is the interest cost there now? And the order inflows and growth target for this year for SAE towers?

Vimal Kejriwal: The interest cost there has come down to around 10.5% now, okay. The debt will keep on reducing once they're -- as soon as they're making money now, they have a profit. So, cash flows and all are reasonably okay. So, most of the debt reductions have happened now has happened from their own cash flows. I don't think we're putting money now for one year or more...

Rajeev Aggarwal: Yes one year.

Vimal Kejriwal: One year. So, we're not putting any money. So, all that debt reduction which you're seeing is coming from their own cash flows. Business wise, I think, we are pretty okay with them, 10%, 12% growth. They can't grow too much because it's ultimately a manufacturing facility, so unless and until we put in more -- a lot more money and expand the capacities. Right now, we have some capacity available. So, depending upon how the order flow pans out, we will probably do a little bit more. Right now, we're talking about 10% to 12% of growth.

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Amit Anwani: Sure. Next, sir, on the -- you did highlighted on the renewable energy business that we are seeing a significant opportunity and we are doing a capability building. So, just wanted to understand if you could highlight which part of the business and capability building is happening? And any pipeline sort of there in mind and -- seeing the competitive environment there, what kind of margins, any more color if you could give on renewable business strategy for us for next one year, two years?

Vimal Kejriwal: Okay. So, Amit, margins typically would be 8% to 10% in this business as of today, okay. Capability build, we are trying to do across all the verticals. So, for us, it is solar, wind, as well as green hydrogen. Solar, we already have, I'll say, decent amount of orders. We have been a little bit cautious in taking orders, but I think we have right now two large orders and we continue

to bid for more.

So, maybe we'll pick up one or two more orders during the year. That's the way. And we're trying to build more capability on engineering, trying to see -- we had a solar manufacturing earlier in terms of this model mounting structures and all that. So, we thought we'll add something. But now with transmission being so much, our factories are completely full. So, there's more capability being added on the engineering and execution in solar.

As far as wind is concerned, we did not have any capability. So, we are trying to build capability to design, code and execute. So, if you look at the AC part of it, we can do it very easily. We're still trying to work with some of the OEMs and all that to see what else can be done. I think in a couple of months, our capabilities and all should be in place in wind. Green hydrogen, I think, it's still far away.

We have built some capabilities. We have quoted for some projects. But I think there is too much of competition right now. Everyone wants to show that they've got green hydrogen projects. So, they've been bidding crazy. I think it will take some time. We have hired a couple of people on the integration side, because we want to be an integrator on green hydrogen rather than being a manufacturer

somewhere. I think it's some time away, okay. I think that's the way, I'll say, our renewable would be. You will start seeing some ramp up in the renewable revenues in the coming years, yes.

Amit Anwani: Sure. Sir, lastly, on the domestic order intake, does now we are expecting that the Andhra Pradesh, again, the redevelopment works will restart in a big way? Does that add anything or enhance our domestic pipeline for next 12 months, 18 months? Any thoughts you would like to give on the Andhra Pradesh opportunities for us?

Vimal Kejriwal: So, to me, I think it's a good opportunity and we are waiting and watching, okay. I think we will see what actually happens on the ground, honestly. But I think you are right. It's an opportunity.

So, I do think that some things out of that will definitely come out in the near future. Amit, I think you'll have to come back.

Amit Anwani: Yes. Thank you, sir.

Vimal Kejriwal: There's a long queue of question queue.

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Amit Anwani: Yes.

Vimal Kejriwal: Thank you.

Moderator: Thank you. The next question is from the line of Mahesh Bendre from LIC Mutual Funds. Please go ahead.

Mahesh Bendre: Hi, sir. Thank you so much for the opportunity. Sir, you spoke about the transmission opportunity. I mean, we are a premier player in this segment. So, over the next five years to seven years, how big is this opportunity looks like for us in terms of ordering?

Vimal Kejriwal: Difficult to answer this, because when you look at the national transmission policy and others, and then when you look at government talking about 500 GW of renewable and also look at the power demand, to me, we have always been talking about INR70,000 crores to INR80,000 crores between the states and central that would be there in any case. It may go up further.

The way things are happening, and if really government actually spends or pushes for this 500 GW and this energy renewable is not considering even what you require for green hydrogen.

What government has been talking about green hydrogen is they want to do more. So, difficult to say, but at least to me 20%, 25% increase year-on-year for the next four years or five years should not be a challenge at all.

Mahesh Bendre: Because sir I mean, the government capex is around INR3.5 lakh crores that's what they are talking about by 2030. But going by the generation side, this number looks very low in terms of historically how it has been spent on transmission side and generation side?

Vimal Kejriwal: Yes, I understand that. We are keeping our fingers crossed that this number goes up. I said this number is based on what has been happening in the past and also because of the inability of the states to fund. So I think the joker in the pack would be how much does the states spend because today all this is coming on inter-state.

So, intra-state and all that, we have not seen too much happening. In fact, if you look at our order book our state order book would be probably 10%, 15% of our entire India order book which needs to definitely go up. So, I think, the whole thing will happen on how the states are given money or they raise their own money or how do they do the distribution reforms and start spending money on the intra state lines.

Mahesh Bendre: Right. Sure, sir. Thank you so much, sir.

Vimal Kejriwal: Thanks, Mahesh. Thank you.

Moderator: Thank you. The next question is from the line of Jayesh Shah from OHM Portfolio Equi

Research. Please go ahead.

Jayesh Shah: Yes. Mr. Kejriwal I think, you have done a very impressive job on working on the margins and cash flow given the overall constraints of the EPC business. And I think my question is similar to some of the other questions that the other participants had hinted that if you look at the entire

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transmission space

Yes, the higher margins or value additions are perhaps not in the EPC, but in associated areas whether visa products or whatever components or whatever else you can do and hence we have seen will companies doing so well while KEC has kind of lagged behind in that area.

I have a simple question, and I think this is a question which you may also have been grappling with that, is there any way that you could transition from just being an EPC company to a product company given that the sector tailwinds are so strong, supply shortages are there, if at all KEC has to make this change the time is now or never. How would you look at it?

Because I know as an answer to a previous question, you have said that you would like to do only EPC. You would not want to be developer. But I would still provoke you to give your thoughts here to all of us to understand better. Because we believe that KEC is capable of doing much more than just EPC?

Vimal Kejriwal: Thanks, Jayesh. So, to me Jayesh we have been -- these ideas keep on coming everywhere and every time we discuss this. So, if you look at our current year's revenue, almost 30% of our revenues should probably come from product sales, okay. Just not to our own projects, but third - party. However, we did feel that, that's not the place where we want to be, and because the reason why we are also moving cable into a subsidiary. Otherwise, the product sales could have probably more.

But what we are doing is, in whatever area we have core, that is our tower manufacturing, which in a way is a product company, product sales. So, there we already expanded our Dubai capacity. We are expanding our Jaipur facility also. Even in, SAE, both Mexico and Brazil, we have added a lot of equipment's. We are expanding our hardware capacity. We are also working on backward integration of our supply chain, where on the angle manufacturing etc., and other pieces. We set up a PVC plant in our cable factory.

I think beyond that, we have no intention right now of moving into products. See, Jayesh, today, you may look at it and say there are shortages, so product is good. Look at two years back, three years back, what was happening. The same conductor guy who today wants a 12 month delivery schedule for me used to sit outside my cabin and say please take the material tomorrow, okay.

So, it's a question of what happens either today, feeling good tomorrow it will happen again.

What happens is on products. you would have made your full investment etc. Then, the investment gets stuck. I still remember two years back, my tower factories were running at 50% capacity. So, I think as of now, we do not have an intention, what happens afterwards that nobody knows. But I think we are happy being a contract based company and we prefer to continue to do that.

Jayesh Shah: I see. Okay. Thank you very much.

Vimal Kejriwal: Thanks for your suggestion.

Jayesh Shah: Thank you.

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Moderator: Thank you. The next question is from the line of Chinmay Kabra from Emkay Global Financial Services. Please go ahead.

Chinmay Kabra: Yes. Hi, sir. I just had a question regarding the order inflow guidance. So, since we have already achieved approximately 30% of our initial guidance, is there any update on it going ahead? And if you could also just help us with the if there's any change in other guidance, like revenue or margins?

Vimal Kejriwal: So, Chinmay, as of today, we have got more change in our guidance. We still stick with INR25,000 crores of order intake, 15% growth in revenue, and 7.5% for our EBITDA.

Chinmay Kabra: All right, sir. Thank you. Other than that, I wanted to know if you could provide a timeline on when is the management may be planning to go ahead with the subsidization of the cable business?

Vimal Kejriwal: So, since we have already approved it, we are right now -- the approval came on

ly on Friday.

So, now, we're in the process of getting our valuations and other things done, and also legal and other approvals, etc., and looking at what is required, okay. Although, since we are trying to transfer to 100% subsidiary, it should be relatively an easy task. But give a timeframe is a bit difficult, maybe between three months to six months is what we are looking for, Yes.

Chinmay Kabra: Yes, sir. Those are my questions. Thank you very much.

Moderator: Thank you. The next question is from the line of Deepak Krishnan from Kotak Institutional Equities. Please go ahead.

Deepak Krishnan: Hi, sir. Just wanted to sort of check, where are we in terms of -- we had sort of a rating downgrade a couple of months ago from one of the rating agencies.

Vimal Kejriwal: Deepak, we can't understand -- I can't understand what you're saying. I think there's a line follow the line.

Deepak Krishnan: Yes. I just wanted to understand, so we had sort of a rating downgrade a couple of months ago from one of the rating agencies. So, where are we on that? Like, do we think that something could kind of incrementally change towards a positive in the next couple of months? And that's the capital raise or a potential capital raise have anything to do with our ratings as well?

Vimal Kejriwal: So, to me, it's difficult to get a rating upgrade. Typically, I think, they take six months or nine months, maybe one year, before they revisit. Clearly, if you do a capital raise and it's what's strengthening the balance sheet, then obviously, we'll go back and represent to them. And we do hope that, that can happen. That is also somewhere in the back of our mind. But let's see. I don't see the upgrade happening immediately unless we do the QIP very quickly, which is not -- right now, not on the card. Yes, Deepak?

Moderator: Hello, Mr. Deepak, does that answer your question?

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Deepak Krishnan: Yes, sorry, I just got disconnected for a second. Just one follow-up. Just wanted to understand, like, in terms, like, we've reiterated about 7.5% EBITDA margin guidance for this year. Do we kind of see this momentum continuing? And is double-digit guidance in the works for FY '26 in terms of margins? How are we today in terms of thinking of that?

Vimal Kejriwal: FY '26, we definitely expect to increase it. So, if you look at our Q1 margins and then if you're talking about 7.5%, so obviously the H2 margins will definitely be better than 7.5%. Otherwise, we'll not reach an average. Whether it will be double-digit or not, very difficult to say right now. But I do expect it will be definitely better than the 7.5% which we have this year. Whether it will be 9%, 8.5%, 10%, a little bit difficult to quantify. But I'm very sure that it will be more than what we are talking about this year.

Deepak Krishnan: Sure, sir. Those are my questions and all the best for future.

Vimal Kejriwal: Thanks, Deepak. Thank you.

Moderator: Thank you. The next question is from the line of Uttam Kumar from Axis Securities Limited. Please go ahead.

Uttam Kumar: Yes. Good morning, sir. Thanks for the opportunity. Sir, you mentioned that we have achieved some INR160 crores -odd from Afghanistan. So, what is pending amount currently from Afghanistan?

Vimal Kejriwal: Balance amount around INR200 crores, Rajeev?

Rajeev Aggarwal: Yes.

Vimal Kejriwal: Yes, roughly around INR200 crores or so.

Uttam Kumar: INR200 crores. Okay. And sir, you mentioned that this year, you spend some INR100 crores on cable business. So, what would be the capex for this year, FY '25, including this cable one?

Vimal Kejriwal: Overall, we are targeting around INR350 crores to INR400 crores.

Uttam Kumar: Okay, sir. That's all from my side. Thanks a lot.

Vimal Kejriwal: Thanks, Uttam.

Moderator: Thank you. The next question is from the line of Vaibhav Shah from JM Financi

al. Please go ahead.

Vaibhav Shah: Yes. Thank you for the opportunity. Sir, for the cables business, so we did a revenue of around INR1,450 crores in FY '24. So, what kind of number you are looking for '25 and '26? As you mentioned that, in '26, we can reach around INR2,800 crores, INR2,900, so what would be the growth in next two years?

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Vimal Kejriwal: So, this year, we are talking about around 15% to 20% growth for FY '25, okay. And FY '26 would be higher because our entire aluminum conductor manufacturing would be in place. I think on an average, it's around 20% growth is what we should be achieving in cables.

Vaibhav Shah: So, '26 revenue, including conductor, should be around INR2,800 crores. So, we should double cable revenue?

Vimal Kejriwal: Vaibhav, I think somewhere here numbers -- FY '24, we did INR1,675 crores of revenue in cables, okay. So, this year, probably around INR2,000 crores is what we should be looking for and then around maybe a 20% rise year-on-year for the next couple of years.

Vaibhav Shah: Okay. Thanks a lot. So, those are my questions.

Vimal Kejriwal: Thanks.

Moderator: Thank you. The next question is from the line of Priyanka Biswas from BNP Paribas. Please go ahead.

Priyanka Biswas: Thank you for the opportunity again. Just one quick question. So, I just wanted your outlook on the Middle East capex, since I think in the oil and gas, you mentioned about Aramco. And if you can also highlight like the Middle East transmission pipeline, let's say, for the next two, three years?

Vimal Kejriwal: So, Priyanka, Middle East is doing very well in terms of transmission. It was earlier restricted to Saudi. But now, we are seeing a huge amount of capex coming out of Abu Dhabi also. So, today, these two countries are leading the charge and we are very, very positive on the capex on both these countries. Till last year, our exposure was more concentrated on Saudi and in a way a little bit on Oman. But this year, many of the orders which we've announced have all come from Abu Dhabi, okay, whereas we now have large elements in Saudi also, so which will come in.

So, it will now balance between the two countries. And we are also seeing a very large pipeline of tenders both in Saudi as well as in Abu Dhabi, okay. So, if you ask me, we are pretty positive. In fact, if you look at international T&D today, the most of the orders are coming in from the Middle East region.

Priyanka Biswas: Hey, if you can just elaborate on the Aramco, that's what I had asked. About the oil and gas, you were saying that we got qualified on that.

Vimal Kejriwal: So, Aramco, I think, will take time, okay. We are in no major hurry in oil and gas. I think we are happy with what's happening in T&D. So, we have started looking at that. I don't think we have bid as of now. I don't think we have an intention of bidding immediately. But we just took the approval, we'll see how to do.

Priyanka Biswas: Okay, sir. That's all for my side. Thank you.

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Moderator: Thank you. The next question is from the line of Riya Mehta from Aquitas Investment. Please go ahead. Hello Ms. Riya, your line has been unmuted. Please go ahead with your question.

Riya Mehta: Thank you for the follow-up opportunity. I was just wanting some further insight on the Kavach policies. And I think the allocation and the budget has also increased. So, if you could just give a macro outlook on the same.

Vimal Kejriwal: See, although, I think it's gone up by INR1,000 crores or something, if I'm not wrong, the issue which I'm seeing is that there is some discussion going on the Level 3, Level 4, which level. I think they're right now on Level 2 of Kavach. So, I think government has been debating that piece. That's my understanding, which is why the orders have not

been -- tenders have not been coming.

Also, the capacity has been limited. So, we do expect that in the next couple of months, a few orders will start coming in. But unless and until they approve more vendors and the capacity goes up, looks difficult -- or they sort of change the levels and start allowing international players who have this technology to come in, so little bit difficult. I am not honestly seeing too much of opportunity at the moment, okay. If there is something different happens in couple of months, because as of today, there's no tender out, which means that for next week, even if the tender comes in, but the process is three months, four months, five months for award and all that. So, I'm not seeing any major revenues flowing in from Kavach. Even if it happens, the order intake will happen, okay.

Riya Mehta: Got it. And there were articles -- news articles which were saying that the oil and gas orders which were coming in from Saudi last year around has slowed down a bit. And I think even L&T had a similar outlook. What kind of traction are you looking from that geography?

Vimal Kejriwal: We are honestly not there in that geography for oil and gas. We have got approvals. We have even looking at more on the water side there rather than the oil and gas. What we understand from whatever we have also read the same thing is that they have put on hold some of the projects

which they don't want, although they are continuing to invest a lot. So, it's not that they stopped investing, seem to have become much more selective in their investment.

Similarly, if you come at -- come to Abu Dhabi, we are seeing ADOC going ahead with some significant investments in oil and gas, okay. So, between the two, I think large investments are still happening, but not to the extent which people were talking earlier.

Riya Mehta: Okay. Thank you. That's it from my side.

Vimal Kejriwal: Thanks, Riya. Thank you.

Moderator: Thank you. The next question is from the line of Shrinidhi Karlekar from HSBC. Please go ahead.

Shrinidhi Karlekar: Yes, hi. Thank you for the follow-up opportunity. Sir, you alluded to very strong return profile that you have in your cables business and this is despite over 200 basis point to 300 basis point

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lower margins versus your peers. So, may I ask you to elaborate how is your in terms of asset turn profile as well as working capital profile of this business?

Vimal Kejriwal: So, clearly, if you're asking about asset turnover, I think if you look at the numbers, which we have been talking about, let's say, aluminum conductor, we are saying we'll invest INR60 crores and we'll get a INR600 crores and all. And similar, new investment which we're talking about INR80 crores, INR90 crores, again, we expect a revenue of INR600 crores or so.

So, typically, when we do an expansion of an existing -- in an existing facility, then around seven times to eight times is -- has been the asset turnover. Obviously, when you set up a new facility, like what we did in Baroda many years back, it was around three times, or three times to four times.

Shrinidhi Karlekar: Right. And sir, how is working capital profile, sir?

Vimal Kejriwal: Working capital, as of now, is negative in the sense that we are buying on credit and selling a little bit on the lower credit period and all that. So, we're not investing on that.

Shrinidhi Karlekar: Okay. So, the acceptances you have on the paid cable side.

Vimal Kejriwal: Yes, absolutely. Acceptances and also interest free credit. But it's basically, your creditors are more than your debtors.

Shrinidhi Karlekar: Let's say, in that case, sir, how large is the receivables profile in terms of days?

Rajeev Aggarwal: For cable business, it is somewhere around 75 days to 80 days.

Shrinidhi Karlekar: 75 days to 80 days. Thank you. Yes. Thank you for

answering the questions. Thank you.

Moderator: Thank you. The next question is from the line of Jay Jain from Buoyant Capital. Please go ahead.

Jay Jain: Can you throw some light on the L1 order -- L1 of over INR9,500 crores, which are the major orders here? And can you give a break-up of your transmission -- T&D business and other businesses of this INR 9,500 crores?

Vimal Kejriwal: So, on the L1, typically we don't give break-up in details but almost 90%, 95% is in T&D, okay. And split between India and international, in fact, international probably in L1 is more than India, okay. Order book & L1 is INR4 2,000 crores -- what break-up do you want?

Jay Jain: Just the split between T&D and geographical. Thank you.

Vimal Kejriwal: So, T&D would be roughly 50% of it and the rest would be non-T&D, okay. And geographically, it would be around 74% is domestic, 74%, 75%, 25% is international.

Jay Jain: Okay. Thank you. Thank you, sir.

Moderator: Thank you. The next question is from the line of Pratik Lambe, an individual investor. Please go ahead.

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Pratik Lambe: Yes. Hi, sir. Thank you for taking my question. My question was on international T&D order book currently. I want to understand, sir, how is it that I can look at it going next two years in terms of strategy that KEC would have on building its international T & D business, whether in terms of executing EPC projects or the pure supply orders, and also on the margin and the geographic regions that we would be targeting mainly? Thank you, sir.

Vimal Kejriwal: So, Pratik, if you look at our geographical spread on T&D, and I'll say, broadly if you look at it, one is our, what we call our neighboring countries, which would be Nepal, Bangladesh, Sri Lanka, etc., which is where we had a very strong presence. However, of late, we are seeing the orders coming down slightly, okay. I still remember three years back, my Bangladesh revenue was more than India revenue in T&D. So, that's one reason, where we see a -- I'll see a consistent

flow. Maybe for us, a revenue of INR 5,000 crores is what we are looking at. Depending upon what happens in Bangladesh, the revenues can go up.

Second is obviously Middle East, which is obviously our largest region. And as I was answering the earlier question, we are seeing a huge potential between both the two large countries of Saudi and Abu Dhabi. So, those would be -- that would be our biggest focus area in terms of T&D.

Africa has started picking up now. I think from what had happened in COVID, where the entire funding had dried up and the funding had been diverted to more humanitarian issues, now we have slowly started seeing projects coming up. Even we had announced a large project some time back and we are still hopeful of getting some more. So, Africa will slowly start coming back, okay, from INR500 crores to maybe INR1,000 crores and all. That's what we want to look at it.

Then the next piece where you are -- is East Asia, which is basically Malaysia, Thailand, Cambodia and all those regions, those have typically been under INR400 crores, INR500 crores for us. And I think that's where we still expect them to stay. We are not seeing a significant bump up happening in that. The place where the increase can probably come in is the former Soviet Union, CIS region, where we are already doing two projects and we have some more tenders which are coming up. And hopefully, if the war subsides and all that, then we will see a lot more growth coming in from the former Soviet Union.

That leaves out Americas, where we don't do EPC, we only do tower supply. And there, we are seeing a large growth happening both in Brazil, Mexico, United States and also countries like Peru, Chile, Colombia, the South America part of it. So, that's an area where we look at very positively and

do expect that tower supplies to that region and to Australia, which is the last piece, where we are seeing some very large projects being announced happening. So, I think that, that's the way we are looking at it.

Our international is roughly around INR5,000 crores and odd. So, I don't see it growing by 30%, 40%, but I think it should grow reasonably. That's the expectation we have, because we also need to keep in mind that geopolitical risk, etc. So, we want to keep a balance between international and India.

Pratik Lambe: Yes. So, will the international growth be ahead of the domestic or how do you see that?

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Vimal Kejriwal: Sorry, what did you say? International growth would be?

Pratik Lambe: Will it be ahead or more than the domestic T&D growth?

Vimal Kejriwal: So, international is growing, but India is growing much more than that. So, I don't see international growth being ahead of India. Right now, the way India is growing, I clearly think that India will grow more than international. At least in absolute numbers for the next two years, we see India going far ahead of international in terms of absolute numbers. After that, the growth percentage may be similar, I'm not sure, but India would definitely be more than international. I can say that.

Pratik Lambe: Okay, sir. Yes. And what will the -- Yes. Thanks, sir. Thanks a lot, sir.

Vimal Kejriwal: Thank you.

Moderator: Thank you. The next question is from the line of Bhoomika Nair from DAM Capital. Please go ahead.

Bhoomika Nair: Yes, sir. Thanks for the follow-up. Sir, just wanted to understand the civil business. For the last couple of quarters, we kind of stagnated in terms of the order intake. So, are we seeing any improvement per se? And what is our outlook in terms of growth out here?

Vimal Kejriwal: So, Bhoomika, civil, what is actually happening in civil is that at least as far as we are concerned, we are not seeing too much on private capex side. So, what has happened is that the industrial order flow has come down, I'll say, significantly. The growth is primarily getting driven by residential as well as, to an extent, commercial.

Even on government side, we had not seen a major, what we call, public spaces, like, let's say, hospitals and airports, etc. I think they're all gone slow, either because of elections or whatever.

So, I think, now, with the budget behind us, I do expect that at this part will start picking up. The residential is looking very, very bullish even now, notwithstanding whatever has happened on capital gains and all that. But the number of inquiries which we have on residential is very high.

Industrial, we have started receiving inquiries. So, I do hope that, that will pick up. The other major areas where we were there was elevated viaducts and water. So, elevated viaducts, I think we are reaching -- slowly reaching a saturation point where we are not seeing too many announcements coming on elevated. But water, I think, we are very, very positive with the current allocation in the budget, etc.

We do see a lot more water projects will come up. There will be -- in my value -- we have three

or four types of one is what we have, Jal -Se-Nal-Tak, which is on the rural side. Then they have one which is on Amrit, which is on the city bringing in more water to cities. Third one would be on the lift irrigation, which is there. So, I think three are major type of projects we are talking and we've started seeing projects coming up in all of them. So, I think we will start seeing revenue order book from water.

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Growth has been, I'll say, little muted, because we did not get the margins which we are expecting to deliver, which is why we also -- and also moving on, what happens is that with T&D growing so much, we said that we will do more where

where we are earning more money. So we

actually became more conservative in civil, raised our entry barrier and increased the margin levels and cash flows, etc., which had an impact on the order intake. I'll say, more or less a conscious decision then by default.

Bhoomika Nair: Right. So this should kind of see a muted growth in the current year unless, say, a water kind of picks up per se?

Vimal Kejriwal: On the order intake, you may say muted, but revenue would be pretty decent, because we already have an order book of more than INR10,000 crores. So, there will be a definitely a revenue growth.

Bhoomika Nair: Okay. And what kind of a revenue growth we are looking at, sir, for the full year?

Vimal Kejriwal: We are looking at around 30% growth in civil.

Bhoomika Nair: Okay, Understood. Fair point, sir. Thanks so much.

Vimal Kejriwal: Thanks, Bhoomika.

Bhoomika Nair: Thank you.

Moderator: Thank you. The next question is from the line of Harshal Mehta from Smart Sync Services. Please go ahead.

Harshal Mehta: Good morning, sir. Thank you for the opportunity. Sir, so I have one question. Pardon me for my ignorance, but in the last conference call, you have mentioned that in that particular month, you were doing around 100 kilometers of Kavach implementation work. And I guess that would be the month of May, if I'm not wrong. So, I just wanted to know that whether the project that we were already having on the Kavach side, was that executed and was any kind of revenue booked in that particular segment?

Vimal Kejriwal: So, I don't have the exact numbers, but we did book revenue. Rajeev, do you have any on Kavach? So, I don't think we have the exact number. Maybe you can speak to Abhishek, but the project is still under execution. If I'm not wrong, 30% 40% or maybe 50% of the project is already executed. So, I think it will be probably a quarter or two by the time the two projects which we have will get over.

Harshal Mehta: Okay. And any kind of split -- so, as far as I know that one kilometer of this Kavach implementation work is costing around INR50 lakh to the government. So, any kind of break-up that you might be able to give that what part is of our JV partner and what is the part of our own as in for execution work in percentage or maybe in ratio?

Vimal Kejriwal: So, Harshal, I don't have the exact number, but I think broadly equipment would be probably around 70% or so. But I may be honestly wrong, but from my recollection it would be around in

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that range and 30% would be on the EPC side. But it's not necessary that all the equivalents come from the JV partner. I'm just giving you the break-up between construction -- or let's say execution versus equipments.

Harshal Mehta: Done, sir. Thanks a lot. Thank you for this insights.

Vimal Kejriwal: Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today's conference call. I would now like to hand the conference over to Mr. Vimal Kejriwal for the closing comments.

Vimal Kejriwal: Thank you very much for your continued interest. Thank you.

Moderator: On behalf of KEC International that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

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"KEC International Limited
Q2 FY'25 Earnings Conference Call "
November 05, 2024

MANAGEMENT : MR. VIMAL KEJRIWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – KEC INTERNATIONAL
LIMITED
MR. RAJEEV AGGARWAL – CHIEF FINANCIAL
OFFICER – KEC INTERNATIONAL LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the KEC International Limited Q2 FY '25 Results Conference Call. As a reminder, all participant line will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vimal Kejriwal. Thank you, and over to you, sir.

Vimal Kejriwal: Thank you, Sejal, and good morning to all of you. We welcome you all to the Q2 earnings call of KEC. Let me start with an update on the key developments during the quarter, and thereafter talk on the overall financial performance of the quarter and H1 along with the highlights of the respective businesses.

Firstly, we have successfully completed our QIP raising INR870 crores, this placement received demand of around 7x, reflecting strong confidence from the investor community. The QIP attracted a diverse pool of top tier domestic and foreign institutional investors, reaffirming the market's belief in our robust business model and ability to capitalize on the growing demand across various sectors. The proceeds from this placement will enhance our financial flexibility, enabling us to focus on debt repayment, support our ongoing growth initiatives across our diverse business segments.

In our Cable business, we are happy to share that our Board has approved the transfer of our Cable business through business transfer agreement to KEC Asian Cables Limited, a subsidiary established for this purpose by KEC. We are currently in the process of obtaining the necessary approvals and aim to make this transfer effective by January 1, 2025. We are confident that this realignment of our business will drive superlative growth for our Cable business.

Now coming to the financial performance. We have achieved revenues of INR5,113 crores for the quarter, a healthy growth of 14% vis-à-vis Q2 last year. The strong growth has primarily been led by T&D. With this, we have achieved a revenue growth of 10% for H1.

We have also achieved a growth in EBITDA of 17% in Q2 and 18% in H1. Our EBITDA margins for Q2 increased by 20 basis points to 6.3%, up from 6.1% in Q2 FY '24, while H1 margins rose by 50 basis points from 6.4% from 5.9%. The performance could have been better, but for the continued shortage of manpower, heavy rainfalls in Gujarat and Rajasthan where most of the T&D projects are currently being executed and a deliberate slowdown of our water projects due to the payment issues, which we encountered from our client.

During the quarter, we have successfully reduced our interest expenses as a percentage of revenue by 70 basis points in Q2 and by 40 basis points in H1, resulting in an interest cost of 3.3% for Q2 and 3.4% for H1.

We have significantly enhanced our bottom line with PBT growth of 72% in Q2 and 100% in H1. PBT margins have increased by 70 basis points in Q2 to 2.2% vis-à-vis 1.5% last year and increased by 100 basis points in H1 to 2.3% vis-à-vis 1.3% last year. We have achieved a PAT of INR85 crores in Q2 and INR173 crores in H1.

In terms of order intake, we are pleased to share that we have achieved a record YTD order intake of INR13,500 crores, reflecting an impressive growth of 50% year-on-year. Notably, a substantial 70% of this order intake has been secured by our T&D business across India and international markets. Additionally, we hold a large L1 position of INR8,500 crores primarily in the T&D sector.

We are well positioned to exceed our order inflow guidance of INR25,000 crores for the year. We have a well-diversified and strong order book o

f over INR34,000 crores as on date. With

this order book plus L1 position stands at a record level of over INR42,500 crores.

We continue to focus on our debt levels and balance sheet. Our net debt, including acceptances, stands at INR5,265 crores as of 30th September, a reduction of INR1,074 crores vis-à-vis September 30, '23. Even after excluding the inflows of QIP, the debt levels have been brought down despite a revenue growth of INR 2,000 crores, i.e. 12% in trailing 12 months.

Now talking about specific businesses. Our T&D business has achieved revenues of INR2,831 crores in the quarter, a stellar growth of 28% vis-à-vis Q2 last year. The growth has been delivered on the back of strong execution across projects, especially in India.

In terms of order intake, the business continues to witness substantial momentum with a staggering growth of 70% and YTD new orders of over INR9,000 crores across India, Middle East, Africa, Americas and Australia. We are pleased to share that the India T&D business has secured significant orders and L1 positions from PGCIL.

On the international front, the business secured multiple orders in the Middle East, particularly in Saudi Arabia, UAE and Oman, further solidifying our leadership position in that region. In SAE, the business achieved profitable revenues of INR317 crores for the quarter. In the first half of the year, we have repaid more than INR100 crores of high-cost debt through internal accruals to further reduce our debt level to around INR300 crores.

In a significant achievement, the business has secured its largest order for supply of substation structures in the United States of America. With this, the business has a strong order book and L1 position of over INR2,000 crores.

The overall tender pipeline in the T&D sector remains strong in both domestic and international markets. In India, the power T&D sector is currently experiencing exciting developments, particularly with the recent launch of the National Electricity Plan, which aims to facilitate substantial investments for the green energy transition.

The NEP outlines ambitious targets, including achieving 500 GW of installed renewable energy capacity by 2030 and 600 GW by 2032. This comprehensive plan emphasizes extensive upgrades to the transmission network with an estimated investment opportunity, exceeding INR9.15 lakh crores by 2032.

In international, we continue to witness opportunities across Middle East, Africa, CIS and Americas. It's a record order book and L1 in T&D of over INR26,000 crores and an increase in

the tendering activities across regions, the business is expected to gain further momentum and contribute significantly to the company's revenue and margins going forward.

Our Civil business has delivered revenues of INR1,152 crores, a growth of 9% vis-à-vis Q2 last year. As conveyed, the growth has been impacted by the continued labor shortage during the quarter. Additionally, execution in some water projects was slowed down, considering a delay in client payments. The business has strengthened its order book at multiple YTD orders of over INR1,200 crores in the industrial, residential and defense segments.

During the quarter, the business has expanded its portfolio with the addition of a prestigious new client in the metals and mining segment by securing an order for the civil and mechanical works for a steel plant in India. The business outlook remains healthy across segments with a robust and diversified order book of over INR10,000 crores. We are confident that civil will be a major growth driver for us also.

Our Railway business has achieved a revenue of INR503 crores for the quarter, de-growing by 35%. Now, business is progressing well on the completion of existing projects. I'm delighted to share that our Honorable Prime Minister Shri Narend

ra Modi recently inaugurated our phase

2 metro extension of the Ahmedabad Metro where KEC successfully installed 39 kilometers of ballastless tracks.

The business has secured new orders of over INR1,300 crores in the conventional and emerging areas of metros. These include a significant order in the emerging tunnel ventilation system in India. We continue to be selective on the order intake front, considering the margin profile and the working capital scenario of this business.

The government's sustained focus on strengthening infrastructure is expected to drive momentum in our Railway business going forward. We are already observing a rise in the announcement of Kavach tenders, which are crucial for enhancing railway safety and efficiency. Additionally, we are also actively pursuing some select opportunities in the international market. In Oil & Gas Pipelines business, the business has delivered revenues of INR92 crores for Q2. The growth has been muted owing to a slowdown in tendering activities. However, the business is close to winning its second order for composite station works in Africa, in addition to the pipeline works under execution currently. The business continues to focus on international opportunities and on bringing required prequalifications to expand the size of the addressable market.

Our Cables business has achieved revenues of INR441 crores, a growth of 7% Y-on-Y. The business continues to maintain a sustained order booking momentum across diverse segments, including T&D, railways, metro, solar and metals.

In line with our strategic focus on increasing exports, we are excited to announce that we have secured an order for cable supply to the United States. The establishment of aluminum conductor manufacturing plant at Vadodara is in process and expected to be commissioned in this quarter.

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To further strengthen our Cable business, we're investing a further INR90 crores towards e-beam and elastomeric cables. These products are designed to meet application-specific environments and incorporate advanced technologies to enhance efficiency. The production from this facility should commence in Q4 next year. This strategic entry into the new product segment will not only diversify our offering but also contribute significantly to our revenue and margin growth in cables.

In renewables, the business has commenced execution of its largest order for a 625 -megawatt solar PV project in Rajasthan. Alongside this, we are also executing a 600 -megawatt peak solar project in Karnataka and developing solar projects for a leading auto-ancillary company in India. This project has already been partially commissioned. The business has a strong order book of around INR1,300 crores.

In ESG, we continue to integrate industry-leading practices across all our operations, including factories and project sites. We are proud to announce that KEC has been ranked #1 in the infrastructure engineering sector and placed among the top 30 companies in India in business world's list of India's Most Sustainable Companies 2024. This recognition reflects our sustained dedication to ESG initiatives, which are integral to our operations.

Overall, we are pleased with our consistent revenue growth, traction in order intake and reduction in debt levels. While the margin ramp-up has been slightly slower than expected, we are confident of achieving the EBITDA margins of 9% to 10% by the exit of this financial year. We extend our heartfelt gratitude to our stakeholders for their unwavering support and belief in KEC's growth story and capabilities. With the highest-ever order book plus L1 of over INR42,500 crores, combined with a substantial tender pipeline of INR1,50,000 crores approximately, we are well positioned to deliver sustained growth in the coming quarters. Thank you very much. We are now open

to take questions.

Moderator: Thank you very much. The first question is from the line of Aditi from CD Equisearch Private Limited.

Aditi: Sir, my first question is why have you people not been able to fill up margins despite fairly good growth in execution?

Vimal Kejriwal: So I think Aditi, if you look at our margins, we had been predicting that we'll grow slowly, slowly. And every quarter-on-quarter, we are improving. So last quarter, we had some, I'll say, one time income, by which the EBITDA was 6.5%. If you normalize, it would have been 6.0%. We have grown to 6.3%. And we are still maintaining that we will be able to achieve the guidance of 7.5% for the year.

And the reason why, as I explained in my opening remarks, one is some of the newer projects in T&D, especially in Gujarat and Rajasthan, which are high margin, have got delayed because of severe rains, which I think is now subsided. So I think work on that has started, which is why we are saying that we'll have better margins in Q3, Q4.

Also on the Railway business, where we were expecting certain variation orders and claims, et cetera to come in, they have got delayed, and I think they should come in, in this quarter.

Primarily, these are the two reasons why the margin ramp up is slightly slower than what we were expecting it to be.

Moderator: The next question is from the line of Vivek Ramakrishnan: from DSP Mutual Fund.

Vivek Ramakrishnan: Sir, congratulations on the improved performance and season's greetings to KEC team. My questions are 2. In terms of the legacy projects that were pulling down margins, could you just explain is there any few specific projects that would clear over the next 1, 2 quarters, which gives you confidence about the margins? And the labor shortage situation that you were talking about, whether that has indeed eased post-rain recently?

The second question is on the working capital. If you see, yes, year-on-year, it has decreased, but if you see from June onwards, despite the fact that there's been equity raise, it's kind of flattish, though I understand that the revenue growth has been solid. So is there any stuck receivables that can bring it down substantially in one go? Or is this the business as usual state for you?

Vimal Kejriwal: Thanks, Vivek. So let me try to answer all your questions one by one. So the first on the labor part, we had a shortage of, I think, around 7,000, 8,000 technicians or labor as we call them. We have been able to get around 4,000 by now. So I think we still have a shortage of around 4,000 workers, primarily in the civil -- a little bit in the transmission, but primarily, it would be in civil. But I think slowly and slowly, we are seeing workers returning. So hopefully, it should be behind us by now, okay? As far as -- sorry, your first question was on railways, right?

Vivek Ramakrishnan: No, legacy projects or railways, which were way you define it, sir.

Vimal Kejriwal: Yes, yes. So I think to me, what is happening on the railways is hopefully, by March or so, we should be able to complete almost all of our old projects and also execution has started on new projects. So last year, we had an order intake of INR2,000 crores. This year, around INR1,300 crores or INR1,400 crores already. And all those projects are at a decent margin, so execution of them is now starting.

So our expectation is that while we will not be, let's say, EBITDA neutral this year, but hopefully next year onwards, we should be okay, but the numbers are coming down. As I mentioned, last year, we did a revenue of around INR3,100 crores in railways. This year, we -- our target is INR2,500 crores. I think we'll reach INR2,500 crores, maybe INR100 crores or INR200 crores here and there. And next year, probably may be similar or even lower, but the quality of revenue will definitely start i

mproving in terms of better margin projects being executed now.

And on working capital, I'll let Rajeev answer the question. Rajeev?

Rajeev Agarwal: Vivek, on the working capital front, as you see that although it is gradually coming down, but still we have some more, let's say, AR, which are -- let's say, long pending, which we are expecting and they are realizing. For example, Afghanistan has come down. We have already

received about INR400-odd crores. Still, there are about INR250 odd crores, which we expect to achieve within Q3 and Q4.

Similarly, in the earlier calls also, we have guided on the metro project, these are some of the back-ended cash flows are there. Now we are actually closing the project on the metro side. A couple of projects will get closed by December and March. And we will be able to bill a lot of back-end unbilleds, so that we will realize. Similarly, let's say, receivables, maybe INR700 crores, INR800 crores or so, which we expect will get realized by end of the year. So that will actually help us to, one, reduce the debt level and also will finance additional work capital, which is required for achieving the growth of 15% for the year.

Vivek Ramakrishnan: Perfect, sir. Sir, could you just guide on the working capital days that you plan in terms of your business plans?

Vimal Kejriwal: So Vivek, that plan, as of now, remains at 100 days. So 100 days is what we are targeting by end of the year. And we are confident with the stuck receivables getting realized in the next couple of quarters and with a significant collections that we expect. And generally, if you look at the trend also, Vivek, first half, generally, the working capital goes up because of the heavy Q4, which payments generally get realized in Q1 and Q2 and the payment comes subsequently. Q3

and Q4, generally, we receive a lot of collections from the client, which help us to bring down our debt levels.

Moderator: The next question is from the line of Bhoomika Nair from DAM Capital. Please go ahead.

Bhoomika Nair: Sir, the first question is in terms of the margins that you spoke about, the second half seeing an improvement to about 9%, 10%. So what is driving this improvement? And do we see this trend of from 7.5% for the full year, that next year, we should be at a round 10% kind of a margin profile?

Vimal Kejriwal: So Bhoomika, I don't think we are still talking about 10%, but we are definitely talking about a 9% to 10% next year, okay? So 9%, we should definitely achieve. Now whether we'll be able to achieve 10% or not, there's a little bit of a long shot, so I leave it at 9% to 10% for the time being. And as far as H2 is concerned, I think there are going to be 2 factors. One is with the larger order inflow which we had from T&D, and if you look at Q1 -- sorry, H1, largely, it was from international. We have got a lot of L1s, etcetera, from Power Grid, but they will now get converted into orders, so we still have INR8,500 crores order L1 and largely in T&D.

So what happens in international is that international orders take a little bit of a time to kick start because of engineering and other, which are not there because in India, most of it is ready-made designs, etcetera. So what will happen is that in Q3, Q4, we expect a lot more increase in the revenues from T&D.

Also, on the part of supply chain because a lot of commitments have been made in Q3 and Q4 from our conductor suppliers, transformers, etc. So we do expect that there would be a ramp-up in revenues. We also expect that there would be some solution to the water payments. At least

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one state has now paid off -- cleared off almost everything. We are only in two states. The second state, we are in discussion with them. So hopefully, that comes in. And then

se projects are at a

significantly higher margin than the normal margins. So if we're able to -- and we expect that revenues for that will also start coming in.

And thirdly, as I was mentioning that many of our railway, I'll say, issues or whatever you want to call it, claims and variation orders, etc. which some of it we were expecting in Q2 which will definitely come in Q3, etc. So the negativity from that part will come down. So I think these two or three factors would definitely improve our margins in H2.

Bhoomika Nair: Okay. So the other part was on civil, if you see the order intake for the last year, while execution you elaborated the labor shortage, etc, but if I look at the order intake has also kind of been muted for the last couple of quarters. Sir, anything to read into it, what is the kind of order intake that we're looking at for the full year? How do you see this business evolving?

Currently, we obviously have a very strong order book, so it's not really a challenge, but more from a future perspective, if you can talk about what kind of growth are we looking at intake, execution, etc?

Vimal Kejriwal: So I'll say Bhoomika, part of it is deliberate the slowing down. We expect that we should be between INR4,000 crores to INR5,000 crores of order intake in Civil for this year. We already have a couple of more L1s. So I think hopefully, this should get converted very quickly. Now I think the major reason why you're seeing a slowdown is that we have sort of stayed away or quoted very high on larger projects, let's say, metros and I'll say we stayed away from water till the problems are getting resolved.

So basically, if you look at most -- in fact, almost all the orders have come in either from defense or residential or industrial. So I'll say even out of government spending for the time being. That's one of the primary reason. Secondly, with the cash flows and the borrowing and all that, we really started focusing more on projects where the cash flows are significantly front-ended rather than back-ended. So that also sort of constrained our tender as a horizon. Slowly, we are seeing the residential and industrial coming back and you will start seeing a lot more ordering happening in civil, but I don't think we'll go beyond, let's say, INR5,000 crores for the full year.

The other part of this civil is that if you look at our conversion, we have an order book of INR10,000 crores. We're talking about INR5,500 crores of revenue. So it's less than INR2,000 crores as compared to other people who are doing INR3,000 crores, INR3,500 crores, INR4,000 crores etc. So we've been very particular about the length of the time line for execution of projects. So most of our projects we have been focusing on are less than 24 months, which is what also puts a little bit of a constraint on our order intake.

Bhoomika Nair: Sure. Sir, if I may just squeeze in one last question on T&D, it's been a very strong 1H in terms of order intake and outlook also remains very strong. How are you seeing the competitive intensity in recent bids, if you can just talk about that? And can we possibly maintain close to the double-digit kind of margin profile per se that we are seeing out there? That's it, and I'll come

back in the queue.

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Vimal Kejriwal: So Bhoomika, we have not seen any change in the competitive intensity. It remains, I'll say, slightly low than what it was what has been historically. Typically, the same four, five, six players who are there in all these larger bids. Smaller bids, obviously, we have been staying out where you've got more players, but there you have another two or three players. So I think what we have seen is Power Grid has become pretty strict on the -- I'll say, the bidders they want because their timelines are getting squeezed. I've got a couple of projects from P

ower Grid, which are now 12 months, 15 months. So I think we are very particular about it. So the competitive intensity stays where it is, I'll say, relatively on the lower side and which will definitely help in the margins.

Bhoomika Nair: Sure. Okay sir. Thanks so much.

Moderator: Thank you. The next question is from the line of Vaibhav Shah from JM Financial Limited. Please go ahead.

Vaibhav Shah: Thanks for the opportunity. Sir, realistically, what kind of order inflows can we target for FY '25? Can it be INR27,000 crores, INR28,000 crores, given the strong YTD position?

Vimal Kejriwal: So Vaibhav, we have talked about INR25,000 crores. And I think we are happy to sort of remain at around INR25,000 crores because what also happens is that we have seen that we really want to improve the quality of our order intake. So although getting to INR28,000 crores is not difficult, but then maybe we'll have to relax somewhere what I was talking about cash flow and other margin constraint, etc. So I think right now, with the sort of boundary lines which we have, I would prefer stick to INR25,000 crores. We'll see.

Vaibhav Shah: Okay. And sir, secondly, on the T&D margins, so when do we expect them to reach closer to double-digit like it was maybe 3, 4 years back in the T&D business? And what are the margins currently ballpark range would do?

Vimal Kejriwal: So I think by Q4, we should be in double-digit in T&D, okay?

Vaibhav Shah: Okay. And sir, lastly, on the interest cost side, so we saw a sharp rise in the second quarter on a Q-o-Q basis. So for the entire year, what are we targeting in terms of interest as a percentage of sales?

Rajeev Agarwal: So Vaibhav, we had guided earlier to about 2.7%, 2.8% of the interest cost for the full year. Now with the QIP having been done, I think we should be looking at somewhere around 2.5% interest cost for the full year.

Vaibhav Shah: So in the first half, it's around INR320-odd crores, there should be a sharp reduction in the second half, right?

Rajeev Agarwal: That's correct. Because we raised the QIP and we repaid the borrowing on the last day of the quarter.

Vaibhav Shah: And what are we targeting in terms of net debt with acceptances as of March '25?

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Rajeev Agarwal: I think it should be somewhere around between INR4,000 crores to INR4,500 crores, somewhere between that because second half we are also expecting a large revenue to achieve our target of 15%. So I think we are somewhere looking at a revenue of INR13,000 crores to accrue in the H2. But despite that, I think we should be, as I guided earlier, we are targeting for a NWC days of about 100 days from the current number of about 130 and the interest cost will definitely come down.

Vaibhav Shah: Okay. And sir, lastly, on the revenue side, can we expect a similar growth in FY '26 or it can be even higher given the funds we have raised now?

Vimal Kejriwal: So Vaibhav, higher is difficult to say right now, but I think 15% will definitely happen because we have an order book of INR42,000 crores. So I don't see any major concerns in at least maintaining 15%. Whether it'll be more or less, we'll probably decide closer to the start of the year.

Vaibhav Shah: Thank you sir. Those are my questions.

Moderator: Thank you. The next question is from the line of Priyanka Biswas from BNP Paribas Mutual Fund.

Priyanka Biswas: Thank you for the opportunity and Happy Diwali. So first of all, I saw in the presentation that you have mentioned about a prospect base of something like INR1,50,000 crores. So can you

throw some more color that how would it be split between, let's say, T&D India, international and other segments? So that's my first one.

Vimal Kejriwal: Okay. And what was the second one, let me just get the papers out.

Priyankar Biswas: Sir, in T&D, I remem

ber your past commentary that there were emerging some equipment shortage that you are highlighting, particularly on transformers and those and yet we are seeing that the revenue run rates are quite good as well despite the monsoons that has happened. So what are the mitigation measures that you are taking or is there some easing of this shortage that you had earlier mentioned?

Vimal Kejriwal: I think easing will start happening now because capacities are getting added now slowly, slowly. So I don't say easing has happened, but what is happening is that the numbers which we are talking about like you asked 15% revenue it will be more or less and all that. So right now, the numbers which we are factoring in and the orders which we are taking, is now taking into account the elongated delivery cycle.

It is one of the reasons why in spite of getting so much of orders, the revenue has not picked up in the way it should have picked up in T&D because of, I'll say -- I will not now use the word shortage, but still I think, a stretch on the conductor side or on the transformer side or GIS, it's improving because the capacity is going up and people are now planning according to the available capacity.

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So if you look at some of the recent projects which we are winning, a couple of them, I'm seeing substations at 24 months because people are accounting saying that the transfer will not come before 15 months. So that those things are happening, which is pushing the execution cycle slightly, but it's now not delaying a project according from the schedule.

Priyankar Biswas: Okay, sir. That's very clear on that. And if I can just squeeze one more in. So we were discussing about the railways, these new orders that has been taken. Is it safe to assume that the past issues that we had on EPC-based contracts about those milestone-linked cash flow, milestone-linked payments? Are these resolved or in the new contracts? Are the terms materially different for railways specifically?

Vimal Kejriwal: Yes. So Priyankar, let me answer it in the three or four different parts. So one is we have now started looking at seriously taking orders where we do not have to work on the live tracks. It's like ROW in T&D. So in short, getting into ROW, we are now trying to work on contracts where I don't have to -- I'm not too much dependent on block. There will be some block requirement, but it's not that my entire contract would depend upon the divisional railway giving me blocks or not giving me blocks. So that's one major.

So if you see most of our orders now, we took -- we are now bidding for Kavach. We took tunnel ventilation, which has new lines. We have taken one doubling which is on a new line, okay or a gauge conversion. So we took some BLT projects in metro. So these are not dependent upon the railway division giving me blocks or not blocks. So we do expect that major losses which have happened in the account of prolongation of the existing time line, so that is one clear view.

Second thing, what we have seen is that after a lot of representation, persuasion, etc railways, even though some of the divisions continue with EPC, some of them have shifted to BOQ. In the EPC contracts now many of the contracts now provide for payment for supplies once they are made. So without waiting for milestones, at least 70% to 80% or maybe 90% money you get against your supplies rather than completion of this. So I think those are two factors.

Third is, I think, by now railways are also understanding the divisions on how the EPC contracts operate and we are also understanding how railways are interpreting EPC contracts. So that return of experience is also coming in. Although we are very particular that we are staying away from any contract where the payments are significantly dependent as happened in the last 2 years.

Priyankar Biswas: Okay, sir. And sir, last question from my side other than the prospect that I asked. See, what I see that in the Middle East, particularly, there are a lot of large-sized -- large gigawatt-sized solar projects coming up. And I do not see any places that you are participating in that. So is it a conscious decision or do you want to participate in those sometime in the future because you are already there doing T&D projects?

Vimal Kejriwal: No, I think it's a conscious decision right now to stay away from them. I think what we want to do, Priyankar, is we want to build our capabilities in India. So we are doing right now two large projects. Both of them are almost 600 and 625 megawatts. We will see what is to be done. See, the issue what we are seeing in -- and you are aware of what happened to one of our large

competitors in solar, is that some of these large contracts have got very heavy penalties, and many of them also have the risk of module purchases.

Most of the international contracts have modules in the scope of the contractor. We have generally been -- I'll say they've been staying away from that risk. So right now, it's a very conscious call. Tomorrow, it may change that we may decide to do something, but I don't think that will happen in the near future. Also, I think our T&D business is going very well. So I really don't want to dilute what is happening because at 15%, 20% growth and all that with the current businesses, I think we are happy with what is happening rather than taking on more large value risky projects. I'll put it that way.

Priyanka Biswas: Okay. And sir, if you can give me the prospect breakdown that I asked in the first question?

Vimal Kejriwal: Okay. So basically, if you look at the numbers, we have been talking about, I'll say, around 56 - almost INR60,000 crores of these numbers are coming from the T&D and another INR15,000 crores, INR16,000 crores is coming from railways, and INR50,000 crores and odd are coming from civil and INR15,000 crores and odd are coming from -- between emerging, what we call renewables and oil and gas. So those are very broad numbers. But if you want -- so T&D would be around 40%, non-T&D would be around 60%.

Priyanka Biswas: Okay sir. That's extremely clear. Thank you so much. That was all from my side.

Moderator: Thank you. The next question is from the line of Chinmay Kabra from Emkay Global Financial Services. Please go ahead.

Chinmay Kabra: My first question is I just wanted to understand or confirm the nature of the transaction that led to Q2 FY '24 tax rates coming at 15% in comparison to Y-o-Y 25%?

Vimal Kejriwal: So I think to me, it's 15% was there because a large part of our revenues and if you look at our standalone and consolidated we have been having a significant amount of revenue and profits coming out of our Middle East operations, which were not taxed earlier. Now that we have -- Rajeev, 9% tax. So now that we have a 9% tax in UAE where our factory and our subsidiaries are located, that's one of the major reasons.

The second reason is that the SAE profitability has been going up. And in SAE, the tax rates are around 33%. So those are the two reasons. There's no one-off or anything else why the rates were lower. I think this is what is there.

Chinmay Kabra: Understood. So can we assume this 25% to be the rate going forward or any ballpark range for this?

Rajeev Agarwal: Yes, I think Chinmay, around 23%, 24% should be the rate going forward. That's pretty stabilized. We will have the benefit of some UAE low taxation and India rate is about 25%. So somewhere around between 22% to 24% is what I believe should be a stable tax rate going forward.

Chinmay Kabra: Understood, sir. My second question

was since we did the QIP during Q2 FY '25, what -- and we did pay off the debt like you mentioned on approximately the last day of the quarter. So just wanted to understand the other income has seen quite a significant dip on a Y-o-Y basis. So just wanted to understand what could be the reason for the same?

Rajeev Agarwal: So basically, if you're comparing with the quarter 1, then, Chinmay, it was in the...

Vimal Kejriwal: Year-on-year.

Rajeev Agarwal: Year-on-year, I think last year, there were some arbitration awards and also the income tax refund. So the interest on the income tax refund and also there was an arbitration award from the very long due that came and there was almost INR12 crores, INR13 crores interest, which was awarded to us.

Chinmay Kabra: Understood. So what could be the run rate going ahead for H2 FY '25?

Rajeev Agarwal: See, other income I don't think we can really give you any sort of a guidance. These are more of a one-off. Normal other income is, let's say INR5 crores to INR7 crores in a quarter.

Vimal Kejriwal: It should be around INR20 crores to INR25 crores in a year.

Rajeev Agarwal: INR20 crores to INR25 crores in normal other income.

Chinmay Kabra: Fair enough sir. Those are my questions. Thank you.

Moderator: Thank you. The next question is from the line of Arafat Saiyed from IncRed Research. Please go ahead.

Arafat Saiyed: Hi and thanks for taking my question. Sir, my first question is on the tender pipeline you

discussed. Let's say, out of INR1,50,000 crores of pipeline what is our expected win ratio for the current pipeline and also how it was in the past?

Vimal Kejriwal: So typically, depending upon the business, it varies between 10% to 20%. Ideally, if you want to take an average 15% is what you can take, but it is between -- around 10%, 12%, 15%, it depends, it keeps on changing, but ballpark would be 15%.

Arafat Saiyed: Okay. Got it. And sir, second question is on margin profile. Let's say, can you just break up the margin profile to T&D and non-T&D? I believe the margin was, let's say, around 10% in the past. It's now come down to below 10%. So can you give us any ballpark figure on the margin, which was for, let's say, across segment especially T&D and non-T&D?

Vimal Kejriwal: I don't think we have been giving segmental margins, but T&D, I just now mentioned that in Q4, we expect it to touch a double-digit margin. Non-T&D business overall has been less than 5%.

Arafat Saiyed: Okay. Got it sir. Thanks.

Moderator: The next question is from the line of Prem Khurana from Anand Rathi. Please go ahead.

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Prem Khurana: So I have three questions. To begin with, if you could talk a little bit about the Cable business because I mean when I look at the revenue, it's been largely flat on a Y-o-Y basis. And even the margins on a Y-o-Y basis seem to be on a softer side. And I think our efforts with -- wherein I mean, we intend to kind of hive up this business into a separate subsidiary, wherein the numbers could change materially because I mean they'll be much more focus on this business.

What -- I mean once this exercise is done and you've been able to kind of transfer it to the subsidiary, what sort of growth would you envisage with the Cable business? And if you could also talk about the margin profile please, because it seems that we've come down some 5% in the Cables now?

Vimal Kejriwal: So Prem, I think the way we are looking at it is that we have -- I talked about 4 major investments which we are doing. One has already been completed. So the conductor business should start -- I think we're just starting the first dispatch in this month itself, probably. So the way we are looking at is that, that capex will generate revenues of around INR600 crores. Part of it, obviously, will come this year, may

be INR200 crores, INR150 crores, I don't know how much will come, but roughly a round INR200 crores should come this year.

But next year, in FY '26, we will have the full INR600 crores of revenue into our balance sheet or into our Cable revenues. And then we are setting up an e-beam facility and also elastomeric cables, etcetera. So that revenue also is expected to be around INR600 crores to INR650 crores. The full impact of that will come in, in FY '27. So by end of FY '27, we expect INR600 crores plus INR650 crores, so INR1,250 crores plus, let's say, we did INR1,700 crores and probably we'll do some -- a little bit more in the growth.

So we should be around INR2,800 crores, INR2,900 crores of revenue in FY '27. So that's as far as the revenue is concerned. Margins, obviously, with conductors being in short supply, the margins on conductors and also the products of e-beam definitely command a higher margin and also a lower cost. So we expect that the margins or EBITDA on these should go up to 7.5% to 8% in FY '27. That is what our target is for Cables.

Prem Khurana: Sure, sir. And sir, on civil side, you spoke about, I mean, your reservation in terms of the sort of competition that you have, which is why you're being selective. How about private sector? I mean we've seen you go and bid for some of these residential real estate projects, commercial real estate developments. I think I mean the way it's been with the real estate cycle, it seems that there's a lot of opportunity and that too from branded developers because branded seems to be selling better.

So -- and when you give us that pipeline of INR15,000 crores is on civil side, how much of this would you say, I mean is it essentially from the private sector and you would be kind of willing to go and consider that? Or I mean you plan to kind of go a little slow on that segment for some time, understand the way it works and then decide? Because your guided order inflow for the segment INR4,000 crores, INR5,000 crores would be somewhat in line with what you're planning to execute.

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So you would not have buffer for the next year in terms of even if you want to grow, we're not creating that sort of buffer for civil?

Vimal Kejriwal: So if you look at the tender pipeline for all, right now, between B&F, the tender pipeline, which we have is around INR13,000 crores, okay? So you can look at -- let's say, I talked about 15% and all that, so if you put INR13,000 crores, 15% is what roughly INR2,000 crores. So that's why we are saying that our order intake should be around INR4,000 crores to INR5,000 crores. There are other places also, including defense and data centers, etcetera . Maybe we may pick up our water project if payment starts happening. But broadly, the B&F is around INR13,000 crores. That's the pipeline as of today.

Prem Khurana: Sure. And how would the competition be with these because these would be essentially wherein -- I mean not necessarily these would be L1 -based bidding as far as the real estate or the data center concern you?

Vimal Kejriwal: So what happens in the real estate is that we work only with maybe 4 or 5 or maybe 6 reputed developers. And the way it happens is that most of them or all of them know exactly what is your cost and everything. So although it is not L1 and all, it's a very knowledgeable customer who we are dealing with when a customer who knows your costs and he knows his own costs, etcetera . So while real estate would give you, I'd say, in a way, sort of a risk -free margin because you know exactly what the costs are .

And most of the costs are passed through, steel and cement is always on actuals with all these developers. However, you will not be able to make any abnormal profits because they will not let you tell because they know exactly what your cost and all that. So real estate would

give you

a steady income but not -- I'll say, not high profits, okay? You want to do 7%, 8% of margin or 9%, so then that's where your real estate would be. In the real estate, you've 15%, it will not give. Industrial is a different ballgame where there are one-off projects and all that and especially if you are doing EPC projects. On Industrial, the margins could vary depending upon the efficiency of your execution and your engineering.

Prem Khurana: Sure, sir. And sir, just one last from my side. On last when you spoke, I mean you spoke about Kavach and you were not sure of the time line in terms of when would these tenders come out.

Any clarity now and by when would we get to have these tenders come out in our interest?

Vimal Kejriwal: So I don't have the exact number, but I think 8 or 10 tenders have already been issued, and I think we have bid for 4 or 5 of them, okay? However, what has happened in Kavach is different divisions are taking different, I'll say, way out. So some of them are still coming on the old style where it's supply and construction altogether.

In a couple of places, they have bifurcated the 2 where they're saying, let the OEMs make the supplies and someone else will come and get. So obviously, we are not bidding for those ones. But for the consolidated ones, I think we have put in 4 or 5 bids. I don't have the exact number, but a few bids have happened in the last 2 or 3 weeks.

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Moderator: The next question is from the line of Anuj Upadhyay: from Investec.

Anuj Upadhyay: Sir, my question relates to the T&D pipeline. We have been hearing that it's closer to around INR 80,000 crores or INR 1 lakh crores of opportunity is lying ahead. But are we seeing any kind of a delay, especially in terms of the tendering, which is happening towards the PGCIL side, because we are the subcontractor, so when it gets to the PGCIL, then the flow of orders comes to us. But is there any kind of a delay which has been happening because it's been quite some time we are hearing similar kind of a number, but the rate at which the orders should have happened, it's not happening.

Vimal Kejriwal: So I think what happens is it's not as much as PGCIL as what we call the BPCs and all that, that's REC and PFC pushing, getting their approvals and then awarding or transferring the SPVs to either PGCIL or the private sector. So whatever time takes -- like, for example, if you take the Rajasthan HVDC, that's not been awarded. There has been a retendering now and I think today or tomorrow is RA for that. So there are projects which get delayed at that level.

However, once the projects are finalized and awarded to the developer, then the zero date is already fixed for the developer. So it is not in his interest to delay the award to the contractors. Otherwise, the project will get delayed because for me, the project is actually 15 months or 18 months from the day I get my LOA. So I don't see any deliberate delay happening.

Yes, PGCIL being a PSU has to follow its own processes, etcetera , approval, so that may take sometimes a little bit extra time, but I think I'm not seeing anything significant happening. There are various approvals which are there with them. And once they get it, they issue it.

Anuj Upadhyay: Okay. So this INR60,000 crores or INR80,000 crores opportunity, which we are discussing, should happen over the next 1 year's time period, the bidding at least should have happened over the next 1 year time period. Is my assessment correct, sir?

Vimal Kejriwal: No, it is not correct because when we give you the number of INR60,000 crores and all that,

that's typically for the next quarter, whatever is available with us, okay? This is not on the blue sky saying that in a year how much happened. This is a tender pipeline which is there today or where we are aware that it will happen in t

he next 3 months or so, okay? This also includes some

tenders, which we have already quoted, but where they have not been opened, okay?

So when I say tender pipeline of INR60,000 crores, there are tenders which we have to quote and also tenders which we have quoted but not decided.

Anuj Upadhyay: Helpful, sir. And anything on the SAE side, sir, even there, the order intake has gone up. So just want to get your thoughts on how the market over there is flourishing?

Vimal Kejriwal: So SAE, if you look at, Brazil is doing well. We have got a lot of L1s now in Brazil based on the last auction. So I think next year onwards, the numbers will start picking up more, but I think you have to be very clear that it's a factory, so it cannot produce more than what it is. So growth in SAE would be limited, but it's doing well. On the Mexico side, I think today, the elections are happening.

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So let's see what happens on the US side and how the -- who comes in and what is the impact of that on the -- one is on the US -Mexico relationships and second is on the US ordering, okay?

But the good part is that after the new President has come in, in Mexico, we are seeing a lot of action happening in Mexico itself. So I'm very confident that the revenues from Mexico would start picking up also next year.

Moderator: The next question is from the line of Uttam Kapoor from Axis Securities Limited.

Uttam Kapoor: Sir, my questions pertain to our Oil & Gas business. So if you see from last to this year on half year basis, there has been a decline of 29% in revenue, so any reason for that? And how do we see the entire year for this year because last year, we had done around INR626 crores of revenue in Oil & Gas?

Vimal Kejriwal: I think that business has been a bit of a disappointment in terms of the tender pipeline as well as the order intake. What has happened is that because the tender pipeline has come down, we are seeing a lot many players in each of the tender. And also, we were hoping that these tenders will be converted into supply plus construction. However, for whatever reason, we are still seeing only construction tenders coming out, which means the size of the contracts are still INR1,500 crores, is not what we had thought INR500 crores, INR600 crores.

So a lot of, what you call, your city gas players and other contractors are also bidding. So the business has not been growing, which is why we then decided to focus on international, and we got our first order, and we are now about to get our second order. We have also been prequalified in Saudi Aramco, we are working -- trying to get prequalified with ADNOC, etcetera. So to me, I think the growth in this business will happen only on the international side.

But coming back to India, I think we are seeing a lot of inquiries from slurry pipelines for all the steel mills. And we are right now doing one very large slurry pipeline project. And we are bidding for, I think, a couple of more for the private sector right now. I think they should be decided. And that -- if that comes, that could add a significant amount of revenue to Oil & Gas. Otherwise, Oil & Gas India will continue at a flattish rate unless we are able to break through more in the international market.

Uttam Kapoor: And sir, what is your capex guidance for FY '26 for this year?

Vimal Kejriwal: Capex, typically, we've been spending around INR300 crores, INR350 crores, okay? Next year, maybe probably INR400 crores because of that INR90 crores what we talked about in the Cable side. So that we are in any case expanding, so it should be around that much. See what is also happening is that on the civil side, we have been doing around INR200 crores every year. So the civil may come down slightly next year because we are already building up a large quality of capital items.

Moderator: T

he next question is from the line of Harshal Mehta from Smart Sync Services.

Harshal Mehta: Congratulations sir for a great set of numbers and solid order book, first of all. Sir, can you give some -- yes, sir, so can you give some updates on our existing 2 Kavach projects? As in how

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much of them are finished or any rough percent -- in rough percentage terms? And also by when

it can be finished?

Vimal Kejriwal: Honestly, I don't have any numbers right now, but I know that I think 40% or 50% has been completed and commissioned, okay? Balance is under completion. I don't think I have a deadline or time line for that right now because you're aware that they supply chain issue in Kavach is very severe. There are only very few players and the capacities are limited. But I think it should get over the next couple of months now. And we have already finished. I think it was 40% a few months back, maybe 50%, 60% by now. Might be finished in three or four months.

Harshal Mehta: And also, if you can explain -- you clearly mentioned that the new set of tenders that are coming in for Kavach, they are having 2 different set of biddings, as an OEM side will be different and the EPC side will be different. But our existing billing process, if you can explain that, specifically to this Kavach project, the payment that we are getting or that we will be getting will be directly from railways or we'll be getting from our JV partners and they will be getting from railways?

Vimal Kejriwal: Rajeev, any idea?

Rajeev Agarwal: I think we can directly...

Vimal Kejriwal: I honestly do not know. I'll come back to you. But I think it's a joint bid. So I think our payments are coming directly because the scope of work is very well defined, okay? Honestly, I cannot tell you a straight answer right now. But I think it's coming to us directly because we have our scope very well defined clearly. And to correct you on the first one, what I had said was that some of the divisions are issuing the consolidated tenders, some of the divisions, they've been breaking up, okay? So it's not that all the tenders are coming as the tenders.

Moderator: The next question is from the line of Saket Kapoor from Kapoor & Company.

Saket Kapoor: Sir, firstly, I have only -- I seek few clarifications. Firstly, you mentioned about the gas pipeline part of the story not gaining traction domestically, so could we allude to the reason why is that the reason? And are we going through the gas pipeline EPC through spur infra only? That is what our arm is for the same? And secondly, towards this Kavach opportunity part also, sir, what is the scope of work that comes under the Kavach?

Is it regarding laying out of network also, the network connectivity, in terms of the Internet connectivity that wherein are we playing any role? And thirdly, sir, BharatNet Project, we were not one of the bidders there. Have you -- have we evaluated that part of the story? Because that also provides a huge scope of work in the telecom network and also with lots of work that are played by the EPC players. So these were my three understanding.

Vimal Kejriwal: So Saket Ji, as far as BharatNet is concerned, we have sort of stayed away from telecom EPC, but we have been suppliers. In fact, last year and someone has asked a question why your cable revenues have not grown as much as they are? Because, last year, we had a very large revenue

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coming out of our optical fiber, which we supplied to the network, which was set up in Tamil Nadu, okay?

Unfortunately, the margins on all are a bit of a problem and plus competition, this is a difficult business and whether with low margins. So we have consciously stayed away from BharatNet, but as and when it is getting done, we will definitely be there to supply some

of it. That's as far

as the BharatNet is concerned. As far as Oil & Gas is concerned, yes, we are only on the infra part of it. We are not in the city gas and all.

And when I mentioned city gas and all, my mention was because we saw a lot of contractors from the city gas side coming into the infra gas side and causing a drop in the prices and margins. So that was the context of this. What else did you ask?

Saket Kapoor: I asked about the opportunity in Kavach. What is the network aspect in it and what is the scope of work exactly in Kavach what we play in. Because I think the network is -- too is the biggest one.

Vimal Kejriwal: So what is happening in Kavach right now is that, let me explain whatever I know about it. One is you have your Kavach equipment installed in the locomotives, then they are installed at the stations and then they are installed along the track, okay? So that all 3 of them talk to each other and the locos can talk to each other also. So what typically happens, sir, is that the installation in the loco and the installation in the station of the Kavach-specific equipments are done by our Kavach partner.

And the rest of the work, which is along the track and including in the stations also on the communication like how you just mentioned, all that is done by us. And also, what happens is many of them have got -- all these always have structures. You get poles near the railway track where communication happens. The current or whatever you want to call it, when a train passes, the messages get relayed from the tracks into that pole.

And then into the station and to the locomotive. So we have a role to play in all of that. We are also there along with the equipment vendor sometimes to install the equipment also, but that is primarily the job of the equipment vendor to work on the locomotive and on the station cabins.

Saket Kapoor: So, there will be an OFC play out in this, and what is our current capacity of optic fibers cables ?

Vimal Kejriwal: I have not seen OFC in this because this is based on GSM and all that. It's a GSM -1, it works on the tower, so it doesn't require OFC.

Saket Kapoor: Okay, and what is our current capacity? You alluded to the fact...

Vimal Kejriwal: There is no capacity issue in this, this is a normal EPC work for us. The issue is on the equipment suppliers ...

Saket Kapoor: Let me clarify last, you mentioned that last year, we supplied a large OFC cable to one of the telecom players. So what is our current capacity here? And how -- what is our utilization level?

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Vimal Kejriwal: We can do around INR10 crores per month. Utilization right now would be 30%, 40%.

Saket Kapoor: Okay, sir. And lastly, on the QIP part of the story, sir, you mentioned that we had 7 x to 8x the book being subscribed. So the main purpose was to get the cash flow done or was it regarding the capex in the Cable segment to fund that, what was the main purpose and why did not we, sir -- we up the issuance value at this time and take advantage of the participation there?

Vimal Kejriwal: I think we are very clear that we wanted to use it for debt repayment. And the size is what was decided by the Board and said that we -- see, look we don't have a big capex . And we are pretty okay. And I think with our margins going up, we are also very sure that we'll be able to generate our own cash flows. So we did not want to dilute the equity shareholders too much by raising fresh equity. We did not do it in 20 years, we did it for the first time. And we didn't want to do it more.

I think that was the idea where we wanted to have restricted this. The only reason why we did it is that because we did feel that bankers were getting a stretch that all these money is put by us, you should bring your own and invest . And i t was done more for the bankers than for ourselves. That wa

s the whole idea ...

Saket Kapoor: Sir, in the last point, you commented on the water infrastructure that there are payment issuances and all are coming. Sir, these are all state agencies and centrally funded projects. So, where exactly are you seeing the problem in this and what code corre ction is expected for creating the water infrastructure? If you could just explain, sir.

Vimal Kejriwal: There is a ratio between the state and central. Some have 40% of the state, some have 50%, some have 60% and the rest is given by the central. So, what we are seeing is a significant mismatch in the timings. When the central government gives money and the state does not have money, then the central does not allow it to be dispersed. When the state has money, I saw that it is not coming from the central.

So, because of the budget, the central did not give money for 4 -5 months. Now that the central has started giving money, the state has used its quota. So, there is a little mismatch. I think in a month or so -- so in some states, I understand there is MP, UP, where this mismatch has gone wrong. So, those are the states where the mismatch is going on. But I think it is a matter of time that this mismatch will get settled. Because ultimately, NAL to JAL is a big government program.

They also like electricity, they want water in every house. So, it is a matter of time that these differences will get resolved between the state and central and money will start coming into all the contractors.

Saket Kapoor: Absolutely. River Linking is also coming up in a big way. So, that is I think where we will have an opportunity.

Vimal Kejriwal: There are many opportunities. Let us see what opportunities come up .

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Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Vimal Kejriwal: for closing comments.

Vimal Kejriwal: Thank you, everyone, for your continued interest in KEC. Thank you.

Moderator: On behalf of KEC International Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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"KEC International Limited Q3 FY '25 Earnings
Conference Call "
February 04 , 2025

MANAGEMENT : MR. VIMAL KEJRIWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER , KEC INTERNATIONAL
LIMITED

MR. RAJEEV AGGARWAL – CHIEF FINANCIAL OFFICER ,
KEC INTERNATIONAL LIMITED

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Moderator: Ladies and gentlemen, good morning and welcome to the KEC International Limited Q3 FY '25 Earnings Conference Call.

Today, on the call we have with us Mr. Vimal Kejriwal – Managing Director and CEO; and Mr. Rajeev Aggarwal – Chief Financial Officer.

As a reminder, all participant lines will remain in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing "*", then "0" on your touch telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vimal Kejriwal – Managing Director and CEO from KEC International Limited. Thank you and over to you, sir.

Vimal Kejriwal: Thank you, Ryan. Good morning. We welcome you all to the Q3 Earnings Call of KEC. I will begin with an update on the key development during the quarter, and thereafter top on the performance highlights for the Quarter and Nine Months , along with the highlights of the respective business units.

In line with our strategy and targeted timelines, we are pleased to share the successful transfer of our cables business to KEC Asian Cables Limited, a subsidiary of KEC, effective 1st January 2025. This significant milestone reflects our commitment to unlocking growth opportunities and creating long-term value for the business.

As part of our efforts to diversify into high potential products, we continue to make substantial progress on multiple fronts. During the quarter, we successfully commissioned the first phase of the aluminium conductor plant at our Vadodara facility, with the final phase on track for commissioning by end March 2025. Additionally, the capital investment to produce E -Beam and Elastomeric cables is advancing well with production for this facility expected to commence in Q4 next year. We are confident that strategic realignment coupled with our focus on product diversification will drive significant growth, strengthening both revenue and profitability for the cables business in the years to come.

With a robust order book and a sustained increase in tendering activities in the T&D segment, we initiated our debottlenecking program to enhance our manufacturing capacities at some of our

plants with low investment. After successfully completing capacity expansion of Dubai plant, we have now expanded the Jaipur plant and are currently working on increasing the capacity at our Jabalpur plant. On completion of our Jabalpur plant expansion, our total capacities would go up from 4,22,200 metric tonnes to 4,68,200 metric tonnes per annum. This strategic capacity enhancement positions us to effectively meet the growing demand across India as well as Middle East.

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During the quarter, we rechristened our railways business as transportation business. This change reflects our strategic vision to align with the global trends and positions us to strengthen our focus on delivering advanced and sustainable solutions in the transportation infrastructure sector. The name transportation better represents the breadth of our offerings and is in line with other global EPC companies.

Now, coming down to the "Financial Performance":

We continued to witness strong momentum in order intake with YTD order inflows surpassing a record level of Rs. 22,000 crores, an impressive growth of over 70% year-on-year. Notably, a substantial 70% of this order intake has been secured by our T&D business across India and international markets. Additionally, we hold an L1 position of over Rs. 4,000 crores, primarily in the T&D sector, positioning us to exceed our order inflow guidance of Rs. 25,000 crores for the year. Our order book remains healthy and well diversified standing at Rs

. 37,440 crores as on date.

Combined with our L1 position, our total order book and L1 stands at over Rs. 41,000 crores.

In terms of revenue growth, we have achieved revenues of Rs. 5,349 crores for the quarter, a growth of 7% vis-a-vis Q3 last year. With this, our revenue growth stands at 9% for nine months.

We have delivered strong growth in EBITDA of 22% in Q3, and 20% in nine months. Our EBITDA margins for Q3 expanded by a solid 80 basis points, reaching 7% compared to 6.2% in Q3 FY '24. This is our highest quarterly EBITDA margin in the last three years. For nine months, margins improved by 60 basis points, rising to 6.6% from 6% in the same period last year.

The revenues and margins could have been better, but for the deliberate moderation in the execution of water projects due to delayed payment from the clients' continued labor shortage, depreciation of the Brazilian currency, and extended monsoon in certain regions of India. Water payments have started coming in which should provide momentum to the ongoing projects.

Additionally, the Union Budget announced has extended the Jal Jeevan Mission until 2028 with an enhanced outlay of Rs. 67,000 crores. This increased commitment is expected to fast track project execution and unlock greater opportunities in this segment.

During the quarter, we have successfully reduced our interest cost as a percentage of revenue by 10 basis points in Q3 and 30 basis points in nine months, bringing our interest cost down to 3.2% for Q3 and 3.3% for nine months.

We have significantly enhanced our bottom line with PBT growth of 32% in Q3 and 65% in nine months. PBT margins expanded by 60 basis points in Q3, reaching 3% compared to 2.4% in Q3 last year, and by 90 basis points in nine months, rising to 2.6% from 1.7% last year.

We remain committed to managing our debt levels and maintaining a strong balance sheet. Our net debt including acceptances stands at Rs. 5,574 crores as of 31st December, '24, a reduction of Rs. 471 crores vis-a-vis December 31, 2023. While our debt levels could have been lower, delays in collection from certain water and railway projects have impacted the pace of reduction.

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However, we remain confident in further optimizing our debt position by the end of the financial year.

Now, coming to the specific businesses:

Our T&D business has achieved revenues of Rs. 3,175 crores in the quarter, a healthy growth of 17% vis-a-vis Q3 last year. The growth has been delivered on the back of strong execution across projects, especially in India.

On the order intake front, the T&D business continues to experience exceptional momentum, achieving remarkable growth of over 2 times with YTD new orders of over Rs. 16,000 crores. Secured across diverse geographies including India, the Middle East, Africa, the Americas, CIS and Australia.

During the quarter, our India T&D business has secured several key orders and L1 positions from PGCIL, including a prestigious order in the HVDC segment. This order further strengthens our presence in the HVDC market where we are already executing a terminal station project for a

reputed private client.

On the international front, we have made notable strides requiring substantial owners across diverse regions including the Middle East, SAARC and CIS. The orders in CIS has reinforced our presence in that region and further diversified our order book.

In SAE, the business achieved profitable revenues of Rs. 309 crores for the quarter, degrowing by 9%. The degrowth in revenue was primarily due to a steep depreciation of the Brazilian currency against U.S. dollar by more than 20% over the last one year. The business is witnessing significant traction in order inflows with YTD inflows surpassing Rs. 2,100 crores, an impressive growth of more than 3.5 times. These orders are for the supply of towers, hardware an

d poles, and they span

across the US, Mexico and Brazil. With this, the business boasts a strong order book and L1 position exceeding Rs. 2,300 crores. We have successfully managed to maintain our debt levels at Rs. 300 crores, reflecting a reduction of Rs. 100 crores from March 2024 levels.

The overall tender pipeline in the T&D sector remains robust, both in domestic and international markets. We remain highly optimistic about the growth of our T&D business, driven by the increasing demand for power and the Government of India's steadfast focus on expanding renewable energy projects.

On the international front, we continue to see promising opportunities across regions such as the Middle East, Africa, CIS and the Americas. Notably, countries in the Middle East, particularly Saudi Arabia, are prioritizing investments in energy transition and T&D projects, further strengthening the outlook for the region. With a large order book and L1 position in T&D exceeding Rs. 25,000 crores, coupled with rising tendering activity across regions, we expect the business to maintain strong momentum, and continue to grow in terms of both revenue and margins in the coming quarters.

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Our civil business achieved revenues exceeding Rs. 1,100 crores during the quarter. I have mentioned earlier, the growth has been somewhat constrained by the ongoing labor shortage and the deliberate moderation in the process of water projects, primarily due to delayed payments. However, the business has strengthened its order book with YTD orders totaling over Rs. 2,100 crores spanning across industrial, residential and defense sectors from prestigious clients. During the quarter, the business has also diversified its customer base, adding renowned clients in the industrial segment. Focusing on moving up the value chain, the business is increasingly targeting EPC turnkey projects in the industrial segment and orders including MEP and finishing work in the residential segment. The outlook remains positive across all segments. With a strong order book and L1 position of over Rs. 9,700 crores, we are confident that the civil business will continue to be a key growth driver for us.

Our transportation business has achieved revenue of Rs. 456 crores for the quarter, degrowing by 30%. The business continues to make strong progress on the completion of the existing projects with 15 projects successfully completed till date. A notable milestone for the business is entering in the ropeways segment and securing an order in JV for the design, supply and construction of a passenger ropeway in the Northeast.

Additionally, the business has secured new orders of over Rs. 2,100 crores in the conventional technology enabled areas of metros and other emerging areas. These include a significant order in the prestigious train collision avoidance system, TCAS segment under Kavach, which aims to enhance the safety of Indian railways with world class technology. We remain cautious in our approach to order intake in this sector considering the margin profile, working capital scenario and execution complexities of this business. Most of the orders secured during this year do not involve execution on mainline tracks that require blocks from the client, a challenge we are currently facing in the completion of some of our existing projects. The government's ongoing focus on strengthening infrastructure is expected to drive momentum in a railways business going forward. We are strategically exploring select international opportunities also.

Our cables business has achieved revenue of Rs. 406 crores, a growth of 6% year-on-year. While revenue growth could have been higher, it was impacted by an unfavorable metal ratio skewed towards aluminium. The business continues to demonstrate strong order booking momentum across driver segments, including T&D,

railways, metro, solar, metals and data centers.

In renewables, the business delivered revenues of Rs. 238 crores, a robust growth of more than 50%. The execution of existing projects is progressing well with notable milestones achieved during the quarter. The business successfully commissioned a third phase of the 500 megawatts solar project in Karnataka, bringing the total capacity commissioned to 200 megawatts. Additionally, three solar sites were commissioned for a leading auto ancillary company in India.

Work has also commenced for the recently secured 500 megawatts solar project in Rajasthan, which will be commissioned in phases starting with March 2025. With a strong order book exceeding Rs. 1,000 crores, the business is well positioned for continued growth.

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In oil and gas pipeline, the business has delivered revenues of Rs. 76 crores for Q3. Growth has been subdued primarily due to a slowdown in tendering activities. However, the business has widened its footprint by securing its first order in the composite space, including design, supply and build. Looking ahead, the business remains focused on exploring international opportunities and strengthening the necessary pre-qualifications to increase the addressable market size. Two days ago, the Finance Minister presented the Union Budget 2025, reaffirming the government's commitment to economic growth with a substantial boost in capital expenditure. The budget allocated Rs. 11.21 lakh crores for the infrastructure, reflecting a 10% increase from the previous year. If you add the capex by the public sector enterprises and also the grants which the central government gives to states for capital expenditure, it aggregates to over Rs. 19 lakh crores, a robust 16% increase from last year. We welcome this forward-looking vision which places a strong emphasis on power, transmission and distribution, renewables, water and urban infrastructure. This strategic focus not only strengthens the nation's infrastructure landscape, but also aligns seamlessly with our growth aspirations, creating substantial opportunities for growth. In conclusion, I would like to emphasize that the outlook remains healthy across most of our businesses with a formidable and diversified order book plus L1 of over Rs. 41,000 crores, improved execution visibility, and a robust tender pipeline of over Rs. 1,50,000 crores. We are well positioned to deliver sustained growth in the coming quarters.

Thank you. We are now open to take questions.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. The first question comes from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: Yes. Hi sir. Congratulations on a decent quarter. Sir my first question is that the ordering has been driven by T&D, so how do you see next year? Do you think this kind of performance can repeat?

Are there enough opportunities in the market, both in domestic and global? So, if you can help us understand that, the demand scenario on the T&D side for the next three-four quarters.

Vimal Kejriwal: Thanks, Parikshit. I think we are very positive on the T&D scenario. And especially, I would have earlier said four countries, but right now it would be three, which would be India, Saudi Arabia and Abu Dhabi. We were talking about Americas also, but I think with all the tariffs wars going on, we will just wait and watch what happens, although we clearly see that there will be a lot of infra spend in America also. But primarily today, I think India, UAE and Saudi will drive the growth. And we are very confident that the growth would continue.

In fact, what is going to happen Parikshit is that this year we got a lot of orders. We also had legacy orders which we were working on, and which were completed. Now that all that is getting

over,

we will be able to focus a lot more on the orders which we have secured in the last 12 months or maybe earlier, so which will also add a fillip to our revenue and margin profile in transmission going forward.

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Parikshit Kandpal: Okay. Sir, out of this Rs. 16,000 crores of inflows from T&D, do you have a number on how much will be the HVDC's share in this?

Vimal Kejriwal: HFDC order intake would probably be Rs. 600 crores, Rs. 700 crores right now, but we also have L1s okay in that sector, so maybe we will cross Rs. 1,000 crores or more overall. Right now when we are bidding for a couple of more ones, then one which has been awarded to a private sector client also is talking to, we are looking at that part also. So, I do not know where we will end up, but I think it will be decent. In addition to that, Parikshit is that, there are some very large HVDC tenders which have come out in the Saudi Arabia also. So, I think there we will be focusing on those also.

Parikshit Kandpal: Sir, did we get anything from Khavda sir, the power grid package?

Vimal Kejriwal: We are doing a lot of work there. Actually, I think we have got five or six projects in that area or maybe more.

Parikshit Kandpal: Is it part of L1 or is it already part of your firm orders?

Vimal Kejriwal: No, they are under execution. In fact, a part of that will get commissioned in this March.

Parikshit Kandpal: No, this Power Grid Khavda package which Power Grid got, the Rs. 25,000 crores one.

Vimal Kejriwal: I am not sure, but we have got three or four packages, one in KPS4, then KPS3, then there are

extensions and everything else. So, we have got I think four or five packages from Power Grid. Then we are doing a project for NTPC, we are doing a project for GIPCL. So, I think as I said, I think we have six or seven or maybe eight projects, and the new HVDC is also coming there.

Parikshit Kandpal: Okay. Then the other question is on, if I see your revenue between Q1 and Q3, it has gone up almost by Rs. 838 crores, Rs. 840 crores, and your debt has also gone up by Rs. 830 crores. If I am minus the proceeds from the QIP which is Rs. 870 crores, that debt is almost flat from Q1 to Q3. So, if you can help us understand, I mean, if this QIP would not have happened the debt would have been substantially higher. So, just give us a little more granularity on the working capital side on current asset and current liabilities, is it you are paying your payables down? So, why is this, I mean, why the entire revenue growth has gone into working capital?

Vimal Kejriwal: So, maybe Rajeev can talk in detail, but broadly if you look at it, I think we have reduced our debt by around Rs. 200 crores, okay, if you adjust the QIP. And as I said, the primary reason for that has been a few receivables which we thought we would be able to liquidate like water I do not think anyone expected that till now water money is always used to come on top and all that. There was a considerable sum, I think we have more than Rs. 500 crores of receivables in water which should not have been there, to me that is one clear.

Secondly, on the railway side, we are expecting a lot more faster settlement of our disputes and issues with them, which has not happened. So, we have an AR and also an impact on the margins,

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we would have loved to have a slightly higher margin, but because of the slowdown or I will say the delayed results of some of our arbitration or resolutions, etc., so some money did not come in. And I think lastly, although Afghanistan we have received more than Rs. 450 crores, we were hoping that we will get another Rs. 100 crores, Rs. 200 crores from Afghanistan in that quarter, but I think that has got delayed now to Q4. So, I think these three or four things put together have put

I think almost a pressure of around Rs. 1,000 crores in a way on our collections, which should have happened in the normal course, and that would have been reflected in the numbers. I hope I have answered your question, Parikshit.

Parikshit Kandpal: Yes. Just a last question on revenue guidance and now in nine months we have done a growth of 9%, so versus 15% guidance now what kind of numbers you are looking at for the year as a whole?

Vimal Kejriwal: So, we are still hoping to do 15%, but I do not think the way things are happening, depending upon how my supply chain is able to push more numbers, I think we could end up anywhere between 12% to 14%.

Parikshit Kandpal: Okay. Sure, sir. Thank you.

Vimal Kejriwal: Thanks, Parikshit. Thank you.

Moderator: Thank you. The next question comes from the line of Renu Baid Pugalia from IIFL Securities. Please go ahead.

Renu Baid Pugalia: Yes, hi. Good morning, sir. A few questions from my side. First, if you look on the revenue front, YTD growth in civil is flattish, SAE also has seen a marginal drop. You have marginally downgraded your guidance from 15% to 12% to 14% range. So, how should we look at these two businesses stacking towards 4Q? And given the order backlog, how is outlook for FY '26 for both the civil and the SAE piece of the business?

Vimal Kejriwal: So, I do not have the exact number of guidance for the individual business for next year, but definitely civil will grow. SAE, I do not see it growing too much because one is the currency depreciation is still continuing, and it's a finite business which is dependent upon the capacity of the plants. So, SAE will keep on growing by 5%, 6% year-on-year, provided the currency remains stable. If the currency strengthens, we can see a better growth. Civil, in my view, will grow by almost let's say 15% or so next year. And what you don't answer but let me say, overall I think we are still working out our numbers, but we will definitely have a growth of at least 15% for the company next year.

Renu Baid Pugalia: So, among the downgraded things, the big missing piece would be civil because you were initially expecting double digit growth in civil revenues, and YTD it has been flattish. So, the labor issue in your view has impacted this part of the portfolio more severely than the others?

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Vimal Kejriwal: So, Renu, there are two issues, one is clearly the labor issue which was impacted mostly by residential and the industrial part of the revenues. And secondly, as I said, water is part of our civil revenues, so water has been a disappointment in terms of the payments and consequently we tried to work on it. But I think after some time most of us have had to slow down the business, okay.

So, these are the two major reasons. We have an order book, so I do not think it's an issue. If you look at my numbers versus order book, our execution ratio is not our standard KEC ratio. But then because of following issues what we are doing is we are trying to catch up on that.

Renu Baid Pugalia: Got it. Secondly, if we see the growth in T&D orders have been pretty impressive, you have highlighted a very strong pipeline as well. So, with that share increasing in the backlog, when do we expect the margin profile of our portfolio improving on a consol basis? There are still just about 7% on the margin side with respect to guidance, so when do we see those margins inching closer to double digit levels?

Vimal Kejriwal: So, Renu, if you look at it in transmission, I think we are already at double digit, okay. The issue has been on the non-T&D where especially on the railways where we have been seeing a much slower recovery in the margins. And also civil we have planned, as you rightly said, a higher growth than what we did. So, we had built a much larger organization. So, we are now having the reverse impact

of leverage on civil EBITDA as well as the railways. So, that's impacting us. But given that, as I said earlier that we expect our T&D ratios this quarter, we are already at 59% revenue, nine months was 57%. Next year, I am very sure we will cross 60%, maybe we may reach 64%, 65%, I do not have the exact number, but we should reach there. Given that, the margins will definitely go up. We had earlier been talking about 9% to 10%, I still do not know where we will be. But I am sure it will not be very different from the 9%, at least base line which we talked.

Renu Baid Pugalia: Got it. And on the competitive intensity you think given the way the market has come back on the growth side in the core T&D portfolio, both domestically and internationally, the current bid margins are turning to be much better than what would have been expected in the normal cycles and upturn? Or just tight in terms of competitive pressures?

Vimal Kejriwal: No, I think the margins are in line with this FY '25, whatever margins we got which was significantly higher than the earlier margins and we expect those levels to continue going forward also, looking at the volume of business, both in India and as I said Abu Dhabi and Saudi. On the competitive intensity, because of the amount of work which is there, clearly the competitive intensity has mellowed down a lot on the larger value orders, let's say orders above Rs. 500 cores or so, okay. So, clearly I think we are seeing a benevolent sort of environment on the competitive intensity for larger T&D orders, especially from Power Grid, I will say.

Renu Baid Pugalia: Got it. And lastly if I can, the impact of US tariffs as seen on China, Brazil, Mexico, at this point in time though it's early, how do you assess its impact on SAE as well as the Dubai facility which we have for tower supplies?

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Vimal Kejriwal: So, Dubai as of now does not service US, so it will not have any impact today. The servicing of the US orders are done from our Mexico plant and the India plant. And I think what we have done in the last few months is that we have converted all our orders through ex-works, both in Mexico as well as in India. So, even if the duty actually materializes, right now they have postponed the duty by one month, then it will still not impact our current orders. Going forward, in any case I think our India factory was not competing with Mexico. China or what supplying to the US in any case, our competition is more with Turkey, and we will have to see how the geopolitical equations work out between America and Turkey.

But if there is a duty imposition of 25% in Mexico, I think the India plant will definitely get much more orders. And we have typically seen that supplies from India are more profitable than the supplies from Mexico, that's one part. The second part is that, if you look at our current order book, I think almost half of the order book of the local supplies. In Mexico, we are seeing a lot more projects coming up on the back of the green energy where we are actually getting through the last six months or so we have got a lot more local orders in Mexico. So, in an unlikely event that we have to give up the US market for some time, I think today we have got enough orders either on the ex-works basis or from the local supply. So, I do not see any impact. And do not think it will continue for a longer period, maybe three months, six months, till Trump has his way. So, I do not think so. Are we worried today? No, we are not worried today.

Renu Baid Pugalia: And if at all you see, you see some positive tailwinds for the overall portfolio from India and Dubai facility for exports against the impact on SAE because of local opportunities?

Vimal Kejriwal: Absolutely, completely.

Renu Baid Pugalia: Thanks, best wishes. Thank you.

Moderator: Thank you. The next question

comes from the line of Vaibhav Shah from JM Financial Limited.

Please go ahead.

Vaibhav Shah: Sir, firstly on the revenue side. So, for the civil segment we have seen some weakness in the last couple of quarters, so Q4 also should also be a similar weakness you should see given the delayed

payments in the water segment?

Vimal Kejriwal: No, I think water, as I said that some payments have started happening. We just got almost Rs. 150 crores or more in this month, January, okay. And hopefully with the announcement in the Budget, I think last two budgets I did not hear, but this time we heard a lot on Jal Jeevan Mission and saying that we want to ensure that every house has a water connection. I think that will push the funding in the business. If that happens then there is enough of tailwind in this particular business. So, I think, going forward, civil should show better numbers.

Vaibhav Shah: So, Q4 also should be a flattish quarter in terms of revenue for civil?

Vimal Kejriwal: Q4 will have some growth definitely, okay. It will not be flat, that I am very clear.

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Vaibhav Shah: Okay. And sir, also we are open for future orders in JJM maybe over the next year?

Vimal Kejriwal: I think what we will do, Vaibhav, we will have to wait and see how this translates into actual cash flow, okay. I do not think we are going to jump tomorrow. We will wait and see that whatever Rs. 67,000 crores they have promised, out of that how quickly does it have an impact of push and starts revenue, and cash flow starts happening. Then we will decide. But I think we are optimist that from Rs. 25,000 crores or whatever number they have gone back to Rs. 67,000 crores, and there's a clear statement of intent. So, I think it should turn out to be good. And also, what is happening is that the current tenders which are being talked about are from, I will say, reasonably decent states with good financials of their own. So, I think something should happen good.

Vaibhav Shah: And what would be your JJM order book right now as of December?

Vimal Kejriwal: I think it's roughly just about Rs. 2,000 crores.

Vaibhav Shah: And sir lastly, on the margin side you said that we still maintain that 9% to 10% guidance for '26, but we are confident to achieve the lower end at 9%?

Vimal Kejriwal: Yes, I think that's what I was saying that we had earlier said 9% to 10%, too early to right now do it. I think maybe at the end of Q4 we should be able to do it. But I think on the lower end, I think we are reasonably more confident than on the upper end today. But maybe we will have a chat after the Q4 results. By the time we know also how things are panning out. We have a benevolent cost environment today with metals and all being stable, steel and cement being at a lower end. So, I think let's wait for a couple of months. But I think we should be okay.

Vaibhav Shah: And lastly working capital we still maintain at 110, 115 days target for March?

Vimal Kejriwal: Yes, I think we are fully quite confident to maintain about 110 days of target for the year end.

Vaibhav Shah: Thank you, sir. I will fall back in the queue.

Vimal Kejriwal: Thanks Vaibhav.

Moderator: Thank you. The next question comes from the line of Samarth Khandelwal from ICICI Securities. Please go ahead.

Samarth Khandelwal: Sir, congratulations on achieving good margins this quarter. Sir, my question is on the --

Vimal Kejriwal: Samarth, we cannot hear you, I think you are on speaker or something.

Samarth Khandelwal: Am I audible now, sir?

Vimal Kejriwal: Yes, better.

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Samarth Khandelwal: Yes. Sir, congratulations on achieving a good set of margins in the T&D and overall. My question is on the transition distribution side, sir. Firstly, how is the order prospects coming in, specifically for

the T&D? And are any hiccups that we see in execution of the T&D order book that we have?

Vimal Kejriwal: So, I think the order prospects are very good. We were discussing it earlier also. And the way things are happening and now that government has said, from 500 gigawatts they want to do 600 gigawatts in 2032 and the new NEP policy and all that, we are very clearly seeing, and with our discussions with Power Grid, and I think they will be having an investor meet today or tomorrow and you can see the numbers which they are talking about. I think we are very positive on the T&D side. You asked on execution, execution I think I will say is improving on T&D. We were having a lot of ROW issues both in Rajasthan and Gujarat. I think some of them have been resolved now. So, that is something which will continue for some time. But supply chain is slowly easing out, we are seeing some more conductor supplies and some transfer etc. Happening, plus our own conductor manufacturing has started so I think that will help us on the revenue side in T&D.

Samarth Khandelwal: Sir, if you could put a number, out of like Rs. 1,50,000 crores, much would be for the T&D order pipeline?

Vimal Kejriwal: No, out of the total of Rs. 1,50,000 crores I think normally we have T&D of around Rs. 50,000 cores. I do not have the exact number right now, but it's broadly around that.

Samarth Khandelwal: Thank you. Sir, the next question is on the balance sheet side, if you could help me understand what exactly is contract assets and how is it different from trade receivables?

Vimal Kejriwal: The contract assets, essentially there are two components to it, one is, revenue which has been taken which has not been billed to the client due to the milestones not having been achieved. So, that's one part. And second part is a margin adjustment as per the construction contract guidelines, which is AS7 guidelines wherein whatever individual margins on the components gets listed towards the overall contract completion. So, these are, as per the AS7 methodology, the margin adjustment tool which is prescribed by the accounting standards for construction companies. So, these are the two components which are classified as contract assets.

Samarth Khandelwal: Okay. Sir last question if I may, on the Kavach order like what is the value of the Kavach order? And what is the scope of work that we will do, is this with the Kernex that we have a tie-up?

Vimal Kejriwal: Yes, it is broadly with Kernex, some are EPC, some are on the supply side, so we are doing some EPC work. And we are also working with them on the supply part of it where they are doing the overall integration.

Samarth Khandelwal: Okay. Thank you.

Moderator: Thank you. The next question comes from the line of Bhoomika Nair from DAM Capital. Please go ahead.

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Bhoomika Nair: Yes. Good morning, sir. Sir, we have seen a very strong nine-month order intake, particularly coming from T&D. Now, as we move ahead, how do you see the trend kind of continuing, both for international and domestic markets? And also, if you can talk about the competitive intensity, so on T&D as also in terms of civil, because civil has seen a significant slowdown in the current year in terms of order intake. So, these two parts if you can just talk about first.

Vimal Kejriwal: As far as civil is concerned, we are not seeing any major increase in competitive intensity or something, okay. I think what is happening is that based on our last five, six years' experience we have become much more selective on what orders we are taking, what clients we are working, and the size of the orders. And that has slightly, I will say, narrowed down our universe of pipeline, which is the basic thing. I do not think we have seen any change in competitive intensity. It is not very high, okay.

Especially if you look at orders beyond Rs. 500 crores and all that, typically there will be three or four people. It's only when you come down to Rs. 300 crores and all, the number remains the same, but the quality of competition changes with a lot more local players coming in where then you will not stand a significant chance of winning at your margin level. So, civil I think continues where it is. If you want to take more orders, we can take by dropping margins by 100 basis points. I do not think we are that game right now, but T&D is doing very well. As far as T&D is concerned, I think --

Bhoomika Nair: Sir, in civil where do you see the order intake for the year and how is it kind of moving ahead, which areas within civil are you seeing more ordering activity where you are getting the comfort of the margins and payment terms that you are looking for?

Vimal Kejriwal: So, civil I think the ordering or inquiries are coming more from the residential part and the industrial part of it, okay. And off late, we have seen some more coming on the hospitals, etc. But broadly, it is residential and industrial. And in industrial also, I will say more or less it is still metals and mining, okay, it's all focused more on steel and aluminium and all that. And we are not seeing a widespread inquiry across all the businesses or all the verticals, but it's more steel. Residential, there are lot of inquiries. And residential is an area where your steel and cement are actually on pass through cost, etc. So, where you can maintain the margins, wherever they are if you are able to execute it well. That has been a little bit of a challenge with the labor shortage, and which is why we have been going a little bit slow. As far as, Bhoomika, especially with T&D growing at that level and all that, I think we are happy that we do not take marginal orders.

Bhoomika Nair: Sure. Sir, on T&D if you can talk about international and what is the pipeline in domestic, the ordering pipeline is very strong, how is the international pipeline and the competitive intensity as well out there?

Vimal Kejriwal: So, international pipeline, especially on the Middle East is very good, okay. As I said, Saudi and Abu Dhabi are two areas where we are very well focused, and we are seeing a huge pipeline. Saudi had a 2030 projection, now they have come out with 2040 and all that. So, I think they are doing very well. Abu Dhabi, we are seeing a lot of work coming on the back of oil and renewables. And actually to me, Abu Dhabi has been a surprise because of all the recent orders which were

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announced in Middle East, all are in Abu Dhabi rather than in Saudi. But Saudi has a very, very strong pipeline. So, as far as competitive intensity is concerned, I think Abu Dhabi on the larger orders like India has very little competition, hardly two or three people. And then because we have a factory in Dubai, we have some sort of inherent advantage in Abu Dhabi. Saudi depends upon contract to contract, but typically there are three or four serious bidders. The bidders keep on changing, but typically we have seen three or four serious bids in every tender. But clearly, the intensity has come down, the pressure on margins has come down while quoting.

Bhoomika Nair: Right, got it sir. Sir, the last bit is on the working capital, which expanded because of water and all of that. Now with the government really bringing more allocation towards water, do you think that the working capital will actually come down and where do you expect the year end debt and interest as a percentage of sales settling at, both for this year and next year?

Vimal Kejriwal: Bhoomika, we are expecting the debt to go down by at least Rs. 500 crores, if not Rs. 1,000 crores, that's what we have been discussing internally. But at least Rs. 500 crores we are very clear that we will be

able to generate cash surpluses during Q4. The debt should definitely go down. I do not think we have any doubt about that piece. Interest cost I think we are at 3.2 right now, so I think we are still hopeful of that, and because of our large revenue which we are expecting in Q4, it should end up below 3, Rajeev, right? So, I think it's about 2.9 or something like that, so around 2.9 we should be able to achieve.

Bhoomika Nair: Got it, sir. Great sir. I will come back in the queue. All the best.

Vimal Kejriwal: Thank you, Bhoomika. Thank you.

Moderator: Thank you. The next question comes from the line of Teena Virmani from Motilal Oswal Financial Services. Please go ahead.

Teena Virmani: Hi. Thanks for taking my question. Sir, my questions are related to railway and SAE. When we see the order inflow for both the two divisions, order inflow for nine months period have been very good. On the railways, you talked about the Kavach related opportunity. So, my first question is related to this Kavach related execution, will it also be having a relatively comfortable working capital or will it be similar to the previous railways related projects where working capital challenges were seen, and you had slowed down on the execution side?

Vimal Kejriwal: So, Kavach is a much better I think contract in terms of cash flows. Also, most of these contracts, Teena, are for six months to 12 months. And what happens is that if you work on let's say 10 locos or 20 locos and all that and you can get --

Moderator: Ladies and gentlemen, we have lost the line of the management. Please stay connected. Thank you.

Vimal Kejriwal: Yes, Teena why don't you continue? Sorry, we had disconnected.

Teena Virmani: Yes, no problem. So, on Kavach you were talking about the execution timeframe.

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Vimal Kejriwal: So, I said that Kavach the projects are I think less than 12 months, and the payment happens in blocks where the railway gives you certain locomotive certain stations and all that, and that happens pretty quickly. I think the lead time is only on getting the basic equipments which have started coming in. So, I think given the current orders we will start getting in some revenue hopefully this quarter itself, and cash flows are pretty good for these projects.

Teena Virmani: Okay. So, in this case, how would the revenue scale up happen for the railway division? Given the way that order inflow has also been good and the payment cycle will also be better in this particular set of projects.

Vimal Kejriwal: So, if you look at our order intake for this year of around Rs. 2,000 crores, what we are generally seeing is that these orders are, a large part of it is towards the metro part of it where we are doing power supply and balance track. Then we pick up one very large order on ventilation which has a large component of supplies. So, we think we will have some fast tracking of revenues, but I do not think it will be very fast, okay, railways has its own style of working. So, I think next year again our revenues in railways would be flat or at best maybe 5%, 10% growth, not more than that, but revenues from the new projects will start coming in quickly.

Teena Virmani: Okay. So, maybe a 5%, 10% kind of sustainable growth can still be seen in railway segment revenue?

Vimal Kejriwal: In sustainable it should be even more, but I think right now we are looking at, seeing the problems where we are, we are first trying to close all the old projects, etc. So, I do not think we are pushing for a revenue on railways right now or for the next year. But going forward, with the plans that the Government of India has on railways, etc., the sustainable growth should be much more than that in the long term.

Teena Virmani: Got it. And on SAE, sir, SAE inflow also has been very good for the nine months period. So, why is it that

t the revenue growth will only be to an extent of 5%, 6% for SAE going forward?

Vimal Kejriwal: So, what happens in SAE is that you get very lumpy orders, and these orders have to be executed over two years and all. But typically in SAE the Capex cycle for the developer is four to five years. So, there, similar to US, the orders you get is, I will say, at least eight to nine months ahead of when you are supposed to start delivering. So, these orders also will not get delivered in one year, number one. Number two, obviously, since it's a product supply order, it's also constrained by the capacity of the plants. And right now I do not think we are expanding the tower part of the plant, we have expanded the hardware plant, but so I think it will be constrained by that. I do not think at best probably it will go to 10%, but 5% to 6% is a reasonable number to take.

Teena Virmani: Okay. So, these inflows would be spread over a period of let's say three, four years?

Vimal Kejriwal: Not three, four years. Now we have already started manufacturing, so I think in the next 24 months these orders will get executed, especially in Brazil. Mexico is normally very quick, okay. Brazil

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gets executed over a time. And we have L1s also, so we will get some more orders which will come for execution around Q3, Q4 of next financial year.

Teena Virmani: So, I mean, my main question is, then the revenue growth should be slightly better than 5%, 6% if the prospect pipeline and inflows are good?

Vimal Kejriwal: It depends upon how the currency also behaves. We are also factoring in that there could be a further depreciation of the currency. So, in local currency maybe it may be higher, but when you translate into USD and all that, it may go down unless rupee also falls equally.

Teena Virmani: Got it. And my last question is related to the debt levels, you talked about a reduction of somewhere around Rs. 500 crores by Q4, but what would be your outlook for debt for let's say in the coming years FY '26, '27, and going forward? Because the order inflows for the whole company as a whole have been very good, and execution will also ramp up in the quarters following quarter four. So, would the debt not move up further from the current levels or maybe from the levels of quarter four?

Rajeev Aggarwal: So, Teena, Rajeev Aggarwal this side. So, basically what we are saying, on a conservative basis we should go down at least by Rs. 500 crores to Rs. 600 crores. So, that means our debt level for March will be around Rs. 5,000 crores. But in a best case scenario, I think we can go down to Rs. 4,500 crores. In fact, the way we are looking at the collections which has panned stand out in the month of January at least for the water, we had collected almost Rs. 160 odd crores from the water in January itself. So, going by that, probably we should be in a position to improve our debt level less than Rs. 5,000 crores. But let hope that continues in the remaining two months also. Plus, there are other collections which are likely to be collected and some claims are yet to be settled in the railway business. If all of these get settled in the next couple of months, I think our debt levels will be better than Rs. 5,000 crores and probably we can reach to about Rs. 4,500 crores. So, that is what we should expect the debt level between Rs. 4,500 crores to Rs. 5,000 crores for the quarter ending March.

Teena Virmani: And then in coming years '26, '27?

Rajeev Aggarwal: So, for '26-'27, Teena, we are actually expecting the growth, as Vimal has guided for 15% growth, although we are still working out on our budget for the next year. But we expect given the kind of an order book that we have, around 15% growth definitely next year. So, I do not think that we will be able to reduce the debt level significantly considering the growth level of 15% for

the next year.

Teena Virmani: Understood, sir. Thank you. That's it from my side.

Moderator: Thank you. The next question comes from the line of Shrinidhi Karlekar from HSBC. Please go ahead.

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Shrinidhi Karlekar: Yes. Hi. Thank you for the opportunity. So, you are seeing strong order prospects pipeline in the Middle East. Wondering, would it be possible to compare and contrast the margin profile as well as working capital profile for the large projects in the T&D business?

Vimal Kejriwal: So, if you look at the margin profile, I think margin profile could be virtually similar, okay, because both India and international now are on fixed prices, etc., timelines are similar from 18 to 24 months and all that. And I will say, even competitive intensity is virtually similar, so margin profile would be similar I would say. As far as working capital, etc., the cash flow are concerned, typically I think India has better. If you look at the NWC also, the India NWC is half of or maybe even better than that of international. The primary reason being, at least in Saudi there's a 20% retention, so that money you will get only once you complete the project. Whereas in India, the retention is

much lower. And in many cases you are allowed to draw the retention against bank guarantees. Also what happens is that, I will say, the transit period and all that are much lower in India, you sell the goods from factories within four days, and then you can bill it, etc. So, in a way, you will have at least another one month or so additional timeline by which you can bill and collect. So, typically in today's scenario, at least, India is significantly better than international, okay. But we are working on the international to see how do we bring it closer to India. I do not think we can reach the India numbers, but it will definitely improve. And Rajeev said that debt levels will go down, one of the items was that we were really working on how to reduce the NWC in international.

Shrinidhi Karlekar: Understood. And sir second question, you have seen strong orders on domestic T&D. Just wondering, one of the industries peers announced kind of indicated that there has been some deferral in awarding from both Power Grid as well as state transmission utilities, just wondering, did you also see awarding deferrals because project bidding are coming out higher than the budget?

Vimal Kejriwal: So, typically we do not bid for state transmission, so I am not able to comment on that part of it. As far as Power Grid is concerned, I do not think we have seen a dip. I think the only project, if you ask me, which I know of has been HVDC in Rajasthan where the prices were very high as compared to the estimates, so that went for a rebid amongst the developers. Otherwise, I have not seen a single project which has been rebid on account of prices, okay. Delay, I have not seen, if you ask me, I do not think we have seen any significant delays in the award of the projects. Sometimes what happens is that because of the availability of land and ROW etc., we have seen that the BPC and all that keep on changing the route or make some change in the substation location, etc., which may cause some deferral, but I do not think the significant. So, I am a bit surprised if someone has said that, at least we do not subscribe to that view.

Shrinidhi Karlekar: Understood, sir. And sir last one, there is this sharp jump in JJM funding in Budget, so just wondering, should we read that as a very strong order prospect or should we largely read it as a more payments to the contractors of already awarded projects and consequently better execution?

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Vimal Kejriwal: To me it is both. And also let me clarify that in the last year's allocation the budget was similar, but they did not spend

the money. The spend was hardly to 30%, I think 40% of that, less than 40% of that. So, they have just reiterated the same budget number as last year. But I think I did see a lot of large statement of intent saying we want to ensure that every house has a water connection. So, I do presume that this has the backing of the PMO, etc. And so this money would actually start flowing into the states and to the contractors. So, it would help us in the current execution and, hopefully in getting your business, which had actually gone slow.

Shrinidhi Karlekar: Understood. Thank you for answering my questions. All the best.

Vimal Kejriwal: Thank you so much.

Moderator: Thank you. The next question comes from the line of Ashwani Sharma from Emkay Global. Please go ahead.

Ashwani Sharma: Yes. Good morning. Thanks for the opportunity. Sir my question is again on the opportunities in the railway, more specifically to Kavach and the oil and gas pipeline. So, out of this Rs. 1.5 lakh crores that you mentioned, how much is oil and gas, how much is Kavach, if you can just give us some sense?

Vimal Kejriwal: I do not think I have the breakup right now with me, and you can speak with Abhishek later on to get some breakup.

Ashwani Sharma: Okay. Secondly, there have been lot more talk on the railway labor issues. Can you just give us some more granular idea of what is the challenge that we are facing and when do you see this getting typically normalized?

Vimal Kejriwal: I do not think anyone can tell us when we will get normalized. It's a serious issue and the basic problem still is not, I will say, not of getting people but of retaining people. Typically what used to happen is, once a labor or a technician came to a site, he would work for 11, 12 months and then go back for annual, and then we will pray that he will come back. Off late now we are seeing that people are going back in three months, not turning up and all that. So, attrition of labor has become a serious issue across all the industries. Also, one of the major reasons would be the MGREGA money which they are getting and also the freebies, etc. So, I think the entire industry and everyone has been talking about it saying what needs to be done. So, we are trying to take long term steps of providing better incentives for them to continue to work for longer period retentions and other things which the industry as a whole is working. Hopefully, it should start improving with all these efforts, but when it will become zero is difficult to answer.

Ashwani Sharma: Sir, lastly just to confirm, you mentioned '25 revised guidance is 12% to 14% revenue, is that right?

Vimal Kejriwal: Yes.

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Ashwani Sharma: But sir, in that case, our ask rate for Q4 will be around Rs. 7,000 crores number. I mean, are we confident to achieve that, sir?

Vimal Kejriwal: That's how we set that number, based on that.

Ashwani Sharma: Okay. Thank you very much, sir.

Moderator: Thank you. The next question comes from the line of Subramaniam Yadav from SBI Life Insurance. Please go ahead.

Subramaniam Yadav: Can you just give some numbers on the legacy revenue orders where the margins are lower? How much would that quantum be in our order book?

Vimal Kejriwal: So, I think we still have around 15, 20 orders in the railways, which are I will say 95%, 97% complete, somewhere marshalling yard is pending, or an FOB is pending, etc. So, I think in the next maybe a quarter or two, maximum, we should be able to physically complete all the legacy orders, okay. What will remain would be the commercial closures where lot of them have got, I will say, disputes and which are related to some of them are in Dispute Resolution Board, some of them are in arbitration, etc. So, commercial closure of this probably will continue for one more year, so we will see definitely some issues continue

g for one year on the commercial side. Physical

side, they will get over. The balance value would be probably Rs. 100 crores, Rs. 200 crores or maybe in that region, I do not think the value of these orders, the balance worked, but that is very high. It's just the closure which is causing a lot of pain and time.

Subramaniam Yadav: Okay. And sir, what would be kind of margin in this thing, orders?

Vimal Kejriwal: Right. I do not think these orders have any margin, which is why you can see, I said that our T&D margins are close to or maybe double digit, and our overall margins are 7%. So, right now most of the legacy orders will not have any margin.

Subramaniam Yadav: Okay. And sir, what about the last two quarters, this quarter and last quarter we had seen some traction in the railway order, how are the margins there?

Vimal Kejriwal: So, now whatever orders we take are normal margins, they range from 8% to 10%, 12%.

Subramaniam Yadav: Right, 8% to 10%, okay. And sir, how much would be Kavach order in there?

Vimal Kejriwal: I do not have the exact number, but it would be around Rs. 700 crores or Rs. 800 crores or so.

Subramaniam Yadav: Rs. 800 crores in last two quarters?

Vimal Kejriwal: In the Rs. 2,000 crores order intake which we set for railways this year, I think Rs. 700 crores or Rs. 800 crores are the Kavach orders.

Subramaniam Yadav: Okay. That's fine. Okay, thank you.

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Vimal Kejriwal: Thank you so much.

Moderator: Thank you. The next question comes from the line of Sagar Gandhi from Invesco Mutual Fund. Please go ahead.

Sagar Gandhi: Sir, my question is again on the working capital side, so you highlighted --

Moderator: I do apologize to interrupt you there, could you please speak up, your audio is too low?

Sagar Gandhi: Yes. So, sir, I mean, the amount which is under contention on the receivables side for the water and on the railway side, if you can quantify that, that will be great.

Vimal Kejriwal: So, on the water side it is roughly about Rs. 500 crores or so. And railways, it is difficult to quantify because there are few claims which are yet to be settled with them. But we do expect roughly about Rs. 250 crores to Rs. 300 crores amount to be received from settlement of those claims.

Sagar Gandhi: Thank you, sir. And of the Rs. 500 crores water number, you said Rs. 150 crores is already received in January.

Vimal Kejriwal: Yes.

Sagar Gandhi: Okay. Thank you. Thank you so much.

Vimal Kejriwal: Thank you.

Moderator: Thank you. The next question comes from the line of Gaurav Uttrani from Axis Capital. Please go ahead.

Gaurav Uttrani: Thank you for the opportunity, sir. Sir just needed to ask on that, like our order book is majorly composed of T&D now like 55% of the order book, and we are very selective in taking orders on the civil side say for any of the other non T&D segments. So, if that segment is not performing as per expectation in FY '26 and challenges such as for labor and supply chain challenges continue for power T&D, so are we positive on achieving our revenue guidance of 15% FY '26, if other segments are not performing and slowdown in T&D segment, if you see any sort of --

Vimal Kejriwal: Gaurav, we have taken into account all that, and that's how we have talked about this number. I think we are very confident. But I said that actual numbers we probably will talk about more once

we do Q4. But with the current order book plus L1 or Rs. 41,000 crores, I do not see any challenge of achieving at least 15%.

Gaurav Utrani: Okay, sir. Got it. And sir specifically on the oil and gas segment you mentioned about there being some inquiry in the domestic market from steel manufacturers and all. So, are you seeing any order conversion on that side? And apart from that, on the Afri can region, you said about a second qualification on that re

gion, so what is the progress in that part?

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Vimal Kejriwal: I think we are talking about two different things. One is the oil and gas business where we talked about getting some orders in Africa and doing composite work. etc. So, I think we are seeing some more tenders coming out of the oil PSU in terms of India and a little bit of Africa. When we talk about metals and all that, that was for our civil business where we said that on the industrial front we are seeing lot of inquirie s coming from the metals industry.

Gaurav Utrani: Got it, sir. That's all my question. Thank you, sir.

Vimal Kejriwal: Thanks Gaurav, thank you.

Moderator: Thank you. The next question comes from the line of Saket Kapoor from Kapoor and Company.

Please go ahead.

Saket Kapoor: Yes. Namaste, sir.

Vimal Kejriwal: Namaskar Saket ji.

Saket Kapoor: Sir, when we look at our nine months business revenue breakup, the decline which we see in the transportation, oil and gas segment, what should be outline sir going ahead for the fourth quarter?

And I missed your number for the revenue, how are the revenu e execution going to be as a whole for Q4?

Vimal Kejriwal: So, Saket ji, what we have said is that we were still hoping for a 15% increase overall, which right now looks a little bit difficult, challenging by 1% or so. So, what we have now said is 12% to 14% for the whole year, okay. Which effectively means at least 22% or 23% in Q4. That's the number we have been talking about now for the revenue in Q4.

Saket Kapoor: Right. And taking these two segments, in particular, like you said about transportation and oil and gas which are declining, so how do you see the segment performing next year? And sir the key reason why oil and gas pipeline segment has shown a significan t decline? And this is particularly on the company which we acquired, the business that we attribute from there.

Vimal Kejriwal: Saket, in this the major issue is, last year for whatever reason tenders were very less. So, it is not a question that why did the decline happen. Decline is happening because we are not getting the orders. And when less orders are there then what happens is that there's a bidding war which takes place, that's they reason why we do not get the ord ers. Because we do not reduce the margins, so we try to get the orders by trying something else. So, that is the reason why we are not getting orders. But as I said, now we are seeing some more tenders coming in, hopefully it should improve. But I am not sure. And you should also keep in mind one thing, that's a very small portion of our revenue. Rs. 80 crores will become Rs. 60 crores or Rs. 100 cro res, it won't matter much on the overall numbers. Once we get the international orders then these revenues may become larger, then it will impact materially.

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Saket Kapoor: Lastly sir, in the cable segment the capacity expansion plant that you have set up for conductor and all, in this how do you see the revenue profile? In nine months it has been flat, Rs. 1,200 crores, so going ahead how do you see the utilization levels? And sir, in the Budget as well it was emphasized, focus was more on transmission segment, so how do you see the cables outlook?

Vimal Kejriwal: Cables outlook is okay, we expect growth to be 11%, 12%. Now what happened was, like I said, because of the difference in price of copper and aluminium, most of the clients are shifting to aluminium. So, you are doing the same physical work, but it is getting sold for \$2,500 rather than \$10,000, which is why the revenue growth has shown very muted growth, okay. Coming to the aluminium conductor, we just commissioned the plant, so the revenues will now start coming in. Q4 we will get some rev enue, hopefully Q1 onwards we should start getting full revenue. For the

full year we had already said that around Rs. 600 crores revenue will come from the conductor plant. So, next quarter onwards we will get somewhere around Rs. 150 crores impact quarter -on-quarter from aluminium conductor.

Saket Kapoor: Right. And lastly sir, Aggarwal ji, if you can walk us through the FOREX impact for the quarter and nine months, how has the FOREX been?

Rajeev Aggarwal: In the quarter I do not think it is a significant number, but YTD gain has been about Rs. 21 crores.
Saket Kapoor: Okay. And sir, on EBITDA you had talked about one -off arbitration award as well, which quarter did we book that in, the Rs. 2,400 crores, Rs. 2,500 crores?

Rajeev Aggarwal: We booked it in quarter one.

Saket Kapoor: Okay, sir. Thank you, sir. And all the best to the team, sir.

Vimal Kejriwal: Thank you, Saket ji. Thank you.

Moderator: The next question comes from the line of Abhijeet Singh from ICICI Securities. Please go ahead.

Abhijeet Singh: Yes. Thank you for the opportunity. Sir my question is on our expectation of margin expansion in FY '26 by about 150 to 200 bps. Sir, what is the incremental delta that will lead to such kind of expansion? Like we have mentioned we are already about double digit in T&D. And the other bigger piece in the order book is civil. So, do we expect civil margins to catch up or something else?

Rajeev Aggarwal: So, I think there are three or four things which will happen. One is, obviously, the T&D margins, as I said, we are almost at double digit now. And with most of the legacy orders in T&D getting completed, we do not see any negatives in T&D happening. So, that will obviously be a primary driver. Civil, I think we had a few large orders on metros where the margins have been not very great. And I think most of these orders are getting over this March. Out of the four lines which we are doing, I think three we will hand over fully to the clients in Chennai and Delhi. So, that part of
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it where the revenues were there, but we were not getting so much margin will come down. So, what will happen is next year the civil EBITDA will also grow.

And thirdly, I think on the railway side, because we have got new order which are at the higher margin and if we are able to execute them well, which we are confident, then the railway margins also should start showing something better than what they are. So, I think these are the three. And fourthly what we have not discussed, at least at the PBT level, we do expect that the interest cost will come down significantly. So, if you go down further beyond the EBITDA, then we expect the PBT to improve much more.

Vimal Kejriwal: And other thing which Rajeev is saying is that today T&D is at 59% for the quarter, 57% for nine months. So, we expect the next order should be around 65% or so, at least above 60%, and at a higher margin. So, I think that we will in a way combine together to help us in bridging the margin gap which you are talking about.

Abhijeet Singh: Right, sir. Sir also on the railway side, like last two quarters we have seen the order book inching up sequentially after a fall of about five to six quarters. And nine months order inflow has been dominated by the Kavach orders. Sir, what gives us confidence that these orders from railways are better in terms of the working capital profile compared to what we saw in the last two years?

Vimal Kejriwal: So, Abhijeet, what has happened is that in the last two years most of the orders were on an EPC basis, on electrification and speed upgradation, etc. And most of them had required us to work on the, let's say, speed upgradation on the Bombay Delhi track. Now Bombay, Delhi track is very, you hardly get 5 minutes 10 minutes between two trains. But the promise in the tender was that we will give you 4 hours, 5 hours of block every day. Unfortunately, t

hat has not materialized, that

is the reason why we are losing money and this arbitration and all that is happening. What has happened is that now most of the orders, now virtually all the orders which we have taken are either to set up let's say doubling of a line or gauge conversion where the existing line is shut down, or we are doing a tunnel ventilation power supply for metro. So, in short, most of them have got more dependence on getting a shutdown from the railway or a block from the railway. So, once that is there, I do not think execution is a challenge if you have an open field to work on. Which is why I think they are very confident that whatever were doing now good will execute well.

Abhijeet Singh: Right, sir. That would be it from my side. Thank you.

Vimal Kejriwal: Thanks, Abhijeet. Thank you.

Moderator: Thank you. The next question comes from the line of Uttam Kumar Simal from Axis Securities. Please go ahead.

Uttam Kumar Simal: Welcome. Good morning and thanks for the opportunity. Sir, you have mentioned in your railway transportation and about ropeways. So, just wanted to understand what kind of opportunity we are looking at in the ropeways segment? And what would be the margin in this particular segment, particularly in ropeways?

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Vimal Kejriwal: Uttam, margin, at the time of bidding, we bid at a similar margin of not less than 8% to start with

on all the businesses. So, difficult to say, this is a very small order of around Rs. 50 crores, Rs. 60 crores, Rs. 70 crores. But I think the opportunity today, if you look at, government has been talking and they have announced at least, I have a list of 15, 20 projects in ropeway s. The issue is that we will have to see in what format and how they come. Earlier they were supposed to be all on an EPC basis, then the government converted some of them on HAM, etc. So, it would depend upon the final module in which the projects will come. Right now there's a very large tender we are talking about in Himachal Pradesh, which is on EPC. So, I think we have to wait and watch the opportunity. We just wanted to put our foot in because the work is similar to what we do in transmission of setting up poles, etc. and stringing and all. And we have some good technology partners also, they are very few in the world. So, we thought that let's see, it's a new area. And now that it has been given to NHAI, we do expect that it would be contractually good.

Uttam Kumar Simal: Okay. And sir, in the civil segment you have mentioned about some defense orders and all that. So, what kind of defense orders we are trying to get?

Vimal Kejriwal: What we have got is actually more civil in defense. There could be residential and office complexes and all that stuff. And commercial part where they have command centers and all that stuff. But it's more or less civil. Along with obviously some finishing and all that, but it's primarily civil jobs.

Uttam Kumar Simal: Okay. Now sir coming to the last question with regards to tariff. Suppose the tariff is levied, so what kind of impact we will have on our balance sheet and profitability moving ahead?

Vimal Kejriwal: It won't impact much, if you see Mexico, its turnover is around \$50 million, \$60 million. In that almost more than half is consumed within Mexico. So, what we are supplying to US is \$20 million, \$30 million. We are expecting to increase our supplies, let us see what happens. Tariff is being levied on everybody; it's not only for me. The positive part which I was talking earlier is, maybe that may divert a lot of orders to India. And typically, we have seen the India orders for US and all are more profitable. So, I think we will have to wait and watch the impact. I personally do not see, looking at our Mexico business into US being impacted much more, and it's not even that large. And secondly, Mex

ico is receiving a lot of work itself. So, I think we are happy. Other thing you should understand is what types of orders were going to Mexico. Maximum orders were clients who wanted Made in America as they call it, the government utilities which are there. And there too what was happening is that we were buying a lot of steel from America and then giving it back to the American market. So, I think they will have to find a solution for that, because if they do not allow then their own export of steel will reduce. So, if you ask me am I worried, right now we are not worried. We will have to wait and see what happens. And the impact for us is that the numbers are very small.

Uttam Kumar Simal: Okay, sir. That's all from my side. Wish you all the best.

Vimal Kejriwal: Thank you, Uttam.

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Moderator: Thank you. The next question comes from the line of Harshal Mehta from Smart Sync Services. Please go ahead.

Harshal Mehta: Good morning, sir. Congratulations on good set of numbers.

Vimal Kejriwal: Thanks, Harshal.

Harshal Mehta: Sir, so in last concall you mentioned that our existing Kavach project might be completed in next three or four months, so any update on that? Were we able to conclude that project?

Vimal Kejriwal: I do not think we have concluded finally. I think one or two stations' work is pending, it should finish anytime now. It is not like it is going on, very little work is remaining. But have we completely closed? I don't think so. I do not have a clear update on it, but I do not think so. But it will happen soon, there's no issue in it.

Harshal Mehta: Okay. And the new projects that we have got on the Kavach part, are they on the same lines, as in related to railway tracks and stations? Or they are also related to wagons also?

Vimal Kejriwal: So, it's not related to wagons, but yes, related to locos. So, a large part is also on the installation of the equipment and the software in the locos.

Harshal Mehta: Understood. And this is also in JV with our JV partner, right?

Vimal Kejriwal: Yes, we are working with Kernex, yes.

Harshal Mehta: Okay. Thank you. Thanks a lot sir. All the best.

Harshal Mehta: Thank you.

Moderator: Thank you. The next question comes from the line of Mayank from Amsec. Please go ahead.

Mayank B: Thanks for the opportunity. Sir, one clarification on the conductor part, are we going into the AL59 for the aluminium?

Vimal Kejriwal: Yes, we are already manufacturing AL59, yes.

Mayank B: Where we would be competing with the top two three players which is approved with the Power Grid?

Vimal Kejriwal: So, to me, Mayank, it is not a question of competing, it's not supply.

Mayank B: And sir on the renewables, just wanted to understand what would be our scope of work in terms of per megawatts, any number you can give?

Vimal Kejriwal: Scope of work meaning we have to do everything. I mean, except the modules, we do not get into the module supply part of it, minus the module supply we do everything. But module installation

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we do, so the scope includes a job where the modules are free supplied by the client, rest we do everything, both on the AC side and the DC side.

Mayank B: Okay sir. Thank you.

Moderator: Thank you. The next question comes from the line of Riya Shah from Aequitas Investments. Please go ahead.

Riya Shah: Hello. Thank you for giving me the opportunity. My first question is in terms of the water projects, the collection issues we are facing are majorly from the center or the state projects?

Vimal Kejriwal: So, ma'am, the client is a state for us. But what happens is, if you look at the funding of these projects, typically 40%, 50% comes from center, and the balance comes from the state, depending on each state the ratios are slightly different, but broadly y

ou can say half half. So, I do not know

where the problem is. Sometimes when we talk to them they say center has not given, sometimes you talk with the center they say we have given it to them, state is not ready to give equal so we are not dispersing. So, it's a little bit of a cat and mouse game. I think now I think it's improving because the work is suffering.

Riya Shah: Got it. And in terms of railway, you mentioned that we have a certain labor issue. So, typically how do we employ these laborers, are there some agencies, organized, unorganized players, how do we go about it?

Vimal Kejriwal: So, we did not talk about labor in railways. We are having a major problem of labor in civil and partly in T&D. But what happens is that we have two types of contracts. One is we employ a labor contractor and you give him on a piece rate basis saying this much foundation this much this and you pay per cubic meter or whatever it is. That's the way it is. But wherever the work is sporadic and there are issues and when it may not be economical for contractors to come in, we do hire labor and technicians again through contractors, but it could be on a time rate rather than a piece rate. These are two models which we follow.

Riya Shah: Okay. These are all organized players or we are local and unorganized players?

Vimal Kejriwal: Most of them would be unorganized. But now, looking at the issues which you are facing, we are seriously looking at things should we more do some organized players, which obviously would be more expensive and all that, but I think with the continued shortage we may have to do that.

Riya Shah: Got it. In terms of oil and gas, you mentioned you are seeing a little slowdown in orders. So, typically, what kind of projects are you seeing slowdown in?

Vimal Kejriwal: So, these would be projects from let's say linking from the port to the refinery or to consumption centers or wherever CG D is coming, then they may want to have gas lines going in from the refinery or the depots and all that. See, we are basically cross country running across three or four states, etc. So, getting the right of way approvals, etc., it's taking time. And I do not know, for

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some strange reason we did see a slowdown in the overall market. But now I think there's a lot of talk saying that they, they talked about the national gas grid etc. which now they are again talking. So, we are hopeful that this business will improve.

Riya Shah: Oil and gas would typically be for private CapEx -led, right, not public CapEx?

Vimal Kejriwal: So, most of it would be on the public CapEx, which would be let's say Indian Oil, ONGC, Oil India, etc. But there are some which have been talked about in the port connectivity, etc., where private sector may come in. Also, the other piece which we are doing is slurry pipelines which are for steel production. So, we are doing a very large slurry pipeline for one of the private players.

Riya Shah: Okay. And now for railways, you mentioned that Kavach will be the new trigger for us. Going forward, how do you see this sector apart from Kavach growing? And what were the issues you currently faced, if we could just elaborate on that?

Vimal Kejriwal: See, the government even in this Budget has allocated Rs. 2,52,000 crores for railways. Of which our addressable market we serve was around Rs. 1,11,000 crores. So, there's tremendous business, no doubt. It's just a question of how the contracts are executed. I think all the contractors are facing serious concerns, serious problems with the railway, railways are looking at it saying what do we need to do to improve it. If they do that then I think it will become a big area. Otherwise, then you are picking up selective orders where the contracts are much better, payments can be faster, not

linked to very long milestones, etc. So, I think that'

s the reason why our railways order book has been going down because we have been very selective looking at the history, and then the problems which we are facing today.

Riya Shah: Okay. Thank you so much.

Vimal Kejriwal: Thank you.

Moderator: Thank you. The next question comes from the line of Saket Kapoor from Kapoor & Company. Please go ahead.

Saket Kapoor: Thank you, sir, for the opportunity. Sir, when we look at our line of operation and the segment, our PAT margins hover around 1% to 2% mark. So, what steps is the management taking or in the anvil? And what should be a sustainable PAT margin, taking into account we are leaders in the T&D segment, so if you could give us some color, how should this PAT margin shape up going ahead? And also sir, for equity raising are we looking further to raise further equity?

Vimal Kejriwal: No, I do not think we are looking at raising any further equity. Sustainable PAT margin, my view, could be anything around 4% to 5%. And on the steps, very clearly we are talking about EBITDA going up by at least 150 basis points sort of next year. Then we talked about interest cost going down. And a lot more revenues are coming from Middle East where hopefully the tax rates are slightly more benign than India. So, I think below the EBITDA line, both on the interest cost and also on the tax part we should have some beneficial impact. So, EBITDA will go up, tax will

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reduce, interest will be less, so I think we will see improvement in PAT as well. To me, the improvement in PAT, Saket ji, would be more than the improvement in EBITDA. You look at this quarter as well how much PAT has grown and how much EBITDA has grown. So, that is bound to happen slowly.

Saket Kapoor: Sir, in this quarter your other income which was there last quarter is not there this quarter, so PBT has increased significantly. If you knock out Rs. 25 crores, so instead of Rs. 100 crores it is Rs. 160 crores year-on-year, so it is a growth definitely. Sir, if we look at the other expenses line item, that has also shown a growth which is Rs. 464 crores for this quarter, so what are the key elements of it if we take the other expense line item?

Vimal Kejriwal: Saket, it is very difficult to answer this because it is a basket, you know, we do not know what all is there in it. There is commission in it, freight is in there, FOREX is there, we do not know what else goes into it. So, it is very difficult to make you understand what reduced what did not. If you still want some more clarity, kindly get in touch with Abhishek later on. But as I said, it is a basket of at least 15, 20 items, legal fees is there, if someone sues us so legal fees would be involved, or something else happens. So, don't focus too much onto it, I mean, there is no trend in it, let me put it this way.

Saket Kapoor: Okay. And lastly, sir, in the cable segment what is the breakup in the category of cables where you operate, and did we foray into the EHP segment as well already?

Vimal Kejriwal: I do not have the full number, but if you take the numbers for the whole year then we would get around Rs. 500 crores from EHP and HP. Rest we have from LT and others, and now we will also get little bit from conductors as well.

Saket Kapoor: In conductors you said Rs. 150 crores, right, from next quarter?

Vimal Kejriwal: Rs. 150 crores from next quarter and Rs. 600 crores is for the whole year.

Saket Kapoor: Okay, sir. And lastly on the Jal Jeevan Mission that you mentioned, in this as well exactly last year government was unable to spend the allocated amount. So, what could have been the reasons on allocating Rs. 70,000 crores and spending only Rs. 29,000 crores, and then creating a total ecosystem where all EPC players are facing issues? So, what has resulted into these, because the government revenues do not reflect in the

same direction, they have gone up significantly? So, if you could explain.

Vimal Kejriwal: To maintain the deficit they will have to save some place, right. So, you should ask this question to the Finance Minister, she will be able to tell you as to why the money has not been spent when the contractors have done work.

Saket Kapoor: Thank you.

Vimal Kejriwal: Okay Saket ji, you now please close the call or Finance Minister will remove me from my job.

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Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over

to Mr. Vimal Kejriwal for his closing comments.

Vimal Kejriwal: Thank you very much for your continued interest. And I think as I said that we have a large order book and L1, so I think we are very confident of delivering on growth in the coming quarters.

Thank you so much. Thanks, Ryan. Thank you.

Moderator: Thank you. On behalf of KEC International Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

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Q4 FY '25 Earnings Conference Call "
May 27, 2025

MANAGEMENT : MR. VIMAL KEJRIWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – KEC INTERNATIONAL
LIMITED
MR. RAJEEV AGGARWAL – CHIEF FINANCIAL
OFFICER – KEC INTERNATIONAL LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to KEC International Limited Q4 and FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vimal Kejriwal, Managing Director and CEO, KEC International Limited. Thank you, and over to you, sir.

Vimal Kejriwal: Thanks, Steve. Good morning to all, and welcome to the Q4 earnings call of KEC. Let me begin with an overview of our overall performance and then go into the specifics of each business segment and our key strategic initiatives. FY '25 has been a landmark year for KEC. This year marks a significant milestone as we celebrate eight decades of excellence.

It has also been a defining year with the introduction of our purpose statement, We Transform Lives by Building Sustainable World-Class Infrastructure. This purpose serves as our guiding star shaping our strategy, driving our actions and inspiring our vision for the future. Today, KEC stands proud as a US \$2.6 billion global EPC powerhouse operating across eight diverse SBUs, spanning 110 countries and managing over 275 active projects. The backbone of our success continues to be our people, more than 7,500 KECians from over 40 nationalities.

Coming to our financial performance. We have achieved record-breaking revenues, highest ever profitability, historic order intake and substantial reduction in debt levels. Additionally, we successfully executed various strategic initiatives and developed niche capabilities across our businesses, positioning us for sustained growth and value creation. In Q4, we delivered the highest ever quarterly revenues of INR6,872 crores, a solid growth of 28% sequentially and 11% Y-on-Y.

Our T&D business, both India and international, renewables and cable businesses have delivered commendable performances during the quarter. Our profitability continues to demonstrate healthy momentum with margins steadily improving quarter after quarter. We delivered an exceptional growth of 39% Y-o-Y in EBITDA with EBITDA margins for the quarter improving by 150 basis points vis-a-vis Q4 FY '24 to 7.8%.

The bottom line has also seen remarkable growth with PBT and PAT, both growing by 77%. Our PBT margin witnessed a significant increase of 190 basis points compared to Q4 FY '24, reaching 5%, while the PAT margin expanded by 140 basis points, standing at 3.9%. On the order intake front, we maintained a strong momentum, securing new orders of over INR5,700 crores during Q4, largely anchored by our T&D business.

Through concerted efforts, we have made significant improvements in our debt levels and our balance sheet. Our net debt, including acceptances, has decreased by over INR500 crores to around INR4,558 crores as on 31 March, '25, despite the revenue increase of around INR2,000 crores which is 10% Y-o-Y. If we compare it against the last quarter of December '24, the borrowings have been reduced by INR1,000 crores. The reduction in our debt levels has also resulted in substantial improvement in our leverage ratios.

Net debt -to-EBITDA has come down to 3x and net debt -to-equity has improved to 0.9x from 1.2x last year. We have also made progress on the working capital front. Our net working capital has improved by 12 days, now standing at 122 days as on March 31, 2025, down from the peak level of 134 days in December.

We anticipate this positive trend to continue, driven by higher collections, commercial closure of ongoing projects and a gradual shift i

n the order book composition, particularly with an increasing share of T&D projects, which inherently have a better working capital profile. This healthy reduction in debt is also translating into lower finance costs. Interest for the quarter has declined to 2.5% of revenue, marking a reduction of 70 basis points compared to Q3 FY '25. Now coming to the annual performance. We achieved a healthy revenue growth of 10%, delivering the highest ever revenue of INR21,847 crores for the full year. This growth was primarily driven by our T&D businesses, both in India and international as well as strong performance in the renewable and cables businesses. In terms of EBITDA, we have delivered a substantial growth of 26% Y-on-Y. EBITDA margins have expanded by 90 basis points to 7% vis-a-vis 6.1% last year.

PBT has improved by 71%, whereas PBT margins went up by 120 basis points to 3.3% from 2.1%. PAT has increased to INR571 crores against INR347 crores of FY '24, implying a growth of 65%. It is noteworthy that the increase in PBT and PAT is much higher than EBITDA, owing to reduction in both interest and depreciation and a reasonable ETR. While our revenues and profitability could have been higher, they were tempered by a conscious slowdown in the execution of water projects due to delayed client payments as well as persistent labor shortages and some continuing supply chain bottlenecks in the T&D business.

On the order intake front, we bagged a robust order intake of INR24,689 crores, a stellar growth of 36% Y-on-Y. This is largely in line with our guidance for the year. Notably, a substantial quantum of over 70% of this order intake has been secured by our T&D business across India and international markets. We are actively working on various aspects to enhance the quality of our order book.

Given the better margins and healthier cash flows in T&D, we strategically raised hurdle rates and tightened cash flow criteria for some orders in non-T&D businesses, which led to a calibrated order intake in those segments. Additionally, to strengthen operational control, we have deliberately shifted focus towards securing fewer but larger EPC orders, increasing the average order size from INR200 crores last year to INR325 crores this year. This strategic move towards high-quality orders enables sharper focus on cost efficiency and execution excellence. We closed the year with a well-diversified and strong order book of INR33,398 crores. We are happy that the order intake trend continued in FY '26 with new orders of over INR2,000 crores announced till date across T&D, Civil and Cable businesses. The Civil business has marked its entry into the promising semiconductor segment with a significant order from a new client and further strengthened its order book in the metals and mining segment with a repeat order for an upstream project in a steel plant.

The T&D business continues to strengthen its order book with significant wins, especially in the domestic market. Additionally, we have a large L1 position of over INR4,500 crores, primarily in the T&D business.

With this, the current order book plus L1 position stands at over INR40,000 crores, which gives us visibility for the next 6 to 8 quarters. Considering the substantial improvement in performance, sizable order book and ongoing confidence in strategy, the Board of Directors have decided to recommend a dividend of 275%, that is INR5.50 per equity share on the face value of INR2 each.

Now let me talk about specific businesses. Our T&D business has delivered an outstanding performance, achieving a milestone revenue of INR12,833 crores for the year, a remarkable growth of 23%. The growth has been delivered on the back of robust execution across both domestic and international markets. Our strong execution is evident from our ord

er book to

revenue ratio of 1.5x, which is one of the best in the industry.

The business has significantly expanded its order book with significant order inflows of close to

INR18,000 crores across India, Middle East, Americas, SAARC, Africa, East Asia Pacific, CIS and Australia. In India T&D, the business witnessed good traction as it secured orders of over INR7,200 crores, a robust growth of more than 20% vis-a-vis last year. We have considerably strengthened our order book with a series of strategic wins, including multiple transmission lines and substation projects from Power Grid Corporation of India and private developers. During the year, we also achieved two important milestones, securing our first-ever STATCOM order, representing a strategic advancement in the substation value chain and strengthening our position in the HVDC space. Currently, we are executing an HVDC converter station project spread across three locations and 3 HVDC transmission line projects. Additionally, we are bidding for more HVDC projects both in India and the overseas market. In a proud moment, we successfully commissioned two digital substation projects of 765 kV and 400kV / 220 kV GIS at Navsari, Gujarat, the first of their kind in India and largest in the world. On the international T&D front, we continue to strengthen and broaden our global presence, recording order wins exceeding INR8,300 crores, which is more than double the intake compared to last year. A major highlight was the string of high-value orders secured in the Middle East across Saudi Arabia, UAE and Oman. During the year, we secured our largest ever international substation order from the UAE, reinforcing our presence in the global substation EPC space. With the growing emphasis on localization of supplies in the Middle East, our manufacturing facility in Dubai provides a competitive edge by meeting local content requirements and offering procure advantages. The business also bagged a landmark tower supply order from Australia, reflecting our strategic focus on expanding and diversifying our tower sales footprint across global markets beyond Americas and the Middle East. In SAE Towers, the business achieved profitable revenues of INR1,325 crores for the year, degrowing by 8%, primarily due to the steep depreciation of the Brazilian currency against U.S.

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dollar by almost 15% over the last 1 year. The business is witnessing significant traction in order inflows with inflows surpassing INR2,300 crores, an impressive growth of more than 2.5x. These orders for the supply of towers, hardware and poles span across the U.S., Mexico and Brazil.

A noteworthy milestone was the successful supply of hardware products to the U.S. market from our Brazil factory, paving the way for future business expansion in this high potential geography. The business now boasts a healthy order book and L1 position exceeding INR2,300 crores. We have successfully managed to reduce our debt by 25% to INR300 crores from March '24 levels in SAE.

With a robust order book and a sustained increase in tendering activity in the T&D segment, we embarked on a debottlenecking and capacity expansion initiatives for our tower manufacturing plants with minimal investments. We have now completed capacity enhancements at our Dubai, Jaipur and Jabalpur plants in India. With these strategic upgrades, our total tower manufacturing capacity has increased by 46,000 metric tons per annum, rising from 422,000 to 468,000 metric tons. This positions us strongly to cater to the growing demand for transmission infrastructure, both domestically and in the international market.

The outlook for the T&D sector remains highly encouraging, driven by strong tendering activity across domestic and international markets. In India, the push to meet the country's ambitious target of 600 GW of nonfo

ssil fuel capacity by 2032 is driving continuous investments in transmission lines, substations and underground cabling.

On the international front, we continue to see promising opportunities across regions such as Middle East, Africa, CIS and the Americas. The Middle East is witnessing strong traction in the T&D sector as countries like Saudi Arabia, UAE and Oman build regional interconnections and scale up transmission to meet national electrification and renewable energy goals. The record order book and L1 in T&D of over INR24,500 crores, we are confident of delivering significant growth in this business.

Our Civil business has achieved revenues of INR4,483 crores for the year. As mentioned earlier, the growth would have been higher, but for the deliberate moderation in the progress of water projects, primarily due to the delayed client payments and the ongoing labor shortage. Despite these headwinds, the business achieved significant milestones, particularly in the metro segment. We have successfully handed over the entire viaduct for both our metro projects with Delhi Metro. Similarly in Chennai, the entire viaduct for the Chennai Metro ECV 02 project has been handed over and successful trial runs have commenced. In the last metro project on CMRL ECV 03, construction is progressing well with partial handover expected in the next quarter. On the order intake front, the Civil business strengthened its portfolio with new orders exceeding

INR2,400 crores during the year. These orders span diverse sectors, including industrial, residential buildings and defense. We have also made progress in diversifying our customer base, onboarding several renowned clients in the industrial and residential segments. Aligned with our commitment to future-ready construction and addressing the persistent challenge of

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labor shortages, we are actively adopting new age technologies and agile construction methodologies such as the use of cut and bend steel precast elements and composite construction. Further by integrating advanced digital tools such as building information modeling, BIM, asset tracking and management systems and concrete management systems, we are positioning ourselves at the forefront of technological innovation in the construction industry.

Looking ahead, we are encouraged by a very promising start to the year in our Civil business marked by strategic order wins. Execution momentum is gradually picking up in water projects as the payments are being released in both the states of Odisha and Madhya Pradesh where we are present. We are actively pursuing international opportunities and witnessing a strong pipeline of inquiries, particularly in the buildings and factories segment, with a robust order book and L1 position of over INR10,000 crores. We are confident that the Civil business will continue to be a key growth driver for us going forward.

Our transportation business has achieved a revenue of INR2,112 crores for the year, growing by 32%. The business continues to make steady progress in physical completion of projects across segments. A key milestone was the successful physical execution of our first TCAS project under the Kavach system. Over the course of the year, we have enabled Kavach system across 270 route kilometers.

Another major highlight has been the commissioning of trial runs in 3 metro projects from Mumbai Metro, Ahmedabad Metro and Delhi Metro, where we were executing OHE and BLT projects for these metros. We remain cautious in our approach to order intake in this sector, considering the margin profile, the working capital scenario and the execution dynamics of this business.

During the year, the business has secured orders of around INR2,200 crores, including maiden orders in the ropeway sector and gauge conversion segments as well as prestigious orders in the TCAS and tunnel

ventilation segments. Most of the orders secured this year do not involve execution of mainline tracks that require blocks from the client, a challenge we are currently facing in the completion of some of our existing projects.

The government's ongoing focus on strengthening the safety infrastructure and technological upgradation is expected to drive momentum in our transportation business going forward. We are actively focusing on international opportunities in the Middle East and Africa.

Our focus continues to be on fast-tracking project closures, optimizing working capital and pursuing select international opportunities for growth. Our cables business has delivered a record performance with the highest ever revenues, order intake and profitability during the year. The business achieved revenues of over INR1,800 crores, a strong growth of 10% with substantial improvement in profitability.

As previously communicated, in line with our vision to unlock value and create a sharper business focus, we successfully transferred the cables business to our wholly owned subsidiary, KEC Asian Cables Limited, effective January 1, 2025. Our commitment to product diversification and capacity expansion remains strong. During the year, we successfully

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commissioned an aluminium conductor plant at our Vadodara facility. Building on this momentum, we have now initiated doubling of our conductor manufacturing capacity. Additionally, the capital investment to produce E-Beam and Elastomeric cables is progressing well, and we expect commercial production to commence in Q4 this year. The business remains actively focused on exports and continues to expand its international footprint by entering new markets.

A notable milestone was the successful dispatch of UL certified products, marking its entry in the U.S. market. We are confident that with this strategic realignment, coupled with our focus on product diversification, will drive significant growth, strengthening both revenue and profitability for the cables business in the years to come.

Our renewable business has delivered an exceptional performance with a stellar growth of 92%, achieving record revenues of INR853 crores. The execution of existing projects is progressing

smoothly with several notable milestones accomplished during the year. The 500 MW solar project in Karnataka has been partly commissioned and power generation has commenced. Additionally, work is progressing well on the 500 MW solar project in Rajasthan with the first phase slated for completion within this quarter.

With the government's growing emphasis on hybrid projects that ensure round -the-clock power supply, we have begun bidding for projects in the wind and battery energy storage system base alongside our continued focus on solar. This positions us strongly to participate in the next wave of clean and reliable energy infrastructure. We are confident the renewable EPC business will be a key pillar of our growth.

In oil and gas pipeline, the business has reported revenues of INR363 crores. Growth has been subdued primarily to a slowdown in tendering activities. However, the business has widened its footprint by securing its first order in the composite space, including design, sales, supply and build. The business is progressing well on the execution of its first international project in Africa. Looking ahead, the business is pursuing promising projects in the international markets.

We remain committed to enhancing execution excellence across all our businesses by embracing automation, mechanization and digitalization across our project life cycle. These initiatives enable us to accelerate time lines, drive efficiencies and deliver projects ahead of schedule. At the same time, we are building a world -class engineering organization with a sharp focus on strengthening our design capabilities

ties to ensure first -time right solutions.

We're actively institutionalizing design -to-value frameworks to optimize project costs and reduce design cycle time by harnessing robotic process automation, artificial intelligence and advanced analytics. In ESG and sustainability, we continue to make significant strides across the organization. Some of our key initiatives and developments during the year include installation of solar rooftops on our Vadodara plant, complementing existing installation at Nagpur, Jaipur, Dubai and Brazil plants.

Additionally, we have long -term agreements with external service providers to procure energy from renewable sources at our Vadodara and Mysore cables manufacturing plant. With this, 34%

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of our total power requirements across plants will now be met through solar energy as compared to 25% last year.

Our people -centric agenda focuses on fostering happiness aligned with our group tagline -- hello happiness, which is a core aspect of RPG Group's philosophy. This year, we saw a measurable rise in employee satisfaction with happiness portion reaching 84%, up 1 percentage point from the previous year and 3 points over the last 2 years.

Our progress in ESG and sustainability has been well appreciated, which is reflected in the improvement of our ESG ratings by MSCI, CRISIL and SES. In conclusion, I would like to emphasize that the outlook remains healthy across most of our businesses with a formidable and diversified order book plus L1 of over INR40,000 crores, combined with a substantial tender pipeline exceeding INR1,80,000 crores, we are well positioned to deliver sustained growth.

Thank you so much. Open to take your questions now.

Moderator: The first question is from the line of Renu Baid from IIFL Capital Services.

Renu Baid: Congratulations for the strong performance. Sir, I have a few questions. My first is, clearly, our T&D business seems to be back with the bang. So how do we read through the implication of this, both in terms of improvement in margins and further deleveraging of our balance sheet. If you can throw some insight in terms of profitability for fiscal '25? And how do we see the overall business moving in '26 -'27? That's the first question.

Vimal Kejriwal: Renu, good to see you here. I think as far as T&D is concerned, you heard the numbers, we got INR18,000 crores of order intake, etcetera . And we just crossed double -digit margin for the year on T&D. Obviously, we expect to do better in terms in FY '26. On the outlook, if you would have seen the Power Grid presentation also where they talked about increasing their capex significantly.

Even this year, I think our Power Grid revenue was more than INR4,000 crores. That's almost close to 20% of their entire capex . So I think we are very, very confident that the growth will happen. There's a very strong tender pipeline. We already have a large order book with us, forget the L1s, etcetera , both in India as well as in Middle East.

So I think very clearly, it will help us in significantly improving all the ratios. In fact, our India T&D working capital is virtually close to 0, below 10 days. So whatever increase we have in the India T&D business will help us in clearly deleveraging our balance sheet.

Renu Baid: And can we expect now this business to move towards the 11%, 12% operating margins the way it used to be earlier?

Vimal Kejriwal: I think it should. We are already -- this year, FY '25, we were at 10%. So clearly, with the legacy

projects out of the way and stability in all the, I'll say, the cost items, whether it is cement, whether it is steel, whether it is aluminium, etcetera, we do expect that the margins should go up. Now whether it will be 11% or 12%, difficult to say, but it will definitely be better than what we have delivered this year.

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Renu Baid: Got it. Second question, you did mention about as in cables, it's clearly earmarked for value unlocking and a separate team and focus has been aligned there, and we are aggressively expanding portfolio in markets. So what is the road map? If you look -- take a 2 - to 3-year view, how are you looking at the both metrics in this business? And when you say value unlocking, can we expect the business to go through a vertical demerger or a separate listing kind of a phenomena to create value or it would continue to be housed under KEC for a longer period of time?

Vimal Kejriwal: So Renu, as of now, it is a 100% subsidiary of KEC. And with the capex plans, which we are doing, I think we are spending almost INR150 crores in the current financial year. We spent close to INR80 crores, INR90 crores in FY '25 also. What we expect is that by FY '27, we should be, I don't know, maybe around INR3,500 crores or sort of revenue with the capex which we are doing. And at that point of time, I think we will decide how to take this forward.

I think it's a little bit premature today to say what we will be able to do. I don't think we have any plans of taking it out of KEC even in the long term. But I think we will take a call maybe a year, 1.5 years later on whether we want -- I think we are clear that we want to do some dilution to raise capital, whether the capital would be raised in the cables business or whether it would be raised by divesting of some part of our KEC stake and all.

I think it's a little bit -- probably maybe next year, we talk about it, we may have a better idea depending upon how the balance sheet of both these businesses, whether it's the KEC balance sheet on its own or the cables balance sheet. Let's say tomorrow, we think that the cables business has a much larger potential and we need more capital there, then you can always do additional capital raise. If you think that KEC needs that capital better, then we may probably do a little bit of reduction. So I think we'll decide about it maybe a year or maybe 6 quarters down the line.

Renu Baid: Sure. As the business matures, we can look at it separately. And lastly, on the rail and the water part of the Civil business that we have. So water, what is the pending backlog that we have in our books, which still faces these payment issues and delay in execution? And on the rail part of the business, given that business has now been shrinking for the last 2 to 3 years, where do we see the business bottoming out in terms of size?

And what are we doing to realign the resources or the cost structures which were in place to drive growth in this business. So what are we doing for those people and teams and how are we reallocating to our other business divisions so that overall profitability can be improved? That's my last question.

Vimal Kejriwal: So Renu, let me talk about railways first. So clearly, I think it has bottomed out. We did a turnover of around INR2,100 crores. I don't think we want to do below that. If we are going below that, then we may as well shut down the business, okay? So I don't think we are now looking at going below these numbers. I don't have the exact number, but I think around 30%, 40% of the employees have either moved out or have been redeployed in especially on the T&D side because a lot of the capabilities are like electrification is virtually similar to laying a transmission line.

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So a lot of redeployment has happened. Also, if you heard my speech, what we have done is that on the order intake, although we still had INR2,200 crores of order intake, but the order intake was clearly different from what we were doing earlier. We have not taken any order on electrification or speed upgradation, which whatever required us to work on live tracks for a longer time. All that has gone

out.

So if you look at the order intake, it has been on the BLT side, on the metro side, it has been on tunnel ventilation, where there's no trains running right now or on the Kavach system. So I think we have been very particular on what orders we take. Obviously, the current order book is -- the current orders are profitable.

So hopefully, by next year, we expect the railway should turn around. This year, we are still

closing all the old projects, the arbitrage, etcetera , going. So we are not sure what would happen to the numbers this year, but we are pretty confident that FY '27 will clearly be positive for the railways.

Coming to water, we have an order book -- a backlog of around almost INR2,000 crores now across 2 states of MP and Odisha . We did receive, I think, a significant amount of money, including INR140 crores in this current quarter. We have started execution against -- again on those projects apart very little was done in Q4 last year, which is why we had this revenue shortfall. Q1, we are going almost, I'll say, full blast because we received a lot of money in the Q4 and Q1.

So hopefully, I think our revenue targets are -- I don't have the exact number, INR1,200 crores to INR1,500 crores of revenue targets for this year from water. And I think we are reasonably confident that we should be able to achieve unless there's a major setback in terms of payments.

Moderator: The next question is from the line of Bhoomika Nair from DAM Capital.

Bhoomika Nair: On the water, just to continue, we are targeting a very strong execution of the current outstanding order book. How is -- you said that you received in 4Q and 1Q some payments. So what would be the total outstanding receivable from only water?

Vimal Kejriwal: I think it's around INR800 crores, if I'm not wrong. Yes, it's INR800 crores roughly.

Bhoomika Nair: And -- so from a receivable and money receipt perspective, you think that this should now be accelerating, so which is where we will likely see an uptick in terms of the execution in FY '26?

Vimal Kejriwal: So I think we are conscious of that. So our execution would depend upon what sort of money we receive. So in a way, let's put it this way, there's a cap on what we will execute. So whatever money I get this month, that's the execution we will do next month . So I don't see the AR coming down because what will happen is that we'll have fresh revenues coming in because ultimately, you have to do the projects.

Also, these are projects which are in a way, nationally critical, we are giving water to the households, etcetera . So there will be continuous pressure on the government, notwithstanding

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that we are not paying. So we still would continue. If monies don't come in Q1, we will see a de-acceleration in Q2.

Bhoomika Nair: Understood. Understood. Fair point. Sir, the other thing is on Civil, if you look at it, extra quarter also, if one looks at it, the order backlog has been fairly stable. So how are you seeing the new orders? You did speak about industrial, residential, etcetera , seeing some improvement. But how are you seeing the trajectory in terms of order inflow per se in this particular segment?

Vimal Kejriwal: So we are not seeing a very significant change than what we had in Q3. So I see the residential segment still continues to be very, very bullish. We just announced a large order last year at the close of the year. We announced one -- so we are having a lot more orders and inquiries from very reputed. And I think what is also changing, Bhoomika, is orders are becoming larger, okay? So that's one plus point. Industrial still continues to be more on the metals and mining. We announced one metals and mining order. But the good part was this year, we also got a very large semiconductor complex. The advantage of that is, one is, obviously , it's a very prestigious

order and seeing what also is happening in that sector.

Secondly, those are -- that is a very fast track order to be done in 12 months. So it would result in a quick churning of revenue -- the Civil order book versus revenue ratios are not as good as T&D. So what we are also looking at is that when you saw the order intake, we had actually calibrated a lot. We are looking at orders which can be executed quickly, which are cash flow positive. And I think we are pretty happy with what we have done.

Bhoomika Nair: Sure. Sir, in terms of the working capital, if I look at it, there has been a reduction between the third quarter and the post year -end, which has also resulted in debt reduction as such in the quarter. Now as we go ahead, what is the outlook that we have in terms of the working capital because it still remains elevated versus the last year. So what are our areas of where we're looking at reduction with the execution still picking up?

Vimal Kejriwal: Bhoomika, I'll let Rajeev answer it. Rajeev, you want to take it?

Rajeev Agarwal Yes. So Bhoomika, basically, what is happening that still, as Vimal mentioned that there is a large outstanding in the water business. So we expect this to be normalized as we progress during the year. And by the end of the year, probably there will be very little work will be left on the water side, and we hope to realize all this money. Plus, as Vimal mentioned in the opening remarks, the T&D business has been doing well and particularly on the domestic side, where our net working capital in the domestic business has come down significantly.

Virtually, we are operating at very low net working capital. So with these T&D business is doing very well on the working capital front with a very low intensity in terms of the additional working capital requirement and the Civil business improving this year, hopefully, the railway

business will also contribute in terms of the additional cash flows in terms of realization of a lot of claims.

So with all this, I expect the working capital intensity will go down further. Somewhere we are quite hopeful that by end of this year, we should be closer to about 100 days of NWC. And that

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is where we expect the overall interest cost should be about 2.5% of the total revenue despite a revenue growth of almost 15% this year to take it to INR25,000 crores.

Moderator: The next question is from the line of Samarth Khandelwal: from ICICI Securities.

Samarth Khandelwal: Sir, I wanted to understand how are HVDC T&D orders different from regular T&D orders? And also considering HVDC are longer CKM and of a larger ticket size, why are we still getting HVDC orders in the range of similar as we were getting other T&D orders?

Vimal Kejriwal: So Samarth, HVDC orders on the line side are not very different from the normal AC lines also, okay? It's only, as you rightly said, longer in length and also the values are typically higher and also, they are always considered to be more difficult and more technologically advanced for whatever reason it is, but it is there, okay? So HVDC orders are always considered to be very prestigious in terms of transmission lines. So we're already doing three lines.

We are negotiating a few others and bidding for more. I think what is more critical is on the converter station side, which is a high technology item, both in terms of supplies and also in terms of the entire Civil and erection and all that is a very, very different ball game. In fact, if I am right, I think we are the first EPC contractor to actually do an HVDC construction. Otherwise, it always had been done by the OEMs who supply the HVDC equipment. So I think that's where it is always considered to be prestigious, always also much larger in value.

Moderator: The next question is from the line of Manish Ostwal from Nirmal Bang Securities.

Manish Ostwal: Very good set of numbers for the year. Sir, given the increased geopolitical risk in our business, so how you are managing the risk? Can you talk about some qualitative aspect, whether the risk factors increased, erection rates of project selection has increased. So can you talk about that thing in our business?

Vimal Kejriwal: So Manish, we have a very active risk management committee right up to the Board level, where there's a lot of issues get discussed. We have the former Foreign Secretary on our Board. So a lot of views get expressed on the relative risk and risk profile whenever we talk about international projects, especially new countries, etcetera. We also have a very robust risk metrics, which is to be done for every project whenever we are getting into with a new country and a new client.

Many times, we also insist on that to be done when existing clients where we don't have too much of exposure. So the risk metrics covers a lot of activities, a lot of issues, including political, including the payment risk, including what is the stability, what has been the record, etcetera, etcetera. So we are pretty active on that. Notwithstanding that, you never know what happens. So you will always run into some risk when you're operating internationally. But I think we are pretty okay when we look at what we have done. We also take insurance covers to -- or reduce the risk to some extent. We are in regular touch with, I'll say, reputed international agencies who advise us on risk, especially when we get into a new country, we consult the Big 4 wherever they are present.

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When we talk about new countries, especially on the payment risk, on the tax issues and etcetera. So I think we are reasonably confident of what we are doing in terms of looking at geopolitical risk at the time of taking a new bid in a new country.

Manish Ostwal: Yes. The second thing, sir, I was listening to your speech, the initial management commentary. So we all understand that the growth aspect is never be a concern for the company like KEC because of domain expertise but your T&D portfolio where here some of the businesses are not doing well.

So have you thought about shutting down that business, taking some hard decision on those businesses so that focus your core expertise where you can generate the cash flow as well as the high profitability. So can you talk about some strategic landscape on your non-T&D portfolio, which things you want to curtail or which you want to focus more in terms of cash flow generating profitability perspective?

Vimal Kejriwal: Manish, let me add a few. I think I don't know how long you have been covering this company. So 3 years back, India T&D was making losses, okay? And railways was making profits. So

what happens is that the decision of going into 6 or 8 or whatever number we have on SBUs right now, especially 4 large SBUs has been on the account of derisking our portfolio, also trying to avoid the cyclicality in the markets.

Many times when we talk to consultants and advisers and specialists, they always say that this business is countercyclical to that for the other business, etcetera . So that is the way it is. You can't set up and shut down businesses very quickly . You know, for us, civil to reach INR4,400 crores has taken us 7 years. So it's not easy for us to take a call. It's not like a product line that I shut down a product line and start it again next day.

You can't build capability or PQs, etcetera , in a business. But what we have done and if you listen to the speech carefully, we have clearly brought down our order intake in some of the businesses where we think the profitability is not as good. We have clearly -- our T&D order intake was 70% of our orders, okay? So very clearly, we are calibrating what business we want to grow

, what business we don't want to grow for the time being, but that doesn't mean that we will shut down the business, okay?

We are very clear. This year, we expect Civil to grow by at least 25%. So it's not a question saying that we will shut down this or we will shut down that. You can't take decisions like that because you never know which business, what will happen. Like if you take water, 1 year back, water was doing very well and government was out of the way funding it.

Suddenly, something changed, they have gone slow. But now again, in this budget, they said that, water should be provided in every home , and they said we will fund you everything. So it depends. So I think we are pretty happy with the way we are managing or calibrating our various businesses.

Moderator: The next question is from the line of Parikshit Kandpal from HDFC Securities.

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Parikshit Kandpal: My first question is on the guidance for this year. So sorry if I missed that. What is the revenue growth guidance, order inflow guidance and margin guidance for FY '26?

Vimal Kejriwal: So Parikshit, what we have said is that we will grow by 15% on the revenue side. On the margin, we have been talking about 8% to 8.5% from the current 7%. And we have said that order intake should be around INR30,000 crores.

Parikshit Kandpal: Okay. So last year, the order inflows was roughly INR10,500 crores from international T&D and INR7,200 crores from domestic . So out of INR30,000 crores, how much you're expecting from the T&D and what kind of growth you're looking from domestic and international?

Vimal Kejriwal: So Parikshit, what we've generally been looking is around 70% of the order intake should come from T&D, okay? I don't have the exact breakup, but I think it should be more or less equal depending upon what happens. But INR20,000 -odd crores, INR21,000 crores is what we are looking of order growth -- order intake from T&D this year.

Parikshit Kandpal: So what is -- out of this ...

Vimal Kejriwal: Parikshit, you're cracking up completely. I can't -- we can't understand what you're saying. The line is pretty bad.

Parikshit Kandpal: Is it better now?

Vimal Kejriwal: Slightly better. Yes, go ahead. Let's see.

Parikshit Kandpal: I was asking the total INR1.8 trillion of prospect pipeline, how much of that would be the T&D domestic pipeline? And is it growing ?

Vimal Kejriwal: I don't have the numbers readily, but T&D is roughly 50% of that INR1,80,000 crores, okay?

Breakup between international and this, I don't have -- Abhishek, any idea? Between international and India?

Abhishek Sen : International is high.

Vimal Kejriwal: International is higher. I don't know if we have the exact number, but the international is higher mainly on the back of Saudi.

Parikshit Kandpal: Okay. And in domestic T&D, last year, you grew by 20% in order inflows. So do you think this year, what kind of growth you're looking at? Is the pipeline very robust? What are the key HVDC pipeline in FY '26, if you can give some color on them?

Vimal Kejriwal: I think we should have a similar growth. Even order book, we are seeing order intake, we are seeing INR25,000 crores to INR30,000 crores, that's 20% growth. So India T&D, again, I think we should have a 20% or so growth. It will all depend upon when the HVDC orders come, what happens and how quickly the renewables are getting built, etcetera . So it will depend. But I think we are pretty confident that we should have a similar level of growth this year also.

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Parikshit Kandpal: And your estimate of the HVDC pipeline to be awarded this year, sir, which are the projects you think will get awarded and your broad sense on that?

Vimal Kejriwal: You're asking about HVDC, right?

Parikshit Kandpal: Yes, yes, yes. So which

HVDC project do you think awarded this year or still advanced stages of bidding?

Vimal Kejriwal: Right now, there are 2 projects which are under consideration. I think one is in the Gujarat, okay, where for some reason, the tendering has been getting postponed a little bit. The tenders are out, but it's not yet quoted. So that will definitely get awarded this year. And we have already seen a couple of tenders coming out of the Leh Ladakh line, okay?

I don't know whether they will be quoted right now or they will get postponed, but I think two or three tenders on the Himachal Pradesh side or somewhere else, I don't know exactly where, but some tenders have been issued by PGCIL under the RTM route, okay? Whether they will get quoted right now or they will get postponed, but the tenders are out.

So I think these are the two lines which will happen here. And there are a few very large lines of HVDC, which will be tendered out by in Saudi also. So those are the projects which we are seeing.

Moderator: The next question is from the line of Vaibhav Shah from JM Financial.

Vaibhav Shah: So on the EBITDA margin, you guided for 8% to 8.5% for FY '26. I think in the previous call, we were confident of 9% margins for FY '26. So what has led to this reduction in terms of the margin guidance?

Vimal Kejriwal: I think right now, with what is happening in water and labor, etcetera, shortage, etcetera, we are a bit conservative, okay? I don't know whether we'll be able to achieve 9% or not. But I think maybe after a quarter or so, we'll be able to be more clear about the numbers, okay, which is why I'll say that is why we have toned it down slightly.

Vaibhav Shah: But FY '27 should be surely 9% plus?

Vimal Kejriwal: I presume so, yes, because we have a large order book, a large order intake also planned, and we are saying a quality of orders are increasing. So next year has to be 9%, yes. No doubt about it.

Vaibhav Shah: Okay. Sir, secondly, we saw that working capital has come down significantly in the fourth quarter, but interest cost has been flattish on a Q-o-Q basis. So was the debt reduction happened at the end of the quarter?

Vimal Kejriwal: I think what has happened is that the interest cost -- see, first of all, the interest rates have not yet come down. I think we are expecting the rates to come down even both international as well as India. And I think the other piece, what Rajeev is saying is that a large part of the collections, if you look at our reduction of INR1,000 crores in debt from December to March, most of the collection came towards the end of March.

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So you will start seeing the reduction happening in Q1 rather than Q4, which from the numbers, it looks that should have happened in Q4. But since most of the collection was skewed towards the last week of March, the impact of that will happen now.

Vaibhav Shah: Okay. Okay. And sir, in terms of segmental margins, so what would have been the losses in the railways business for FY '25? And secondly, on the SAE side, what is the outstanding debt and the interest cost?

Vimal Kejriwal: No, I don't think we give out those numbers on segmental, if you want some more details, maybe in touch with Abhishek to get some more data on that, okay?

Vaibhav Shah: Okay. And on SAE for debt and interest cost, the interest rate?

Vimal Kejriwal: SAE debt has come down to INR300 crores from INR400 crores roughly. Interest cost, Rajeev? Rajeev Agarwal It would be about 10%.

Vimal Kejriwal: Average would be around 10-11%.

Moderator: The next question is from the line of Gaurav Utrani from Axis Capital.

Gaurav Utrani: Congratulations on a good set of results. Sir, just wanted to check on margin, like we are targeting 8% to 8.5% in FY '26, and we aspire to reach double digit over the next 1 or 2 years.

So how would be the contribution from the non

-T&D segment? Are we seeing orders which we are taking currently are on a higher margin side? And what would be the broad range, if you can highlight like in the non -T&D segment?

Vimal Kejriwal: So Gaurav, we just now said maybe next year it should be 9% and all. I didn't say right now, 10%, maybe it was earlier we were talking about it. We have toned it down slightly. I think what is going to happen, Gaurav, is that our railway numbers, as I said, has bottomed out. So we should start seeing better numbers out from railways. And Civil also, what is happening is that

we -- as I said, we finished 3 of our 4 metro projects. Fourth one should be getting over now. So a large part of capital was locked in there. So the cost of capital will start coming down. The numbers will start improving. Plus, as we said that we have increased the size of our order intake more specifically in Civil and at, I'll say, reasonably better profitability. So we expect that Civil should go back to maybe at least 7% to 8% margin in the coming years. And T&D, obviously, with 65%, 70% ratios coming in from T&D, which is more than double digit -- which is around double digit, sorry, we should be able to go to a higher margin in the coming years.

Gaurav Uttrani: Okay, sir. Sir, similarly, on the T&D, you mentioned that we are getting strong order on the international and domestic side. So could you just highlight like what would be the margin differential between international and domestic orders what we take?

Vimal Kejriwal: Difficult to say that. We have been -- I think the margin depends upon individual orders. So I've always been saying that if you go to a country like Saudi, we have orders at 8%, if your orders at 20% also. So depending upon each order, what is the competitive intensity, what is your advantage you have and all that.

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But typically, I don't think it makes too much of difference to us whether -- if everything else is similar, the margins will be similar on an order, whether it is India or whether it is international. Earlier, international orders had a better capital cost because the loans used to be cheaper. However, of late, we are finding the difference would be probably less than 100 basis points. So I think we are -- I'll say, virtually immune to whether it is international or India when we decide the margin.

Gaurav Uttrani: Okay, sir. Sir, secondly, on the...

Vimal Kejriwal: I think, Gaurav, you have to come back in the queue. There are too many people waiting.

Gaurav Uttrani: Okay.

Moderator: The next question is from the line of Amit Anwani from PL Capital.

Amit Anwani: Congratulations for a good set of numbers. My first question is you have been highlighting about the labor shortage from past few quarters. And we have been growing almost we are targeting 15% growth and even the order intake growth is going to be significant. So I wanted to understand, are we expecting because of the shortage, is the labor cost going up? And how are we dealing with the labor cost shortage since we are still growing at 15% plus for maybe next couple of years here?

Vimal Kejriwal: So Amit, labor cost is definitely going to go up. It is going up and the new cost is always factored in the tenders which we are quoting. There will be some marginal impact on the earlier orders, okay? But I don't think it's going to significantly impact our margins. There has been some impact. That's why you can see that we are reducing our margin level slightly.

What is happening is that the shortage is spread across various businesses in different manners and geographies. Like internationally, we don't have too much of shortage anywhere. So I think our international orders have been going on, execution has been going on well. India, where there is more Civil specific where you need more, let's say, fitters and car

penters and all that,

that's the problem or electricians is where you have been having more issues.

So I think we have been taking various steps. I don't think there is a point where we can discuss all the steps. But I think what we are trying to do is see how do we improve mechanization and automation, etcetera, so that we can reduce the demand for -- or need for labor. So as I mentioned, let's say, you take cut and bend steel.

So that -- if you buy cut and bend steel, it reduces the need for fitters. Same thing you are using automatic plastering machines for plastering. So it reduces the need for masons. I think a lot of steps are being taken. In India, we are doing crane erection in T&D, tower erection by cranes, which was never done in India before.

So that reduces the need for erection gang. I think that's the way you will have to address the labor shortage. Also, a lot of work is happening with government, with Power Grid, etcetera, on how do we skill labor and how do we get more people. I think that's another piece on which a lot of work is happening.

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The other -- I think the last piece is how do you work with large subcontractors who have got larger pool of labor. And I think that's where I think some success is happening. So I think I'm not sure that the labor shortage will go away, but we do feel that it will not increase. It may come down a little bit. That's what we have penciled in our numbers.

Amit Anwani: Sure, sir. Lastly, on the cables and conductors capex, which you talked about INR90 crores and INR150 crores we are targeting this year. Just wanted to understand what is our capacity with respect to tonnage and you talked about doubling of it. And second, I wanted to understand what part would be in-house and external customer and also, you talked about Elastomeric and E-Beam, which I assume is margin accretive. What kind of contribution we are looking from that by in next 2 years when we are done with the capacity expansion?

Vimal Kejriwal: So Amit, today, our cable margins are around, I think, 5.7% or 5.8% for the year. So we are clearly looking at it going to 8% in 2 years. I think that's the way we are looking at it. I don't have the physical quantity numbers, etcetera, but I think the way we are looking at it is that both these new lines should add at least INR500 crores each.

So roughly around INR1,000 crores should go up by the new additions, which we will do and another INR500 crores will go up in the line, which we already commissioned. So hopefully, next year, we should be around INR2,300 crores, INR2,400 crores of revenue in FY '26 and maybe another INR1,000 crores or so if we don't do any other capex. So around INR3,400 crores, INR3,500 crores should be the Cables' revenue in FY '27.

And I think you asked a question on margins, which is why we are clear that the E-Beam and all that will definitely help. Even aluminium conductor has a slightly better margin and better working capital, which is why we are hopeful that we will be reaching 8% in 2 years' time.

Moderator: The next question is from the line of Amit Mahawar from UBS.

Amit Mahawar: Congratulations on concluding fiscal '25 with a strong impact on balance sheet. It's pretty feasible. Sir, I just have one question. KEC has never raised significant capital. In fact, I don't remember in the last 2 decades. And please correct me if I'm wrong, in the call, you mentioned you will be looking at raising some money.

So can you just elaborate more because the way you've judiciously grown T&D, Civil, Transportation, Cable, Renewal businesses, you've been very, very particular about working capital management. So what is the reason? And next 4, 5 years, where are we scaling up to? And what kind of cash cycle and cash flows are you looking at?

Vimal Kejriwal: Thanks, Amit. I think somehow there's some mis

communication maybe on my part. I didn't say

that we are looking for raising capital. There was a question saying, what is your future for the cable industry, cables? Would you want to dilute? Would you want to do something on cables and all that? So at that point of time, I said that it's premature. After 2 years, we will decide what we want to do with cables.

Maybe we'll not do anything. Maybe we may decide that we need more capital in cables or may decide that we may need more capital. It was a relative question whether you need more money

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or better returns will come from cables or KEC. And we said that at that point of time, if we want to, let's say, dilute our stake-holding in cables, we can either do it by an offer for sale from KEC or we can raise additional capital depending upon where the need for capital would be more, okay? I don't think I said that I want to raise capital in KEC. But I don't think we have any need, as you rightly said, about raising capital. No.

Amit Mahawar: Makes sense. That's one thing. And second and last question is, sir, maybe 2029-'30, what is the business construct and mix that you foresee? And you've been managing the mix very well. Your transportation business is more than INR2,000 crores in top line now. Renewal business is moving towards INR1,000 crores. So 2030, what is the business mix? That's it, sir.

Vimal Kejriwal: So at a point of time, we had said that we'll bring T&D down to 40% at a point of time, okay? But the way things are happening, I think it's a very dynamic world. Today, we are very happy for T&D to go to 70% or 75% with what -- so I think it will be a bit too early. We have got -- today, we have got T&D. We have got renewables, which is a dark horse in the whole system, okay?

And today, there are hardly any EPCs in -- except one large EPC in the entire renewables. You never know what will happen on the renewable part. Civil, again, we are not in heavy civil. We may decide to get into heavy civil because that's why the whole country is moving on large construction, etcetera.

So I think it's difficult today to talk about where we will be in '29. If you ask me in '27, I think we are very clear that T&D would not be less than 60% for us and at least 30% would be divided between Civil and railways, depending upon which one does better, that one would be more. And cables, I just gave you the numbers. So I think 10% should be around cables. I think that's where we are sort of looking at it.

Renewables can be INR3,000 crores -- can be INR4,000 crores, can be INR5,000 crores. I don't know. Today, it's a bit of a gray area, but I think we are very confident. So I think which horse will run better or what will happen for '29 would be -- we'll wait and watch, okay? But we have

built the capability. So whichever one looks better, we can always drive that one better.

Moderator: The next question is from the line of Uttam Kumar from Axis Securities.

Uttam Kumar: Congratulations on a very good set of numbers. Sir, my question pertains to oil and gas pipeline business. If you see, this business has degrown by over more than 40% in this particular year. So any particular reason for that? And how do you see this business panning out in the next 2 years?

Vimal Kejriwal: So I think at the moment, our outlook for India oil and gas has been pretty muted, okay? And the reason why the revenue grew down is, okay, when we acquired this business, there was a very clear talk that the contracts will get converted into EPC, there would be supply of pipes, everything is part of it.

Unfortunately, that has not happened, and we are seeing that the order size -- the tender sizes are all below some INR100 crores and all that, where obviously, we cannot be competitive with our

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large size and the

way we operate our businesses. So right now, I don't think we are seeing too much of a positive growth coming out of oil and gas in India. However, as I said, we already are executing one order in Africa. We have started bidding for orders in the Middle East. So I think the growth of that business will definitely come only from the international orders unless the oil PSUs in India and the gas companies change their model and start giving out much larger orders as they are giving out in refineries and other things. So we have been talking to them. But as of now, that is not visible, okay? So I think the growth -- entire growth will come from -- in the international market.

Uttam Kumar: Okay. And sir, what would be our capex guidance for FY '26 and '27?

Vimal Kejriwal: Capex I think I don't have -- I think we're talking about INR400 crores plus for FY '26, okay? FY '27 will be slightly early, but I think it would be in the same range because what has happened is that we have been investing in Civil significantly year-on-year. So that investment is now reaching sort of a peak unless we decide to, let's say, go into underground metros and all that where we go to buy TBMs, etcetera. But right now, I think you can take INR400 crores for this year and maybe a similar amount for next year.

Moderator: The next question is from the line of Ishan Verma from InCred Capital.

Ishan Verma: I just want to know what is our current capacities for T&D post Jabalpur expansion? And what is the kind of utilization factor we're looking at as in FY '26, we are expecting to grow 20% of our order book. So what kind of utilization factors are we seeing?

Vimal Kejriwal: So if you're talking about the tower capacity, we are around 462,000 metric tons today, okay? And the factories, except for, I think Mexico is slightly underutilized, but it's also 70%, 80%, I think. So that's where we don't have capacities available right now. They are all fully utilized.

Ishan Verma: So we potentially would be looking to expand our capacities?

Vimal Kejriwal: So we will look at what is to be done. I don't think we have any immediate plans for expanding further. One or two factories, we have some spare capacity debottlenecking and etcetera. So we may go up by another 10,000, 20,000 tons, but that's still under discussion. We don't have any active plan right now to expand.

See, Ishan, you have to understand that we have a tower supply business also, which sort of acts as a balancing figure or something, depending upon if I have more EPC orders, I can always reduce my tower supplies intake or orders, okay? So we use that as a balancing factor. If I get more EPC orders, I will obviously cut down on my tower supply orders. That's the way we normally operate, okay?

Ishan Verma: Okay. What is the percentage of order book, fixed price order book versus the rest?

Vimal Kejriwal: Sorry, I didn't get the question.

Ishan Verma: Fixed...

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Vimal Kejriwal: Fixed versus variable, I think -- okay, fixed versus variable would be roughly 50%, okay? Most of our Civil orders would be on a variable pricing. Most of our transmission orders are on fixed price because of TBCB, most of the orders go in -- there are some orders which are on variable also.

But typically, Civil would be more on variable than T&D. But what you have to also understand is that in T&D, etcetera, we normally do the hedging immediately as soon as we get orders, okay? So exposure is very minimal, except to steel, which is not directly hedgeable. So steel is something which we stay open. But rest of them, we are generally fully hedged.

Ishan Verma: Okay. And lastly, sir, if you can talk about some orders we are getting in the newer technology segment wherein in T&D, we have received the order on STATCOM. And in Civil segment, we received an order on semiconductor plant.

ant. So what kind of additional capabilities do we need?

And like how are these orders different from the current orders?

Vimal Kejriwal: So let me put it this way. In Civil, the capability is not very different, but you need to do a very large project in 10 months, 11 months. So you will need to use all that you know about execution excellence to ensure that you are able to build a plant in the required time. It would also have a clean room, etcetera, which is a very different technology, which is dust proof and whatever. So I think we need to work on that part. That would add clear capability, which can be used for other very smart electronic factories, etcetera, or even for, let's say, a transformer factory or a GIS factory, etcetera. As far as the STATCOM is concerned, that is becoming a necessity virtually now because of the renewable power coming in.

So there is a huge fluctuation in the grid frequency. So now you will require this to come in.

This is a high-technology product. So right now, we don't have anything on the product, but we are working with the product manufacturers so that we can jointly work with them like what we do in the TCAS sector in railways. So this will have -- the market for this, I think, around INR2,000 crores per year, if I'm not wrong. So we'll see how much we can get out of it.

Ishan Verma: And the semiconductor plant wise?

Vimal Kejriwal: Sorry, I didn't understand. What you want, semiconductor?

Ishan Verma: Similar outlook on the semiconductor plant orders that we received. So are there any additional capabilities do we need on that?

Vimal Kejriwal: I told you already, that is a fast-track project. So we will have to work on how do we improve our execution capability. Plus it's a different kind of a ball game. So it will definitely up our capabilities.

Moderator: The next question is from the line of Harsh Tewaney from Ashmore Investment Management.

Yes, sir, the current participant line has been disconnected. We will move on to the next question.

It's from the line of Saket Kapoor from Kapoor & Co.

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Saket Kapoor: Sir, firstly, sir, when you mentioned that EPC in the renewable space is heating up, sir, if you could just elaborate what kind of opportunities, especially for EPC in the renewable space is popping up? And what kind of pie are we buying out of it going ahead and the margin profile also?

Vimal Kejriwal: So Saket, if you look at the numbers, I think we are around 260 gigawatt of renewable as of now, maybe 10 gigawatts here and there. We are targeting 500 gigawatt by 2030 and 600 by 2032 which effectively means you need to set up at least 50 gigawatt every year. So that's the sort of pie which you can see between wind, solar, hydro and to an extent, nuclear.

I don't think nuclear will come by 2030, but I'm just saying that. So the requirement is very large.

And also, what we are seeing is that the number of players which are there because what is happening is that the project sizes are going up, okay?

Today, if you look at what are the tenders which are on offer, 1,200 megawatts, these sort of tenders are coming up for bidding, which requires large EPC players. So clearly, we are seeing that we can have a space in that entire EPC business. Solar, we have 1 or 2 large players, Wind, we do not have too many large players, all the OEMs who have been doing this.

And I think with the growth in the market, it is going beyond their capability also. And they feel that they can make more money probably manufacturing rather than doing EPC. So I think that's where we are looking at this market saying that there is a large opportunity looking at the balance 350 gigawatt of renewable to be built in the next 6, 7 years.

Saket Kapoor: Sir, what should be the minimum order size then? If you could give some color on what kind of bidding process are min

imum the size of tendering that comes up?

Vimal Kejriwal: Difficult to say that, but minimum, if you take -- I think it will be probably around INR1 crore per megawatt for the piece but we are doing INR1.25 crores per megawatt. So if it's a 500 megawatt, our order book -- order would be around INR600 crores, INR650 crores because we don't do modules. This is minus the modules. Modules will be an equal amount. So that's the way the numbers will add up again.

Saket Kapoor: And my second question was about the amount being released for the water project. Are they all aligned to this Jal Jeevan scheme only? And is there any constitutional change in terms of the state participation and central withdrawing from the scheme, sir? Any color on this because you categorically mentioned two states of Madhya Pradesh and Odisha where the release of funds have been. So if you could just dwell whether it is the Jal Jeevan and the scheme of things

changing with more trust now on the state to spend on the same?

Vimal Kejriwal: So Saket, we are -- there is no change as far as we know. It depends individually upon each state when they have signed us, what is -- typically, it varies between 40% to 50% is my understanding of the state share. Some states is 40%, some states it's 50%. The rest comes from the central government.

And all our orders are under the Jal Jeevan mission. So we are not aware of any changes which has happened in the constitution part of it. Maybe on the funding, there may have been some

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changes between the states and all that, what they want to do. And we are only present in these two states. That's why we talked about these two states only.

Saket Kapoor: Okay. But things have improved. That is what...

Vimal Kejriwal: From the end of Q3, they have improved definitely.

Moderator: The next question is from the line of Harsh Tewaney from Ashmore Investment Management.

Harsh Tewaney : I just had one question regarding the payment status of the Afghanistan dues. How much is still pending? And when do we expect to receive it?

Vimal Kejriwal: So Harsh, we have not received anything this quarter, okay? I think our net receivable is INR250 crores -- it's roughly around INR250 crores of net receivable, okay? A lot of discussions have been going on. I think we are seeing some development happening. I think we are keeping our fingers crossed. A major part is from ADB. I think there all whatever they wanted has been completed. Unfortunately, what happens is ADB has got a lot of projects in Afghanistan. So they want to take an in-principle stand on all the projects. Unlike World Bank and U.S. state where they had very few projects, so they could take very quick positions and release a lot of money. ADB, because of its wider exposure has been going a bit slow. But I think we are quite hopeful that we should be getting some money, I think, by next quarter, if not a little bit in this quarter also we still have 1 month. We're keeping our fingers crossed.

Harsh Tewaney: All right. So mostly by 2Q of '26 is -- the liability largely cleared.

Vimal Kejriwal: By 2Q, we expect a large amount of this to come in.

Moderator: The next question is from the line of Mehul Mehta from Choice Equity Broking.

Mehul Mehta : Congrats on good set of numbers. My question is in relation to product portfolio of cables. Can you share a breakup of revenue in terms of EHV, HT cables, telecom, railway cables?

Vimal Kejriwal: I don't think I have the exact breakup, but I think EHV, HT would be roughly around INR500 crores. That would be a broad number I have. Maybe if you want more detail, Abhishek can give you. And I think on the railway side, we would be probably around INR150 crores.

Railway has been going down as a business. So we have been trying to see how do we utilize that facility if we are able to find some solution, althou

gh with some remodeling, we have started manufacturing LT there. But the entire electrification projects have come down. So I think it was around INR140 crores, INR150 crores of railway revenues.

Mehul Mehta : Okay. And in terms of capex , which you earlier shared about INR150 crores and INR80 crores, INR90 crores. I missed that number. So what you were talking about FY '24 and FY '25 or...

Vimal Kejriwal: FY '25 was around INR80 crores, INR90 crores. I don't have the exact numbers, it will be around INR80 crores, INR90 crores, on the conductor line and some other things which we did on PVC, etcetera . And next year, FY '26, we are talking about INR150 crores, which would be a mix of

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a second conductor line and an E-Beam and Elastomeric facility. So FY '26 will be INR150 crores.

Mehul Mehta : Okay. And in terms of revenue guidance, it is about INR3,500 crores by FY '27. Is that correct?

Vimal Kejriwal: Yes. Yes, you're absolutely right.

Moderator: As there are no further questions from the participants, I now hand the conference over to Mr.

Vimal Kejriwal: for closing comments.

Vimal Kejriwal: Thank you, Steve, and thank you, everyone, for your continued interest. Thank you so much.

Moderator: Thank you. On behalf of KEC International Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

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Q1 FY '26 Results Conference Call "
July 29, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to KEC International Limited Q1 FY '26 Results Conference Call. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this call is being recorded.

From the management side, we have with us Mr. Vimal Kejriwal , Managing Director and CEO; and Mr. Rajeev Aggarwal, CFO. With this, I now hand the conference over to Mr. Vimal Kejriwal . Thank you, and over to you, sir.

Vimal Kejriwal: Thank you, Soumya. Good morning to everyone, and we welcome you to the Q1 earnings call of KEC. Let me begin by sharing an overview of our performance this quarter, followed by our usual business -wise update. We have achieved a strong top line growth with revenues of INR5,023 crores in Q1 FY '26, reflecting an 11% increase Y -o-Y, primarily driven by a robust execution in our T&D business, both in India and international. Aligned with our strategic focus, the T&D segment's contribution to overall revenues increased to 63%, up from 55% in the same quarter last year.

Our EBITDA for the quarter has grown by 19% year -on-year with margins improving by 50 basis points to 7%. During the quarter, we have successfully reduced our interest expenses by 40 basis points as a percentage of revenue, now standing at 3% for the quarter.

We have significantly enhanced our bottom line with PBT and PAT growth of 41% and 42%, respectively. PBT margins have increased by 70 basis points to 3.2% vis -a-vis 2.5% last year. Our PAT stands at INR125 crores. The growth in PBT and PAT continues to outpace EBITDA growth, driven by reductions in interest, depreciation and tax rates.

On the order front, we secured new orders of over INR5,500 crores led by our T&D and Civil businesses. Additionally, we have an L1 position of over INR6,000 crores, predominantly in the T&D business, which are expected -- at least a part of them are expected to be awarded in the next few weeks. We have a well -diversified and strong order book of INR34,409 crores as on date including the L1 position, our order book and L1 stands at over INR40,000 crores.

We continue to maintain a sharp focus on our balance sheet. Our net debt, including acceptances, stand at INR5,348 crores as of 30th June '25, a reduction of INR250 crores vis -a-vis June 30, 2024, despite a revenue growth of over INR2,000 crores. That is 11% in trailing 12 months.

Now talking about the specific businesses. Our T&D business continues to be the key growth driver this quarter, recording revenues of INR3,157 crores, reflecting a stellar growth of 26%.

This performance is a testament to our strong execution capabilities across geographies.

The business continues to deliver healthy double -digit EBITDA margins, maintaining its profitability momentum. On the order intake front, the business secured orders of over INR3,200 crores across India, Middle East and the Americas. These include substantial orders in Saudi Arabia. These wins reaffirm the MENA region's strategic importance as a key growth driver for us.

In India, we have secured a repeat order from a private developer. We have also strengthened our presence in the growing HVDC segment by bagging another significant order. Currently, we are executing four projects, including a major HVDC converter station project spread across three locations, along with three HVDC transmission line projects.

Our active participation in this space continues, and we are currently -- or have actually bid for several HVDC opportunities in both domestic and international markets. In SAE, the business

has

achieved revenues of INR359 crores, a growth of 4% year-on-year. This growth probably would have been higher but for the strengthening of the Brazilian reals.

In Brazil, additionally, we are witnessing a significant traction in hardware orders. We have also enhanced our operational capabilities with the installation of new equipment at our Brazil facility, which will boost hardware production capacity and improve efficiency. In Mexico, the business has secured a major tower supply order, reflecting a positive momentum in the North American T&D market.

Overall, the business continues to benefit from a steady profitable order inflow with a robust order book and L1 position of over INR2,300 crores. With a robust order book and a sustained increase in tendering activities in the T&D segment, we embarked on a bottlenecking and capacity expansion initiative for our tower manufacturing plants with minimal investment. Following the successful capacity enhancements at our plants in Dubai, Jaipur and Jabalpur, we have now commenced execution -- expansion at our Butibori facility in Nagpur. This positions us well to meet the increasing demand for transmission infrastructure in both domestic and the international markets.

The overall tender pipeline in T&D continues to be strong in both domestic and international markets. In India, the investment continues to be directed towards grid modernization, transmission infrastructure for renewable energy zones and inter-regional connectivity, creating a surge in the tendering activity.

We are well aligned with this national agenda and see significant opportunities unfolding in the near to medium term. On the international front, the market outlook remains highly encouraging. We are witnessing sustained momentum in the Middle East with large-scale transmission programs, particularly in Saudi and UAE, are driving demand.

Additionally, we are actively pursuing opportunities across Americas, Africa, CIS and the Far East, all of which are investing in expanding and upgrading their transmission infrastructure to support economic growth and energy access. With a healthy order book and L1 in T&D of INR26,000 crores, we are confident of delivering significant growth in this business.

In Civil, we delivered revenues of INR940 crores for the quarter. While execution has progressed across multiple sites, growth was impacted by two key factors: continued labor shortages and delayed payments in the water segment. Although collections have started to improve in this segment, they remain below expectations, and we are maintaining a calibrated approach to execution in this area considering our exposure. In a proud moment, we successfully handed

over our first airport project in Tuticorin, which was inaugurated by the Honorable Prime Minister just a couple of days back.

The business continues to strengthen its order book with multiple orders of INR2,100 crores in the buildings and factories vertical from reputed clients. In a major strategic milestone, we made our entry into the semiconductor EPC segment, winning a large first-of-its-kind order from a reputed client. We also strengthened our footprint in the metals and mining segment with a repeat order for an upstream project for a steel plant.

Notably, we secured two landmark orders in the buildings and factories vertical. The first is our largest ever order in terms of value, while the second is to build our tallest structure we have undertaken till date. This marks our entry into the premium high-rise residential segment, featuring towers rising up to ground plus 70 stories.

Today, we are executing over 70 high-rise towers for marquee clients across India. Our geographic footprint extends with a strong presence in key real estate hubs such as Mumbai, Pune, Bengaluru, Hyderabad, Kolkata and Gurugram. With

the gradual improvement in the labor

situation, steady collections from water projects and a robust order book of over INR10,000 crores, we are confident that civil business will see good growth in the coming quarters.

Our transportation business has achieved a revenue of INR471 crores for the quarter. The business continues to focus on execution of new orders and completion of the ongoing projects. The quarter marked several milestones achievements inaugurated by the Honorable Prime Minister with KEC playing a pivotal role in their successful execution. KEC played a key role by deploying advanced signaling and telecom systems for the world's highest Chenab rail bridge in Jammu and Kashmir, part of the Udhampur -Srinagar -Baramulla Rail Link. KEC executed 102 kilometers of railway doubling works between Vanchi Maniyachchi and Nagercoil in Tamil Nadu, including bridges, electrification, signaling and civil works. The electrified Sabarmati -Botad and Rajkot -Veraval rail section Gujarat were also inaugurated by the PM, both of which were successfully delivered by KEC. These projects are critical enablers for the rollout of Vande Bharat Express services in this region. We are currently executing orders for deployment of Kavach across 500 track kilometers in partnership with our JV partner. This advanced train protection system will significantly enhance the safety, reliability and speed of railway operations. We expect to secure some additional orders in this segment shortly. We are actively pursuing international opportunities and have also submitted bids for multiple tenders in the Middle East. With an order book of over INR3,000 crores, our strategic priorities remain clear, fast track completion of existing projects, optimize working capital and selectively bid for high -quality opportunities in both domestic and international markets. Our cable business has achieved revenues of INR383 crores, growth of 5% year -on-year. Following the commissioning of the aluminum conductor plant at our Vadodara facility, we have now initiated the doubling of this capacity, which will significantly enhance our ability to meet the growing market demand . In parallel, our capital investment for e -beam and elastomeric

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cables is progressing as planned, and we expect commercial production to commence by the end of this financial year.

Our renewable business has grown by 87%, achieving revenues of INR136 crores. We are currently executing 2 large solar projects in Karnataka and Rajasthan. The 500 -megawatt solar project in Karnataka has been partly commissioned and is scheduled for completion next quarter. Additionally, work is progressing well on the 500 -megawatt solar project in Rajasthan, Bhadla with the first phase slated for completion within this quarter.

We continue to bid for select opportunities in solar, wind and the battery energy storage system. The oil and gas pipeline business has secured its second international order for terminal station works in Africa in addition to its ongoing pipeline project in that region. The business is focusing on the international market, considering the low tender pipeline and extremely competitive scenario in India.

On the ESG front, we continue to integrate best -in-class sustainability practices across our factories and project sites. As part of our strategy to make all our manufacturing plants water positive, we are pleased to announce that our Jaipur plant recently received the water positive certificate.

With this achievement, four of our manufacturing plants, Jaipur, Butibori, Jabalpur and Vadodara are now water positive. In conclusion, with a strong focus on execution, a robust and diversified order book and L1 of over INR40,000 crores and a substantial tender pipeline of over INR180,000 crores, particularly in T&D and civil, we are well positioned to deliver susta

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profitable growth in the coming quarters.

Thank you very much. We are now open to take questions.

Moderator: The first question comes from the line of Parikshit from HDFC Securities.

Parikshit : Congratulations on a decent quarter. My first question is on stand -alone margins. So after 3 quarters of improvement in EBITDA margins, I mean, 2Q, 3Q and 4Q FY '25, we have again seen a dip in 1Q margin to 4.9%. So any particular reason -- I mean, any one -offs during this quarter in stand -alone? So if you can give some more color on this margin trajectory ?

Vimal Kejriwal: So Parikshit, I think the reason for that is very clear. One is our international business, which is housed in UAE and all that is doing very well. Secondly, during the quarter, our civil margins - - you saw a degrowth in the civil revenue. So because of which on the leverage impact, we had a much lower margins in civil.

And I think cable also, because we commissioned the plant and we did not get certain approvals from customers, which are now coming through, we had some stock, et cetera, with us. So there was an increase in the interest cost. And I think that has led to this. But I think we are very clear going forward and the way we have planned our budgeting, etcetera.

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We do not see any issue with the stand-alone margins. I think overall, we expect that our stand-alone margins for the year should be at least at 70% to 75% of our overall targeted PBT for the consolidated entity.

Parikshit : But more on a longer term, sir, I mean, as we are talking about consolidated margins improvement. So on a stand-alone basis, how do we see the margins? Any guidance there for FY '26, '27 on trajectory side? Do you think that we will be in a position to achieve high single-digit margins, I mean, starting FY '27 and somewhere close to about 7% to 8% in this year?

Vimal Kejriwal: So for FY '26, we have actually guided at 8% to 8.5% already, okay? So I think I don't see any major issue at least in meeting the lower end of it, but 8% to 8.5% is what something we are very -- we think that is achievable. FY '27, obviously, we should have at least a 50 to 100 basis points improvement in that. So FY '27, we will be probably reaching closer to 10%

Parikshit : So I'm talking about stand-alone margins, sir. Stand-alone margin guidance?

Vimal Kejriwal: I don't think I'll be able to give you a separate number. But as I said, for the year, we are talking about our stand-alone margin to be between 75% to 80% of our consol margins -- overall margins, okay? So I think I don't think the number will be very different. In fact, to me, the stand-alone margin should increase because if you look at the India T&D business, we grew by almost 50% this year.

We have an order book, so that will grow. Civil is growing. So what will also happen is that the ratio between the India and international will also be more skewed towards India, which will help us on the stand-alone margins.

Parikshit : Okay. Got it. My second question is on the pipeline -- bid pipeline, especially on the T&D side, so both on the domestic side and on the international. So what would be the bids you would have submitted but still not opened in India and abroad? And how is the tender pipeline looking on the T&D side, specifically for both domestic and international?

Vimal Kejriwal: I don't have the exact number of what we have submitted, not open, but I think the tenders which are either bid or which we should be bidding, let's say, in the next 1 or 2 months is around INR90,000 crores, okay, INR30,000 crores in India and INR60,000 crores in the international market. Those are the numbers for the bids, which we expect that in the next 2 or 3 months should get bid and decided.

Parikshit : So on the building side, sir, now, I have recently seen one of the Andheri launches, which has

been sold out. So I understand KEC is doing that, so -- which is also a very premium project for entire Mumbai. So just wanted to understand on the premiumization side of the building EPC. So how has been the journey over the last few quarters?

And now do you think that you're in a position where you can bid across all, I mean, segments like mid-luxury, luxury, ultra-premium? And do you think that this will trajectory-wise improve your margins double digit in the building segment? And also out of the total civil, how much is the building now?

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Vimal Kejriwal: Yes. So I think the B&F is roughly around INR5,000 crores out of our order book of INR10,000 crores for civil, so roughly 50%, okay? And I think what is happening, Parikshit, is that we are focusing on increasing the ticket size of the orders. So in fact, most of the orders which we have won during the current quarter, most of them are above INR500 crores in terms of size. Clearly, I think premiumization is on the card. We have also reduced the -- I'll say, increased the minimum size of orders, which we are taking in civil.

I think INR300 crores, INR400 crores is what we are not taking below those numbers. So you'll start seeing a lot more larger orders coming out. This will help us in also fast-tracking execution because we'll be working at a lesser number of sites. Today, we have got -- we had 310 projects overall. We are reducing it to 275. We'll probably reduce it to 250 in terms of number of sites at which we are operating. I think that's the way we want to work on it.

Moderator: The next question comes from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: My first question is you alluded to a very strong tender pipeline in domestic T&D., but I think the first half -- Q1 was too slow. How do you see the tender finalization in the rest of the year? And is the INR30,000 crores you spoke about the tender prospects, do you think that number will inch up as we go further in the fiscal?

Vimal Kejriwal: So Mohit, your question was not very clear to me, but I think what you are looking or asking is that tender or award pipeline was slower in Q1 in India. I think that's a fact, okay? For whatever reason, we did see a slowdown in awards happening. I think a couple of things are happening. One is we are seeing a lot more private sector sort of being more successful in T&D, okay?

And what we are seeing is that unlike Power Grid, where they are tied up with a particular EPC before the bid, so for them, awarding becomes very easy. For private sector, they start all the processes after winning. So typically, we have seen that a large number of bids, which have been won by the private sector are yet to be awarded. And right now, I think, we are very close in discussion. So you'll probably see a lot more awards happening, whether to us or to anyone else in this quarter on the India T&D sector.

Also, I think, there were a lot of pressure on the transmission grid. And there were some solar plants and other plants which have been delayed. So I think there was probably some rethink happening on which lines to prioritize and which not. So I think that has now got cleared. So we are now seeing a lot of bidding happening at the developer level for the TBCB projects. And I think we will start seeing a lot more awards in this quarter as well as in the next quarter.

Mohit Kumar: And sir, when you say L1, that excludes TBCB, right? It will include only Power Grid. Am I right in saying that?

Vimal Kejriwal: So when I say L1, I am L1 with the developer, okay?

Mohit Kumar: Understood, sir. And sir, how do you think about the Middle East T&D opportunity in FY '26 compared to, let's say, FY '25? And the related question is, how is the competitive intensity in the Middle East in particular?

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Vimal Kejriwal: So the tender pipeline remains where it is. I think we have been talking about INR50,000 crores to INR60,000 crores in every conference call, and I think it has been continuing in that manner despite the awards are happening. So it's a pipeline which keeps on rolling over. You get new tenders coming in.

As far as competitive intensity is concerned, I think we are seeing some increase in the intensity in the UAE side. Saudi side, which is our main market and our L1s today of 6,000 has a large portion of Saudi L1s in that, has not seen any significant -- in fact, I'll say it has seen a reduction in the competitive intensity in the Saudi market.

In fact, recently, where we have in L1 in one of the projects, which is then in 6,000, we just saw 3 or 4 bidders. Earlier, we used to see 7 or 8. So slowly, slowly, because the business has become, I'll say, so large and people are winning and I think they are more satisfied with what they have. The competitive intensity in Saudi, and you're not asking me but also in India, has become significantly less for the large value orders.

Mohit Kumar: Understood. Sir. My last question, is it possible to share the KEC Asian cables EBITDA and PAT?

Vimal Kejriwal: I don't think we are giving it in this fashion. But if you need to have more data, why don't you speak to Abhishek and he will give it to you.

Moderator: The next question comes from the line of Ravi Swaminathan from Avendus Spark.

Ravi Swaminathan: Congrats on a good set of numbers. Sir, my first question is with respect to the India domestic power T&D market. We are seeing steady growth in PGCIL and even the private players are awarding. What about states, sir? Are we seeing traction increasingly from state side? Can that become a very sizable opportunity going forward?

Vimal Kejriwal: So Ravi, you are right, we are seeing a lot of traction happening. But I think what has happened, Ravi, is that somewhere, I think a year or 2 back, I don't remember when the Ministry of Power issued a guideline saying that all projects above INR200 crores should be on TBCB even in the states, okay, because of which many of the projects have been sort of stuck because states don't want to let it go and ministries are not approving them, saying you need to go through TBCB.

In fact, if you look at the latest list of TBCB projects, especially in Maharashtra -- I think Maharashtra has accepted that, and we are seeing a large number of projects coming up in Maharashtra on TBCB. There are other states which are slowly falling in line, not yet fully reconciled, which is the reason why we have seen a slowdown in some of the state demands, but it's a matter of time.

Either they come under TBCB or then they convince the Ministry of Power that -- like I just saw recently a big tender from Gujarat, where they were able to convince the government saying that TBCB will delay my project and I need to do it fast track and they went ahead and got an approval.

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So I think we will definitely see a lot more state projects coming up because with the way the intra -- interstate grid is expanding, ultimately, the power will have to go flow down further. I

don't think we have any doubt about it. It's only because of this confusion between TBCB and non-TBCB that we have seen large projects getting sort of on hold, but that's getting resolved now.

Ravi Swaminathan: Understood. And can they be as large as, say, PGCIL kind of ordering, say, all states combined put together per annum, say, 2, 3 years down the line? Size of the market...

Vimal Kejriwal: So at a point of time when TBCB was not there, Power Grid and state was almost equal. Both of them used to be around INR40,000 crores, INR45,000 crores each, okay? See the issue -- what you have to understand is that what would be the credit worthiness of each

of these states.

And also since it will be on TBCB, who will win them? Now recently, there was a TBCB award in Maharashtra, but the TBCB is still done by PFC and REC, okay?

So what happens is for us, the credit risk shifts from the state to the private developer. And we are seeing a lot more localized developers coming into state. So I think we'll have to wait and watch how that market evolves, okay? Like Power Grid is also bidding for all of them.

So we'll have to wait and watch how this evolves, which players play in the developer market, whether Power Grid is as aggressive or not. In fact, you'll be surprised in 1 or 2 states TBCB -- when I call it state TBCB, the line is for intrastate, okay? We have seen the state grid participating as a developer. So we'll have to wait and watch how this entire scene evolves, yes.

Ravi Swaminathan: Understood, sir. And my second question is with respect to the Middle East piece. We are seeing very good traction in the power T&D side, but Middle East is also investing into renewables and BESS very significantly. Our revenues from renewables as of now, that is solar, EPC, et cetera, is relatively small, like 4%, 5% of top line. Can this become a very large piece, like, say, significant size equivalent to that of power T&D kind of revenue over a 3, 4 -year period?

Vimal Kejriwal: I don't think we are looking at that sort of growth in this business at the moment. I think we've been talking about reaching INR3,000 crores to INR4,000 crores next 2 years, okay? And right now, our focus is more in India because there is so much and more work right now happening in India. I think if I'm not wrong, we have seen -- we are now quoting almost 19 to 20 projects in NTPC right now, which are under -- which have already been bid.

So I think what is -- the other piece which is there, Ravi, is that in the Middle East market, the project sizes are very large. They also typically include the module supply, which increases the risk on the margin significantly either way.

And we are right now not keen to take any module supply risk because of the volatility. So I think we are happy with what we are doing in India. The growth which will happen in India is apart from solar, we have started quoting for wind also. So you'll start seeing some improvement in that area. And best is something new for us. I think we have quoted 1 or 2 small projects. We are now looking at it.

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We'll see. So maybe you'll start seeing a change in the way our renewal numbers appear to you. From next year onwards, we definitely see the numbers going up significantly, but not to the tune that they match T&D today. We are not thinking about that today. Maybe next year, we may change our thought process.

Ravi Swaminathan: Understood, sir. And my final question is with respect to profitability. Is there -- I mean, given the fact that so much amount of ordering is happening both in India and outside India and many of the -- your peers also would be having their hands full in terms of projects, execution, et cetera. Is there a possibility of profitability of the power T&D business improving further from here? And also on the non-power T&D business, have the profitability of the water and railway business bottomed out? Are you getting any sense on that?

Vimal Kejriwal: So we already mentioned it at the start of the speech that we have a double-digit margin in the power T&D, okay? Whether it can increase further, I don't know, but too early to comment right now. But yes, the orders -- the competitive intensity has slowed down. So the margins are okay. But I think what has slightly changed in the power T&D is a large number of TBCB bids have been won by private sector so -- which in a way creates a problem because the power -- private sector wants to supply the conductor, they want to do the

insulator and all that.

So the volume of business which you generate may go down. And so there may be, I'll say, a slight impact on the increase in the margin, okay? So -- but I think double digit is what we have been looking at. And I think we are happy with that part of it. Coming to non-T&D, we just heard -- I think we will start seeing -- I think we have reached the bottom.

That is the right statement to make. And I think that's why when you look at our margins, we had a 7% margin this quarter, but we are talking about 8% to 8.5% for the year. So clearly, we are seeing an uptick, which will happen in the margins in the coming quarters and will also be

driven largely also by the margin changes in civil and cables.

Moderator: The next question comes from the line of Vaibhav Shah from JM Financial.

Vaibhav Shah: So firstly, on the water side, what is our outstanding receivables? And have we received any money in first quarter or in Q2 so far?

Vimal Kejriwal: So Vaibhav, I think you missed my first part. We have received around INR257 crores in the first quarter. We have been receiving money in this quarter also. In fact, yesterday also, we got around INR10 crores, INR12 crores -- so this month, INR50 crores. So we've got around INR50 crores this month also. So the money is flowing. As I said, not flowing in, but trickling in some parts. One state is flowing and other is trickling in. So I think that's the way it is.

Vaibhav Shah: And outstanding receivables?

Vimal Kejriwal: I think we have an overall AR of around INR800 crores. Part of it which is billed. Part of it is not yet billed because typically, the way all these departments work is that they will not let you bill till the earlier amounts are paid. So there is some outstanding in terms of billing required to be done. Billed, I don't know, Rajeev.

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Rajeev Agarwal: Billed is about INR 250 crores...

Vimal Kejriwal: INR250 crores is the billed amount. Okay?

Vaibhav Shah: Okay. Okay. Sir, secondly, if you look at the non -T&D part in terms of revenue, so over the last 4, 5 quarters, we have seen some amount of decline. The pace of decline has increased over the last 2, 3 quarters. So when do we see growth coming back in the non-T&D part?

Vimal Kejriwal: I think our expectation is that from the current quarter, Q2, we should start seeing a change in the trend, okay? Whether it will be very visible this quarter, I'm not sure, but it will start changing. But from Q3, Q4 onwards, you will definitely see a significant uptick happening in the non -T&D, whether it is civil, whether it is cables, clearly. One of the reasons for the growth being flat also is that we have actually slowed down our railway business.

So railway business, which was INR4,000 crores 3 years back, has come down to INR2,500 crores. So that's one significant reason. Secondly, I think oil and gas has been a bit of a disappointment. We have not seen any tenders also coming in and too much of competitiveness.

So whatever growth we are projecting, that has not happened. But otherwise, I think we are pretty confident that from next -- from this quarter onwards -- Q2 onwards, we will start seeing a change in the trajectory of the growth of non -T&D.

Vaibhav Shah: Okay. And sir, lastly, when we bid for these projects, so across the verticals, what are typically our margin thresholds, say, in the T&D space and non -T&D space?

Vimal Kejriwal: It depends. So to me, it's very difficult to give a simple answer, but typically, 8% to 10% is what we would like to bid for. Cables would be lower at the PBT level because it's a product business.

So it's a different thing.

Plus it also depends upon the competitive intensity of that region or for that particular -- like I'll tell you, in Saudi, the bidding can happen from 8% to 20% or 25%, depending upon the p

roject

and all that. So very difficult to give a number, but there is a minimum threshold below which we will not take a project unless it is really very strategic for us.

Vaibhav Shah: And sir, one clarification on margin. So you said that around 8% to 8.5% for '26, and you're confident of closer to 8% for sure. And for '27, you mentioned that it will be a 75 to 100 bps improvement?

Vimal Kejriwal: That's what we are looking at, yes.

Moderator: The next question comes from the line of Amit Anwani from PL Capital.

Amit Anwani: My first question is on the pipeline, which you highlighted, INR1,80,000 crores. If you could give us some sense how much is from T&D and civil segment -wise and between international and domestic also? And second thing, I would like to understand how much we are building for -- you have said STATCOM has been -- we got first order and pipeline is robust. Any color on STATCOM, HVDC, non -HVDC, if possible for you?

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Vimal Kejriwal: So as far as the pipeline is concerned, I had mentioned that the pipeline is around INR1,80,000 crores, okay, of which around INR90,000 crores and odd is in the T&D sector, of which INR30,000 crores is in India. So balance INR60,000 crores is outside India. Civil is around INR50,000 crores plus, okay? What was the next question?

Amit Anwani: HVDC, non -HVDC, STATCOM, any color on what we are building in?

Vimal Kejriwal: So HVDC also, I did make some statements, saying that we are right now doing 4 projects, one

of which is a converter station and balance 3 are lines. We have bid for some, and we are bidding for some more HVDC line. So I think you will definitely see some order wins happening in the HVDC segment, both in the line as well as on the converter station side where we have a limited role, but it could be a large tender.

As far as STATCOM is concerned, I think the tenders are slowly coming in. I think this quarter, we will see some more tenders coming out, not sure whether we will get the award this quarter. But I think in Q3, we will definitely see some more awards coming in the STATCOM.

I think with the renewable energy getting pumped in a lot more, the STATCOM is becoming absolutely essential. So I think Q3, Q4 onwards -- Q3 onwards, you will see a lot more orders coming on the STATCOM. A lot of orders being decided and hopefully, we'll get some of them.

Amit Anwani: Sure. Secondly, on civil, you said we faced labor shortage and we saw the revenue decline and also delays in payments. And we are talking about very strong pipeline. So what sort of growth we are building? And second, is this the segment which is impacting working capital? Also we saw working capital was 128 days. So some color on how the civil will pan out with respect to growth? And is it a drag on working capital? What kind of working capital numbers we are working around for the remaining 9 months?

Vimal Kejriwal: So I think there are various questions which you are asking. So one is as far as -- if you look at the payment delays, they have generally happened only in water. And we are not seeing any major payment delays happening otherwise, especially on the residential and the industrial sector where we don't see too much of payment delays, okay?

As far as margins and other working capital drag is concerned, what has happened was that we had 4 large wire duct orders, 2 in Delhi Metro, 2 in Chennai Metro. Out of that 4, 3 have been fully handed over to the client and commissioning is going on.

I think at least in one line, they are waiting for the Prime Minister to come and inaugurate. Others also should happen any point of time. So most of these orders have been significantly back-ended in terms of cash flows. Now that these projects are completed, we will definitely see a positive cash flow happening from these 3 large wire duct orders.

Each of them

are I think INR1,000 crores and odd, whatever number -- I think INR3,000 crores.

So the working capital, which is currently impacted, yes, partly is also because of civil, partly because of water and partly because of the back ending of the viaducts, which is getting resolved.

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Civil -- what I already told you that we got INR250 crores, another INR50 crores this month already so -- which is why we have been very comfortable in saying that the net working capital, which is today 128 days will probably come down to 110 days is what we are still committing. And I think the other reason why there was a slight increase in the working capital is also because of the inventory buildup.

One is, I think, with the benevolent steel prices. We did invest a little bit more on the steel than what we should have in the normal course, if the prices were not as low as they are. And secondly, as I mentioned earlier, there were some delays in getting our aluminum conductor approval from a major customer because of which we had some buildup of finished goods inventory in cables, which is now getting liquidated. So we are very confident that the working capital cycle will improve significantly now onwards.

Amit Anwani: Sure, sir. Sir, lastly, on the Kavach, you highlighted, we -- I think we are already doing 500 track kilometer order, we got with one of the partners. Just wanted to understand what is the pipeline?

Is there any pipeline for this year, if you could quantify for Kavach? That's my last question.

Vimal Kejriwal: I think, Amit, Kavach is not going at the pace at which we want it to grow or the government wants it to grow. I think the basic reason for that is, I'll say, still a supply chain issue because most of the players who are there in this field -- and I say not the people who are qualified, but the people who are supplying to them, a lot of them are small electronic manufacturing guys. And so I think we are still seeing a little bit stress on the supply chain part of it. And Kavach, as you know, 70%, 80% or even more is on supplies. So that is the reason why Kavach ordering has been a little bit slow than what it should have been, okay? We do expect that it will start picking up.

There are some tenders, which were -- I think we are L1 or we should be -- some part of it is included in my L1 list. And there are other tenders also which are being quoted. But it's not something which is happening in a -- honestly, in a very, very big way, okay? Till the issue gets resolved on the supply chain side, I think we'll see a steady growth, not a very fast growth.

Moderator: The next question comes from the line of Subramaniam Yadav from SBI Life Insurance.

Subramaniam Yadav: Sir, I just wanted some guidance on the debt level for the full year because we have seen this quarter about -- increase of debt about INR800 crores. So how does this debt pan out during the year?

Vimal Kejriwal: Yes, Rajeev, you want to take this?

Rajeev Agarwal: Sure. So basically, what we are expecting that this quarter also, you would have seen that we have reduced our debt levels by about INR250 crores Y-o-Y. And we expect some more reduction to happen, especially in H2. So normally H1, your debt level generally goes up compared to the March level.

But overall, for the year as a whole, we have earlier guided for about 110 days of NWC and debt will translate to something around INR4,500 crores of debt level by the year-end despite a 15%

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growth on the top line. So we do expect that we will be able to maintain our numbers at about INR4,500 crores debt by the end of the year.

Subramaniam Yadav: And sir, this will happen by reduction of inventory and/or improvement in the receivables. If you can give some color on both of these things, it would be helpful.

Rajeev Agarwal

: So there are multiple actually handles which are available. Some bit of a payment is also, let's say, due from Afghanistan. So we expect that payment to get realized in quarter 3. Vimal also mentioned in the earlier question that we are expecting some payment release from 3 metro projects that has been handed over to the client and where the collection was back-ended. So that money will also come.

Plus there are some reduction in the inventory, obviously, will happen, as we have already started getting approval from the customer. So the conductor stocking that we did, so that will also go in quarter 2 and quarter 3. Apart from that, as Vimal also guided that we have done some stocking of steel because of the benevolent steel prices. So hopefully, that will also get consumed in Q2 and Q3. So all of these efforts will actually reduce to the lower debt level and lower NWC level.

Subramaniam Yadav: Okay. And one more question, sir, when we say the non-T&D mix of the revenue would increase going ahead. But when we were looking at this thing, we were expecting the T&D portion mix to increase, hence, our margin would improve. But when the non-T&D mix would increase, then is it a risk to our margin, what we are guiding there?

Vimal Kejriwal: I don't think we mentioned in that format. What we had said that when there was a question on the stand-alone business, et cetera, saying what will happen to the stand-alone revenues and margins, so that's where we had said that the civil and other businesses are -- and cables are essentially more India-centric, and we expect them to increase. So the stand-alone margins will increase.

I don't -- in fact, we mentioned that our T&D revenues have gone up from 55% to 63%. If I made a comment, it's my mistake. I don't think we made a comment that the T&D revenue percentage will go down today because the growth is right now happening on T&D, okay?

Moderator: The next question comes from the line of Uttam Kumar from Axis Securities.

Uttam Kumar: Congratulations on a good set of numbers. Sir, in the presentation, you have mentioned about battery energy storage services. So what kind of opportunities we are seeing in this particular segment? And how we will operate in this particular segment, as EPC contractor or in some other form, if you can throw some light on that?

Vimal Kejriwal: I think we are very clear on one thing, Uttam, is that we'll be only be an EPC contractor, okay?

So I think we are not there right now or I don't think in the near future, we want to get into ownership or development or whatever like that. I think we are just stepping into it. Too early to make -- give any numbers or comments and all that.

But since we are doing solar and we started bidding for wind and now that there's a hybrid model where every developer wants to have a minimum 5% has to be on the battery storage. So we are

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-- I think the -- let me put it that we are just getting into that market. And we just maybe steps, et cetera. There are inquiries and we have quoted for some projects where best is required as part of the renewable projects, solar, etcetera so that's where we are there.

Also, I think there are some smaller inquiries coming in from the Middle East, et cetera, where we are already there from the same client. So we are looking at that. A little bit too early. Do you think we'll get a best order this year? I'm not sure. Maybe, maybe not. But it's something where we are just getting into it.

Uttam Kumar: Okay. And sir, my next question on labor. So how is the labor issue currently compared to last quarter? It has reduced or it is on the same line, what was in last quarter?

Vimal Kejriwal: So we had a shortfall of around 30%, 35% till -- I'll say, June. Of that, right now, I think the shortfall has come down to around 10%. So almost 20% of t

hat, we have been able to manage

in the civil side. We still see some shortfall on the transmission side on the erection gangs because of the large volume of work which we are seeing and most of the lines are 765 where the towers are very large.

We need much more specialized gangs. So I think that's one area where I think all of us are struggling on the transmission side. But civil, I think -- we are, I think, reasonably, I'll say, comfortable.

Moderator: The next question comes from the line of Abhijeet Singh from Systematix Group. Please go ahead.

Abhijeet Singh: Sir, first question is on the non -T&D business. And a number of participants have alluded to some sort of revenue weakness in the last few quarters and -- or, let's say, more than a few quarters, particularly impacted by railways and the water business.

And if we look at the overall business, somewhere non -T&D is kind of shadowing the good performance of the T&D business, right? In an environment where T&D is growing super normally, the entire sector, overall performance is somehow shadowed by the non -T&D .

So what are the key learnings that we have in the last 2 to 3 years that going forward, when we scale up our order inflow and order book for non -T&D in water, real estate and other businesses?

So what are the key learnings that we have, which might prevent us -- or will help us essentially in better execution going forward?

Vimal Kejriwal: Abhijeet, one thing what you need to understand is that we are a diversified company. We have diversified into all -- like I was not there in civil, 6 years back, okay? Just for an example, renewables also. We diversified into all this to sort of de-risk the company. Similarly, we diversified geographically because of that.

Now if you are covering us for a long time, you'll see 3 years back, India T&D actually had a loss. Today, we are talking about more than a double -digit margin. So I think when you are in EPC business, these things will keep on happening, and you'll never be very sure in 2 years, which of your engines will fire and what will happen. I think that's what is happening.

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Today, unfortunately, railways for whatever reason, had a problem. So that's why it is there. So I don't think we are looking at it from a very short -term view. We need to diversify our risks and both business line -wise, business segment -wise. That's why in civil, you see 7 or 8 segments. Cables, you see all sorts of products, whether it's LT or HV or EHV or conductor. So that's going to happen. Same thing is happening in geographically.

We have entered into so many new countries where we're not there. So I think you'll have to look at it from an overall angle. And as I mentioned earlier, we are clearly expecting that the non-T&D growth has sort of -- the decline has bottomed out, and we will start seeing an increase in the growth and the margins of the entire non -T&D business.

Abhijeet Singh: Sure, sir. The second question, sir, would be on the labor issue that we talked about. you said that it was 30% to 35% shortage versus now improved to 10%. So sir, what is the kind of benchmark that we have -- we are saying that now it is only 10% versus earlier? How do we arrive at this number? And can we quantify this labor shortage in terms of our execution pace reduction that is happening because of labor shortage? Can you quantify that?

Vimal Kejriwal: The quantification on the labor numbers are very clear because you know each project requires how many people at whatever stage they are. So you look at that number, saying this particular project requires 800 people and I've got 700 there. That's why -- because availability of front, this is availability of front, this much work I can do, this many people I require for that work. I don't have that people.

So that's how you

quantify, say, okay, I was 30% short and now I'm 10% short and all that, okay?

As far as quantification of revenue is concerned, very difficult to say, but I don't think we had anticipated there will be a degrowth in civil, okay? So now the fact that we had a degrowth in civil, one is labor, one is on account of water.

But if you look at the numbers, maybe INR300 crores, maybe INR500 crores, but very difficult. I don't have that number. But since we had a degrowth in civil, I'm just looking at that degrowth and saying, okay, degrow by some 10% or something, INR900 crores. So difficult to say numbers to it, yes.

Moderator: The next question comes from the line of Prathamesh Rane from Elara Securities.

Prathamesh Rane: My first question like was on the revenue growth guidance. Are you maintaining that and on the order inflow guidance, which you had given previous quarter?

Vimal Kejriwal: 100%, yes.

Moderator: The next question comes from the line of Ishan Verma from InCred.

Ishan Verma: Yes. So I wanted to understand that we are targeting a strong growth in renewable segment, right, but we don't see any order intake in this quarter in that segment. So I just wanted to

understand what might be the reasons for that? Like is there -- are the projects return lucrative or not? Or like is the bidding momentum not there?

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Vimal Kejriwal: No particular reason for that. I think a lot of tenders got bunched up in the last 1 month. I think June and July, we have bid for a large number of tenders. I think most of the -- when you look at the -- and most of the clients are PSU. So I think they all take their own time to start. March, April and all, we have generally seen are slightly low on bidding. Also, we were quite busy with the execution of 2 of our large projects. And interim, we also wanted to build a better team, a bigger team.

So I think those are the reasons. Otherwise, there's no particular reason why orders have not happened. We are quite happy with the orders which we have and the tender pipeline where we have bid for a large number of tender orders.

Ishan Verma: Okay. And secondly, sir, this tower capacity expansion in Butibori, what kind of expansion are we doing? Is it 10,000, 20,000 MTP or...

Vimal Kejriwal: I don't have the exact -- but it will be around 10,000. 10,000 to 12,000 tons is what we are looking at expanding Butibori.

Ishan Verma: Okay. And sir, can you elaborate something on the execution in the international market, particularly in SAE towers, wherein we see that even last year also from Q2 to Q4, we see a degrowth. So what kind of growth are we expecting in this quarter in the execution front?

Vimal Kejriwal: So Ishan, SAE Towers is a product supply business we have. So right now, it's virtually operating at full capacity. So the growth in that business will only happen beyond the inflation and the currency and all that, if we keep on expanding capacity. Right now, with all the uncertainty on tariffs, et cetera, what is happening, we are not expanding the main business, the tower supply. I have already mentioned that we expanded our hardware. So whatever growth is coming right now is coming more from the hardware. Also this quarter, the growth was appearing a little bit lower because the local currency strengthened a lot, so which resulted in a lower growth in terms of U.S. dollars and INR.

Moderator: The next question comes from the line of Garvit Goyal from Nvest Analytics Advisory, LLP.

Garvit Goyal: Congrats for a decent set of numbers. Sir, I have a question on the T&D part only. There are a few problems going on, like tendering delays happening due to transmission connectivity backlog, especially in the state of Rajasthan and Gujarat. And secondly, on this ISTS waiver expiry, awaiting extension. So how do you view this situation going on right now in the industry?

Vimal Kejriwal: I think, Garvit, there was some slowdown in the last quarter. And as I mentioned earlier, we have now seen a large number of tenders which are being quoted by the developers. Also, whatever tenders were won by the developers in Q4 last year and Q1 this year, are now under, I'll say, final decision. So you will start seeing some orders coming out in this area. I think in the next 2 or 3 weeks, there will be a large order inflow to the EPC companies.

I'm not worried about it. I think what you're talking about is ROW issues in the execution of the current projects. I don't think that is impacting the new tenders in this area. What is happening is that there are a lot of people, who are revisiting their solar plants or requirement, etcetera so -

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- which is where there was some, I think, realignment of future projects, which I think has been completed. That's why a lot more tenders have been released now. So I don't think there's anything to worry about the pipeline in the India T&D market, no.

Moderator: The next question comes from the line of Jainam Jain from ICICI Securities.

Jainam Jain: Sir, my question is on the HVDC orders. So how are we seeing the opportunity for us outside India in HVDC segment? And in which geographies are we seeing these opportunities?

Vimal Kejriwal: HVDC outside India right now is limited to Saudi as of now, okay? There are -- they are already implementing quite a few HVDC orders, including one, which is a very large one, is from Saudi to Egypt with an undersea also part of it. Today, there is a -- I think there are 2 very large HVDC lines, which are under tendering in Saudi.

Apart from that, I don't think I have seen any other HVDC outside of India right now. Anand, anywhere? North America, yes, they're talking, but I think there's -- sorry, I should have corrected. North America, there are some HVDC talks happen. Also, they are now talking about 765 kV in North America also. So -- but there, our job is only supplies.

Moderator: The next question comes from the line of Balasubramanian from Arihant Capital.

Balasubramanian: Sir, my first question regarding renewables revenue grew almost 87%, but this segment is still

small around INR136 crores. What is your plan to scale in this segment and given tender competition? That's my first question.

Vimal Kejriwal: Yes, what we mentioned earlier was that we have bid for a large number. We are very positive on this. And I think in the next 2 to 3 years, we are expecting this business to be -- from INR3,000 crores to INR4,000 crores is what we expect it to be.

Balasubramanian: Okay, sir. So in oil and gas, you mentioned there is no tendering activities in India. Is there any focus on international market? Like which are the geographies we are targeting?

Vimal Kejriwal: So we already have 2 orders in Africa. We are targeting Middle East. So it's basically going to be between Africa and Middle East, where we will see. India, the tenders are far very, very little and all very small tenders, INR50 crores, INR70 crores and all that so where the competition is not where we can win so -- which is why we have almost sort of vacated that market of sub INR100 crores. But now we have seen some tenders for the first time, which are above INR100 crores, let's see what happens. But I think our focus is going to be international in oil and gas.

Moderator: The next question comes from the line of Renu Baid from IIFL Capital Services.

Renu Baid: Congratulations for strong numbers. I have only one question, just a follow-up update on -- there was this bribery case with Power Grid officials, which is under inquiry. So are there any updates on the outcome of that inquiry? And internally, as a fallout of that event, what are the kind of risk management or business practices that we have strengthened to avoid similar instances in future?

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future?

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Vimal Kejriwal: So Renu as of now, there is no particular update on that case. The case is in sub judice. The hearings have not yet started, okay? So as and when it will, I think, progress in its normal course -- I don't know how many years it will take, but that's the way it should take. As far as the company is concerned, we had very clear risk management policy. So we are reemphasizing those policies. Actions are being taken wherever required to be taken.

I think let's understand that this is a one-off small transaction, which has happened. There's some transgression, which has happened in the system, and we are taking care of that transgression to ensure that even at that small level, it doesn't happen again.

Renu Baid: Do you think that it could pose a risk of KEC being barred for a certain period of time with Power Grid projects in India? Or it could just be more of a penal penalty in monetary terms?

Vimal Kejriwal: I honestly have no idea what Power Grid will want to do, what they will not want to do because I think we have to understand that it's something which has happened post completion of projects and all that. So I think let's -- I have no comment to offer right now on what Power Grid will do or will not do.

I think let me put one thing, Renu, is if you look at my order intake and my order book today and also what I mentioned earlier on the TBCB side, where almost, I think right now, 50% or more orders are now going into non-PGCIL, okay?

So even in the unlikely, say, that PGCIL takes something against us or something, I don't think it's going to impact our T&D growth in any manner. We have a large enough order book in India for the -- at least for the next 6 to 8 quarters. Are we worried on the growth? No, we are not worried on the growth. We don't like what has happened. We don't like it, and we are taking whatever is required to be done.

Renu Baid: Right. Sure, because this has been one of the concerning elements across investors. So I thought of just...

Vimal Kejriwal: Yes. I appreciate your question, but I think investors should not be worried about it. We have more than enough order book and order pipelines. And as I said, today, almost 50% of the transmission in TBCB is going to non-Power Grid today, okay? So there are enough and more alternate avenues with us in case something happens. And you would have heard that we have a INR6,000 crore order -- sorry, L1 pipeline today.

And I'll say almost 80% of that is in international T&D market. So I think international T&D market is looking very well. So in the unlikely event that your domestic goes on for something, we always have our diversification part of it in international market. So my only comment would be that we should not worry about it.

Moderator: The next question comes from the line of Manish from Nirmal Bang Securities Private Limited.

Manish: I have only one question. In terms of our working capital days with respect to T&D business and non-T&D business, do you have any broad breakup of net working capital days, which is 128 days currently, both the businesses?

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Rajeev Agarwal: So, clearly, the working capital intensity in the T&D business has been coming down over the last couple of years. Currently, that is less than 90 days in T&D business. And non-T&D business is because of the various factors that Vimal also alluded some time back because of the cash flow being back-ended in metro project, water project, some payment delays happening for last few months.

So there has been -- the intensity is higher. And that is actually because of the non-T&D businesses working capital intensity being higher. So the overall NWC days stands at about 120 days.

And clearly, we have various levers w

hich are available on which we are continuously working

on. And we expect that this should come down significantly in the coming quarters. And that is the reason we have given the guidance for the interest cost at 2.5%, debt level to come down to about INR4,500 crores despite 15% growth that we have been talking about. So we are quite in control of the situation. So nothing to worry on that account.

Manish: Sure, sir. Understood. And one small clarification, Vimal, you talked about the competitive intensity is stable in large value orders in India. So can you quantify that what is the size of the large value order where the competitive intensity is stable?

Vimal Kejriwal: Typically, it would be around INR500 crores plus.

Moderator: The next question comes from the line of Saket from Kapoor & Company.

Saket: Firstly, when you were mentioning about release of fund, some -odd crores in the water project, are you alluding to the fund related to the Jal Jeevan scheme in particular, wherein there were some issues with many EPC players?

Vimal Kejriwal: Yes, we only do Jal Jeevan as of now. It's all money is in Jal Jeevan only.

Saket: Okay. So for Jal Jeevan, what was our receivable for March? And what is the current outstanding, sir? Any ballpark number?

Vimal Kejriwal: Saket ji there wouldn't have been any major change because what we did is, we did as much work as we got money for. So, I don't have the March figure, but there is a receivable of around INR800 crores. And I think in March, it would have remained the same. It wouldn't have increased. I mean, it would have been around INR25 -INR50 crores, but no major changes.

Saket: Okay. So you mentioned about 300 something being released, and that was again receivable -- have been again. That is what you are trying to say.

Vimal Kejriwal: Yes, correct. Because in the end, we have to do the project. So, we reinvest as much money as they give us in the business.

Saket: So there is traction now in the scheme, because other players -- 5 players and all are showing 30% volume this -- year-on-year. So are you looking at the project again, sir? Or is the focus of the government changing?

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Vimal Kejriwal: Look, I don't know where the 30% came from. Because what is happening today is, earlier, we used to give orders for pipes, but we didn't get the pipes for 6 months. Now, if you give an order, they are giving pipes from the next day. So, if you have 30%, I don't understand. Actually, according to me, it should be less, but it is a good thing, right? I said, it is a good thing if there is growth, but according to me, there is no growth. Because for us, as a buyer...

Saket: I'm not talking about 30% degrowth sir, not growth sir...

Vimal Kejriwal: Yes, he said degrowth. I heard growth, so I said, what are you saying?

Saket: No, no, sir. There is no such thing in Jal Jeevan. Sir, the only point was trying to understand is that whether the budgeted amount of, say, INR68,000 crores, INR69,000 crores, which the government has alluded in the budget, has the disbursement started from there or has it remained in the numbers, sir? That is what my point sir.

Vimal Kejriwal: It is very difficult to answer you because the money that is coming, when we are talking in the state government, they say that we are giving. When we are talking in the central government, they say that the state government is giving equally. So, most of the funding is in the middle of the central state government. Now, in the end, we don't know where it is coming from. But both the people say that we are giving. And see, for the first time in the budget, I have heard the name of Jal Jeevan Mission, I have heard his figure.

And now, I think, this will happen. Because now, what will happen is that the measure that is left with the government, you have made it of power, now y

ou are talking about water, it has

become of solar. So it's a matter of time, the funds will start getting released and someone in the government will start focusing in this business.

Saket: One more small point, sir, in this scheme, sir, river linking Project, KEC will be able to apply

its expertise. When that can come into foray, I think the Ken Betwa Project and all are huge projects going ahead?

Vimal Kejriwal: Mr. Saket, this is a debatable question. Our debate goes on. Because what happens is that if you see in River Linking, there are projects of 8-10 years. Okay. In between, there is an issue of environment. Sometimes, there are court cases. So, we will see how to do it. Projects are coming in water a lot. River linking is coming, irrigation is coming. Irrigation canal is coming to be replaced by pipes. Lift irrigation is coming. Pump storage is coming.

Many things are happening that are related to water. So, we are looking at everything that will look right, especially project-wise. I am not even looking at it segment-wise. In which segment to do it? Individually, which project is there that can be done? So, we will look at that project.

Saket: Last -- second question is on the solar EPC, taking into account the bid pipeline and also you, I think so, alluding to INR3,000 crores topline line that we are getting ready to make with solar.

So, sir, how big is the total size of the solar EPC? And in solar cables, I think, so some E being the one we are expanding, how much capex are we doing in that and what turnover do we expect from solar cables? .

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Vimal Kejriwal: I think that capex is between INR90-INR100 crores, roughly. And we are already selling 500-600 crores of solar. So, the solar cable is going well. In EPC, I don't know, we are getting a lot of numbers, but the margin is still not very high. So, when the margin improves slowly, we will expand it. Otherwise, you will say that your margin has reduced.

So, that's why we are doing solar with peace. As I said, in 3-4 years, we're talking about INR3,000 crores to INR4,000 crores of business coming out of renewable. And if the margin improves, even today, there is a lot of issue of land availability.

So, the project is being delayed. So, until all those issues are resolved, that the project can be done in 8 months or in 8 months, will the margin improve? So, I think there are many things in it. We are very bullish on it. But we are waiting and watching and seeing how we can take it to 4,000.

Saket: Sir, I would like to put a question on the rail way at the last point. Then I will go to the line. Sir, you said that we are not getting thrust from the railway but we are hearing that for the June quarter, railway has been the biggest spender from the government side. So, the place where they are spending, we are not present there. That's the reason, otherwise, the capex from the railways has gone up year-on-year by 50%. That's what the Business Daily are mentioning.

Vimal Kejriwal: I don't know where the figure is coming from. But our information is that the major expenditure is going to the rolling stock. Vande Bharat trains, Vande Bharat sleepers, Vande Bharat skidding, your station redevelopment.

So, the major, I would say, passenger amenities and the expenditure on that side that is increasing a lot. Not on the capex side. I mean, capex in the sense that you have to increase the line, you have to do electrification, you have to do signalling, etc. Instead of those things, I think we are spending a lot more right now on amenities, etcetera. So, whenever it comes to our area, we will also work on it.

Moderator: Ladies and gentlemen, we'll take this as a last question for today. I would now like to hand the conference over to Mr. Vimal Kejriwal for closing comments.

Vimal Kejriwal: Thank you so much. And I would like to

once again thank all of you who are continuing to show interest in KEC. Thank you.

Moderator: On behalf of KEC International Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

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"KEC International Limited
Q2 & FY '26 Results Conference Call "
November 11, 2025

MANAGEMENT : MR. VIMAL KEJRIWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – KEC INTERNATIONAL
LIMITED
MR. RAJEEV AGARWAL – CHIEF FINANCIAL OFFICER
– KEC INTERNATIONAL LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to KEC International Limited Q2 and FY '26 Results Conference Call. We have the management from KEC International Limited joining us today. Mr. Vimal Kejriwal, Managing Director and CEO; Mr. Rajeev Agarwal, Chief Financial Officer.

As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this call is being recorded.

I now hand the conference over to Mr. Vimal Kejriwal. Thank you, and over to you, sir.

Vimal Kejriwal: Thank you, Danish, and good morning, everyone, and welcome to the Q2 earnings call of KEC.

Let me begin by sharing an overview of our financial performance of the quarter and H1, along with the highlights of their respective businesses.

We have delivered a good performance this quarter, achieving record revenues in Q2, substantial growth in profitability and strong momentum in order intake especially in the T&D business.

Our top line witnessed healthy growth with revenues of INR6,092 crores in Q2 FY '26, reflecting an increase of 19% Y -on-Y primarily driven by a robust execution in our T&D business, both in India and international.

With this, we have achieved a revenue growth of 15% for H1, which is in line with our guidance for the year. Aligned with our strategic focus that T&D segment's contribution to overall revenues increased to 65%, up from 55% in H1 last year.

Our EBITDA has grown by 34% in Q2 and 27% in H1. EBITDA margins for Q2 increased by 80 basis points to 7.1%, up from 6.3% in Q2 FY '25, while H1 margins rose by 60 basis points to 7% from 6.4%. Interest expenses as a percentage of revenue have reduced by 50 basis points in both Q2 and H1 resulting in an interest cost of 2.8% for Q2 and 2.9% for H1.

We have significantly enhanced our bottom line with a remarkable PBT growth of 88% in both Q2 and H1. PBT margins increased by a good 130 basis points in Q2 to 3.5%, vis -a-vis 2.2% last year and increased by 100 basis points in H1 to 3.3%, vis -a-vis 2.3% last year.

We have achieved a PAT of INR161 crores in Q2 and INR285 crores in H1. The growth in PBT and PAT continues to outpace EBITDA. We have a clear emphasis on profitable growth, not just top line expansion. Our profitable growth continues to outpace revenue growth.

In terms of order intake, we are pleased to share we have achieved a record YTD order intake of over INR16,000 crores reflecting a healthy growth of 20% Y -on-Y. Notably, a substantial 75% of this order intake has been secured by our T&D business across India and the international markets.

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Additionally, we hold L1 position of INR5,000 crores, again primarily in the T&D segment. We have a well-diversified and strong order book of over INR39,000 crores as on date, including the L1 position, our order book and L1 stands at a record level of INR44,000 crores. Coming to our debt levels, our net debt including acceptances stands at INR6,480 crores as on 30th September vis-a-vis INR5,265 in the previous September. The increase in debt level is on account of strong revenue growth, increase in strategic inventory due to benign commodity prices, delayed release of payments in water projects and spillover of certain large collections, which happened in the subsequent months. We expect the debt levels to normalize going forward. Coming to our specific businesses. Our T&D business continues to be the key growth engine in this quarter, delivering revenues of INR4,080 crores, a remarkable growth of 44%. This stellar performance reflects our strong execution capability

es across multiple geographies. That business continues to maintain in its profitability momentum with double-digit EBITDA margins.

On the order intake front, the business secured orders of INR12,000 crores across India, Middle East, CIS and the Americas. The T&D business has expanded its geographical footprint by securing its marine order in a new country in the CIS. The business has also secured two landmark orders in the Middle East which includes our largest ever EPC order of over INR3,100 crores in the UAE, our largest ever substation order of over INR1,000 crores in Saudi Arabia. These prestigious orders in the Middle East have widened our portfolio and client base and further solidified our leadership in the region. In India, the business has secured multiple orders from various clients. We continue to build a strong presence in the promising HVDC segment, having backed another significant order this quarter from a private developer.

We are currently executing 5 HVDC projects, including a major converter station project spread across three locations and four transmission line projects. We have significantly increased the share of private sector orders in our India T&D order intake this year.

It gives me a great pleasure to share that this year marks a significant milestone and we celebrate 15 years of SAE acquisition, a journey that has redefined our global footprint and set new benchmarks in the transmission industry.

Over the years, SAE has grown not only in scale, but also in capability, innovation and operational excellence. I'm delighted to share that SAE continues to perform strongly with revenues of INR429 crores for the quarter, reflecting a robust 35% growth.

In Brazil, we continue to witness good traction in hardware orders. We have further strengthened our operational capabilities through the installation of new robotic equipment at our manufacturing facility, which will enhance production capacity and improve efficiency.

In Mexico, the business continues to experience steady order momentum supported by a positive outlook in the North American T&D market, further aided by the US tariff and the rest of the

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world. Overall, SAE continues to deliver steady profitable growth backed by healthy order inflow and a robust order book plus L1 position of over INR2,300 crores.

We are making notable progress with expanding our tower manufacturing facilities. Following successful capacity enhancements at our plants in Dubai, Jaipur and Jabalpur. The expansion of our Butibori facility in Nagpur is underway and is expected to be completed by this year-end. This positions us well to meet the increasing demand for transmission infrastructure in both the domestic and international markets.

The overall tender pipeline in T&D continues to be healthy in both domestic and international markets. In India, the government thrust on renewable evacuation corridors, green energy transmission and intraregional interconnections is creating a robust pipeline of opportunities. Several large intrastate projects earlier executed by state utilities have now transitioned to the TBCB route, attracting considerable interest from private developers and utilities. This shift is opening up a new and promising market for us.

On the international front, the market outlook remains highly promising. The Middle East continues to be a key growth engine with major transmission initiatives underway in Saudi Arabia, UAE and Oman.

Additionally, we are pursuing opportunities across Americas, CIS and Africa. With a record order book and L1 in T&D of almost INR29,000 crores, we are confident of delivering significant growth in this business.

In Civil, we delivered revenues of INR968 crores for the quarter. The revenues could have been higher, but for the prolonged monsoon in certain regions, labor

r shortages and delayed payments in the water segment.

While the labor situation is gradually improving, it remains below desired levels. We continue to adopt a calibrated approach to the execution in water projects given the current payment scenario in this segment. The business continues to strengthen its order book with multiple orders of INR3,000 crores in the Buildings and Factories vertical from reputed clients. In a key strategic achievement, we have further expanded our presence in the factory segment by securing an order for civil and structural works for a thermal power plant and thereby widened our customer base with the addition of a marquee client. The business also strengthened its footprint in the residential building segment with a repeat order from an existing marquee client. With a gradual improvement in the labor situation, steady collections from water projects and a large order book and L1 of over INR10,000 crores, we are confident in the Civil business will see good growth in the coming quarters. The Transportation business recorded revenues of INR425 crores for the quarter. The focus remained on timely execution of new orders and completion of ongoing projects. The quarter was marked by two landmark projects inaugurated by the Honorable Prime Minister, the

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Belegghata -Hemanta metro station in Kolkata and The Vanchi Maniyachchi -Nagercoil railway doubling in Tamil Nadu, where KEC played a key role in the successful execution.

The business has secured two more orders for the TCAS under KAVACH in partnership with our JV partner. The business has successfully implemented KAVACH across 482 kilometers and is currently deploying the, KAVACH system on additional 2,000 route kilometers of rail network.

The advanced rail protection system will significantly enhance the safety, reliability and speed of railway operations. We expect to secure additional orders in this segment. We are actively pursuing international opportunities.

With an order book and L1 of over INR3,000 crores in railways, our strategic priorities remain clear. Fast track completion of existing projects, optimize working capital and selectively bid for high -quality margin accretive opportunities in both domestic and international markets.

Our Cables business has achieved healthy revenues of INR524 crores, a solid growth of 19% year-on-year. The profitability of this business is also witnessing a gradual improvement driven by better product mix and cost optimization.

Our capital investment for E -Beam and Elastomeric cables is progressing as planned, and we expect commercial production to commence by the end of this year. This plant will cater to high - performance applications across defence, automotive and railway sectors where superior durability and thermal resistance are critical.

Our renewable business has achieved revenues of INR190 crores. We are currently executing two large solar projects in Karnataka and Rajasthan. The 500 megawatts solar project to Karnataka is scheduled for completion this quarter and the 500 megawatts solar in Rajasthan is expected to be complete early next year.

We continue to bid for select opportunities in solar, wind and BESS. The oil and gas pipeline business is well placed to secure its 3rd international order for a pipeline laying project in the Middle East. Following sustained efforts, the business has secured prequalification from a leading Middle East utility or pipeline projects. A key milestone in our international growth journey for this business.

Given the subdued domestic tender pipeline and the heightened competition, the business continues to strategically focus on expanding its global footprint. Overall, we are pleased with our consistent revenue growth, improving trajectory of our profitability and momentum in order intake.

With a strong focus on execution,

expanding capacity, a robust and diversified order book and L1 of over INR44,000 crores and the current tender pipeline of over INR1,80,000 crores, particularly in T&D and Civil, we are well positioned to deliver sustained profitable growth in the coming quarters. Thank you so much. We are now open to take questions.

Moderator: Our first question comes from the line of Mohit Kumar from ICICI Securities.

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Mohit Kumar: Congrats on a decent set of numbers. My first question is, sir, of course, the domestic T&D order has been pretty strong in the first half. But are you seeing the domestic T&D order prospect declining because the tariff -based competitive bidding has been lukewarm in the fiscal? Or is

the opportunity remains strong because the bidding activity happened in the last couple of years and the ordering is still to be done?

Vimal Kejriwal: I think, Mohit, you have hit the nail. Clearly, I think in the first quarter, the ordering was low. Second quarter, the ordering has picked up, okay? And we are seeing some interesting orders, which we got in the last, I'll say, a month or 2.

And also, we are now seeing some ordering -- some, I'll say, finalization happening towards the South side, Kakinada and Tuticorin and all those of these things. And the other piece which I earlier -- which I mentioned in my speech is on the intrastate where many orders -- many projects which would have otherwise been executed by the state utilities have moved to TBCB.

In fact, we are L1 in one of them in the recent one. And that's an area where we were not there because I would not have typically bid for intrastate projects. So more than intrastate, I think intrastate is also an interesting area. So I don't think we should see a major, I'll say, downside in ordering.

Other thing is that the major orders which have been awarded, TBCB, which have been won, let's say, an HVDC in Gujarat and others, and there are large orders coming in from some private clients which are outside TBCB.

We announced one of them some time back, are also due for finalization now. So I think in this quarter, you see a lot of finalization happening on TBCB plus intrastate. So I don't think we are worried or concerned about domestic order going down. No.

Mohit Kumar: Understood. My second question is on the Water segment due s at the end of September '25? If I remember the number correctly, at the end of March '25, it was INR1,000 crore s odd, right? And are we still executing on the projects or the progress has been pretty slow?

Vimal Kejriwal: So Mohit, I don't have the exact number, but I think our dues are around INR850 crores or around INR900 crores, INR875 crores. Yes. So our dues are around INR875 crores and they have generally been constant. Even in March also, they were INR850 crores, INR825 crores.

So they would have gone up by INR40 crores, INR50 crores generally, which I think we should be getting it now. With the policy which we have been following is that it's almost like cash and carry. Whatever money we get, we reinvest and execute the projects.

So we are not increasing the exposure in any significant manner, marginal exposures may go up or down. And we are in 2 states, Madhya Pradesh and Orissa. Madhya Pradesh is virtually, I'll say, online on all the payments. Orissa has been slow. We -- but we did start getting some payments from there for a long time. So I think we are -- are we happy? We're not happy with it.

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In fact, that's one the reasons why the Civil revenues have gone low or lower than the last year because we did slow down. We're expecting it to pick up. But let's see, the discussions with the Jal Jeevan mission in both center and the states has been slightly more positive than it was before, and we ar

e seeing some trickle happening even in Orissa.

Moderator: Our next question comes from the line of Parikshit Kandpal from HDFC Securities.

Parikshit Kandpal: Congratulations on a decent quarter. Sir, my first question is on the comment which you made earlier in the call that T&D business is tracking double -digit margin. So if I look at the numbers, so double -digit margin, the H1 revenue contribution, so EBITDA would have been about INR722 crores from the T&D business, even at 10%.

That means rest of the business has just delivered an EBITDA of INR58 crores, which is 1.5% EBITDA margin. I'm assuming that Cables and Civil would be doing much better. So where are the major losses coming on the margin side, sir, if you can help us understand that?

Vimal Kejriwal: I don't have the exact numbers, but you are more or less on track, okay? I think the problem which we had is more on the Civil side also because of the heavy rainfall and slowdown in some of the projects. And also, we have factored in a little bit more of water. So Civil is at significantly lower single -digit margins.

So it's a combination of Civil and Railways. Cables, I don't have the exact number, but it would be more than -- it could be higher single digit, I will say, maybe 6% or something like that would be the margins. So the net margin from non -T&D would be, I d on't know, close to 1% or 1.5% overall. That's the way the numbers stack up.

Parikshit Kandpal: How does it improve from here, sir? I mean, is it just the legacy orders which are running down the profitability and now with the mix improving towards better margins? So when do we see this thing changing because at the headline level, the margins are no t improving, and we are still -- looks like we are still behind the trajectory of moving towards that 8% to 9% corridor and double digits to look too far away from here now?

Vimal Kejriwal: So, Parikshit, the headline numbers are improving. We said from 6.2%, we have gone up to

7.1%. And we are still looking at reaching our 8% for the year, which means around 8.8% to 8.9% for the balance H2. We still have almost 60% of our revenues coming in. What is changing is that we have discussed it earlier that metros, especially the Delhi Metro had been a problem with us. Those projects have been completed. One of them is awaiting Prime Minister's inauguration, which is also a reason why I have a cash flow issue because a lot of money is tied up to the formal inauguration of the line. The second one also is very close to inauguration. Once that happens, those cash flows will also come in. But the negative, which was coming from them is now getting stopped, which will add to the non-T&D margins. Also, on the Civil side, if you notice that we have announced pretty large orders, and these are at a significantly better margins and the execution from them is starting now. So clearly, we will

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see a bump up happening on the Civil margins. One is on the percentage margin. Also, the leverage benefit will come in because the revenues will go up, okay? So I think that is what will -- this also from cables, we do expect that there will be some improvement in the cable margin also. I think all of that put together should help us in increasing our non-T&D. Also, as you rightly said that we have legacy orders and all those orders are getting closed. Like in H1, I think we closed 7 or 8 orders in -- 7 orders in the Transportation business. So the negative from those orders beyond what we had factored is getting closed. So we do expect that we should have a better overall numbers coming in, in H2. Parikshit Kandpal: Okay. My second question is on net working capital now, sir. I mean we have a very high share of international, now almost 36% contribution coming from international revenues, which typically have low working cap

ital. So despite that, why is the net working capital getting still elevated? And we have seen peers who have high international order book, there has been contraction in NWC days. But in our case, order book is also at 45% international. So we would have received some advances. So despite that, why NWC seems to be so high? Vimal Kejriwal: So, Parikshit, a large amount of advances is yet to come in, okay? We have announced some very large orders in the last 2 months, and those advances will come in now. And the impact of that would be clearly visible in the Q3 numbers. I think the difference is that if you compare the major competitors and all that, most of them have done very poorly in Middle East, okay? We have a very large order book and a large revenue coming out of Saudi, where unfortunately, there is a 20% retention, okay? And these orders had come in from the last 2, I think, 2 years or 2.5 years. And now we have started heading for completion of many of these orders. So from now onwards, you will see a sort of a cyclical thing where advances will come in, old orders retentions will get paid, new order retentions will keep on happening. So we do expect that with the closure of the current lot of projects, I think 7 or 8 projects we are planning to complete and close this financial year in Saudi, that will release a lot of retention. So that's -- so that is why we are slightly different from other people in the international piece. Obviously, the margins in Saudi are better, which is why we are talking about overall double-digit margin in T&D. The second piece, I already talked about a little bit of -- on the water side. Third piece, which has not got covered is also I did allude to it in a benign commodity prices, especially in our Cable business as well as in our Transmission business. The steel prices, especially steel has been at a lower level, INR4,000 to INR5,000 below what we had factored in earlier, which has resulted in keeping some stock with us, and it has paid us up well. So our inventories for the year would have gone up by INR250 crores, INR300 crores

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as compared to what was there, and it is a very conscious decision. So that is something which has added to the net working. And I think the last point which we have been discussing has been that if you look at our last Q4 revenues, and there was a significant increase in that revenue. So typically, most of our purchase at 180 days. And so a large amount of liabilities got paid off in around August, September. So when you look at the net working capital, what has happened is that at some places, the AR has gone up. In other places, the payables have come down actually. So it has been a sort of, I'll

say, a double whammy, if you can use that word, where AR is going up and APs have been coming down, which will get normalized.

So are we worried? Yes, we are worried that the number is beyond what we had expected. We still wanted to go to 5,000. But the good part of it, Parikshit, is if you have seen our interest numbers, our interest cost has gone down by 50 basis points where the entire benefit of leverage of 19% revenue increase has come in.

So if you even look at the 19% increase and with a typical 140 days or 130 days of net working capital, so some part of the working capital increase is also attributed to the higher revenue. I hope I have clarified it.

Parikshit Kandpal: Just last question, sir. So now we are almost near the lifetime high debt. And also, I've seen in your cash flows, there are some entries on bad debts of INR93 crores and forex gains of INR83 crores. So just a clarification on this too. And whether -- how does one look at debt from now from here on? Is it the peak we have reached and that will directionally go down or like still there's headroom before we correct the debt?

Vimal Kejriwal: I don't

think we are looking at increasing our debt beyond this, not in our list. And as far as -- I don't know what -- Rajeev, you have bad debt? Anyway, I think just to clarify that I think we have had a significant ECL provision, okay, during the quarter as well as H1.

In fact, our overall ECL provision is now at almost a lifetime of INR475 crores, okay? That's an expected credit loss provision, which we are providing as per agreed format with our auditors and which is that number which you are looking at. We hardly have any significant bad debt write-off, okay?

Parikshit Kandpal: I was referring to cash flow, sir. It was INR92 crores for the half year. But I think there was -- I think this was the ECL provisioning only and INR83 crores of forex gains was showcased so...

Vimal Kejriwal: Maybe you may like to check with Abhishek on much more details, but I think that...

Parikshit Kandpal: But on the debt, you are now sure that is the peak debt. I mean now you're not looking at like going ahead.

Vimal Kejriwal: We expect that to be our peak debt. I think it started to come down. In the three or four larger -- large payments, which we had been discussing. Afghanistan, we have received a large money, but there was some chunk which was supposed to come from one of the lenders, which we were

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hoping and there was discussion that should come in. But I think it has got delayed by some reasons.

So I think now they have moved it to Q4. So Q4, a large chunk would come in from there. I think -- plus we have got some very large advances on the order releases, which we announced, which will also come in hopefully within this month.

And there are some other payments, as I said, from Saudi retention, etcetera. So I think the debts will -- debt will come in control. Plus I talked about DMRC commissioning. So that will release a lot of cash for us.

Moderator: Our next question comes from the line of Sumit Kishore from Axis Capital.

Sumit Kishore: It's a very strong performance in T&D, but once again, non-T&D led by Civil has been weak. You have mentioned some of the explanations. With a decline of 14% in revenues from Civil in the first half, how should we look at this settling on a full year basis?

So how is second half going to be? That is the first question. And just a follow-up from the previous question. From 138 days of net working capital where you are now, how do you see this normalizing by the end of the fiscal in terms of number of days of sale?

Vimal Kejriwal: So, Sumit, as far as Civil is concerned, we do expect that there will be a growth of overall 10% to 12%, 15% maybe for the year. We did around INR4,400 crores last year. So we should be around INR5,000 crores hopefully for the year, okay?

And as I said earlier, the negative has basically happened because there's a very, very poor -- I'll say, not poor. We did not take any new orders on the infra side. So the entire metro revenues is now not there. Out of four projects, three have been completed.

So the revenue flow has come down. But we have announced some very large B&F orders and those orders execution has started now. So we are clear that we will be able to make up for this shortfall. And I think we are around INR1,800 crores to INR1,900 crores of revenue for the first half. So second half, we will be able to easily reach close to INR5,000 crores.

Sumit Kishore: But that would mean that you would do nearly INR3,000 crores of revenue in Civil in the second half and which would be a steep growth on a year-on-year basis. And given the margin profile of Civil is meaningfully lower, is it going to hurt your prospects of crossing 8.5% margin in second half, which is required to get to even 8% on a full year basis?

Vimal Kejriwal: Yes. So Sumit, what is also happening is that in the last 6 months, as I said, the metro proj

ects

have got almost closed where the margin profile was very poor relatively, okay? That's one thing. Also, some of the older projects have been getting closed and the newer projects with an order book what we have, the quality of margins in the newer projects is much higher -- so much higher, sorry.

So what will happen is that whatever revenues we now start getting into Civil would be at an enhanced margin levels, which is why we have been talking about overall at least 8% margin for

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the full year for the entire business. Otherwise, I already mentioned that T&D is more than double digits. So we are factoring in the lower margins from these businesses when we talk about an 8% number.

Sumit Kishore: Yes, this is very clear. Net working capital, 138 days, would it go below last year on normalizing? Or would it still be on the higher side?

Vimal Kejriwal: I think, we do expect them to be at a similar level, 118, 120. Yes. So, I think we should be at least at that level. That's what we are expecting, yes.

Sumit Kishore: Sir, just one bookkeeping question. When you give the T&D order book and the fiscal year-to-date inflow, could you just give us an indication of the split between international and domestic for T&D? So that we understand how much is domestic?

Vimal Kejriwal: I don't know the exact numbers, but I think it was around INR12,000 crores and INR4,000 crores, roughly. I don't know the exact, maybe Abhishek can give you later on, but I think it was almost INR16,000 crores for the year order intake. So broadly around INR12,000 crores international and INR4,000 crores India.

Sumit Kishore: So that is very clear, but in the INR12,000 crores within T&D, would international be also largely coming from -- how much would be T&D international?

Vimal Kejriwal: That is international T&D only, INR16,000 crores. When I say INR12,000 crores, that's international T&D.

Moderator: Our next question comes from the line of Vaibhav Shah from JM Financial.

Vaibhav Shah: Sir, you mentioned on the Afghanistan payment, you have received some part and the major part to come in 4Q. So could you elaborate on the value?

Vimal Kejriwal: Yes, Rajeev.

Rajeev Agarwal: So that was basically out of the Afghanistan payment, there were 3 institutions which were involved in total funding of 5 projects. So 3 have been more or less closed. World Bank and USAID has paid us some money.

So far, we have already recovered close to about INR450 crores. ADB payments are pending.

The projects have been canceled and bank guarantees have been returned to us. They are processing our payment. Total payment outstanding with ADB is roughly about \$30 million.

So we expect a majority chunk should get in the quarter 4, as Vimal mentioned. Although actually, we were expecting that payment to come in Q2 or Q3, but for some reason, it has been delayed.

We expect this payment to come in Q4. But there is no doubt in terms of the payment recovery.

ADB has confirmed in writing that they are processing the payment and they will release the payment shortly.

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Vaibhav Shah: So apart from ADB, there are no pending receivables from Afghanistan?

Rajeev Agarwal: Afghanistan, There is no other payment other than ADB, except that now we have started the project with the World Bank, so that payment will also start flowing in regularly.

Vaibhav Shah: Okay. Sir, secondly, what would be your capex for '26 and '27?

Vimal Kejriwal: So typically, we have been spending around INR250 crores, INR300 crores of capex. So I think that's where we should be. This year, it may be higher than that because of our cable expansion and the factory expansion. This year, maybe with all the three factory expansions and the cable, this year we may touch around

and INR400 crores. Okay. Typically, otherwise, we have normally been spending around INR250 crores, INR300 crores.

Vaibhav Shah: Okay. Sir, lastly, our interest cost is around INR170-odd crores for Q2. So can we see a reduction in terms of actual interest costs in second half? Or it would be at similar levels on a quarterly basis?

Rajeev Agarwal: There should be some reduction, maybe INR20 crores, INR25 crores in quarter 2 -- sorry, quarter 3 and quarter 4. So we are expecting the total interest cost that we are expecting, as we guided earlier, is roughly about 2.5% of our revenues. So we continue to maintain a guidance of 2.5%

of our revenue. So we can see a reduction of maybe INR25 crores, INR30-odd crores. The overall interest cost that we paid last year.

Vaibhav Shah: And sir, on the Civil business, as you mentioned that certain higher -margin orders are coming in the execution, and we will see a sharp uptick in the second half. So that momentum will continue in '27, '28 as well and margins also should improve from current 5%-odd levels?

Vimal Kejriwal: I think they should definitely improve. I think we are very confident about next year, etcetera, because see 2, 3 things have changed. One is we have generally stepped out of some of the infra projects where we are seeing historically now margins being low.

Secondly, we have basically increased the minimum size of our order intake. So overheads are getting better. So if you look at the last 4 or 5 orders on Civil, almost all of them are at least INR400 crores each. So -- and they are definitely at a better margin. Also, I think the other piece is the capability build has been significant in the Civil business.

So we do expect better execution and hence, maintaining margins at the quoted levels. So we do expect that next year, the Civil business will grow by at least 15% to 20%, okay? And at I'll say, higher single -digit margins.

Vaibhav Shah: Sir, which are the main 2 or 3 verticals which you are targeting in, sir?

Vimal Kejriwal: Civil, basically, one is obviously residential, which is now becoming a very large number for us. Second is factories. Third would be data centers. And fourth would be also -- and fourth would be water pipelines outside India.

Vaibhav Shah: So no metro for now, largely?

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Vimal Kejriwal: Metro, let me put it this way, nothing aggressive, okay? We have not bid any metro for a long time. We may just bid in for the shape of being in the market for some time, nothing -- not at normal margins, okay? Also, we have been looking at underground. We're still looking at it. Okay? It's still far away, but that's an area where the margins have been better in, but obviously, there's a huge amount of capex. So we are still thinking of what needs to be done on the underground piece of it.

Vaibhav Shah: Okay. And sir, one last data point, what would be our JJM order backlog right now?

Vimal Kejriwal: Yes. INR1,600 crores. But largely in Orissa, I think, INR1,000 crores in Orissa and INR600 crores would be in MP.

Moderator: Our next question comes from the line of Subramaniam Yadav from SBI Life Insurance.

Subramaniam Yadav: Sir, just wanted to understand what would be your debt by end of this year?

Vimal Kejriwal: We are expecting it to be around INR5,000 crores.

Subramaniam Yadav: INR5,000 crores. And sir, you have mentioned that there has been some delay in collection in Q2 and we have received that in October. If you can highlight what was the amount and which sector does it belong to?

Vimal Kejriwal: I don't have the exact number, but some payments were they instead of coming in the September end, they came in the first quarter week of October. So those are happening. But it's not significant, but yes, there was overflow, I'll say almost INR400 crores, INR500 crores, which happened in the first -- sec

ond week of October.

Subramaniam Yadav: Okay. So we can see some reduction in Q3 because of this collection?

Vimal Kejriwal: Yes. Definitely, there will be some reduction in Q3 and balance in Q4. When I say INR5,000 crores, it will be done that way.

Subramaniam Yadav: Okay. And sir, apart from this water collection, which we are looking at, because that stays roughly around INR870-odd crores, which is more or less similar if you look at from the start of the year. Which other sector is contributing to this pain, apart from water?

Vimal Kejriwal: I think, the major sector would be the metro sector in Civil, okay, where considering the past performance of earlier contractors, the significant back ending of payments is there. And as I said, out of our 4 projects, 3 are completed. One is ready for commissioning any day. The second one also is 75% ready for commissioning. So -- and the third one should get commissioned, the Chennai one in January.

So those are very large back-ended payments. So once they get commissioned, you do receive a large amount of money, almost INR200 crores, INR300 crores of cash flow would flow in from the commercialization of these projects or ROD, as you call them, okay? And then we had announced some very large projects, order intake in Saudi. So those cash flows would also come in and from retention in Saudi.

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Moderator: Our next question comes from the line of Harshad Kapadia from Elara Capital.

Harshad Kapadia : Congrats for a very strong performance on T&D, sir. Just wanted to check with you on the order pipeline of INR1,80,000 crores. Could you give a breakup on T&D and non -T&D. And within T&D, what would be the international and what would be the India project?

Vimal Kejriwal: So broadly, T&D is around INR60,000 crores, INR65,000 crores. And out of that, India is roughly around -- between INR22,000 crores, INR23,000 crores is India pipeline.

Harshad Kapadia : Okay. And within the international, the geographies would be mainly Middle East?

Vimal Kejriwal: It is Middle East and also Africa and CIS, plus a little bit is coming from the America Tower supply .

Harshad Kapadia : Okay. And within the, let's say, INR1,20,000 crores, how would be break up into railway and civil sir -- railway, civil, solar?

Vimal Kejriwal: So Civil would be half of it broadly, and the rest would be divided between renewables and railways.

Harshad Kapadia : Okay. And sir, just wanted to check, there are some news reports which are going that because of PPAs not being signed in a lot of renewable projects, there is a possibility of a slowdown on the renewable tenders coming out. Are you seeing any kind of a trend like that, sir?

Vimal Kejriwal: Not yet. In fact, in the last 1 month, we have bid for -- we have had reverse auctions of, I think, 19 tenders in NTPC in the last month or including current month, in fact, last 30 days. So we are still not seeing a significant slowdown in the tenders of what had been announced, okay? Let's see how it pans out.

Harshad Kapadia : Okay. Fair enough, sir. And on the T&D growth which you have reported in this Q2, how have been the mix of domestic and international?

Rajeev Agarwal: So domestic growth has been higher than international, slightly higher, okay? But on an average asset, I'll say they would be similar, okay? But domestic is slightly higher despite the rains and all that.

Moderator: Our next question comes from the line of Teena Virmani from Motilal Oswal Financials.

Teena Virmani: Congratulations for a good set of numbers.

Vimal Kejriwal: Hi, Teena.

Teena Virmani: Sir, -- yes. Sir, my question is related to the other segments beyond T&D. T&D has done pretty well from last few quarters. Railway business, when we see the run rate in the revenue, it seems to be relatively lower, and you ha

d always mentioned that because of payment -related issues you have been going through. But how do we see this business going forward?

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Because historically, it used to be a very high -growth segment earlier. And from last 3, 4 years, it has been continuously declining. So where do we see it bottoming out and growing from there on? When we look at first half run rate, it is around INR900 crores of revenue, which we have seen in railway segment. That's my first question, and then I'll ask the second.

Vimal Kejriwal: So, Teena, we expect to do around INR2,000 crores and odd in railways for the year -- this year. We have an order book of roughly around INR3,000 crores today. So if you take out the next INR1,000 crores for H2, I think we are at least having an order book of doing another INR2,000 crores next year also.

What we have done is that we have relooked at the entire structure of the railway ordering, etcetera. And we have got out of many, let's say, segments like pure play civil, you know, where we had a major competition from road players because NHAI was not giving them orders. So they all came into the railway and you know how the competition among gross players is.

So I think that's one of the reasons why you are seeing a lower order intake. Plus our major focus now has been on -- a little bit more on the technology side, that's why I said TCAS signaling, BLT. So many of our orders are now from the Metro segment. We are already executing one project in Bangladesh, and we have bid for quite a few projects in Middle East.

So I think you will see a sea change in the segment -wise numbers in railways. While saying that, I think let me also say that at a Board level, we are pretty positive about the railway business growing in the next few years or so. So you may still see a flattish or a downward for next year. But after that, we do expect that the railway business with whatever consolidation we are doing will definitely pick up.

So it's not a business which we are writing off. We are very clear that there is huge potential in this business. It's a matter of time that we have had some wrong calls and wrong projects and execution got delayed for maybe some our fault and maybe the clients' fault.

But I think we are getting over it. And maybe we'll take another 6 months or a year to completely consolidate properly and come back. But I think as a whole, we are still very positive on the business in the long-term.

Teena Virmani: Okay. Okay. And in this business, with the kind of change that you are having in the project

mix. Can margins improve going forward?

Vimal Kejriwal: Margins have to improve. Otherwise, the business will have to shut down. We are very clear that unless the business reaches a margin level what we are looking for, okay, there's no fun in doing it. So if in the long-term, we don't see margins improving, we will take our calls. And I think our calls are very clear.

Teena Virmani: So maybe a 7%, 8% kind of margin range can still be possible going forward for Railways division ?

Vimal Kejriwal: Actually we will never quote below that .

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Teena Virmani: Got it. Got it. And same thing on the Civil business, sir, for this year, you mentioned some of the challenges in some of the projects. Where do we see this Civil business settling in this financial year, for FY '26? Going ahead you mentioned about 15%, 20 % growth rate, but...

Vimal Kejriwal: Yes. So as I said, Teena, we expect that business to do around INR5,000 crores from -- up from INR4,400 crores for the last year. Margin should be, I'll say, mid -single digit for this year, okay?

But then we do expect that from next year onwards, it will start inching to higher single digit.

The target again is that how soon we can reach 9%, 10% margin. I don't thin

k we'll be able to

do that next year, but the year after, definitely. And next year, we are clearly looking at least 15%, 20% growth, almost, let's say, INR6,500 crores or so revenue from the INR5,000 crores which we expect this year.

Teena Virmani: So all the slow -moving projects would be over by end of this year or maybe early beginning of next year?

Vimal Kejriwal: I think, Civil , most of them are already over, okay? So I don't think we have got too many slow -moving projects, very, very few, in fact.

Moderator: Our next question comes from the line of Balasubramanian from Arihant Capital.

Balasubramanian: But sir, on the renewable side, we have ambition to make at least INR3,000 crores to INR4,000 crores kind of revenue over the next 2 to 3 years. But currently, it contributes only 4% to 5% kind of revenue. What are the key bottlenecks?

Is it the margin pressure and land issues in India? Or is there any module supply risk in the Middle East side? And like what kind of working capital requirement compared to other projects? And how do you look at in this business over the next 3 to 4 years' time frame?

Vimal Kejriwal: So typically, the working capital here is much more benign than what you've seen in other industries -- other segments. So from working capital angle, I think we are pretty okay.

Generally, if you look at YTD project till date, most of the projects are positive if you look at the entire project that way. So I don't think working capital is a concern here.

Margin, yes, there has been a lot of pressure on margins in the new tenders, primarily because all the players want to go for IPOs. So if you look at the last 3, 4 months or 6 months, the number of IPOs which have come from the solar companies have been phenomenal.

And these are the players who have gone for a significant, I'll say, competitive intensity increase, okay? We are slowly seeing that dying down now. People have realized that they are killing themselves by doing it. So that's number one.

There are a lot of projects which are coming up in private sector, which are more like captives.

There are at least 3 or 4 large groups which are setting up large projects for the captive use of their own sister concerns, whether it in metals or anywhere else, there are enough names available.

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And I think we are talking with them -- targeting with them because for them, quality matters, not just pricing. Third is that we have started bidding for wind also. So I think it's a matter of time. And we had said earlier that this year, we should announce our first wind EPC also.

Fourth, I will say is that with the experience of now implementing these 2 large projects of almost 1 gigawatt, we have also developed significant capability in terms of cost optimization and team build also. We now have a proper team in place. So I think that gives us a lot more confidence.

And fifth is that with our backward integration with cables and our substation knowledge, etcetera, I think we can add a lot of value in terms of cost for these projects going forward, which is why we have been talking about INR3,000 crores to INR4,000 crores not next year, but a year after and all that how do we reach INR3,000 crores, INR4,000 crores. I think we are pretty positive about achieving that.

I'll say the last point would be international. We have till now not been focusing on international because we wanted to complete these two projects. Now that these projects are nearing completion, that adds a lot of confidence and also gives a lot of confidence to the clients with whom we are talking saying, have you done large projects? And if you go back and say that I have done 1 gigawatt, very few people apart from 1 or 2 of our competitors have done that sort of large projects. So international is something which we have now started looking at. So maybe

not this year, but next year, we'll definitely have a few

international projects, not the mega sized ones which others are doing, but maybe 300, 400 or maybe 500 megawatts. Yes.

Balasubramanian: Okay, sir. Sir, on the Saudi Arabia side for large T&D orders, the competitive intensity have been reduced earlier, but currently it's been reduced to 3 to 4 bidders. What has driven these consolidations? Is this a permanent structural shift or a temporary phase? And how do you look at in this market in terms of competitive intensity? And is there any concerning project executions maybe in coming years?

Vimal Kejriwal: Let me put it this way, there is no reduction in the number of competitors or there's no consolidation in competitors, okay? The reason why you see a lower number of bids coming in is because of the size of the market.

So unlike other clients, in Saudi, the bidding is by invitation, okay? So what also happens is when the client floats a tender, he looks at what is happening, what is your status, how many projects you have got, what is your capability? We are having a lot of background noise.

So I think what is happening is that the client looks at who has got the capability to do work.

And accordingly, they invite people for bidding. It's not an automatic that any Tom, Dick and Harry can come in and bid in Saudi which is what is happening where they see that, okay, let's say, contractor A has got too much work and he doesn't have capability, then he may not invite us.

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That's why in some tenders and projects which have very critical importance, they have been inviting lesser number of people to come and bid, which is why in some tenders, we have been seeing 4 or 5 or 3 only.

And we still see in some tenders 7 or 8, which are not very critical where they are okay to invite the whole Janta, if I can call it. That's the way it is. So difficult to say that there's consolidation. But yes, competitive intensity in large and critical projects has come down significantly because the client is not asking others to come in.

Moderator: Our next question comes from the line of Ashwani Sharma from Emkay Global Financial Services Limited.

Ashwani Sharma: Congrats for a good set of numbers, sir. Sir, first question is that I wanted to check on the tender pipeline in data center within the Civil business?

Vimal Kejriwal: So data centers, I think today, the number which we have is roughly around INR2,000 crores and odd, but this is only the civil part of it, okay? We have started bidding for the MEP piece also. So what has happened was that I think last 2 quarters, I'll say, Q4 and Q1, very few data centers were announced.

Q2 onwards, we've again started seeing some movement happening because I think somewhere the DeepSeek and others played some role and people went slow on their data center plans. But now we are seeing that people have again dusted up whatever they had done earlier and now they're coming back.

So we do expect that there will be a lot more data center inquiries now, okay? It was low in Q1 and even Q4 last year. But Q2 onwards, we have started getting some inquiries, and I think it's improving.

Ashwani Sharma: Okay. Secondly, sir, in the T&D, especially on the domestic side, are we facing any ROW issues, which a lot of news flows has been there on the ROW side. What's your sense on that, sir?

Vimal Kejriwal: There is clearly ROW issue. There's no question about it. And earlier, someone asked about transmission bottlenecks and all that. So it's not that the transmission lines are not being built. The problem is that they're not getting completed because of ROW. So ROW is definitely there. Some months back, Ministry of Power has again announced a revised guideline for significantly higher compensation, but it is still voluntary for the states to implement it. Some states have

not

implemented. So whenever it has been implemented, I think the ROW problem is getting -- I'll say better. I'll not say it is fully resolved.

And the problem is also more in places like Gujarat, Rajasthan, etcetera, where a lot of solar development is happening because what happens is the guy whose land is taken over by solar

guy gets paid fully. Where the transmission gets set up is only -- you get a right to pay, right to use pay. So the payments are lower.

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So there's a lot of, I'll say, hard burning between various landowners, etcetera, which is now getting resolved with the increase in the compensation. So hopefully, we think that there should be a better situation on ROW. But as of now, it's not good, I'll say.

Ashwani Sharma: Sir, lastly, one bookkeeping question. How much is the retention money in the book as of now?

Vimal Kejriwal: I don't have an exact number. It will be at least 20%, 25% of our AR. Maybe you can speak to Abhishek later on.

Moderator: The next question comes from the line of Saket Kapoor from Kapoor & Company.

Vimal Kejriwal: Namaskar, Kapoor sir.

Saket Kapoor: Sir, traditionally, we have seen that H2, our execution is much higher than how -- in the way H1 behaves. So on a conservative also way, what should we look at H2 in terms of the revenue execution? And how should then the margin profile look for the entity as a whole?

Vimal Kejriwal: So Saket ji, normally what happens is that H2 is around 60%, typically, 60 -40 is always the ratio of H2, H1 particular years may vary. But this year it will be the same . 15% guidance is also going on , so I think it should be done .

Saket Kapoor: And sir, for the margin?

Vimal Kejriwal: Margins we are at 7%. Our guidance is around 8%. So obviously, H2 will have to be higher than 8.5% to meet the guidance. That's the way we are looking at it.

Saket Kapoor: So we are in line to achieve that?

Vimal Kejriwal: Yes, yes. Yes.

Saket Kapoor: Sir, for the Cable segment , whatever capex we have put, when will that get commissioned and what is the outlook for the contribution from the Cable segment? And thirdly, how has our subsidiary Spur performed in terms of this pipeline project, which you were talking about?

Vimal Kejriwal: So, Spur has performed badly, if I can use that word, because we have a tender in oil and gas. We have got some projects in international market, but they are in the name of KEC because KEC an entity is qualified, not KEC Spur. International, we have got a large qualification in KEC Spur , so we do expect that KEC Spur will start picking up as an entit y, okay? What was your first question?

Saket Kapoor: About Cable segment.

Vimal Kejriwal: In cables, our first investment, which was in an aluminium conductor, that is already fully commissioned and we have already started getting full revenue. Out of that, we were expecting INR500 crores -INR600 crores. So let's see where we touch, but we should be close to those numbers in terms of revenue in the conductor.

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On the elastomeric cable and E -Beam , what I said was that we will commission the first -- the elastomeric part should be commissioned in the Q4 and E-Beam , which requires a lot more approval because of its radioactivity, etcetera, that will get commissioned in Q1 of next year. So, its revenue, some revenue will come in Q4 and some revenue will come in Q1. So, Q2 onwards, I think we should start getting full revenue of that expansion also.

Saket Kapoor: Okay. So sir, we have the solar E -Beam also in our product profile along with the EHV cable segment?

Vimal Kejriwal: We are still selling solar completely. Once you install the E -Beam , the material cost and all will get optimized. So the margins on the solar can improve, obviously, because once you treat by E-

Beam , the quality of the cable becomes better, the raw material consumption comes down. So that will definitely have a positive impact on our margins from Q2 onwards next year.

Saket Kapoor: And for the EHV segment, extra high voltage?

Vimal Kejriwal: We are not doing anything in EHV. We already have a full -fledged line of CCV. So, that is going on. Now, if the price of copper is high, then people are going to aluminium instead of copper. So, there could be a revenue impact slightly here and there, but the line is full. We are completely booked.

Saket Kapoor: Okay, sir. I hope the payment issues get resolved. The entire industry is getting stuck up in the receivable segment, sir.

Moderator: Our next question comes from the line of Amit Anwani from PL Capital.

Amit Anwani: Hi, sir. First question, sir, you did highlight in your opening remarks about the demand in US and tariffs. Just wanted to understand any implication on your Mexico, Brazilian facility supplies

to US? And what is your understanding on the demand in the US for these subsidiaries? Any impact of tariff you're seeing by any chance on these subsidiaries? That is the first question.

Vimal Kejriwal: So, Amit, what is happening is that with a tariff of 50% on steel, tower exports to US are getting, I'll say, not impacted because every country has the same tariff. However, for Mexico, under the USMCA, there is a relaxation where if you use US steel, then the products go tariff-free into the US market from our Mexico factory.

So what was happening was with the steel pricing, which was there in US and Mexico, the India, Turkish and Chinese steel was much cheaper when supplied to US. Now with 50% duty, we are finding that the Mexican steel, even with US -- Mexican towers, even with US steel is becoming competitive.

So the US market has actually opened up for Mexico for the US tower supplies, okay, when you look at the earlier situation. Not that it was a large market for us, but the larger market was from India and for the Mexico plant was Mexico itself. That's -- so that is one impact which is positive for Mexico as far as tariffs are concerned, okay?

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The second piece, although you're not asking me is that there is a significant piece which is happening in Mexico itself for the demand. So right now, if I look at my Mexico factory, probably 60%, 70% of my production is for the local Mexican market, okay? So we have clearly seen an uptick happening with the -- see, if you look at the President, Sheinbaum, she is an environmental engineer.

So what has happened is that she has pushed a lot on the renewable side, unlike the other President and because of which we are seeing a lot more demand coming up in Mexico itself. As far as Brazil is concerned, Brazil was hardly catering to US, except for some small hardware products, which they are still doing it. But Brazil, as far as our product is concerned, is not impacted in any way by the tariffs.

Amit Anwani: That's very clear. Sir, second question on the margins. So you did guide that full year now we are targeting 8%. I recollect, I think you were giving some 8%, 8.5%. So now we're firmly saying 8%. Is there any downside risk to 8% also?

And second, which segment where we're seeing some drag and not able to meet what we are expecting? Any color on that? And second part to this question is seeing your current order book with you, and you said that there was a double-digit margin in T&D. How much more is left? Are we eyeing mid-teen, early teens in T&D, seeing the current order book scenario, which is there with you?

Vimal Kejriwal: Yes, I don't think we can increase the margin beyond a particular level in T&D. However, there are individual projects where the margins are significantly higher than the numbers which you're talking about, okay? So I have always been mention

ing that let's take a market like Saudi. We have projects at 7%, 8% margins. We have projects at 20% plus also. And same thing applies in India also incidentally, okay?

In India also, we have done projects at a lower margin. I have done projects at 20% plus also. So margins in EPC business are determined more by the complexity, by the expected competition in particular projects, okay? Can the margin go up? Maybe 50 basis points here and there can go up in the T&D market.

Overall, I think you're right, we have been talking about 8% to 8.5%. We are not talking about more on the lower band at 8% because whatever has happened on the delays in civil, etcetera, and all that, that may or may not lead to a little bit of a margin erosion.

In many cases, we are in discussion with the clients, etcetera, saying this is what has happened and the clients need to pay up. But unless and until they pay up, that's why we have become a little bit more conservative and said that we should be closer to 8%.

I don't think we are seeing too much of risk to the numbers unless and until, let's say, the steel and cement prices spike up suddenly or something, which we are not seeing that happening at all. So I don't think we are seeing any significant risk to what we are talking, no.

Amit Anwani: Understood, sir. Sir, lastly, on labor shortage, you have been highlighting labor shortage from quite some time and our order books are growing. We are growing overall seeing an up cycle

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with very strong growth expected in forward years. So how are you dealing with this situation as I think this being the key concern and you have been highlighting in this thing from, I think, almost 2, 3 years.

Just wanted to understand, will this be achieved with some mix change or naturally since T&D is increasing, we'll be able to deal with this situation. Just wanted to have more color on the situation and going forward, how are we dealing it?

Vimal Kejriwal: So I think, Amit, you're absolutely right. I've been talking about it for some time. Even today, I mentioned it. One thing is that if you heard my order intake breakup, almost 12,000 out of the numbers come from international. And we have generally not faced any significant labor issue in the international market.

We have been hiring from India. We've been hiring from other countries. We've been hiring from Egypt. Then there are many other countries from Africa, we are not now taking labor and all that. So internationally, I think we are pretty insulated from the labor problem.

As far as India is concerned, our requirement was around 30,000 earlier. We had 17,000. Now we are already at 24,000 sort available. The number keeps on going up and down. We have elections. Now again, they'll start coming back from tomorrow. First set election some people from those areas have already come back.

So there is definitely a shortage and also shortage could be on specific pieces like in T&D, I don't have a shortage on civil or on stringing, but the shortage is on erection. So I think those are getting addressed. The other thing what we are trying to do is we are trying to increase our mechanization quotient significantly.

Like India, we were never doing erection by cranes or towers. Now we have started doing a lot of erection by crane, which we used to do in Middle East earlier. Or if you take Civil, you know, you had fitters coming and cutting in and you know, bar bending, now we are using automatic bar bending machines, we have set up bar bending plants in some of our projects.

Also, we are talking with Tata's and all that, we are actually buying mesh steel, etcetera, directly. So what you're trying to do is how do you reduce the requirement of labor or work with them to increase productivity by using a lot more mechanization, okay? Like we are now doing plastering by drones, for exam

ple .

So, a lot of things are being used so how do you reduce the requirement of masons? So, individual category of, you know, workers are being addressed one by one. But yes, the problem still continues. I could have definitely done at least INR200 crores, INR300 crores more. I'm telling you in civil, had we had a full contingent of 30,000 people with us.

Okay, but now it's already reaching a better number. So hopefully, that's one of the reasons why we are saying we'll do better in civil. Plus now next 3, 4 months, we don't see any festival till the next Holi. So hopefully, the labor will continue where they are. I hope I answered your question, Amit.

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Moderator: Thank you, sir. Ladies and gentlemen, that was the last question for today. I now would like to hand the conference over to Mr. Vimal Kejriwal for the closing comments. Thank you, and over to you, sir.

Vimal Kejriwal: Thank you, Danish, and thank you, everyone, for your continued interest in KEC. Thank you so much.

Moderator: Thank you, sir. On behalf of KEC International Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Q3 FY '26 Earnings Conference Call "
January 30, 2026

MANAGEMENT : MR. VIMAL KEJRIWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – KEC INTERNATIONAL
LIMITED
MR. RAJEEV AGGARWAL – CHIEF FINANCIAL
OFFICER – KEC INTERNATIONAL LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to KEC International Limited Q3 FY '26 Earnings Conference Call. From the management, we have with us today Mr. Vimal Kejriwal, Managing Director and CEO; and Mr. Rajeev Aggarwal, CFO of the company.

As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand over the conference to Mr. Vimal Kejriwal. Thank you, and over to you, sir.

Vimal Kejriwal: Thank you. Good evening, everyone. Welcome to the Q3 Earnings Call of KEC. Our apologies for a little bit late release of results because the Board meeting just got over. I'll start with a snapshot of our financial performance for the quarter and the 9-month period, followed by a few key business highlights.

We have delivered record revenues of INR6,001 crores for the quarter, reflecting a strong growth of 12% year-on-year, led by healthy execution momentum in our T&D business across India and International. For 9 months FY '26 with a revenue of INR17,116 crores, our growth stands at 14%. Aligned with our strategic focus, the T&D segment's contribution to overall revenues increased to 67%, up from 57% in 9 months last year.

Our EBITDA has grown by 15% in Q3 and 22% in 9 months. EBITDA margins for Q3 have increased by 20 basis points year-on-year to 7.2% vis-a-vis 7% last year. The performance on EBITDA margin front reflects lower progress in water projects, closure costs associated with the completion and delay of RODs for metro projects and delay in settlement of some of the claims. Notwithstanding the same, the EBITDA margins for 9 months have increased by 50 basis points to 7.1% vis-a-vis 6.6% last year.

Our interest expenses as a percentage of revenue have reduced by 30 basis points in Q3 and by 40 basis points in 9 months, resulting in an interest cost of 2.9% for both Q3 and 9 months. We have achieved a healthy operating PBT growth of 37% in Q3 and 53% in 9 months. Operating PBT margins increased by 60 basis points in Q3 to 3.6% vis-a-vis 3% last year and increased by 80 basis points in 9 months to 3.4% vis-a-vis 2.6% last year.

We have achieved an operating PAT of INR171 crores in Q3 and INR457 crores in 9 months. The growth in operating PBT and PAT continued to outpace the EBITDA growth. The operating PBT and PAT numbers do not include the exceptional provision of INR59 crores made during the quarter in line with the new Labor Code.

In terms of order intake, we have achieved YTD order intake of INR19,300 crores. Notably, a substantial 70% of this order intake has been secured by our T&D business across India and the International markets. Additionally, we hold L1 positions of INR4,500 crores, primarily in the KEC International Limited

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T&D segment . We have a strong order book of INR 36,725 crores as on date . Including the L1 position, our order book and L1 stands at over INR41,000 crores.

Coming to our debt levels, our net debt, including acceptances , stand at INR6,806 crores as on 31st December vis -a-vis INR5,574 crores on 31st December '24 . The increase in debt level is on account of strong revenue growth, increase in strategic inventory due to benign commodity prices, muted payments in the water projects and spillover of certain large collections, which happened in the current month.

The debt levels have already come down by almost INR300 crores in January '26 and are expected to normalize by March '26 end . We continue to maintain a watch on working capital and remain committed to balance sheet strengthening.

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Coming to specific businesses . Our T&D business continues to be the primary growth driver, delivering revenues of INR4,161 crores, a remarkable growth of 31% for the quarter . This stellar performance is backed by consistent execution across geographies.

On the order intake, the business secured YTD orders of over INR13,500 crores across India, Middle East, CIS and the Americas . In India, several large intrastate transmission projects, earlier executed by state utilities, have transitioned to the TBCB route driving heightened participation from private developers and utilities . This shift has led to a notable increase in private sector involvement with six new private players entering the TBCB segment during the year.

As a result, the market share of private players has expanded significantly to 75% this year compared to 45% last year . Aligned with this structural change, we continue to steadily increase our order intake from private sector clients.

During the quarter, the business has secured its largest ever order of INR1,050 crores in India T&D from a reputed private player for a 765 kV transmission line and a 765/400 kV AIS substation . In International, the business continues its momentum with multiple L1 orders across the Middle East and Africa . We expect these L1s to get awarded in Q4.

In SAE, the business achieved revenues of INR525 crores for the quarter, reflecting a robust 70% growth . During the quarter, the business secured a few large tower supply orders in Mexico /U.S., signaling a clear uptick in the North American market.

On a YTD basis, SAE has secured order inflows of approximately INR1,250 crores for the supply of towers, hardware and poles across North America and Brazil . Consequently, the business now has a robust order book and L1 position exceeding INR2,600 crores, providing strong revenue visibility going forward.

Capacity expansion initiatives are progressing well . Following successful capacity enhancements at our plants in Dubai, Jaipur and Jabalpur, the expansion of our Butibori facility

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in Nagpur is expected to be completed by March '26 . We have also invested small amounts for expanding our hardware and manufacturing facilities in Brazil . These expansions will further strengthen our ability to cater to rising demand for transmission infrastructure across domestic and international markets.

The overall tender pipeline in T&D continues to be healthy in both domestic and international markets . In India, peak power demand continues to rise with record highs recently and sustained growth expected driven by economic expansion, electrification and changing weather patterns . With transmission increasingly emerging as a critical bottleneck amid rising grid congestion, there is a heightened policy and execution focus on strengthening transmission infrastructure, supported by the government's emphasis on renewable evacuation corridors, green transmission and interregional interconnections . This is translating into a robust multiyear pipeline of opportunities for the sector.

I'm actually pleased to announce that yesterday, we commissioned a large transmission line, Ahmedabad -Navsari, ANTL from Ahmedabad to Navsari, a large part of it . We also commissioned the Ahmedabad substation and the power is from Navsari substation, which has also been built by us . And as of today, almost 2,600 megawatts of power started flowing in this line, mainly from the Khavda Renewable Park.

Coming to the International front, the market outlook remains strong and encouraging . The Middle East continues to be a key growth engine with significant opportunities across Saudi Arabia, UAE and Oman . At the same time, we are witnessing a clear pickup in opportunities across Africa and the CIS region.

Africa, which experienced a slowdown post -COVID, is now seeing a gradual r

evival with

multiple tenders coming to the market . In addition, demand across the Americas remains robust, particularly in Brazil, Mexico and the U.S., driven by requirements for towers, and hardware and poles. With an order book and L1 position in T&D of over INR26,000 crores, we are confident of delivering sustained and significant growth in this business .

In Civil, the business continued to strengthen its order book with multiple orders of over INR4,000 crores in the Building & Factories vertical from reputed clients . During the quarter, the business has achieved success across hospitals, thermal power projects, metals and mining and residential building segments, including an order for additional civil and structural work of 150-megawatt thermal power plant from a prominent private sector player, two orders from a leading steel manufacturer for execution of upstream and downstream facilities, a luxury villa development project from one of India's largest real estate developers . The business is also well placed for securing orders for a few greenfield hospital projects.

The business delivered revenues of INR923 crores for the quarter . The revenues could have been higher, but for labor constraints, delayed release of work front in some projects and slower release of payments in the Water projects . While the labor situation is gradually improving, it

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remains below optimal levels . We continue to adopt a calibrated approach to execution in Water projects given the current payment scenario in this segment.

With a large order book and L1 position of over INR10,000 crores, gradual improvement in labor availability and expected collections from Water projects, we expect that the Civil business will deliver good growth in the coming quarters .

The Transportation business recorded revenues of INR349 crores for the quarter . During the quarter, the final section of the Ahmedabad Metro Phase 2, in which KEC executed the Ballastless Tracks, BLT works was flagged off by the Honorable Prime Minister . The business continues to focus on the Train Collision Avoidance System, TCAS projects under KAVACH in partnership with our JV partner . The business has successfully implemented KAVACH across 611 route kilometers and is currently deploying the KAVACH system on an additional 1,836 route kilometers of the railway network.

With the government's continued focus on railway safety, modernization and indigenization initiatives such as KAVACH, are expected to see wider deployment across the rail network over the medium term . We expect to secure additional orders in this segment.

The business is also well placed to secure orders in the Automatic Block Signaling , ABS segment that increase the railway line capacity through automation . We are actively pursuing international opportunities, especially in the MENA region . With an order book and L1 of over INR3,000 crores, our priorities remain clear: accelerate completion of ongoing projects, optimize working capital and selectively bid for high -quality margin -accretive opportunities in both domestic and international markets.

Our Cables & Conductors business has achieved healthy revenues of INR556 crores, a strong growth of 37% year -on-year. The profitability of this business is also witnessing consistent improvement driven by better product mix and cost optimization . Notably, it has also achieved its highest ever profitability for the nine month period of this year . The business continues to witness steady inflow of orders for supply of cables and conductors.

Our capital investment for E-Beam and Elastomeric cables is progressing as planned . And we expect production for Elastomeric cables to commence by the end of this financial year .

Our Renewable business has achieved revenues of INR122 crores . In a significant development, the business has

forwarded into the Wind Energy segment with a breakthrough order for a 100 - plus megawatt wind project in Southern India from a renowned private developer .

The execution of the existing 500 -megawatt solar projects in Karnataka and Rajasthan are progressing well towards completion within this quarter . We continue to bid for select opportunities in solar, wind and BESS . We are well placed to secure a few more orders in Renewable in Q4.

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The Oil & Gas pipeline business has secured its third international order for a pipeline laying project in the Middle East . Given the subdued domestic tender pipeline and heightened competition, the business continues to strategically focus on expanding its global footprint .

We expect the upcoming union budget to introduce supportive measures that further accelerate infrastructure development, particularly in power transmission, renewables and transportation

segments.

To summarize, with a strong focus on execution, expanded capacity, a robust and diversified order book and L1 of over INR41,000 crores and a current tender pipeline of over INR180,000 crores . Particularly in T&D and Civil, we are well positioned to deliver sustained profitable growth in the coming quarters . Thank you.

We are now open to take questions.

Moderator: Thank you . The first question is from the line of Balasubramanian from Arihant Capital . Please go ahead.

Balasubramanian : Thank you so much for the opportunity . On the Transportation side, we have seen pressures on the revenue side as well as the order book inflow is also muted . And I just want to understand how this segment is being repositioned and what is the strategy to regain momentum? I think earlier, you mentioned about focusing on technology -led projects like KAVACH, TCAS and strategically away from low -margin field work . I just want to understand, how the mix will change over the next 3 to 5 years time frame? And if you could share more details about Transportation segment side?

Vimal Kejriwal: So the strategy is that we will focus on completing the existing legacy projects so that we can realize our cash flows and also the various claims which we have in the system . We have clearly defocused on the Civil projects in the country, because of intense competition . In some tenders, we have seen 13, in one of them, I saw, 41 bids coming in, mainly from local, I'll say, road contractors because of a slowdown in the, I'll say, NHAI business.

So our focus has been on, as I talked about KAVACH, so some more orders are expected to become in KAVACH maybe within the next couple of weeks or so . Then we are focusing on PSI, which is Power Supply, as well as on the Automatic Signaling, ABS . Those are three, four areas where we are working on . On the metro side, we are looking at BLT as well as Power Supply and also third railway line electrification.

The other piece here is on the international, we have started bidding . I'll not say aggressively, but we have started bidding especially in the MENA region . So, a couple of countries are where we have a large T&D presence and focus are the countries where we are bidding.

So, looking at the revenue and order book, we have very clearly -- and I'll say it's a very conscious decision to degrow the business for a couple of years till we get out of the old projects .

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This year, we are, I think, L1 orders are of around INR700 crores, INR800 crores already . We may get a few . We are L1 in a large private sector railway siding contract also.

So, the focus is that we stay away from projects which require large block work or working on existing high -density railway lines . We do expect that in the coming budget, there is a talk of high-speed -- new high -speed railway corridors coming, which would be new lines a

nd all that,

not on existing, which is where you require blocks . So, we are waiting and watching . We are not very aggressive on this business, at least for the next 1 year.

Balasubramanian : Okay, sir . Sir, currently, we are executing five HVDC projects and also one another project from another developer . What is the total HVDC opportunities in India and internationally and how we are going to take a leverage on that?

Vimal Kejriwal: I don't think I have the number on what is the total opportunity as such, but there is a talk of, I think, two more HVDC projects coming in India, one in the South and one in Rajasthan . And there is a large HVDC project under bidding right now in Saudi . Typically, each one of them is around INR25,000 crores, typically . I don't know the exact value of each of these projects, but they will be -- so if you add three of them, there'll probably be INR75,000 crores or more.

Balasubramanian : Okay, sir . And sir, my last question on Civil only data center pipeline is INR2,000 crores . And how much we are bidding, entire pipeline or like what is the expected win rate and margin profile for data center project? And how it is aligning with our building and factory side?

And secondly, I think we have entered wind energy with 100 -plus megawatt order . And we are also bidding for solar and battery storage side . And currently, the government is planning to open up -- opening up for China or other countries . How this landscape is changing, especially for renewables and how the landscape will change, especially for renewables in the next 3 to 5 years?

Vimal Kejriwal: So if you look at China, we are an EPC player and we don't compete -- no Chinese EPCs do not compete in India . We are actually happy if the government opens it up . Because it eases out the supply chain constraint about which I've been talking every quarter.

So to me, as an EPC, I'm very happy if that happens because today, a typical substation project, which used to take 12 months or so is now going into 18 to 24 months . So if things start happening, we are generally happy about it, especially on the T&D side.

We don't take any module responsibility . So whether the Chinese modules they are coming, they

continue to come on, will not have any impact as far as we are concerned . On data center, we have executed five data centers till now, and we are actively bidding for more data centers. I think the issue with data centers, what we are finding is that most of the data center orders are getting split across various parties . So there's no -- although the entire cake appears to be very

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big, but what comes in bids are very small slices of it . So, we are looking at it and choosing and deciding what segments to play.

Right now, we are bidding for -- in some cases for Civil, in some cases for Civil plus MEP . We think it is going to be an exciting sector . But as of now, there have been large announcements, but all these need to get translated into hardcore tenders and all that . Right now, there are very few tenders open in the market . But I think it will open up . So I don't think we are too much worried about it . It will grow definitely, yes.

Moderator: The next question is from the line of Vaibhav Shah from JM Financial.

Vaibhav Shah : Yes. Sir, firstly, on the Civil side, what would be our JM exposure right now in terms of order book and receivables?

Vimal Kejriwal: So, our total exposure in terms of order book would be roughly around INR1,400 crores . Okay?

And AR would be around INR900 crores, which was I'll say virtually similar to last year, except it has gone up by INR75 or INR100 crores or so . So as mentioned earlier, what we have been doing, Vaibhav, is that it's almost like a cash and carry . whatever money we get , we invest in it . So whatever money we get and we are exposed to two states

only, Odisha and MP.

And we have generally been getting money from both of them, not to the extent we want them to pay . But whatever they pay, that is a sort of, I'll say, investment we are doing in the projects.

Vaibhav Shah : So sir, if you look at our order backlog of INR11,000 crores from the Civil segment, if I remove this INR1,400 crores, it will be roughly around INR9,000 crores, INR9,500 -odd crores, if I remove the JJM part . So is that portion, which is roughly around 10%, 11% of the order book impacting the execution so much? Or...

Vimal Kejriwal: It will impact . Because what happens is in the Civil piece, generally, the execution cycle is pretty fast. So if some orders don't get -- let's say, don't get kick started early . And early part also what happens is you do raft and other things, so the revenues in the early part of projects are pretty high. So since some of the projects have got delayed because of non -availability of front, it has impacted.

Plus I think I'd say, INR400 crores, INR500 crores impact would be from our Water business .

So in all, if you just want to take a ballpark number, maybe Civil could be probably a INR1,000 crore s impact on the revenues in terms of the overall number.

Vaibhav Shah : Okay . Sir, for the entire year, last year, we did around INR4,500 crores of revenue from Civil . So this time, we may see a decline of roughly 15 %-odd?

Vimal Kejriwal: I don't know the exact number . There will be a marginal decline, okay? I don't think it will be a significant decline, but there could be some marginal decline.

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Vaibhav Shah : Okay . Sir, secondly, on the margin front, you are guiding for a 100 bps improvement on a Y -o-Y basis for the entire year, for FY '26 . So the first 9 months margin is roughly around 7.1% . So how do you see this target for the entire year now?

Vimal Kejriwal: So I think the margins will definitely come down the way things are happening . Okay? Because of the slowdown in Water, which is obviously a much higher margin and some other newer projects plus I think the way we had expected that our legal where arbitrations and cancellations, etc., were going on.

So since they have been taking much longer than what we have, so we have also, based on prudence, have started providing for some of these numbers, which earlier we had thought that we will be able to get the orders and close the books accordingly.

So I think right now, if you look at -- look at the numbers, probably will be anywhere between 7% to 7.5% . Okay? We are hoping that it goes to 7.5% . But today, I don't have the confidence to tell you that it will be 7.5 % . It should be between the two numbers . So I think what we have achieved till now, 7.1% . And maybe there could be some improvement in Q4 . But overall, numbers could be between 7% to 7.5%.

Vaibhav Shah : In '27 -'28, it should be around 9%, which you were targeting earlier or...

Vimal Kejriwal: I think it's too early right now to say . I don't know whether we can maintain 9%, but I think it's a little bit early . Maybe when we do the annual accounts, we'll be able to look at the numbers,

but it will definitely be better than what we are achieving this year.

Vaibhav Shah : And sir, lastly, on the debt side, we maintain our target of roughly INR5,500 crores of debt by the year -end?

Vimal Kejriwal: I think so . I think, honestly, we have been talking internally that we should try to reduce it further, but I think INR5,500 crores is a safe number . We will definitely achieve that number.

Vaibhav Shah : And the working capital days?

Vimal Kejriwal: How much will it be Rajeev ?

Rajeev Aggarwal : 110 to 115 days.

Vimal Kejriwal: 1110 to 115 days what Rajeev is saying.

Moderator: The next question is from the line of Parikshit from HDFC Securities.

Parikshit : Congrats on a decent quarter . So my question is

on debt . So I mean, if I see quarter -on-quarter, the execution has largely been flat . And despite that, our debt has gone up . So any particular reason why that is going up given that we have not seen any ramp -up on the execution on quarter - on-quarter basis?

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Vimal Kejriwal: See, but on quarter -on-quarter debt same -- I think, Parikshit, what has happened in quarter -on-quarter , Rajeev ?

Rajeev Aggarwal : INR 300 crores...

Vimal Kejriwal: Quarter -on-quarter, I think it's roughly around INR300 crores . INR300 crores debt . I think the only reason why that happened was that there were some large receivables from Saudi, which got moved into the first week of January . So, we have already brought our debt down by INR300 crores . So, we are actually now back at the September numbers.

Parikshit : Okay . Secondly, I mean, on the margin, we are -- we have reduced our guidance . I mean, last quarter also 8% to 8.5% -- you have said 8% and now we're going to 7%, 7.5% . I know there are pressure . But just on this commodity increases, which we have seen in copper and other material, largely in copper, so how does it impact our margins for next year? How are we covering the risk on the commodity side? So help us understand that how are you hedging this?

Vimal Kejriwal: So, Parikshit, on copper, we hardly have any exposure, except in our Cable business . And Cable business is 100% hedged . So there, we have a very clear policy that the moment we take an order, we hedge it . Okay? So as far as copper is concerned, I don't think we have any exposure, maybe something minor here and there, but you can take it as good as not having an exposure. In fact, to me, if my Cable team is able to get more manufacturing clearance and all that, the revenues may grow . Because then it will be at a much higher copper than what it was last year . So, I don't see any impact of copper on my numbers.

Parikshit : Sir, just coming back a little bit, I think, more on the margins, we have been highlighting in every quarter that now the legacy projects and the low margin legacy projects are getting over . So now what has come back is hitting us again on the margins? And do you think that there could be pressure on margins will continue for some more quarters?

Vimal Kejriwal: So I think, Parikshit, what is happening is that we have been honestly very a little bit unhappy with the delays in the closure . We were expecting that gradually projects will get closed . We have closed at least, I'll say 10% of our railway projects, overall numbers, I'm just saying another 20% will close in this quarter.

So, what is happening? And I'll give a simple example . We take a project and we expect that the project will be closed because the client has agreed for de -scoping a part which is not executable . Now, the client comes back and says, no, no , I want you to execute. So, you are stuck there for another six months. So, things like that are happening.

I have got three metro projects where the Viaducts are ready . CMRS has been done, ready for commissioning. Unfortunately, they have not been inaugurated . So, you continue to keep on maintaining them and spending money of INR15-INR20 crores a month . Okay , they'll all get into claims . But right now, we have made provisions for that.

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So unfortunately, there are issues which are hitting, which are something which you would not have predicted saying that will -- what will come . And ultimately, we are running -- doing around 270, 275 projects . So, some way or the other, you keep on -- you do get some surprises . I don't think we are happy downgrading our, I'll say, estimates . But what is happening is what is happening . So we have to tell you this is what is there.

When last time we said 8%, we were very pretty confident

that we'll achieve 8% . But now seeing

what has happened and the delay in some of the projects which are -- like as I said, Water . Water is a double -digit margin project . Now if it's not executing, that's impacting some of the newer projects, which have got delayed.

Like I'll give a simple example . I've got a couple of projects in NCR . Now because of a little bit of some earthquakes which came and all that, the seismic zones have been changed, the design parameters have been changed . So all those projects have been on hold . Because the developers are redesigning all the projects . So, there are various reasons.

One is a little bit delay in closure of old projects and also a delay in start -up of more profitable projects where the revenues, in some cases, have come slower than what we were expecting . I think basically, those are the two reasons of that . However, I would like to assure you that our new orders or the current order book is reasonably profitable, which gives us the confidence for these numbers.

The other thing what you should also look at is one is EBITDA, but you should also look at the PBT and all that . So if you look at that interest cost, while it has not come down in absolute numbers, as a percentage, it has been going down . So at the end of it, 30%, 40% increase is happening on the -- below the line also.

The other piece, I think, is we discussed Civil and I did say that we are run short of INR1,000 crores of revenue because of various reasons . This has also led to an under recovery of overheads . That's another one piece which is happening for which now we are running a special program and all that to see how do we cut down costs, etcetera . But it's taking its time . I hope I'm clear, Parikshit.

Parikshit Kandpal : So just -- just to summarize, I think one way you are getting impacted on Railways and Civil where your working capital is blocked and your debt is bloated up . And secondly, the margin pain points continue in these two segments, right? So, on a normalized basis, so if one has to see -- if these two headwinds are behind us, so what kind of margins on the core business etcetera one should look at while marking the margins?

Vimal Kejriwal: So if you're asking for margins on T&D, then they are -- the question was not very clear to me, but if you're asking margins on T&D, then we'll be -- we are in double -digit margins.

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Parikshit Kandpal : So my question was excluding all the se pain points in headwinds related to metro projects and some part of the civil projects . So on a core basis, what kind of margins you would have reported if the headwinds are not there?

Vimal Kejriwal: Then you will be closer to 9% to 10%, very clearly.

Parikshit Kandpal : And when do you expect to start hitting it on a quarterly basis? Are we two quarters away from that or three quarters away from that?

Vimal Kejriwal: If you're looking at 9% to 10%, then I can always say FY '28 . But that's why the earlier question I did not answer for FY '27, what your margins are, but I said we will definitely be higher than this. Okay? 9% to 10%, I need to clean up that entire closure of all the projects of -- mainly more of railways and also some part of the civil metro projects which are there, which are now getting commissioned . So I think that will get cleaned up.

So I think by FY '28, we'll definitely be at -- I don't know whether it's 9% or 10%, whatever number we are talking . But next year, it will be better than what we are talking . This year, we said 7% to 7.5%, next year, I'm clearly saying it will be better than that . Number, I think in a couple of months, we'll be able to give an exact number of what we expect to achieve.

Moderator: The next question is from the line of Amit from PL Capital.

Amit : Sir, again, you did explain very -- in detail what are the reasons fo

r reduced margin guidance .

Just wanted to understand what is holding back your clients to do this delay? You gave an example of three metro projects getting delayed because the dispatches are not happening . Just wanted to understand with your customers, is it an issue of -- some issues which are letting them delay the projects? So what is happening at the customer side?

Vimal Kejriwal: So Amit, there are various reasons . But if you look at two or three reasons, one, I just now said that in Gurgaon and all that because of the zone changes what has happened and the design -- the safety parameters, which the government has notified, many of the projects especially on the high-rise residential have to be redesigned with much, much larger foundations, etcetera.

Or the alternative for them is to cut down the number of floors etcetera, which obviously no developer wants to do . That is one reason . The other reason in a couple of cases, right now, we have in two cases in Mumbai is the developer has not been able to acquire the plot fully, which is now under acquisition . That has delayed by, I'll say, almost two quarters the work front.

In another industrial project, I think the client wanted to change the technology because he got a much -- I'll say, cheaper and a better technology . So he has put the project on hold saying that let me redesign that entire project and come back and talk . That was I think, INR300 crores

project . It's on hold completely.

So there are different reasons . And when I say due to delays in work front it is always on account of client . I'm not saying that on my account it is delayed . If it is my account, it is my problem .

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So these are all various reasons which are happening or I'll give another example . I talked about gridlock and all that . We have got at least I'll say, four or five projects in transmission, which are moving at I'll say, snail 's pace. Because ROW is not available.

I have one project where the substation land is not available for the last 8, 9 months, which was there in our revenue targets and which was a higher margin . Now 8, 9 months, the land is not available . So we are stuck in terms of the growth projections and the margin projections which we had given . I hope I'm clear, Amit, on these points.

Amit : Yes, sir, sure . Sir, about the prospects of INR180,000, which you highlighted, what is the portion from Middle East? Some color on segment -wise prospects out of this INR180,000 and domestic versus international?

Vimal Kejriwal: Give me a minute . I'll just give it to you . So roughly if you look at transmission, it would probably be around INR50,000 crores would be out of transmission across India, International .

Middle East would be probably around INR15,000 crores or so crores okay? Then you have Railways then you have Civil is a large portion almost INR60,000 crores, including INR20,000 crores from International . And Renewables would be around INR30,000 crores . That's the broad numbers.

Amit: Right . So sir, with these prospects, I'm assuming is for next 12 to 18 months . So what one should think of this year, I think order intake has been reasonable with INR19,000 crores already won and close to INR5,000 crores L1. Any color on the order inflows and conversion in the next three, four quarters?

Vimal Kejriwal: So typically, this is not for 12 to 18 months . This is more tenders which are in the pipeline announced . So I'll say more for 6 months sort of thing rather than 12 to 18 months . So the order pipeline will -- and even last 1 year, we have been seeing the same order pipeline, give or take INR5,000 crores here and there .

So this almost remains like a constant whatever tenders come in, new tenders keep on getting added . Typically, if you look at it in transmission, we have been having a success ratio between 10% to 15% and for o

ther businesses, it would be actually lower . Renewable would be much lower than that . And civil is also . So we would look at maybe some around INR30,000 crores, INR35,000 crores should be our order intake target for next year, we have not yet firmed up because the budgets are getting firmed up . But I think we should be looking at around INR35,000 crores.

Amit: Understood . Sir, lastly, again, on margins . So I think T&D, you said is kind of doing double digit. Just wanted to ask on water. Is there any hope that this can again come back after maybe a couple of quarters? What is the situation in terms of your collections? What is the collection pending and now we are seeing many players going deliberately slow . Any hope in terms of budget for water or these things getting resolved in next maybe a couple of quarters for water?

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Vimal Kejriwal: So Amit, during the -- I'll say, let's say, take the 9 -month period, I don't know the exact number, but I think we got around INR600 crores of cash flow . And we did a INR600 crores of projects .

So around INR50 crores, INR60 crores, INR70 crores is coming in a month . Let's see what happens in this budget whether the allocation goes up from the INR65,000 crores, which they did last time . They have spent only INR25 ,000 crores , which I was told . I don't know how much they have spent actually.

Let's look at what announcements they have in the water -- for water. But typically, most of this money has finally come from the states . So we do expect -- if you extrapolate the same this, then by next year we should be able to get out of our water projects because this year also by the end of the year, we'll probably do around INR800 crores of revenue . So let's keep our fingers crossed that some more money can come . Optimistically, I think if the same thing continues, then within 12 to 15 months we should be able to close all our projects.

Amit: Understood, sir . Sir, lastly, on update on SAE Towers, how the performance has been there in terms of balance sheet and order wins for that?

Vimal Kejriwal: SAE has been doing well . We have an order book of roughly -- order book plus L1 around INR2,600 crores . So that's almost 2 years of turnover for them . So I don't think we are worried .

We are -- margins have been more than -- have been double digit easily . Orders have been very good, especially from the North America market .

And also what is happening on the balance sheet is that whatever profits we are making are using for repayment of debt . Debt has come down . I think last few years by almost INR200 crores and it will continue to come down by INR100 crores, INR150 crores every year . So I think that business is doing very well.

Amit: Right, sir . Sir, just one clarity on Chinese . You said that the Chinese impact should benefit . So I just wanted -- didn't get that point . So is it that some components which are not getting manufactured or there's a shortage where the projects are getting stuck and Chinese imports there will help . If you can name where that's going to help, yes ?

Vimal Kejriwal: I don't think I want to get into that naming, because all my OEM friends will come and fight with me . But I think basically, what is happening is that this is also putting a lot of pressure on the players in India . Because still now the transformers will give after 18 months . Now they think that if they don't give and if we bring from China then what will happen .

So some imports I think I heard that they have started coming in . I'm not sure about it and that's hearsay . But clearly, I think the delivery timings we are seeing are improving in India . And for me as an EPC, it helps me because instead of doing a project waiting for 24 months to complete a station substation, I can now do it in 15 months , 17 months . That will cut down costs and help

me in a better turnover and faster turnaround . So that's how we look at it .

Amit: So you're saying there has been some imports of the final product also, is it?

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Vimal Kejriwal: I understand that orders have been placed . I don't know whether any products have yet come in or not . But I do hear that components have started coming in, some very critical components which were holding back, some of the substation commissioning, GIS commissioning and all that, I think some have come . That's what my understanding is . But to me, it's all, honestly, hearsay.

Amit: Sir, your understanding like what percentage of component probably -- just an understanding or what is -- this is a large value of products?

Vimal Kejriwal: It's not a question of value being large or small . It's just a question that one small component can hold back the entire commissioning . So Amit, you'll have to come back on the queue . There are a lot of people waiting.

Amit: Thank you so much.

Moderator: Thank you . The next question is from the line of Ashwani from Emkay Global Financial Services . Please go ahead.

Ashwani : I think most of the questions have answered . Just one question, sir, on -- so last calendar year we received one oil and gas pipeline in Middle East . How is the opportunity coming up now?

Crude has been stable of late at around \$65 . So do you see any new opportunities coming up there for us?

Vimal Kejriwal: So I think we are still not in the big league and all that . So I think whatever we are right now targeting and all that, those are not going to get impacted by -- in fact, the order which we got in this was this year , okay? So I personally don't think -- we are not large players like some of our competitors that we could get impacted by scrapping of projects are not coming . For us, it's still a little bit just testing the waters, let me put it this way.

So I don't feel any issue . Also, since you raised this issue of oil prices, some other people were asking me on payments on transmission . So clearly, we are seeing the transmission pipeline being very robust and payments coming absolutely on time . So we have still not seen the impact of crude oil and all that on these projects.

Maybe some very marquee projects or projects like NEOM and all may get impacted . But otherwise, we have not heard of any transmission line projects getting impacted . Oil and gas, since we are not large players, we are not keeping a large track of what -- very close track of what is happening.

Ashwani : Do you see any renewable opportunities in Middle East, sir, for us?

Vimal Kejriwal: 100% . There are large opportunities . We were deliberately staying away because we really wanted to get our act together in India . And this year, we are commissioning -- actually, we commissioned almost 850 -- 950 . So, we have commissioned almost 850 -megawatt already of solar capacity spread over two large plants . So that has given us a large confidence saying that,

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yes, we can do larger projects . So we have now started looking at those markets, okay, both in, I'll say, Saudi and UAE.

Ashwani : All right, sir . Thank you very much.

Vimal Kejriwal: Thanks, Ashwani . Thank you.

Moderator: Thank you . The next question is from the line of Harshit from Axis Capital . Please go ahead.

Harshit: Thank you for the opportunity , sir. Sir, can you please talk about the labour shortages, which we were facing in the past? And what has been its impact on our current quarter? And by what time can we see the normalization of the same?

Vimal Kejriwal: We don't know when the normalization will happen because you know this problem has been going on for many years . And in fact, right now, in our Board also, we were discussing the same issue saying, is there -- I think the on

ly discussion was that with MGNREGA going and the new scheme being funded by state, maybe more people may start working outside . Because they may -- the scheme may not be -- it will take some time for it to settle and all that.

So if that happens, it's not what the government wants, but if that happens, then maybe the labour supply may improve . But let me put you something -- some time back, we had 18,000 labourers, now it's become 24,000 . As the order book and the execution is expanding, the need goes up . So I think we will have a shortage of 2,000 to 3,000 or 4,000 people . We are taking various steps, but difficult to say that when this labour shortage will get over . Very, very difficult.

Harshit: Sir, any quantum on it, like I mean, what sort of a quantum impact we are having it on a quarterly basis or something like that, if any color you can give it on?

Vimal Kejriwal: So if you look at numbers, maybe INR500 crores, INR600 crores for the quarter could have been impacted where we could have got more revenue, especially on the Civil side.

Harshit: Okay . Got it , sir. Thank you.

Vimal Kejriwal: Thanks . Thank you.

Moderator: Thank you . The next question is from the line of Saket Kapoor from Kapoor Company . Please go ahead.

Saket Kapoor : Yes, yes. Thank you, sir . Sir, firstly, sir, you were mentioning about the NEOM project getting affected because of the oil prices . So can you just throw some more light what you were trying to convey, sir?

Vimal Kejriwal: Whatever I read in the paper I told you that some marquee projects in Saudi which are getting impacted . Yesterday or day before, I saw on that golden cube and all that also getting impacted .

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All I was told the main project of NEOM was done at 6% instead of 100 . That's what we are hearing , okay?

So the talk was you know the question was what is being impacted by the oil price . So Saket ji what is the impact of the oil price is that your aspirational project is getting impacted . That if we don't do it today then we will do it tomorrow . But the essential projects , okay, whether it is in transmission whether it is in oil . Like, I will tell you they had a large HVDC project which they had put on hold for 1 -year.

Now it has come back . Which we had thought that they will not do the because of the problem of oil , but they have come back . So the project which they have to do which is necessary what they are doing . If you look at most of our business in T&D in Saudi has been to connect from renewable power . What they are also doing like what we are doing is that they have oil but they want to sell the oil and take money . Okay.

And power they want to produce from renewables . So we have to understand one more thing that even if the price goes down their internal consumption in my view is going down , because they are relying a lot more and more on renewables . So they may have the same amount of revenue coming in . May be from a even if the price is lower because the Quantum is going up very clearly .

Saket Kapoor : Secondly, sir, you mentioned about this Chinese entry into the EPC segment as a supplier, would be benefiting us? So sir in our cable segment the capex that we and other people have done , is there any threat for them participating there in the cable segment and then lowering of margins . Because they compete on lower levels margins . So how will that happen?

Vimal Kejriwal: Saketji, the discussion that is going on in the market and the recommendation is not an opening up of the sector for everything . What they have talked about is that the product which is in shortage and which is technically having a lot of problems.

On substations, transformers etcetera, they are talking about opening up power plants also .

Because you have to set up a lot more fuel based power plants . So I think it is more on the

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segment rather than on items like cables . And cables have not been too much of import . At least

I am not aware of any major imports happening on cables .

Which is coming from outside has been very high quality 400 kV, 500 kV cables and all that . I have not seen normal cables and conductors . I have never heard of a conductor coming into India . So I don't see any impact of that on my cable and conductor business , no.

Saket Kapoor : Okay . And what are the ground pillars, sir, from the Cable segment exactly? We have done capex also and going ahead what if our outlook for order booking and the trajectory going ahead?

Vimal Kejriwal: If you look at this quarter, we have improved our revenue by 37% . Okay? So, I think we are looking well . And a large part of the increase is also coming from our Conductor business . So

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right now, we are full for the next couple of quarters . And I am not worried about the order bookings.

Order booking is a little less because of the very high aluminium and copper pricing . So there are many customers who are still waiting to see that prices get better and book after that . So I think order booking is slightly on the lower side . But it is a matter of time that it will get picked up. I don't think we are worried because we have enough orders today .

Saket Kapoor : Correct . Thank you, sir, and thank you for hosting the call in the evening . Thank you.

Vimal Kejriwal: Thank you, Saketji . Thank you.

Moderator: Thank you . The next question is from the line of Rupesh from Nayan M Vala Securities . Please go ahead.

Rupesh : Sir, first of all, I just want some clearance . I seem to have missed the guidance that you had given on margins . So if you could just repeat that?

Vimal Kejriwal: Margin guidance ?

Rupesh : Yes, sir .

Vimal Kejriwal: We have said that we are at 7.1% for the 9 months, we should be -- for the year will be between 7% to 7.5%.

Rupesh: Okay, sir . And sir, earlier in a few calls, you had mentioned that you would be shifting the focus of civil to building and factory with high realization buildings, high ticket size orders for the Civil segment . So if you could provide a mix on the building and factory order book of Civil as against the other projects?

Vimal Kejriwal: I don't have the exact number, but I think out of that INR11,000 almost 60%, 65% would be buildings and factories . But let me tell you one thing . The order intake for civil this year, everything is on buildings and factories, 100%. And also the size has been going up, okay?

Rupesh: Okay, that's great to know . And just one last question, if I could squeeze in . The PGCIL, this is the entire situation with the PGCIL, is it affecting the domestic T&D revenues at all? Or is there a miniscule impact?

Vimal Kejriwal: So let me put it this way . I don't think the revenues are getting impacted . We have a large order book, number one . Number two, I think you joined later . So I had said earlier that this year on the TBCB, 75% of the orders have gone to private sector.

Okay? And we are -- we have got orders from almost all the large private sector clients, whether it is Adani, Sterlite, IndiGrid, you name it . So we are getting that enough . To say that nothing is getting impacted will not be correct, but I don't see if there is any significant impact of that .

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Especially on the revenues for the year, I think our India business has grown very well even this year also.

Moderator: Ladies and gentlemen, that was the last question for today . I now hand over the conference to Mr. Vimal Kejriwal for closing comments . Over to you, sir.

Vimal Kejriwal: Thank you, everyone, for participating and your continued interest in KEC . Thank you.

Moderator: Thank you . On behalf of KEC International Limited, that concludes this conference . Thank you

for joining us, and you may now disconnect your lines . Thank you.

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"KEC International Limited
Q4 FY '26 Results Conference Call "
May 18, 2026

MANAGEMENT : MR. VIMAL KEJRIWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – KEC INTERNATIONAL
LIMITED
MR. RAJEEV AGARWAL – CHIEF FINANCIAL OFFICER
– KEC INTERNATIONAL LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to KEC International Limited's . Q4 FY '26 Results Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone . Please note , that thi s conference is being recorded. On the call, we have with us today Mr. Vimal Kejriwal, Managing Director and CE O; and Mr. Rajeev Agarwal, CFO.

I now hand the conference over to Mr. Vimal Kejriwal , for his opening remarks. Thank you, and over to you, sir.

Vimal Kejriwal: Thank you, Michelle. Good morning, everyone, and welcome to KEC Q4 Earnings Call. I will begin with an overview of the operating environment, followed by our annual performance and update on each of our business segments.

We have achieved our highest ever revenues, profitability and order intake during the year , despite a challenging operating environment marked by geopolitical tensions in the Middle East , during Q4, labor shortages and subdued order inflows in India. We successfully executed key strategic initiatives and develop niche capabilities across our businesses, positioning us for sustained growth and value creation.

First, let me provide a brief update on the current situation in the Middle East. The region accounts for approximately 27% of our overall order book and L1 position, almost equally divided between Saudi Arabia and the UAE , and with a small presence in Oman.

As on date, Dubai factory and the physical execution of all our projects in the region continues unhindered. Tendering activity remains strong across the Middle East with new opportunities being announced across UAE, Saudi Arabia, Oman and Kuwait , during and after the recent conflict. We have also been awarded a large order in Saudi Arabia after the conflict started.

Cash flows remain stable and the region continues to be a key growth driver, supported by investments in grid expansion, regional interconnections, rebuilding initiatives, grid resilience and renewable integration. The safety and well -being of our employee s remain our highest priority, and we continue to closely monitor developments in the re gion.

While the project execution on the ground in Middle East continues, the ongoing disruptions have resulted in supply chain and logistic challenges. Shipments from Europe, China and India to GCC countries are witnessing delays , due to port congestion and continued disturbances, while freight costs, including war -related surcharges have increased materially, particularly for ocean transportation.

Lead times have also lengthened , due to reroutings and port congestion , alongside delays in supply of tower , third -party bought -out items. We are in touch with our clients on these issues. The ripple effects are also being felt in India , where labor availability across project sites has been impacted due to fuel -related constraints and elections in certain parts of India.

In addition, certain equipment and steel suppliers are facing operational disruptions and shutdowns arising from LPG shortages. These disruptions impacted operations during Q4 and are expected to continue affecting Q1 and potentially Q2, as normalization of the supply chain and logistics ecosystem is likely to take time.

Now coming to the annual performance. For the year, we achieved a record revenue of INR23,506 crores, reflecting a growth of 8%, driven primarily by the T&D and cables and conductors business. In line with our strategic focus, the T&D segment's contribution to overall revenues increased to 68% compared to 59% last year.

Operating PBT is at INR848 crores, with PB

T margins expanding by 40 basis points to 3.6%.

Operating PAT margins have also increased by 30 basis points to 2.6%. We have achieved an operating PAT of INR650 crores.

As stated above, while the revenue has grown by 8%, operating PBT has grown by 21% and operating PAT has grown by 18%. PBT and PAT growth continues to outpace the EBITDA and revenue growth. The tax rate for the year, particularly in Q4 was slightly higher due to increased tax costs in some of the international markets.

The operating PBT and PAT numbers are excluding exceptional items of -- there is a provision of INR59 crores made in FY '26 towards the new labor code and an income of INR24 crores from an arbitration award recognized last year in FY '25. In Q4, we delivered revenues of INR6,390 crores with EBITDA margin of 7%, PBT margin of 4% and PAT of INR193 crores. Our performance would have definitely been better but for the following: geopolitical disruption in the Middle East led to deferment of revenues, while the labor situation had shown signs of improvement earlier, it deteriorated again due to the recent LPG-related issues and elections in certain parts of India.

LPG issues have also impacted supplies in India. We adopted a calibrated approach in executing water projects due to continued delay with payments. Also delay in legal closure of dispute, settlements of claims in our transportation and metro projects.

In terms of order intake, we have achieved an all-time high inflow of INR25,280 crores. Notably, a substantial 70% of this order intake has been secured by our T&D business across India and the international markets.

During the year, we sharpened our focus on enhancing the quality of order inflows by consciously shifting towards fewer but larger EPC orders to strengthen operational control and execution efficiency.

As a result, the average order size increased from INR350 crores last year to over INR500 crores this year, while the overall number of orders reduced by 25%, despite higher order inflows. This strategic shift towards high-quality orders will enable tighter cost control, superior execution and better working capital.

Our closing order book remains robust at INR36,267 crores. We are happy that the order intake trend continues in FY '27 with new orders of over INR1,000 crores announced till date across T&D, transportation, renewables and cables and conductors. In addition, we have an L1 position of over INR3,000 crores.

The T&D business has secured a prestigious HVDC order from a reputed private developer. Our renewable business has expanded its presence in the wind energy segment with a repeat order from an existing customer.

The Transportation business has reinforced its position in the technology-enabled automatic block signaling segment with two recent orders. With this, the current order book plus L1 position stands at over INR40,000 crores, which gives us visibility for the next six to seven quarters.

On the debt front, our net debt, including acceptances is at INR 6,722 crores, marginally lower than December '25. The debt could have been lower, but for the spillover of collections of INR 450 crores from certain large clients to the first week of April '26.

The debt levels could have been reduced further, but for the higher inventory due to delayed dispatches in Dubai amidst Middle East disruptions, strategic inventory buildup in cables, raw material and steel owing to volatile prices.

Due to the collection in the water business and increase in revenue-driven debt, we expect the

debt to improve by Q2. While the absolute interest costs have remained flat despite the 8% growth in revenues, interest expenses as a percentage of revenue have reduced by 20 basis points to 2.8%. The Board of Directors have decided to recommend a dividend of up to 275%, that is INR5.50 per equity share

on the face value of INR 2 each.

Now coming to our specific businesses. Our T&D business has delivered an outstanding performance, achieving a milestone revenue of INR 15,883 crores for the year, a remarkable growth of 24%. The growth has been delivered on the back of a robust execution across both domestic and international markets.

Our order book to revenue ratio is one of the best in the industry. On the order intake front, the T&D business secured significant inflows of around INR17,700 crores across India, Middle East, Americas, Africa and the CIS.

In India, the transmission sector is witnessing a structural shift, with large intrastate projects traditionally executed by state utilities, increasingly moving to the TBCB route. This transition has also resulted in utilities and several new private parties participating in TBCB tenders as developers, resulting in several new players securing TBCB projects during the year. Consequently, the share of these players has increased significantly to almost 80% compared to 45% last year. In line with this trend, we continue to scale up our presence with private sector clients and have secured orders of INR 3,600 crores from private players and SEBs during the year.

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Additionally, we are today well placed to secure further orders from private clients. The orders during the year in India include our largest ever domestic T & D integrated order of over INR1,000 crores from a reputed private player for a 765 kV transmission line and a 765/400 kV AIS substation.

We have also strengthened our position in the HVDC segment, securing three orders from Adani and PGCIL. We are currently executing five HVDC projects, having commissioned the first HVDC converter station project built by us in Maharashtra for Adani and Hitachi.

On the international T&D front, we continue to strengthen and diversify our global presence, with order exceeding INR 11,300 crores, representing a robust growth of over 35%. A key highlight was the strong revival of order inflows from Africa and CIS, alongside sustained momentum in the Middle East.

Notable wins in the Middle East include our first ever 380 kV GI substation order in Saudi Arabia, as well as our largest composite order in Saudi Arabia comprising transmission lines, substations and EHV cabling. With these orders in L1 positions, our overall substation portfolio has expanded significantly both in India, as well as in the international market, both in GIS and AIS segment.

In SAE Towers, the business achieved profitable revenues of INR 1,800 crores for the year, a robust growth of 36% year-on-year. The business continues to witness traction in order inflows, with inflows of approximately INR 2,000 crores. These orders for the supply of towers, hardware, monopoles and engineering services span across the U.S., Mexico and Brazil. During the quarter, the business secured a few large power supply orders in Mexico and U.S., signaling a clear uptick in the North American market. The business now boasts of a healthy order book, and L1 position exceeding INR 2,600 crores. We continue to reduce our debt levels in SAE.

Capacity expansion initiatives are progressing well, following successful capacity enhancements at our plants in Dubai, Jaipur and Jabalpur, the expansion of our Butibori facility in Nagpur is expected to be completed within this quarter. We have also expanded our hardware and manufacturing facilities in Brazil. These expansions will further strengthen our ability to cater to rising demand for transmission infrastructure across domestic and international markets.

The outlook for the T&D sector in India remains highly encouraging, supported by a strong and sustained tender pipeline. Peak power demand continues to rise, reaching record highs and expected to grow further, driven by economic expansion,

rapid electrification and evolving weather patterns.

Transmission is increasingly emerging as a critical bottleneck and amid rising grid congestion leading to a sharper policy and execution focus on strengthening infrastructure. Reflecting the accelerated pace of energy transition and rising electricity demand, the government has enhanced its non-fossil fuel capacity target from 500 gigawatt by 2030 to 900 gigawatt by 2035.

This will drive significant investments in transmission lines, substations, green energy corridors and interregional connectivity, translating into a robust multiyear opportunity for the T&D sector.

On the International front, the outlook remains strong and well diversified across regions.

Despite the ongoing geopolitical tensions in the Middle East, tendering activity continues to remain resilient and robust with substantial opportunities across Saudi Arabia, UAE and Oman . At the same time, we are witnessing a recovery in Africa with increased tendering activity post the COVID slowdown, along with expanding opportunities in the CIS region.

In the SAARC region, improving political stability in Bangladesh and Nepal is expected to support a gradual revival in demand. The Americas also continue to present strong opportunities, particularly in Brazil, Mexico and the U.S., driven by sustained demand for towers, hardware and poles, again , driven especially by the data center and AI boom in the U.S. market. With a strong order book and L1 position in T&D of over INR 25,000 crores, we remain confident of delivering sustained and profitable growth in the T&D business.

In Civil, the business has strengthened its order book with multiple orders of over INR 5,000 crores, a growth of more than two times over the last year. During the year, the business has secured orders across high -growth segments such as semiconductors, hospitals, thermal power plants, metals and mining, residential and commercial real estate s.

Some of the key highlights include :

the entry into the semiconductor EPC is a large first of its kind order from a new client, securing our largest ever commercial real estate order from a global developer, winning an order for our tallest residential structure to date, approximately 80 floors from a reputed real estate player, a luxury villa development project from one of India's largest developers, expanding into the thermal power segments with civil and structural work for 150 -megawatt plant from a prominent private sector player , strengthening our presence in the health care segment with multi -specialty hospital projects from a renowned health care player and securing five orders during the year from reputed metals and mining players.

The Civil business achieved revenues of INR 3,823 crores for the year. The revenues could have been higher, but for the labor constraints, delayed release of work front in some projects and slower release of payments in the water projects.

Given the current payment dynamics in water projects, we continue to follow a calibrated and cautious approach to execution. However, with the recent budgetary allocation to the sector, we expect collections to improve going forward.

During the year, the business successfully commissioned the Bheden Water Project in Odisha, supplying clean water to over 58,000 households, one of the largest projects to be commissioned in Odisha. The business also successfully completed three metro projects, two in Delhi and one in Chennai. The Delhi Metro projects were inaugurated by the Prime Minister, Shri Narendra

Modi. With the Tamil Nadu elections now concluded, we expect one of the Chennai Metro projects to be inaugurated shortly.

During the year, we launched a transformational program in partnership with a global consultant ,

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ocused on driving execution excellence in our Civil business. This initiative aims to significantly enhance operational productivity and accelerate project execution. The program has been initiated with select pilot projects within the Civil business and scaled up in a phase d manner across other projects.

While strengthening its presence in core segments such as building and factories, data centers and public spaces, the business has commenced bidding in new segments of urban infrastructure, including underground metros, stations, tunnels and pump storage projects, opening up a large growth opportunity. In parallel, we have further strengthened organizational capabilities in Civil business through strategic hiring at senior leadership levels.

With a robust order book and L1 position of over INR 10,000 crores, improving outlook on collections in the water segment, expansions into the new segments and the ongoing execution excellence program, we are confident that the civil business is well positioned to turn around and deliver healthy growth in the coming quarters.

Our Transportation business achieved a revenue of INR 1,555 crores for the year. In line with

our strategies, we continue to remain selective and calibrated in this segment. During the year, we secured orders of INR 550 crores, including projects in the TCAS under KAVACH in partnership with our JV partner, as well as a railway siding project from a private sector client. The business has successfully implemented KAVACH across 667 route kilometers and is currently executing deployments across an additional 1,780 route kilometers of the railway network and over 3,000 locos. With the government's continued focus on railway safety, modernization and indigenization, initiatives such as KAVACH are expected to witness wider adoption over the medium-term, and we remain well positioned to secure further orders in this segment.

We continue to bid for opportunities in technologically enabled areas of metros and tunnel ventilation. Our focus remains on fast-tracking project closures, optimizing working capital and selectively pursuing domestic and international opportunities for growth.

Our cables and conductor business has achieved record revenues of INR 2,217 crores, a strong growth of 23%. The profitability of this business is also witnessing consistent improvement, driven by better product mix and the cost optimization. Notably, it has also achieved its highest ever profitability during the year.

The business continues to witness steady inflows of orders for supply of cables and conductors. We had commissioned our aluminum conductor plant last March, making an important milestone in strengthening our manufacturing capabilities and expanding our product portfolio.

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During the year, the business successfully supplied aluminum conductors, including ACSR and AL-59 conductors to various customers across India. On the new product front, Elastomeric cables are slated to commence production in Q2, followed by the commissioning of the E-Beam plant within the same quarter.

Our Renewables business has achieved revenues of INR 516 crores. In a significant development, the business forayed into the wind energy segment with two orders for 100 megawatts from wind projects in Southern India, from a renowned private developer.

We successfully commissioned a record 1,000 megawatts of solar capacity across Rajasthan and Karnataka. These projects are among the largest tracker-based installations in India. We continue to pursue selective opportunities in both solar and wind segments and are well placed to secure additional orders in the near-term.

The oil and gas pipeline business has achieved revenues of INR 258 crores for the year. The business secured two orders in Africa and Middle East. Marking a key milestone, the business entered the GCC region

with a composite station works project, unlocking a large and attractive growth market. Geopolitical developments in West Asia are expected to accelerate investments in energy security, creating additional opportunities in pipeline infrastructure. The business remains focused on expanding its international footprint.

In ESG and sustainability, we continue to make significant strides across the organization. Some of the key initiatives and developments during the year include increased solar footprint across our factories to 39%, up from 32% last year. All five plants in India are water positive with positive water index of 1.48.

Our people-centric agenda focused on fostering happiness aligned with our brand tagline, Hello Happiness, which is a core aspect of RPG Group's philosophy. This year, we saw our "Happiness Quotient" reaching 85%. We have now onboarded an external consultant to advance our Scope 3 Inventorisation and Net Zero Strategy.

Our sustained progress in ESG and sustainability has been well appreciated, which is reflected in the improvement of our ESG Ratings by key agencies, such as MSCI, S&P Global, DJSI and Morningstar Sustainability. Additionally, KEC International has been ranked 19th among BW India's most sustainable companies '24-'25.

In conclusion, while the operating environment, supply chain and logistics ecosystem remains uncertain. However, supported by a strong and diversified order book plus L1 of over INR 40,000 crores and a robust tender pipeline exceeding INR 1,80,000 crores particularly across the T&D and Civil business, we are confident of continuing our growth.

Thank you very much. We are now open for questions.

Moderator: Thank you very much, sir. Ladies and gentlemen, we will now begin with the question-and-answer session. The first question is from the line of Jainam Jain from DAM Capital. Please go ahead.

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Jainam Jain: Thank you for the opportunity. Sir, out of the total order book, how much order book is on a fixed cost basis? And how are we looking the margins to shape going forward in this year or from the escalated commodity value?

Vimal Kejriwal: So if you look at our order book, roughly I'll say 50% or so would be on fixed and the balance would be on variable, okay? But when you look at fixed also, what happens in that is if you look at T&D, 30%, 40% would be on base metals, which typically is also hedged. So what you are exposed to on these orders would be escalation in steel and maybe labor...

Jainam Jain: Okay. So is there any sort of guidance which you would like to give for this year in terms of margins?

Vimal Kejriwal: No, it's too early I think right now. I think we'll wait for the West Asia war to settle. Maybe when we finish Q1 or earlier, whenever we have a better visibility, we will do it. Today, it's a bit difficult to give.

Jainam Jain: Okay. And sir, are we seeing any improvement on the collection from the JJM side?

Rajeev Agarwal: Yes, so last year, we got around INR 800 crores. And this year till now we got around INR 580 crores or INR 60 crores. So this is in line with what we received last year. We have not yet seen any improvement, because if you look at what the cabinet approval talks about is they need some framework to be put in place. They want the JJM Mission 2 to be launched.

So there are a few conditionalities attached before the central government actually starts disbursing its full quota. I understand they have disbursed some amount, but what has exactly happened is still a little bit difficult or not yet understood by our teams. But the expectation is that there will be some improvement because what has also happened, they wanted to do audits, all those audits have been completed, etc. So I think it's a matter of time that the payments start getting released.

Jainam Jain: Okay, sir. And sir, our

receivable days are increased from 88 days to 101 days. And like we have recovered INR 450 crores as part of spillover. But spillover existing data working capital receivable days still tends to continue at a high level. So is there any stress which you are seeing from any specific customer end or like how it is going on?

Vimal Kejriwal: Jainam, your line is very disturbed. I think on the -- whatever I could understand on the -- you're talking about the receivables, I think major reason was there was a spillover, as I had mentioned earlier, of almost INR 450 crores. If you bring that in also, then I think the numbers would be a little bit better.

Also, our Saudi business has got 20% retention, and we have got a lot of large Saudi contracts around two years back, and they are now heading into completion. So I think in the next two quarters, we will receive a lot of release of retentions also. So we expect the receivables to be normalized going forward.

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Jainam Jain: Okay, Sir. Sir, my last question is on the HVDC line. So are we expecting projects ordering in this year?

Vimal Kejriwal: So there is a talk of two new lines being ordered this year. I think one is very close to getting ordered in the sense that I think it's very advanced. There could be a second line also coming up.

Overall, we are talking about some seven projects to happen -- eight projects, sorry. So overall, I don't know by what time it will happen, but one is in a very advanced stage, Barmer complex.

Jainam Jain: Okay. Thanks for answering my question. Thank you so much.

Vimal Kejriwal: Thank you.

Moderator: Thank you. We'll take the next question from the line of Amit Anwani from PL Capital. Please go ahead.

Amit Anwani: Hi, sir. Thank you for the opportunity.

Vimal Kejriwal: Hi, Amit.

Amit Anwani: Hi, hi. So just wanted to understand what is the guidance now for this year in terms of revenue, EBITDA and also for the order intake?

Vimal Kejriwal: So as far as revenue is concerned, as I said, we have an order book plus L1 of INR 40,000 crores. So we have been talking about anywhere between, let's say, 12% to 15%. But I'll say, honestly, Amit, we'll have to wait for some time. But looking at the order book and the way things are happening, I think we should be able to achieve for the year around 12% to 15%.

Now with the problems which we are still having in Q1, Q2, how it will pan out over the first quarter may be a bit difficult, but annually, we do expect that. As far as the order intake is concerned, we did around INR 25,000 crores and odd this year. So we expect that we should be

touching around INR 30,000 crores of order intake for the year.

On the margin guidance, I think right now, it's a little bit too hazy for me to give a guidance maybe in a month or two, once the things clear and once we see the reaction of the clients and what is happening and how the prices stabilize, I think give me a month or two, then we'll come back to you on the margin front.

Amit Anwani: Right. Sir, second, you highlighted because of the elections in four, five days, we had a labor issue plus obviously, a lot of geopolitics which we are seeing. So what is your understanding in terms of pipeline conversion in India?

Are you sensing that there could be delays in pipeline in terms of conversions or the things are taking longer than expected in terms of orders converting? Any sense, since a lot of things have changed in the past three months? And you also highlighted the LPG shortage is also impacting indirectly your business. So just wanted to understand on that front?

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Vimal Kejriwal: So Amit, whatever we could see, I have not seen any major or any significant delays in pipeline conversion, at least in India, definitely, okay? Middle East, while the pipeline

is pretty strong, I think conversion has been taking place a little bit slower than what we would have liked it to be, to be very honest.

But there's a strong pipeline, and we have had repeated meetings and we've been called by the clients saying they are going to order and you need to strengthen and we are going to have rehabilitation and redundancy jobs, etc., coming up. So that part has been a little bit slow in terms of conversion, not in terms of pipeline.

India, I think what is happening in the India piece is, one is if you look at the last year, H1, there was a slowdown in T&D at least that has now been made up in H2. And with large HVDC projects, which are spanning over 48 months, etc., people were not that quick in awarding, which has now started happening, okay?

So I'm not seeing anything, honestly, any major change in the pipeline conversion. But what we need to understand is the pipeline, if you look at Civil, residential, we have not seen any slowdown. Right now, we are negotiating pretty large numbers, large number of orders -- tenders we are negotiating.

Where we have seen a comeback has been on the automotive side, okay. We are L1 in a large -- with a large customer, I would like to say, we are discussing other tenders also and metals and mining. And that has been the trend. Metals and mining was for the last one year, we have not seen any other major industry coming up. So with private capex being where it is, impact, I don't think we are seeing much impact on the conversion or the pipeline.

Amit Anwani: Right. So finally, on the 27% book exposure to Middle East, you said largely the sites are going. So I just wanted to understand pre-war and now, what is the productivity drop? And what was the revenue loss we had because of this impact in Q4? And also how are we -- since the war is still on, how are we managing our suppliers and the site execution, some sense would help here?

Vimal Kejriwal: So Amit, we can divide it into various parts. So first of all, site execution has not got impacted, okay? Sites are all ongoing. Once in a while, I think our factory stopped for 1.5 days at the peak -- at the start of the war, but then it has been running.

Same thing has been happening on projects. Off and on, we had some stoppages at the start. Again, last one month, I have not heard of any stoppage or anywhere in any of the pieces. So that's as far as the physical part is concerned.

I think what has got impacted severely had been the supply side of it. So steel was not available, shipments from China. I have a transformer stuck in China for last three -- I think, what, two months already. So those things are even supplies from India were initially very badly affected. But now what is happening is that the shipping routes are slowly getting stabilized, like we have been able to send quite a lot of steel now from India, and it has reached the plant, whether through

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Fujairah or in Saudi, it goes through the Red Sea, and on the Western side. Slowly, slowly, it's stabilizing. The time lines are increasing, the costs are increasing, but some semblance is coming. As far as the numbers are concerned, difficult to quantify, but I think we lost around I would say, INR380 crores or INR 400 crores of revenue in Q4 because of this slowdown. And also we were not able to dispatch a lot of material, which was lying in our Dubai factory, so which led

to an increase in our working capital as well as on the borrowing side, which has now – which has – part of it has gone, part of it is now going. So there will be some impact. I don't think it should be as severe as Q4, but there would be some continuing impact definitely in Q1 also.

Amit Anwani: Thank you, sir. Thank you so much. And all the best .

Vimal Kejriwal: Thanks, Amit.

Moderator: Thank you. The next question is from the line of

Vaibhav Shah from JM Financial. Please go ahead.

Vaibhav Shah: Yes. Sir, on net working capital and debt, how are we targeting for FY '27?

Moderator: Sir, excuse me, sir. Mr. Shah, may I request you to kindly use your handset, please?

Vaibhav Shah: Am I audible?

Moderator: Yes, please.

Vimal Kejriwal: Yes. Better, sir.

Rajeev Agarwal: Better, Vaibhav.

Vaibhav Shah: Yes. Sir, on net working capital and debt, how are we targeting for FY '27?

Vimal Kejriwal: So I think the way we have been looking at it, Vaibhav, is that we are targeting an overall reduction of almost INR 1,000 crores in the debt. But -- and the way we are looking at INR 500 crores should happen by end of Q2 and another INR 500 crores by the end of the year. That's the way we are looking at it. Rajeev, any views on that?

Rajeev Agarwal: No.

Vimal Kejriwal: Yes, I think that's...

Rajeev Agarwal: H1 should be around INR 6,000 crores...

Vimal Kejriwal: So H1 should probably be -- by end of H1 should be around INR 6,000 crores is what Rajeev is saying.

Vaibhav Shah: By ye ar-end, it should be around INR 5,500 crores?

Vimal Kejriwal: INR 5,500 crores, yes. Yes, absolutely.

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Vaibhav Shah: Okay. And sir, on working capital days ?

Rajeev Agarwal: 110 days.

Vimal Kejriwal: 110 days.

Vaibhav Shah: So you mentioned that there were some collections in the quarter. So if we look at the current scheme of things, sir right now, it should be somewhere around 130 -odd days.

Rajeev Agarwal: I think roughly around that -- currently, we are at about 135 days Vaibhav , okay . And by H1, I think we should come down to about 120 days or so. And another 10 days, we will reduce in the H2.

Vaibhav Shah: Okay. Okay, got it. Sir, secondly, on the Civil side, we know that water execution has been impacted. But apart from water, also we have seen some weaker execution. So what are challenges we are facing? And how do you see the execution improve in FY '27?

Vimal Kejriwal: So Vaibhav, two things which I talked about earlier. One is labor availability has been a continuous issue, okay. So labor will continue to be a problem. I think as I said, out of our 30,000, we had 12,000 , now they've gone up to 15,000, 16,000 we expect. So that's one challenge.

Secondly, what we have also seen is that especially on the real estate side, there have been changes in plans and then there were new codes issued in the NCR, which was withdrawn after three months, but that led to suspension of some of the projects commencement, etc.

And also on the industrial side, we keep on seeing changes happening. So we had at least, I'll say, four or five projects , where there were significant delays in revenue ramp -up. But now those have been closed, so that should start. So I think we will see a significant turnaround happening in the Civil business, I think, hopefully, from Q2 onwards because the labor is now coming back. So April, May will be a challenge. But by May end, we expect the labor to be back. And now most of the -- I will say, our projects have started where we are on hold for various reasons, different reasons, but they were on hold.

Vaibhav Shah: So we could see a 20% kind of growth in Civil revenue for this year ...

Vimal Kejriwal: More than that.

Vimal Kejriwal: No, definitely. I think we are looking for more than that. We should have at least 30% or maybe more than that growth in the Civil revenues.

Vaibhav Shah: And order inflows for Civil?

Vimal Kejriwal: Right now, we are looking at around -- if I'm not wrong, around INR 8,000 crores or so is the order intake target for Civil , against INR 5,000 crores, which we got this year and INR 2,500 crores last year.

Vaibhav Shah: Okay. Okay . And sir, lastly, what would be our JJM order backlog right now and outstanding receiv

ables?

Rajeev Agarwal: INR1,400 crores.

Vimal Kejriwal: Receivables are around INR 800 crores ...

Vaibhav Shah: And the order book ...

Vimal Kejriwal: So order book is around INR 1,400 crores, receivables around INR 800 crores.

Vaibhav Shah: Okay, okay . Thank you, sir. Those are my questions.

Vimal Kejriwal: Thanks, Vaibhav. Thank you so much.

Vaibhav Shah: Yes, thank you.

Moderator: Thank you. We'll take the next question from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: Yes, sir. Am I audible?

Moderator: No, sir. Not clearly .

Vimal Kejriwal: Not very clear, but I can at least hear you. Yes. Go ahead, Parikshit.

Moderator: Yes.

Parikshit Kandpal: Yes. So m y question was in this such tough environment, so one is the price increases and one is the execution. So if we execute, we lose on margins, and I think that is also preempting us not to give us any guidance on margin. So how are the clients telling us, I mean, because are they ready , like are the site clearances available?

Do you think that the clients are asking you to stop work or there is indecisiveness from the client side that you should execute ? So if you can help us understand on -the-ground, what is exactly happening, which is not giving you confidence to give the margin guidance?

Vimal Kejriwal: So Parikshit, as far as on -the-ground execution is concerned, I don't think we have a single client.

I'll repeat a single client who has asked us to either go slow or not execute. That's numb er one.

Number two is on margins. I think the issue is slightly different on margins because as I said, there have been cost increases, et c., and we are talking to various clients.

So unless and until you have a clarity on what will happen with all those, then let's say, a freight has gone up. Now we are very clearly -- we are talking with all our Middle East clients and everyone else saying that this needs to be reimbursed. And in s ome cases, till we hear that we have not allowed the shipments to take place, which is also a reason why you're seeing a lower this.

But discussions have been going on, as I said, and some contracts, we have clear Force Majeure clauses, which allows us to pass on. So it depends upon the criticality of where we are. If the project needs the supplies to be done without delaying the projec t, those are being done, and we'll take it up with the client later on.

Where we have the luxury of holding it till the client gives it, you are holding at some places.

But coming back to your basic question, I don't think we have been asked to hold back any execution in any project I'm saying, either in India or international.

Parikshit Kandpal: So when you analyze your cost to completion I mean, on a quarterly basis or monthly basis, you will be budgeting and seeing it measuring the performance. So if this situation persists at the current level, largely on the steel and on the supply chain issue s, so what kind of -- currently, what kind of under absorptions of margins would be happening? Will it be 50 basis points, 100 basis points? So largely if this thing persists, what kind of impact do you think we can have on the margins -- on the order book ?

Vimal Kejriwal: Difficult to quantify. But as I said earlier, see, 50% of the orders are on price variable , where most of the increases will get passed on. Of the balance, some have base metals, some have steel and different items are there. So let's take Civil. Civil , 80% is steel and cement. And that it's a complete pass -through. So it's only the labor and overheads. So it will depen d upon what we are able to pass -through , what we are not able to do.

Now , whether the quantum will be 25 basis points or 50 basis points, difficult to quantify, which is why we are holding back. But do you expect it to be beyond 100 basis poi

nts? No. But whether

it will be 0 or 25, 50 is something which is holding back from giving a number.

Parikshit Kandpal: Okay. And within the segments, which segments like got impacted because of this, I mean, this will be more prone towards correction in margins if the things persist? So where are we most exposed in terms of the supply chain issues or labor issues...

Vimal Kejriwal: So labor issues clearly in India, Civil piece, which is more exposed. We have not seen a labor problem in the Middle East, in spite of everything what is there, okay? On margin front, difficult to see where you are more -- I think very -- I think it's almost, I'll say, evenly spread. But basically, if you look at Middle East has got more supplies.

So if the logistic costs or shipment delays and all happen and if the client decides not to compensate, okay, then there could be some impact because typically around 30%, 35% of our revenues would be from supplies, okay? And if the freight cost and logistic cost goes up, see, then there could be some impact on the Middle East margins.

But we have been discussing with most of our -- in fact, all our Middle East clients and there are ways and means which are being discussed as to what can be compensated. Like one client has said, okay, I'll pay you some additional cash straight away. So those things are getting discussed. Someone has said, okay, diesel price is going up. So most of our clients are government. So any case, the diesel price hike has gone to the government. So how do we put it back to you? So

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those discussions are right now going on. How they will finally end up, I honestly do not know, okay? But as I said, impact -- I don't see an impact beyond 100 basis points in any case, whether it would be 0 or 25, I -- honestly, very difficult to guess to day.

Parikshit Kandpal: Okay. So broadly, if I compare, though you're not giving any guidance, but last year with 7.1% EBITDA, so max losses that we could be muted or probably it could be somewhere in the range of 7%, on the lower side 6%, 8% on the higher, somewhere in between, we could land up for the year as a whole right now the assessment?

Vimal Kejriwal: Those are your numbers, not mine.

Parikshit Kandpal: Okay, sir.

Moderator: Thank you. We'll take the next question from the line of Ravi Swaminathan from Avendus Spark. Please go ahead.

Ravi Swaminathan: Hi, sir. Thanks for taking my question. If you can give the T&D pipeline commentary for both domestic and international markets that will be great. Every year, you end up giving that?

Vimal Kejriwal: Ravi, I could not understand anything. Can you repeat or something, I think the line is very disturbed.

Ravi Swaminathan: Okay. If you can give the...

Vimal Kejriwal: Yes, now better, much better, yes.

Ravi Swaminathan: Yes, yes. If you can give the T&D pipeline commentary that is there both for international and domestic markets, that will be great. Every year you end up giving it...

Vimal Kejriwal: So the pipeline we have is for the next three months, which will be around INR 70,000 crores divided equally between India and international.

Ravi Swaminathan: Okay. And how it would have been compared to last year, sir?

Vimal Kejriwal: It's almost similar in that sense. Overall, for the quarter, it has been similar. Overall, it keeps on moving a little bit like one HVDC project will increase by INR 25,000 crores. That's the way it's happening. Saudi has got some large HVDC also if they announce and then the pipeline will move significantly.

Ravi Swaminathan: Got it. And a slightly long-term question on the India power transmission capacity. This is more like a layman kind of understanding that I -- from a point of view that I'm asking this question.

FY '26, around 50 gigawatts of solar capacity would have been added and that would have be

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the highest in the history.

And to achieve a target of around 300 gigawatts by 2030, we need a linear addition of 40 to 45 gigawatts only. So is there a scope for transmission work to increase further over the next two, three years? Where is that calculation, which will show the growth here?

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Vimal Kejriwal: No, you're absolutely right, Ravi, and you're not a layman. So let me just say one thing that there is a huge pressure. And if you look at the numbers, and I think you have a Power Grid conference also after this. So I think that there's a huge pressure on -- first of all, on completing the existing projects.

In fact, one of the reasons which I did not want to say for now that you're provoking me to saying is that a lot of our resources are all diverted towards completing lines to release the grid lock. And because of that, a lot of new lines where I would in the normal course would have started work are actually slight -- I'll say, put on hold because the resources for clearing ROW and other things are limited from our side as well as the client side also.

And it's not limited to Power Grid. It also applies to all the private sector, where we work with virtually every large private sector client in the T&D sector. And this issue of ROW and all continues everywhere. So I think we are clearly seeing that transmission and with our discussions with the authorities is that, with all the flags they have drawn on grid lock, etc.

There may be some advanced construction also starting to happen, where you start building in redundancy, especially in areas of Rajasthan, Gujarat and now towards the south also, Karnataka and all, I think we are doing seven or eight projects in that region now.

So clearly, we are going to see a lot more work happening on T&D and also on the substation side for grid stability and the battery storage also because you are looking at INR1, INR 1.50 power price in the day and INR 10 touching in the night. So a lot more stabilities will also have to be built in the system.

Ravi Swaminathan: Got it, sir. Yes, thanks a lot.

Moderator: Thank you. The next question is from the line of Ashwani Sharma from Emkay Global Financial Services Limited. Please go ahead.

Ashwani Sharma: Yes, Hi, sir. Good morning and thank you very much for the opportunity. Sir, my first question on the order inflow and pardon me if I missed it. You talked about INR 30,000 crore s kind of order inflow. Can you split it in terms of segments, sir, T&D, Civil and others?

Vimal Kejriwal: So what I said Ashwani, was I can't give you exact numbers of what is that. But out of INR 30,000 crores, we said roughly around 60% would be T&D, so around INR17,000 crores, INR 18,000 crores is what we are targeting in T&D and around INR 8,000 crores in Civil. And the rest would be split between our cable business and renewable and railways. That's the way we -- the broad breakup.

Ashwani Sharma: Okay. Thanks for the clarification. Secondly, sir, again, on the supply chain, especially on the LPG side. So on this side, are we looking at other alternatives, any other options just to continue the operations?

Vimal Kejriwal: No, no. So first of all, our operations have not been impacted in the sense of our factories, if you're looking at that, because fortunately, we had multi-fuel and other arrangements. So we are

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okay in our operations. But what I had said was two different -- two things. One was we are seeing some impact on the vendor side, which I think by now is now getting normalized. People have made other arrangements because I remember in March, a lot of supplies got deferred because many of our vendor plants were having a problem in terms of hardware, in terms of insulators, which were dependent on LPG. Now people are

re making alternative

arrangements. So it's truly falling in place.

The second major issue which we had was all the labor colonies, which anyone has, whether we or anyone else is always dependent on LPG. So there was a major shortages of LPG resulting many workers going back. I think there, obviously, you are now shifting to electrical, people are now shifting to wood and all that. So -- but all arrangements are being made, but obviously, it is not as efficient or as environment friendly, at least for wood and all that. But slowly, slowly, it's slowly falling back.

It's still a bit of a challenge to get this. And also added to that is a little bit of a challenge on transportation and diesel supply. Although in Mumbai and all that, we don't see that happening. But if you go to different areas, you do have seen queues of trucks and all that. So there has been some impact on logistics, which I think hopefully will get settled.

Ashwani Sharma: Okay. And finally, sir, if you can give me a capex number for FY '27?

Vimal Kejriwal: '27, we should be -- I think it will depend upon what is happening, but we had targeted around INR400 crores, okay?

Ashwani Sharma: Okay, all right, INR 400 crores.

Vimal Kejriwal: Yes.

Ashwani Sharma: Thank you very, sir.

Vimal Kejriwal: Thanks, Ashwani. Thank you.

Moderator: Thank you. The next question is from the line of Anuj Upadhyay from Investec. Please go ahead.

Anuj Upadhyay: Yes. Hi, sir. Thanks for the opportunity. My first question is basically on the solar EPC plants. So like last year, we did around 1 gigawatt of an EPC. But currently, I don't see any kind of an order coming in from the solar EPC side. So how has been our experience over there? And are

we still active. So, secondly on the wind side. So recently we have 1 gig...

Vimal Kejriwal: So Anuj, we are definitely still looking – looking at orders in the solar. However, what has happened is that if you look at the last six months, with the IPO boom, there were too many solar companies coming into the market, and they had significantly like what had happened on the road sector, etc., significant undercutting of pricing had happened, especially on the government tenders like NTPC and NLC, etc.

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So virtually, that market is right now shut for large players. Virtually, I'll say that the large markets because you have seen too many small time EPC players getting into that market. So basically, our market is now focused on the private sector and the two wind projects, which we announced and we are welcoming some more orders.

They are more because on the wind side, if you look at it, there are not too many large EPC companies. So our focus has, in a way, shifted more towards wind. But solar, we have been bidding for and working with some private clients. And I think hopefully, this year, we will have some more projects coming in on the solar side also.

Anuj Upadhyay: Fair point, sir. And similarly, how have been the experience on the wind? I know it's quite recent that we have won the bid. But overall, if I see the wind market relative to the solar is much smaller. And then in wind, we have two or three notable players who are actively getting -- or are present in the EPC space. So how big this opportunity could be? And what could be the sustainable margin over here?

Vimal Kejriwal: I think we are clearly seeing a lot more focus on wind, okay? Otherwise, for me to get a major order in wind would have been difficult because we did not have a prior experience. But people are finding that wind, especially when -- if you look at what is happening on the grid lock and the power situation where in the night, we have a shortfall shortage and day we have surplus power, where plants are being back down.

There is a clear view that many people have burned their fingers on solar, where 60 gigawatt of back down

, etc., is happening and wind is a more perennial resource. So we are clearly seeing a lot of people now shifting to wind. The other advantage in wind you have is that you don't need to have all your turbines adjacent to each other.

In solar, your entire land block has to be en masse, one together, which is a lot of land acquisition and other issues are happening. Wind in a way, you put one turbine, the next turbine can be half a mile away. So it doesn't increase your cost too much. So solar, you cannot do that. So I'm seeing that execution of wind and all that is relatively easier for the developer also. So I think we are seeing a shift happening more towards wind, especially on the private side.

Anuj Upadhyay: Got it, sir. The next is on the T&D side. So you do mention that the ROW challenges still persist. While Power Grid in the last meet, they mentioned that the government has -- certain of the state government has approved them to procure land on a market basis versus the circuit rate earlier. So post that change, hasn't there been any kind of an improvement happening related to the ROW issues or the challenge still persists across the state?

Vimal Kejriwal: I think the challenge still persists. Very clearly it persists. And I think you have to understand a couple of things. So one is, let's say, you do a substation where you acquire the land and you pay the money and it gets closed. In transmission, you are still acquiring the right to use. And that is always relative, saying how much money you want to pay, what is the right to use because the land does not get transferred to the developer.

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The land still remains with the farmer. And although, we are talking about market, but that's a moving target. And what they have done is you need to form a committee where there is a village guy and other people and all that. And unless there is the committee may or may not agree to a settlement, then it goes back to the District Commissioner rule and settles, etc.

So it's a long-drawn process and it is helping in resolving at the end of the day, not at the start of the day. So after all the problems you have, you then get it resolved. So is it expediting the process? I am not so sure, honestly.

Anuj Upadhyay: So fair point, sir, And lastly, on water collection, sir. Any states where we are seeing marked improvement happening? What our expectations are on the collection side?

Vimal Kejriwal: So we are in limited number. We are only in two states, Odisha and MP, and we have got

reasonable collection from both the states. So I think that way, I would not like to say whether there is a marked improvement or a marked deterioration. What last two years or whatever we have been getting INR 50 crores, INR 60 crores per month is what we keep on getting, one month from Odisha, one month from MP. So there's no either improvement or deterioration, let me put it this way.

Anuj Upadhyay: Fair point, sir. That's very helpful and thanks for the opportunity.

Vimal Kejriwal: Thanks, Anuj. Thank you.

Moderator: Thank you. The next question is from the line of Sandip Sabharwal from Asksandipsabharwal.com. Please go ahead.

Sandip Sabharwal: Hi, Vimal ji, I hope you are doing well?

Vimal Kejriwal: Sandip, good to see you.

Sandip Sabharwal: So as you know, I've tracked the company for, I think, decades now.

Vimal Kejriwal: I know.

Sandip Sabharwal: Last three years – last three years, we've been seeing a scenario where every year, beginning of the year, like this year, obviously, you're not giving a margin guidance. I know because of uncertainty. We've been looking at margin improvement, some historical projects getting over, deleveraging, etc.

But I think the debt levels have actually trended up and the margins have not improved. So I think beyond this phase where, let's say, this Middle East

crisis, when it will end your guess and

my guess is as good as anyone else's. But subsequently, in a normalized scenario, like when do we see the things actually moving towards a scenario where you move back to near double-digit margins and you actually have the deleveraging cycle play out?

Vimal Kejriwal: So Sandip, I think it's a valid question. If you look at what is happening, at a point of time, we had thought that T&D business will plateau and which is why we wanted to have a couple of

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other legs to stand on. And that's where we have decided to focus on railways and Civil. Now Civil, this is our sixth or seventh year, okay? And now we have reached a reasonable size. I think there was -- there is a steep learning curve.

Also, we decided to grow it organically rather than, let's say, spending INR 5,000 crores in inorganic growth. And I think today, we have sort of reached the end of our investment part, where you are investing to get PQs, acquire capability, etc. So if you look at some of our competitors in this industry also, many of them have taken seven, eight years to reach a respectable level in the Civil business, okay?

So I think to me, Civil is now turning around. We are beyond now -- I think we are past the learning curve. Also, what had happened was that we had picked up a few metro projects because that was supposed to be the thing at that point of time on the metro elevated projects.

Fortunately, at least three out of the four are completed and fourth one will get completed now, which will help us in working capital also. To me, I think Civil will now turn around this year onwards. So I think we should be seeing some uptick getting contributed by Civil, but it will also contribute a large number to the revenue, which will help us in managing our leverage.

Railways was unexpected. We were expecting it to grow significantly, but somewhere down the line, someone took a decision saying that all the railway projects will now be done by the divisional railways, not the PSUs like RVNL or anyone else, okay? And suddenly, the bottom fell out, because now instead of having three clients, we ended up with 18 clients and then making them understand commercial terms, EPC terms became a nightmare.

So virtually that entire -- and also electrification got over, which was also our forte that time -- at that point of time. So that business is getting run down, except for technological part, where we're talking about KAVACH, and Signaling, and also on the tunnel ventilation and some part of metro.

So that, I think, will probably take a year or so further to stabilize and then we will take a call on what we need to do. Although, we are now working on the international market. So coming back to your basic question, I think this year, we'll have to see what happens on the West Asia and other pieces and all that.

Next year onwards, I think we'll clearly see an uptick happening on the margin side. When do we reach double-digit is a million-dollar question. I will probably not be able to answer today, but that's also our ambition and our aspiration that we reach it as fast. Can we do it next year? It looks difficult to me, okay, and Sandip, what also happens is that this business, most of the projects will be at 7, 8, 6, 7 sort of margin, then you end up getting at least 3 or 4 very large projects with large margins.

So it's also a question that if you today get two projects which are difficult, but which are very

high margin, you're able to execute. The entire margin levels gets pulled up. So maybe I think we'll have to wait for another year or so before we look at double-digit. So maybe FY '29 or

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something or -- very I don't know very difficult to talk about it today. I hope I have been very frank and open with you.
Sandi

p Sabharwal: Yes, I understand. So I think a lot of things you addressed. So just a point of view from my side, like maybe it's time to just focus on not on growth per se, but on improving the balance sheet first. And then once that gets addressed, then I think the other things fall into place. But obviously, it's your business, you need to decide on how you need to proceed? Thank you.

Vimal Kejriwal: So I think, Sandip, that has been a question which is getting debated everywhere, including in our Board on growth versus margin. It's a very tough decision to take, okay? And earlier, we have been doing that. And I think that's something which we are again -- in fact, we had a Board meeting day before and this discussion also again happened. So we are revisiting this part and saying that, should we look at slowing down the growth and look at more.

But if you look at what I said at the start of the conference, we have changed our order intake, the way we are doing order intake. So like we have stopped taking any order which has got any negative cash flow at all. And I'm saying in the life of the project, okay?

So we have let go -- that's why when you look at my order intake to our execution ratio, it's one of the best in the industry because we are looking at very clearly focused, so I think that thing is happening. So you don't see a major growth happening in the order intake or on the order book, but revenue is growing. I think your point is well taken. We will keep that in mind. It's a point of discussion already with us.

Sandip Sabharwal: Welcome. Thank you.

Vimal Kejriwal: Thanks, Sandip. Thanks a lot.

Moderator: Thank you. The next question is from the line of Arafat Saiyed from Dolat Capital. Please go ahead.

Arafat Saiyed: Hi, sir. Thanks for taking our question. Am I audible?

Vimal Kejriwal: Yes, Arafat. Go ahead.

Moderator: Yes.

Arafat Saiyed: Yes. Every time you supposed to give, let's say, order pipeline across the segment. So is it possible to quantify that?

Vimal Kejriwal: I thought I gave the order intake pipeline. I said INR 30,000 crores...

Arafat Saiyed: T&D, earlier you used to give, let's say, around INR 1,80,000 across segments. So if you can quantify, let's say, apart from T&D, also on Civil and other infra part.

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Vimal Kejriwal: So I think I don't have the exact number, but what Abhishek is saying, is almost INR 50,000 on the balance INR 1,80,000 on Civil side. If I'm not wrong, INR 25,000, INR 30,000 is on the renewable side.

Rajeev Agarwal: And then Railways.

Vimal Kejriwal: Railways, it's not -- I don't think we have a large order intake target also. So it's okay.

Arafat Saiyed: Okay. And sir, secondly, on net working capital days, I know it has increased to almost 137 days as of now FY '26. And you also said that you're getting -- supposed to get some money from the Saudi for the retention project, which is now completing. So any target in your mind that what would be your net working capital days by end of FY '27?

Vimal Kejriwal: I thought we said 110 days.

Arafat Saiyed: Okay, okay. And lastly, sir, let's say, how you think -- how you see the Middle East crisis now?

I think it will get over in the next quarter or two. So are you seeing, let's say, large tendering pipeline will start again from the H2 onwards? Or it will remain, let's say, muted for some more time? Let's say, how do you see that piece?

Vimal Kejriwal: So Arafat, it is not muted today. There's a large tender pipeline of almost INR 35,000 crores even today on this. And as I said earlier, we expect it to go up, because for most of these people, I'm very clearly seeing that transmission is very essential. What cut down may happen, could be on non-essential part.

Also oil at INR 110 and all that. They're all making a lot of money. Let me put it this way, because the quantity

has gone up, but the price has shot up. And also with our discussions, the clients have called us in all the countries, Saudi, UAE, Oman, and they have very categorically told us that the business will go up.

So please ensure that – you actually beef up your presence. So see, one is rehabilitation, one is redundancy. There will be a lot of rebuild happening, data centers, et c. So I'm very clearly seeing a lot of opportunity. And let's say, extremely today, all the sanctions on Iran are removed, then Iran will become a very large market.

Arafat Saiyed: Correct. Thanks. Yes.

Vimal Kejriwal Thanks, Arafat . Thank you.

Moderator: Thank you. The next question is from the line of Bhavin Modi from Anand Rathi. Please go ahead.

Bhavin Modi: Hi, sir. Thanks for giving the opportunity. So my first question is out of the six segments in FY '26, only the two segments showed the growth and the four businesses showed the degrowth. So where can we see growth coming from in FY '27? Can we safely assume from the Civil and the Transportation?

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Vimal Kejriwal: So it will not be from Transportation, it will definitely be from Civil. Transportation may grow a little bit, but I think it will not be material. So I don't think we should assume any major growth in that. But Civil, as I said earlier, will definitely grow by 30%, 35%. That's what we are talking.

And cables will definitely grow. So cables is INR 2,300, it will grow at least 15%, if not more.

Bhavin Modi: And sir, since now the cable has almost touched INR 2,000 crores plus, right, plus the growth that has been seen. So are there any chance to look for the strategic investment for value unlocking or something like that? Is there anything on the Anvil?

Vimal Kejriwal: That is definitely on the Anvil, but not in the near-term. What we had said, Bhavin, if you remember when we subsidiarized cables, we had said three years at point of time. So 1st January '25, around maybe '28, '29 is the year when we will look at it. I don't think right now, we don't have any plans, but it will definitely happen over maybe one, 1.5, two years later on.

Bhavin Modi: Got it. And sir, just last question, in the Civil business, there is a labor problem, which is persistent, right? So Q4 is the quarter where there's a heavy execution takes place. But now in FY '27, we will see a huge election coming in the UP. So how have you planned anything in terms of the labor?

Vimal Kejriwal: So I think a lot of things are happening on the labor front, okay? One is how do you keep the labor with you. So the major thing is that how do you give them better facilities, what else should be done? Do you can – can you get permanent labor, build labor colonies. There are a lot of things which are happening on -- plus many of the clients are now willing to pay extra money for retention, et c.

So clearly, one part which is happening is on how to get and retain more labor. The second part is how do you mechanize? Like today, we have started using plastering -- automatic plastering machines. We are now getting robots for brick-laying, et c., okay? Then how do you do painting by way of drones.

So I think the second piece is largely on how do you reduce the need or optimize the mechanization, optimize the amount of labor which you are hiring. The third piece would be on how do you get more or better formwork, which requires lesser labor, et c. And I think a lot of work is happening on that.

And the fourth piece would be on substantial skilling and training. I think we are working with some people. We are working with Power Grid. We are working with a lot of other people on trying to see how do you skill labor and upgrade the require the needs from just being an ordinary labor to a mason or getting into from a normal carpenter into the aluminum formwork, et c.

I think so on four or five

different fronts, not only we, the industry and everyone is trying to work and see, how can we retain labor, how can we mechanize more, what else needs to be done. I think it's becoming a burning issue. And if you look at anyone, whether it is L&T or anyone else, everyone is facing this issue and everyone has been trying to tackle it jointly.

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Bhavin Modi: Got it. Sir, my question is when we see – we'll see the growth in the Civil, so I assume we have almost factored in in case there's a labor disruption due to UP election. And secondly, sir, how we should look at data center business in the Civil side, both internationally and domestically?

So are we seeing a good traction coming in the DC side?

Vimal Kejriwal: I think DC side, we have seen a lot of announcements happening, and that will slowly start getting converted into orders now, okay? Like Andhra Pradesh, there's a large data center announced. Reliance has been talking -- so many people have been talking about it. So I think it's a matter of time that those start getting converted from drawing board into physical orders. People are talking. I think the orders will start coming in.

As far as the question again on AOP and etc., I think I also talked about getting into a little bit of infrastructure, where it's much more mechanized. You want to do an underground, you'll get a TBM and doing, you don't need that many workers and all that. So I think the focus is also shifting on looking at what sort of businesses you can do with lesser labor.

And third part, which we have not discussed earlier has been that in oil and gas, we already in international market. Civil also, we have been looking at something on international, especially on the water front, etc. So that is also a part -- some part would come in from there, where we don't see a labor challenge.

Bhavin Modi: Got it. Got it. Thanks, sir.

Vimal Kejriwal: Thanks, Bhavin. Thank you.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor Company. Please go ahead.

Saket Kapoor: Yes. Namaskar, sir.

Vimal Kejriwal: Yes, Namaskar, Saket ji.

Saket Kapoor: Sir, to be very brief, as you spoke about the vagaries of labor and then upskilling from our side. Sir, the implementation of the new Labour Code, how do we see the cost for us for the labor moving up or what should be penciling in terms of the incremental increase just because of that on a quarterly basis? How should that pan out?

Vimal Kejriwal: See, this year we had provided around INR 59 crores, which would provide for basically more for the managers than everyone. Okay. And now there is no longer any impact on that. In workers, you're already paying them almost 100% as salary, so we have not seen any significant increase in the labor cost on account of that. The issue was where your basic salary very less. So whenever the basic salary was related 20% of your CTC.

And now Gratuity Act is saying, maybe 50%. So on those places -- so it's more at managerial level, where the salary was structured. For workers, if you look at the factories, 90% is the basic wage. So, I don't see a major impact on the construction side or that side. It will be a little bit,

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but it will be absorbed in the contract price. The major impact of this will be your minimum wages, wherever they increase, it has a greater impact.

Saket Kapoor: Okay, sir, because what we have seen is the unrest across many parts of the country, especially with the case at Noida that was just pertaining to this Labour Code issue, I think, so. So, since we are labor intensive, does this create any hindrance or any risk for our margins?

Vimal Kejriwal: Saket ji, my understanding is that it was not from the Labour Code it was basically on overtime payment and all that. See

, typically what happens when a worker leaves and comes, he wants to get a 12-hour payment. He doesn't come for 8-hour work. And the 4-hour overtime payment should be double the rate. That is the way it continues.

So I think there the issue was that they were working -- what I read in the newspaper, I don't know if it right or wrong that you are working for 12-hour or 10-hour but you didn't get the money for overtime. That was the discussion. It was nothing to do with Labour Code and all that.

That's my understanding. And it happened in a couple of other places as well. Basically, what happens with workers, they are leaving their homes and coming, they don't work for 8 hours, they have to work for 10-12 hours. And according to that, you give money. That was my understanding of the whole issue. Labour Code was not a -- yes, Saket ji?

Saket Kapoor: Yes, sir. Just to conclude, two points. Firstly on the EHV cable capacity addition, sir. What is the scenario play-out according to the demand supply of EHV cable in the country? And JJM scheme, sir, after March, how are the receivables declining? For April and May, our receivables are down by what amount? If you could give just some color whether it has improved or not?

Vimal Kejriwal: I don't think it has improved, Saket. The JJM continues to be where it is. The same INR50 crores, INR60 crores, INR70 crores that we have, that's how much we get. That's how much we are executing. So when will the receivable improve when the project is about to end or the government pays double the money of what they are paying today?

I don't see that happening in the near future. It's not happening yet. Now that the cabinet has approved it, it will have some effect and when the money comes, that's a different story. The

receivables are not increasing. They are not decreasing either. The money is coming, the work is being done.

Moderator: Thank you, sir for answering those questions. We'll take the next question from the line of Mihir Vyas from 9 Rays EquiResearch. Please go ahead.

Mihir Vyas: Thank you, sir for the opportunity. I just wanted to ask any update on the Power Grid issue? I mean when can we expect the orders to start flowing in from Power Grid side?

Vimal Kejriwal: So we have a time line, which I think is getting over in August also. So from September onwards or October onwards, it should start getting. Although , we are still representing with them to reduce it. But as of now, I think the earliest we can expect would probably be October or so

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because you start bidding in August and you get the orders. So maybe a month or so more after that.

Mihir Vyas: Okay. And any potential order book, which we can expect from their end?

Vimal Kejriwal: Too early to say . At that time, what tenders are open at that point of time and all that will depend upon that.

Mihir Vyas: Okay, sir. And sir, as you said, just steel and labor are the factors which shall affect the margin.

Any -- as you have discussed a lot on the labor side, any same color for the steel?

Vimal Kejriwal: So steel definitely has gone up. But I think what has also happened in the last one or two weeks, the steel prices started coming down again INR10,000, INR12,000 was big, INR3,000 is less already. And we are seeing because ultimately, we are all talking about that demand is coming down, projects are not coming. So at the end of the day and once you are approaching near monsoon now, even automatically steel prices come down.

So the same thing will happen. I don't see steel prices being a major spoiler in the market. And also what has happened was that in many of our orders, which we are now executing had been taken at a higher steel price. So what has happened is that , although the steel prices have gone up, we are, in many cases, still within our tender estimates and all that, notwithst

anding the

increase . But if you earn a little extra, it will go down.

Mihir Vyas: Okay, sir. Thank you, sir. Thank you so much.

Vimal Kejriwal: Thanks, Mihir. Thank you.

Moderator: Thank you. As there are no further questions, I now hand the conference back to Mr. Vimal Kejriwal for closing comments. Thank you, and over to you, sir.

Vimal Kejriwal: Thank you, everyone, for your continued interest in KEC. Thanks . Thanks, Michelle. Thank you.

Moderator: Thank you, sir. Thank you, members of the management. On behalf of KEC International Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.